

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO.: 16:02

D.F. YOUNG, INC.,

COMPLAINANT

V.

NYK LINE (NORTH AMERICA) INC.,

RESPONDENT

**APPENDIX FOR PUBLIC VERSION OF
COMPLAINANT D.F. YOUNG, INC.'S OPPOSITION TO
RESPONDENT NYK LINE (NORTH AMERICA), INC.'S
MOTION FOR SUMMARY DECISION**

**Thomas J. Wagner, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Boulevard
Philadelphia, PA 19103
Attorneys for Complainant**

TABLE OF CONTENTS

	Page
EXHIBIT 1: FMC Performance and Accountability Report, November, 2015	CX 1
EXHIBIT 2: FMC OSRA Interim Status Report, June, 2000	CX 97
EXHIBIT 3: FMC Impact of OSRA, September, 2001	CX 145

EXHIBIT 1



Federal Maritime Commission

*Performance and
Accountability Report*
Fiscal Year 2015



Chairman Mario Cordero

November 2015

CX

1

Introduction

This Performance and Accountability Report (Report or PAR) represents the completion of the Federal Maritime Commission's (FMC or Commission) program and financial management process for fiscal year (FY) 2015, which began with mission and program planning, continued with the formulation and justification of FMC's budget submission to the President and Congress, through budget execution, and ended with a report of our program performance and the use of resources. This report covers the Commission's activities and accomplishments from October 1, 2014, through September 30, 2015 (FY 2015).

ABOUT THIS REPORT

This Performance and Accountability Report is a year-end progress report, where the FMC reviews its strategic goals, objectives, and performance measures and provides program and financial information which enables the President, Congress, and the public to assess the performance of the agency relative to its mission and the resources entrusted to it. This PAR satisfies the following legislation:

- [The Federal Manager's Financial Integrity Act of 1982](#) requires continuous evaluations and reporting of the adequacy of the systems of internal accounting and administrative controls.
- [The Chief Financial Officers Act of 1990](#) provides for the production and submission of complete, reliable, timely, and consistent financial information for the use of the Executive Branch of the government and the Congress in the financing, management and evaluation of Federal programs.
- [The Government Management Reform Act of 1994](#) requires the submission of audited financial statements.
- [The Reports Consolidation Act of 2000](#) authorizes agencies to consolidate several reports in order to provide performance, financial, and other related information in a more useful manner.
- [The Inspector General Reform Act of 2008](#) amends the Inspector General Act of 1978 to enhance the independence of the Inspectors General, to create a Council of the Inspectors General on Integrity and Efficiency, and for other purposes.
- [The Government Performance and Results Modernization Act of 2010](#) (GPRA Modernization Act) requires an annual report that measures the performance results of the agency against the established agency goals.
- [The Improper Payments Elimination and Recovery Act of 2010](#) provides for estimates and reports of improper payments by Federal agencies.

This Report can be downloaded at http://www.fmc.gov/about/performance_and_accountability_reports.aspx.

The FMC-at-a-Glance

Laws Enforced

In 1961, the Federal Maritime Commission was established by an executive order (titled Reorganization Plan No. 7). The Commission was charged with regulating U.S. foreign ocean commerce. The FMC administers the Shipping Act of 1984 (1984 Act, Shipping Act) as amended by the Ocean Shipping Reform Act of 1998 (OSRA); § 19 of the Merchant Marine Act, 1920 (1920 Act); the Foreign Shipping Practices Act of 1988 (FSPA); and §§ 2 and 3 of P.L. 89-777 (46 U.S.C. §§ 44102 and 44103).

Profile

- The FMC is headquartered in Washington, D.C. and has nine Area Representatives in key U.S. maritime port locations.
- The Commission had 121 full-time equivalent employees onboard at the end of FY 2015 (September 30, 2015).
- The FMC's total budget authority for FY 2015 was \$25.66 million.

HOW THIS REPORT IS ORGANIZED

This report includes four major sections.

Management's Discussion and Analysis (MD&A) provides an overview of the Commission, financial results, a high-level discussion of program performance, management assurances on internal controls and financial management systems compliance; and other management information, initiatives, and issues.

Program Performance Information provides data on the Commission's progress toward meeting its strategic goals and targets during fiscal year 2015.

Financial Information provides financial details including a message from the Chief Financial Officer, the independent auditor's report, and the audited financial statements.

Other Information includes a statement prepared by the Inspector General (IG) summarizing what the Office of the Inspector General considers to be the most serious management and performance challenges facing the Commission; a report on improper payments; and a table summarizing the financial statement audit.

Table of Contents

Introduction	i
The FMC-at-a-Glance	ii
Message from the Chairman	iv
MANAGEMENT'S DISCUSSION and ANALYSIS	1
Mission and Organization	2
Regulatory Responsibility and Oversight	6
Agency Mission Challenges	8
Program Performance Overview	10
Financial Performance Overview	14
Financial Statement Highlights	17
Controls, Systems, and Legal Compliance.....	20
Chairman's FMFIA Statement of Assurance	24
PROGRAM PERFORMANCE INFORMATION	25
Annual Performance Report.....	26
FINANCIAL INFORMATION	31
Message from the Chief Financial Officer	32
Principal Financial Statements	33
Independent Auditors' Report.....	36
OTHER INFORMATION	80
Comments on IG-Identified Management and Performance Challenges.....	87
Improper Payments Information Act.....	89
Summary of Financial Statement Audit	89



Message from the Chairman



I am pleased to provide you the Federal Maritime Commission's Performance and Accountability Report for fiscal year 2015. During the past year, the FMC has tirelessly carried out the Commission's mission to foster an equitable, secure, and reliable ocean transportation system for the American people. This report illustrates how the FMC exemplifies good government by properly managing limited resources, providing an analysis of program performance and financial activities, and addressing the Commission's plan to meet the challenges ahead.

The Commission is charged by Congress to enforce the ocean liner shipping laws of the United States. The FMC regulates virtually all entities involved in liner shipping, receiving, handling, and transporting cargo and passengers in foreign commerce. A fair, efficient, and adequate ocean transportation system depends on the FMC's ability to evaluate carrier and terminal agreements for anti-competitive impact and to license ocean transportation intermediaries to protect the shipping public and facilitate international trade.

In fiscal year 2015, the Commission continued to serve a paramount role in U.S. commerce – ensuring competition and reliable service to U.S. exporters and importers. The aforementioned role will continue in order to positively impact the nation's oceanborne transportation system in the coming years. The work of the Commission supports U.S. exports, the economic recovery, and job growth. Congestion at U.S. ports is an ongoing concern that threatens both economic and job growth, and is a top priority for the Commission. In 2015, the FMC issued key reports on port congestion and related demurrage and detention issues, and continues to work with industry to facilitate not only solutions to congestion, but in addition, avoiding congestion in the supply chain. Ultimately, the negative impacts of congestion affect the American shipper's bottom line.

The Commission regulates U.S. oceanborne foreign commerce valued at \$984.2 billion and accounting for 31.4 million twenty-foot equivalent units (TEUs) of containerized import and export cargo. The Commission is focused on supporting U.S. exports and the country's continued economic growth. The FMC's mission directly supports the President's commitment to economic growth and job creation. Commission programs related to monitoring international oceanborne trade conditions advance the President's National Export Initiative by promoting access to foreign markets for American exports and efficient supply chains for the importation of goods for domestic production and consumption. The Commission will continue to play an integral role in implementing a regulatory system that ensures a competitive playing field, facilitates commerce, and encourages reliable service to U.S. exporters and importers, while minimizing government intervention and costs.

The FMC's Strategic Plan for 2014-2018 embraces our statutory mandate and agency objectives referenced above. Fiscal year 2015 was the 7th year in which there has been a quantitative measurement of performance goals, which employs measures and targets. The Commission's actual performance is compared with the targeted levels of performance established in the Strategic Plan. For the 12th straight year, the FMC received an unmodified ("clean") opinion on its financial statements.

As outlined in the Management Assurances section (see page 24), the Commission has completed evaluations of its assessment of its internal controls over operations, systems, and financial reporting. The referenced evaluations and reports confirm that the FMC has no material weaknesses, significant deficiencies, or instances of non-compliance with laws and regulations to report. The performance data described in this PAR was compiled and evaluated using the techniques described in this report for achieving the required level of credibility for the verification and validation of performance data relative to its intended use, and I have no reason to doubt the completeness or reliability of our performance data. Additionally, the financial and performance data presented in this report are complete, reliable, and accurate in keeping with the guidance from the Office of Management and Budget.

I take great pride in the performance and dedication of Commission employees and my fellow Commissioners in achieving our mission. In every bureau and office of the Commission, our professionals exhibit hard work, cooperation, and dedication to advance the Commission's mission. All of us at the FMC look forward to continuing our work to foster an equitable, secure, and reliable ocean transportation system that protects American shippers.

Sincerely,

Mario Cordero
Chairman

November 16, 2015



MANAGEMENT'S DISCUSSION and ANALYSIS

Fiscal Year 2015



Mission and Organization

The FMC: Our Purpose and History

In 1961, the Kennedy Administration and Congress decided that regulating the activities of international liner shipping companies and promoting a healthy U.S. merchant marine should be pursued by separate agencies. By executive order (titled Reorganization Plan No. 7), two agencies were established: the Federal Maritime Commission and the Maritime Administration (MARAD). The Commission was charged with regulating U.S. foreign ocean commerce, and MARAD was formed to promote America's merchant marine. Since that time, the FMC has worked to ensure that neither the activities of liner shipping groups nor foreign government laws or regulations could impose unfair costs on American exports, or on American consumers of imported goods.

Our Mission

To foster a fair, efficient, and reliable international ocean transportation system and to protect the public from unfair and deceptive practices.

Our Vision

Fairness and Efficiency in the U.S. Maritime Commerce

The FMC administers the Shipping Act of 1984 (1984 Act, Shipping Act) as amended by the Ocean Shipping Reform Act of 1998 (OSRA); § 19 of the Merchant Marine Act, 1920 (1920 Act); the Foreign Shipping Practices Act of 1988 (FSPA); and §§ 2 and 3 of P.L. 89-777 (46 U.S.C. §§ 44102 and 44103).

The Commission has been charged by Congress with many responsibilities, including: (1) monitoring activities of ocean common carriers, marine terminal operators (MTOs), ports, and ocean transportation intermediaries (OTIs) that operate in the U.S. foreign commerce to ensure just and reasonable practices; (2) reviewing competitive activities, such as rate discussion agreements, carrier alliances, and other agreements among common carriers and/or MTOs; (3) licensing qualified OTIs in the U.S., and ensuring that all OTIs (including foreign OTIs) operating in U.S. trades are

bonded or maintain other evidence of financial responsibility; (4) maintaining trade monitoring, enforcement and dispute resolution programs to assist regulated entities in achieving compliance, and to detect and remedy malpractices and violations of the prohibited acts set forth in § 10 of the 1984 Act; (5) providing dispute resolution services to the industry and consumers; (6) monitoring the laws and practices of foreign governments for discriminatory or otherwise adverse impact on shipping conditions in U.S. trades, and imposing appropriate remedial action pursuant to § 19 of the 1920 Act or FSPA; (7) enforcing special regulatory requirements applicable to carriers owned or controlled by foreign governments; (8) ensuring that passenger vessel operators (PVO) demonstrate adequate financial responsibility to indemnify passengers in the event of non-performance of voyages or passenger injury or death pursuant to 46 U.S.C. §§ 44102 and 44103; (9) processing and reviewing agreements, service contracts, and service arrangements pursuant to the 1984 Act for compliance with statutory requirements; and (10) reviewing common carriers' privately published tariff systems for accessibility, accuracy, and reasonable terms.



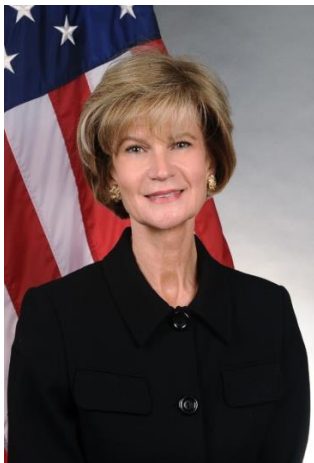
Management's Discussion and Analysis

Our Organization

MEMBERS OF THE COMMISSION



Mario Cordero
Chairman



Rebecca F. Dye
Commissioner



Richard A. Lidinsky, Jr.
Commissioner



Michael A. Khouri
Commissioner



William P. Doyle
Commissioner



Management's Discussion and Analysis

The FMC is directed by five commissioners nominated by the President and confirmed by the Senate, each serving a staggered five-year term. No more than three members of the Commission may be from the same political party. The President designates one commissioner to serve as Chairman. The post is currently held by Chairman Mario Cordero, a commissioner since 2011, who was designated Chairman on April 1, 2013. The Chairman serves as the Chief Executive and Administrative Officer of the Commission.

The FMC maintains a small workforce of highly experienced economists, attorneys, and experts in ocean transportation and government administration. The specific roles and responsibilities of each office within the Commission can be found at <http://www.fmc.gov/about/orgchart.aspx>. The FMC's organizational units consist of:

Offices of the Commissioners	Office of the Inspector General (OIG)	Office of the Secretary (OS)
Office of the Administrative Law Judges (OALJ)	Office of Consumer Affairs and Dispute Resolution Services (CADRS)	Office of the General Counsel (OGC)
Office of the Managing Director (OMD)	Bureau of Certification and Licensing (BCL)	Bureau of Enforcement (BOE)
Bureau of Trade Analysis (BTA)	Area Representatives (ARs)	Office of Equal Employment Opportunity (EEO)
Office of Budget and Finance (OBF)	Office of Human Resources (OHR)	Office of Information Technology (OIT)
	Office of Management Services (OMS)	

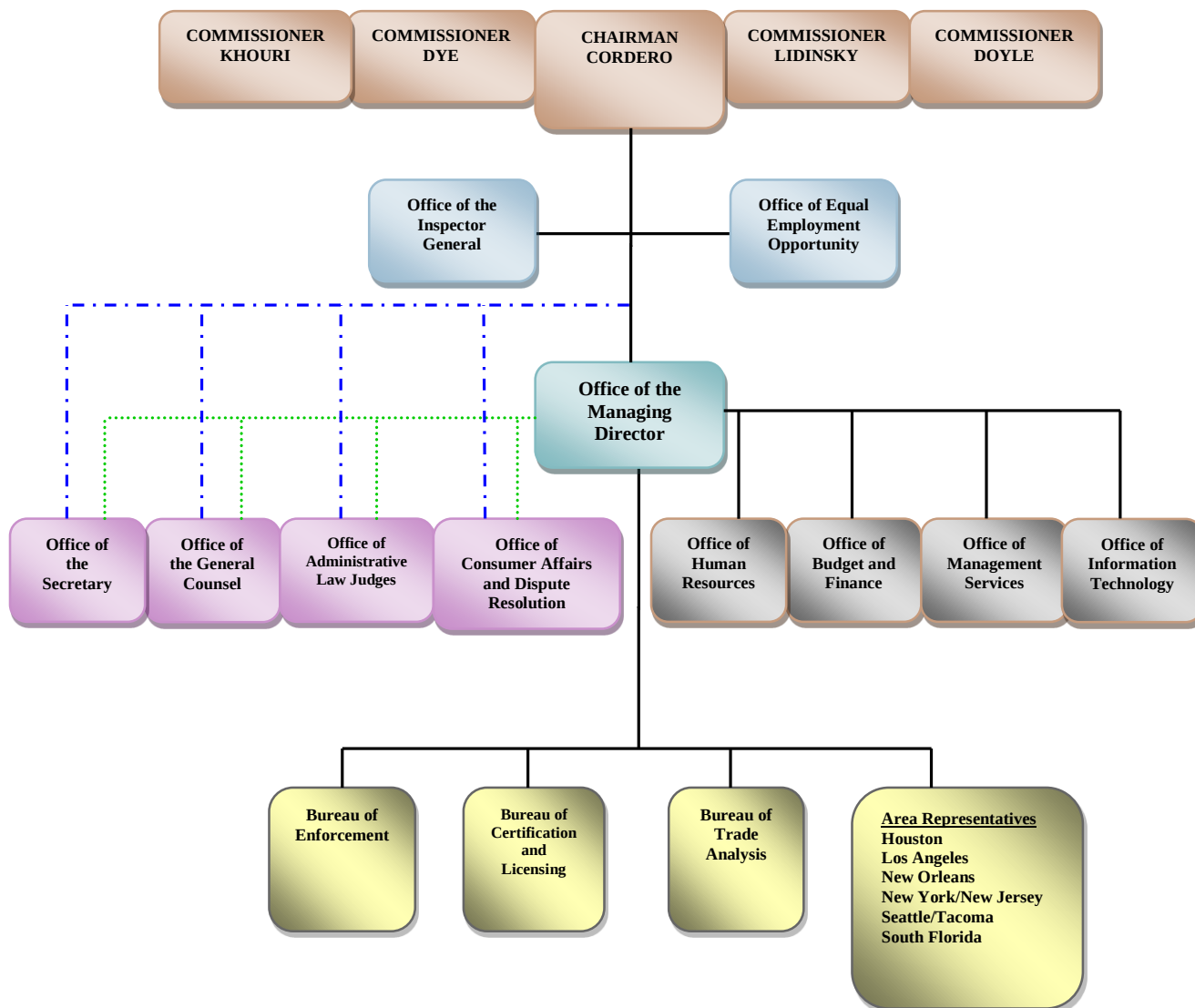
The majority of FMC personnel are located in Washington, D.C., with additional personnel stationed in major U.S. seaport locations in Houston, Los Angeles, New Orleans, New York/New Jersey, Seattle/Tacoma, and South Florida.



Management's Discussion and Analysis

FEDERAL MARITIME COMMISSION ORGANIZATION CHART

as of
SEPTEMBER 30, 2015



..... Administrative
- - - - - Technical Direction



Regulatory Responsibility and Oversight

The FMC meets its primary regulatory responsibilities and ensures the integrity of the U.S. ocean transportation system by:

- licensing qualified OTIs in the U.S., and ensuring that all OTIs (including foreign OTIs) are bonded or maintain other evidence of financial responsibility;
- processing and reviewing agreements, service contracts, and service arrangements pursuant to the 1984 Act for compliance with statutory requirements; and reviewing common carriers' privately published tariff systems for accessibility, accuracy, and reasonable terms;
- monitoring the activities of ocean common carriers, MTOs, ports, and OTIs operating in the U.S. foreign commerce to ensure just and reasonable practices;
- reviewing competitive activities of rate discussion agreements, carrier alliances, and other agreements among common carriers and/or MTOs;
- providing dispute resolution services to the industry and consumers;
- maintaining trade monitoring, enforcement, and dispute resolution programs to assist regulated entities in achieving compliance, and to detect and remedy malpractice and violations of § 10 of the 1984 Act;
- monitoring the laws and practices of foreign governments for any discriminatory or otherwise adverse impact on shipping conditions in U.S. trades, and imposing appropriate remedial action pursuant to § 19 of the 1920 Act or FSPA;
- enforcing special regulatory requirements applicable to carriers owned or controlled by foreign governments; and
- ensuring that PVOs demonstrate adequate financial responsibility to indemnify passengers in the event of nonperformance of voyages or passenger injury or death pursuant to 46 U.S.C. §§ 44102 and 44103.

The Commission administers the Shipping Act of 1984 (1984 Act) as amended by the Ocean Shipping Reform Act of 1998 (OSRA); § 19 of the Merchant Marine Act, 1920 (1920 Act); the Foreign Shipping Practices Act of 1988 (FSPA); and §§ 2 and 3 of Public Law (P.L.) 89-777 (46 U.S.C. §§ 44102 and 44103). The FMC is authorized by the FSPA, the 1920 Act, and 1984 Act as amended by OSRA to take action to ensure that the foreign commerce of the U.S. is not burdened by non-market barriers to ocean shipping. The FMC may take countervailing action to correct unfavorable shipping conditions in U.S. foreign commerce and may impose penalties. The FMC may address actions by carriers or foreign governments that adversely affect shipping in the U.S. foreign oceanborne trades including the intermodal operations of carriers or the operations of OTIs, or that impair access of U.S.-flag vessels to ocean trade between foreign ports.

The 1984 Act is applicable to the operations of common carriers and other persons engaged in U.S. foreign commerce. It exempts agreements that have become effective under the 1984 Act from the



Management's Discussion and Analysis

U.S. antitrust laws. The FMC reviews and evaluates agreements to ensure that they do not exploit the grant of antitrust immunity, and to ensure that agreements do not otherwise violate the 1984 Act, or result in an unreasonable increase in transportation cost or unreasonable reduction in service.

In addition to monitoring relationships among carriers, the FMC is responsible for ensuring that individual carriers, as well as those permitted by agreement to act in concert, fairly treat shippers and other members of the shipping public in accordance with the 1984 Act's prohibition against undue discrimination. The 1984 Act requires all carriers to make their rates, charges, and practices available in automated tariff systems available electronically to the public. Non-vessel-operating common carriers (NVOCCs) may assess the rates and charges published in their tariffs, or may offer service arrangements or negotiated rate agreements with shipping customers. Ocean common carriers are permitted to enter into service contracts with their shipper customers. Such contracts are filed electronically with the FMC in an Internet-based system, and are provided confidential treatment by the FMC as required by the 1984 Act. The FMC does not have the authority to approve or disapprove general rate increases (GRIs) or individual commodity rate levels in the U.S. foreign commerce, except with regard to certain foreign government-owned or controlled carriers.

Sections 2 and 3 of P.L. 89-777 require the operators of passenger vessels with 50 or more berths who embark passengers at U.S. ports to establish financial coverage to indemnify passengers in cases of death, injury, or nonperformance of transportation. The FMC certifies such operators upon the submission of satisfactory evidence of financial responsibility.

The FMC oversees more than 6,600 regulated entities (PVOs, vessel-operating common carriers (VOCCs), MTOs, conferences, OTIs, etc.). The agency ensures that all OTIs operating in the foreign commerce of the U.S. have established the required financial responsibility to protect shippers from financial loss, and additionally, licenses all U.S. OTIs and requires registration of all foreign NVOCCs serving U.S. trades.

The FMC carries out its regulatory responsibilities by conducting informal and formal investigations, holding hearings, considering evidence, rendering decisions, issuing appropriate orders, and implementing regulations. A vigorous enforcement program is carried out, assessing civil penalties for Shipping Act violations. The FMC also adjudicates and mediates disputes involving the regulated community, the general shipping public, and other affected individuals or interest groups.

All of the above activities are supported by the FMC's management and support functions of information technology, budget and financial management, human resources, and management services.



Agency Mission Challenges

The Commission is well-informed of the issues and challenges facing the U.S. ocean transportation system at present, and will continue to center its efforts on fostering a viable and vibrant liner shipping environment so vital to the nation's international trade and economic growth. As a small, independent agency with a broad mandate, we strive to accomplish our strategic goals by improving efficiencies and closely managing our resources in order to enforce the Commission's governing statutes and regulations to protect the shipping public. As the agency's financial resources allow, we will continue to invest in information technology to improve information security, efficiency, and greater public access, while reducing costs over time.

Regulatory Review

Although small, the FMC is tasked with a large mandate. The Commission's size, which provides for challenges in balancing workloads and required functions, is also an advantage. Offices and bureaus effectively work together to complete its goals. As part of its program evaluation, the Commission has undertaken a retrospective review plan to systematically examine and seek public input on its key regulations.

The FMC systematically reviews its processes and regulatory requirements for efficiency and effectiveness. As economic conditions alter the state of our trades, regulations are revised to respond to new conditions. As part of an ongoing Plan for Retrospective Review of Existing Rules (initiated in FY 2012), the FMC is reviewing, evaluating, and making recommendations for improvements to its regulatory requirements concerning the filing and processing of agreements, quarterly monitoring reports, and agreement meeting minutes.

In FY 2015, the Commission considered a staff recommendation and comments from industry and the public regarding new ocean transportation intermediary licensing and financial responsibility requirements. In October 2015, the Commission voted to issue new regulations that will require online license renewal every three years, beginning in late 2016. A review of the regulations governing service contracts and NVOCC service arrangements continued in FY 2015, and the Commission will issue an Advanced Notice of Proposed Rulemaking in early FY 2016. A review of the Marine Terminal Operator Schedule regulations is underway and, in FY 2016, a review of the Carrier Automated Tariff regulations is scheduled.

Alliance and Vessel Sharing Agreements

The FMC monitors key trade lanes, and reviews and analyzes the competitive impact of agreements with particular emphasis on issues of adequate vessel capacity and equipment availability. The difficult economic environment has caused significant developments among vessel operating carriers with respect to the complexity and scope of agreements that have been filed with the Commission. These agreements include highly coordinated alliance agreements and vessel sharing agreements among the largest container vessel operators in the world. New operational agreements among carriers and marine terminal operators seek to address operations at numerous U.S. ports. The Commission weighs the competitive impacts of agreements. Recent agreements filed with the Commission have cleared its review, but with the imposition of specifically tailored reporting requirements and the Commission's requests for additional information. The additional information will help ensure that



Management's Discussion and Analysis

the Commission can quickly identify conditions under an agreement that result in a reduction in competition that unreasonably reduces services or unreasonably raises shipping rates.

Port Congestion and Security Initiatives

The FMC remains focused on efficiency in the United States' ocean transportation system. The growing problem of widespread congestion at U.S. ports and inland locations challenges efficient transportation. In FY 2015, the Commission put forward reports on port congestion and demurrage and detention issues facing U.S. shippers and the industry. The Commission continues to work with the industry to develop strategies to create solutions to port congestion and other industry-related problems. The Commission has reviewed two significant agreement filings to address severe congestion at ports and terminals along the U.S. west coast, the Los Angeles and Long Beach Port Infrastructure and Environmental Programs Cooperative Working Agreement and the Pacific Ports Operational Improvements Agreement. The Commission will closely monitor these agreements for any emerging competitive impacts. Further, in FY 2015, the FMC weighed in on congestion surcharges that may not have met legal requirements. Ultimately, congestion surcharges were not assessed.

The FMC participates with other agencies in U.S. oceanborne commerce security initiatives to protect the U.S. public. The Commission shares data with Federal agencies engaged in homeland security to improve the flow of information and identification of entities providing and utilizing maritime transportation services. To facilitate these activities, the FMC has executed a Memorandum of Understanding (MOU) with U.S. Customs and Border Protection providing for more efficient utilization of existing systems and services. The FMC also has an active MOU with the Census Bureau, U.S. Department of Commerce, providing the FMC with access to the Census' Automated Export System (AES) database. These MOUs allow the FMC to handle and use confidential U.S. export shipment data to accomplish its mission and to protect the nation's security interests. The FMC also supports the Nation's economic and security interests by partnering with the National Intellectual Property Rights Coordination Center (IPR Center), a Department of Homeland Security-led partnership of 21 Federal and international agencies targeting intellectual property- and trade-related crimes.

Enforcement, Dispute Resolution and Public Information

With the increasing pressure of industry consolidation, environmental concerns, port congestion, and rising energy costs, the Commission is particularly sensitive to the impact on the nation's exporters and their need for efficient ocean transportation in reaching foreign markets. The FMC will continue to monitor service contracts and tariffs in key trades as barometers of market cycles and shifts in the balance of supply and demand. The FMC will continue to expand and promote its compliance-focused program to monitor and audit ocean common carrier, NVOCC, and ocean freight forwarder operations. The Commission's Bureau of Enforcement, through the Commission's statutory and regulatory mandate, protects the shipping public and ensures industry adherence to U.S. shipping laws.

The FMC provides direct services to the public through a number of offices, programs, and the FMC's website. The Commission's Office of Consumer Affairs and Dispute Resolution Services receives time-sensitive requests for assistance (through e-mail and calls to its toll-free number) from shippers and carriers. The Commission's Area Representatives, strategically located at key maritime ports (Los Angeles, South Florida, Houston, New Orleans, New York/New Jersey and Seattle/Tacoma),



Management's Discussion and Analysis

commonly operate as the “front line” for questions and issues facing the industry. The Commission’s Office of the Secretary updates the FMC’s website and social media frequently, providing time sensitive and important information to the public. The FMC also responds to requests for information from the press and the public, delivering key information directly to potentially affected shippers through on-camera interviews and print media.

The FMC plays an important role in improving international commerce and assisting with industry-driven solutions to ocean shipping issues. In FY 2015, the Commission released reports analyzing the problems of port-related congestion and demurrage and detention, and continues to develop strategies to create solutions to industry-related problems.

Encouraging Economic Growth

The FMC’s mission directly supports the President’s commitment to economic growth and job creation. The FMC’s important work fosters economic growth through effective shipping and infrastructure practices. Commission programs related to monitoring international oceanborne trade conditions, and carrier and marine terminal operator agreements ensure the free flow of shipping commerce and efficient supply chains for both the import and export of goods for domestic production and consumption.

Program Performance Overview

The FMC, like other Federal agencies, provides a performance plan to Congress, pursuant to the Government Performance and Results Act (GPRA). The FMC has organized its performance goals to achieve its strategic goals. The FMC’s *Strategic Plan Fiscal Years 2014-2018 (Revised)* is available on the FMC’s website. The complete FY 2015 Program Performance Report is contained in the *Program Performance* section of this report.

During FY 2015, the Commission continued to make progress in modernizing its business processes. The Commission is responding to changing conditions affecting the state of our trades, including licensing, agreements, and contracting practices. In FY 2015, the Commission issued a proposed rule updating ocean transportation intermediary licensing and financial responsibility requirements. The Commission will issue a final rule in early FY 2016. A review of the regulations governing service contracts and NVOCC service arrangements continued in FY 2015, and the Commission will issue an Advanced Notice of Proposed Rulemaking regarding its service contract regulations in early FY 2016.

Achieving Strategic Goal Results

The FMC developed performance goals that promote both of its strategic goals and support the its mission. In developing the performance goals, the Commission considered the outcome resulting from achieving each performance goal. Specific targets and activities must be accomplished to meet the identified performance goals. Fiscal year 2015 was the seventh year in which the FMC undertook to quantify and measure performance goals. The Commission’s actual performance in FY 2015 is compared with the targeted levels of performance established in the agency’s *Strategic Plan Fiscal Years 2014-2018 (Revised)*. Taken together, performance measures and targets under each strategic goal were designed to enhance and further those goals each fiscal year, bringing the agency closer to full achievement of its strategic goals. Our experience in the years 2010 through 2014 enabled us to set realistic targets for FY 2015 in the revised strategic plan.



Management's Discussion and Analysis

Historical Performance of Strategic Goals and Objectives						
Strategic Goal	Objective	Performance Measures	2012	2013	2014	2015
Goal 1. Maintain an efficient and competitive international ocean transportation system.	1. Enhance efficiency in the trades through the use of asset sharing authority under the Shipping Act of 1984.*	Percentage share of U.S. containerized cargo moving on other agreement parties' vessels in major U.S. trades.**	TARGET			
			19%	19.5%	39.5%	40%
			ACTUAL			
			18.7%	19.5%	45.6%	49%
Goal 2. Protect the public from unlawful, unfair and deceptive ocean transportation practices and resolve shipping disputes.	1. Identify and take action to end unlawful, unfair and deceptive practices.	Percentage of enforcement actions taken under the 1984 Act successfully resolved through favorable judgment, settlement, issuance of default judgment, or compliance letter or notice.	TARGET			
			74%	76%	76.5%	77%
			ACTUAL			
			88%	78.9%	83.8%	83.4%
	2. Prevent public harm through licensing and financial responsibility requirements.	Percentage of decisions on completed OTI license applications rendered within 60 calendar days of receipt, facilitating lawful operation of OTIs with the appropriate character and experience requirements.	TARGET			
			70%	75%	75%	75%
			ACTUAL			
			90.2%	87.6%	71.3%	72%
		Percentage of cruise line operators examined during the year that have the full financial coverage required by regulation to protect against loss from non-performance or casualty.	TARGET			
			92%	93%	94%	95%
			ACTUAL			
			100%	100%	96.7%	96%
	3. Enhance public awareness of agency resources, remedies and regulatory requirements through education and outreach.	Percentage of key Commission issuances, orders, and reports are available through the Commission’s website within 5 working days of receipt.	TARGET			
			74%	76%	76%	78%
			ACTUAL			
			79%	86%	93%	92%
	4. Impartially resolve international shipping disputes through ADR and adjudication.	Number of cases opened and closed each fiscal year using ombuds and ADR services to assist consumers in recovering goods or funds.	TARGET			
			700	800	825	825
			ACTUAL			
			893	800	994	882
		Percentage of formal complaints or Commission-initiated orders of investigation completed within 2 years of filing or Commission initiation.	TARGET			
			54%	56%	58%	58%
			ACTUAL			
			73%	91%	88%	90%
* This objective was revised for FY 2014-2018. In FY 2013, the objective was: identify and take action to address substantially anti-competitive conduct or unfavorable conditions in U. S. trades. The target for FY2013 was 19.5%. ** This measure was revised for FY 2014-2018. In FY 2013, the measure was: percentage share of total U.S. international oceanborne trade moved by containership, as an indicator of liner shipping efficiency. The target for FY 2013 was 19.5%.						



Management's Discussion and Analysis

A brief overview of the agency's successes includes the following:

Strategic Management of Human Capital – In 2015, the FMC continued to implement the strategic goals, strategies, and measures of results outlined in the 2012-2017 Human Capital Plan, Workforce Plan, and Accountability Plan. The Commission's Human Capital Plan was developed under the OPM's Human Capital Assessment and Accountability Framework, and provides for recruiting and retaining a talented workforce, and to appropriately manage succession in the Commission's small workforce.

To recruit and retain a highly qualified and diverse workforce, the Human Capital Plan includes improved marketing of the FMC; streamlining of the application process in alignment with Hiring Reform; targeting recruitment pools and areas of consideration to increase the diversity of applicants; and incorporates organizational needs based on the annual OPM Federal Employee Viewpoint Survey results. In order to meet mission objectives, the FMC is actively working to define and plan for the workforce of the future, consistent with the current Administration's programs and reform initiatives.

Strong leadership is a critical asset, and at the close of FY 2015, 50 percent of the FMC's executives were eligible for optional retirement. The Commission is engaged in succession management and projecting its future needs. Current staff are developed to prepare individuals to assume greater levels of responsibility, and to allow the agency to continue to maintain talented and knowledgeable leadership to meet the challenges of the future. As funds become available, training and development in leadership competencies within a technical context will be provided to prepare the next generation of leaders at the Commission.

Competitive Sourcing - The FMC submitted its FY 2015 Federal Activities Inventory Reform Act (FAIR Act) Inventory to OMB in June 2015. The Inventory identified 68 of the agency's 124 authorized Full-time Equivalent employees (FTEs) as commercial activity FTEs. No challenges to its commercial inventories have ever been received.

Improved Financial Performance - The FMC received an unmodified ("clean") opinion on its financial statements in FY 2015. The FMC will continue to strive to achieve unmodified audit opinions.

Expanded E-Government - During FY 2015, the FMC continued to monitor public usage trends and leverage user feedback to implement ongoing improvements to www.fmc.gov. Public feedback was used to increase the quality, clarity, and accessibility of content provided to the shipping public. Achievements in FY 2015 include:

- Improving global navigation based on user search terms and improving visibility of important information;
- Archiving and streamlining content to improve delivery and accuracy of information; and
- Planning and initiation of a major platform migration and extensive improvements to the information architecture of www.fmc.gov.

The Commission's information technology capabilities were modernized and enhanced in a number of areas. The planned multiyear transition to use Enterprise Content Management (ECM) technology



Management's Discussion and Analysis

for managing business activities and information needs is continuing to progress. Notable FY 2015 IT achievements include:

- Data previously stored on in-house file servers was migrated to the One Drive for ease of access for collaboration, teleworking, and to aid in our Continuity of Operations Plan;
- All desktop operating systems were upgraded to Windows 8.1, and the Microsoft Office Suite 2007 was upgraded to Office 2013. VPN connections to all six field offices were upgraded. The Commission's email system was migrated from Google mail to Office 365 in the Cloud;
- All servers were replaced with more robust servers which are more productive. This upgrade had an instant impact on SERVCON and all of the application databases that support both the FMC and the industry;
- All server operating systems were upgraded to Microsoft Server 2012, the database server was upgraded from Microsoft SQL 2005 to Microsoft SQL 2012, and all Cisco routers, switches, and firewalls were upgraded;
- SharePoint in the Cloud was implemented, and the Commission's new Intranet site was launched, allowing FMC users easy access to its business applications anywhere they are able to connect to the internet through Office 365;
- The Commission's Disaster Recovery (DR) site is now configured, tested, and fully functional. New technology was used to make the DR site a "hot site," which is configured so that the production server at FMC headquarters frequently replicates data to the server at the DR site. If a disaster occurs, the DR site would allow access to current systems to maintain Commission operations; and
- Line of Business applications are being modernized. The Commission is currently in the User Acceptance testing stage of the Licensing and Registration Application ("LARA" - formerly known as the FMC-18 application). We anticipate that the modernization of this application will be completed in FY 2016.

Performance Improvement – The Strategic Plan represents the fundamental framework for the Commission's planning and budgeting activities. Funding and FTE levels are integrated into the Commission's performance budget planning document by strategic goal to identify clearly the budgetary and staff resources that are committed to the performance of each goal.



Financial Performance Overview

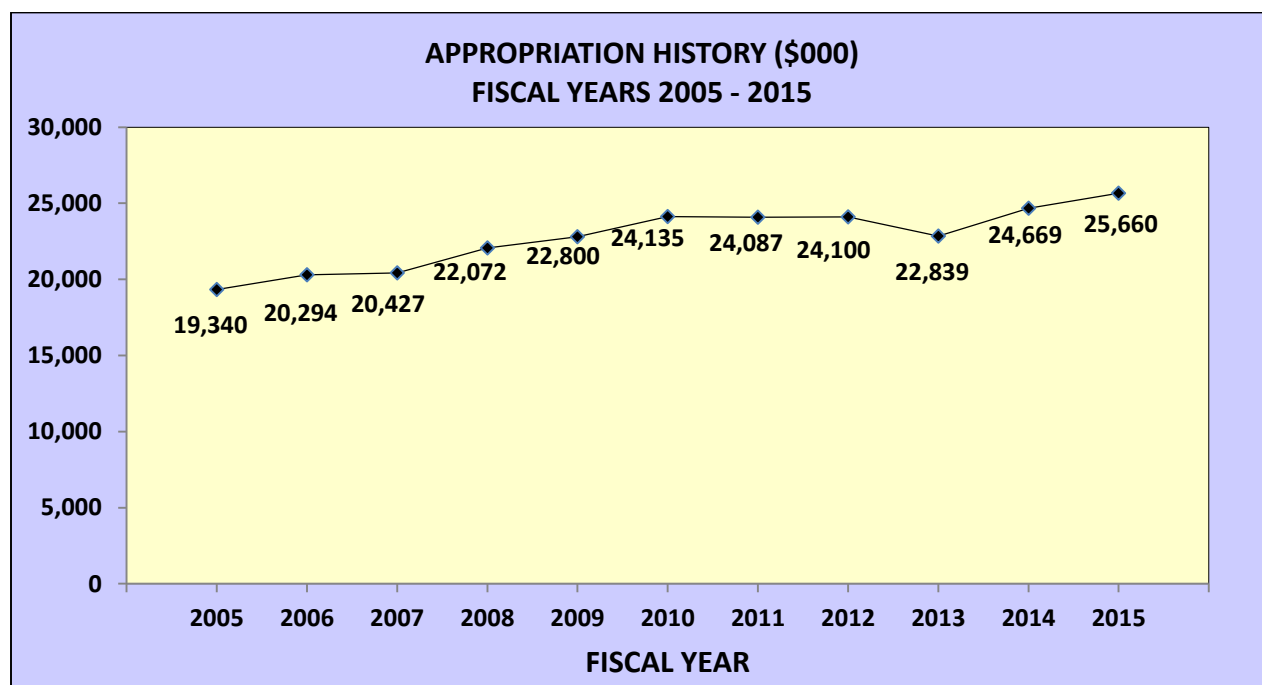
The FMC's financial condition as of September 30, 2015, is sound, and a number of internal controls are in place to ensure its budget authority is not exceeded, and that funds are utilized efficiently and effectively. The FMC's accounting services provider, the Bureau of the Fiscal Services (BFS), prepared the financial statements as required by the Accountability of Tax Dollars Act of 2002. They have been prepared from, and are fully supported by, the books and records of the FMC in accordance with Generally Accepted Accounting Principles (GAAP), standards approved by the Federal Accounting Standards Advisory Board (FASAB), and OMB Circular A-136, *Financial Reporting Requirements*.

Source of Funds

The FMC has single source funding, Salaries and Expenses, funded by an annual appropriation available for commitments and obligations incurred during the fiscal year in which the authority was granted. Congress approved FY 2015 appropriations for the FMC in the amount of \$25,660,000 through P.L. 113-235, which is an increase of \$991,000 above the FY 2014 final appropriation level. Additionally, the Commission had reimbursable budget authority of \$138,030 for work performed by FMC staff at other government entities.

Although the FMC collects remittances for user fees and penalties, the agency is not authorized to offset any of its budget authority by utilizing these funds. Collections are deposited directly into the Treasury General Fund. This information is captured in the Statement of Custodial Activity which can be found in the *Financial Information* section of this report.

Appropriation History



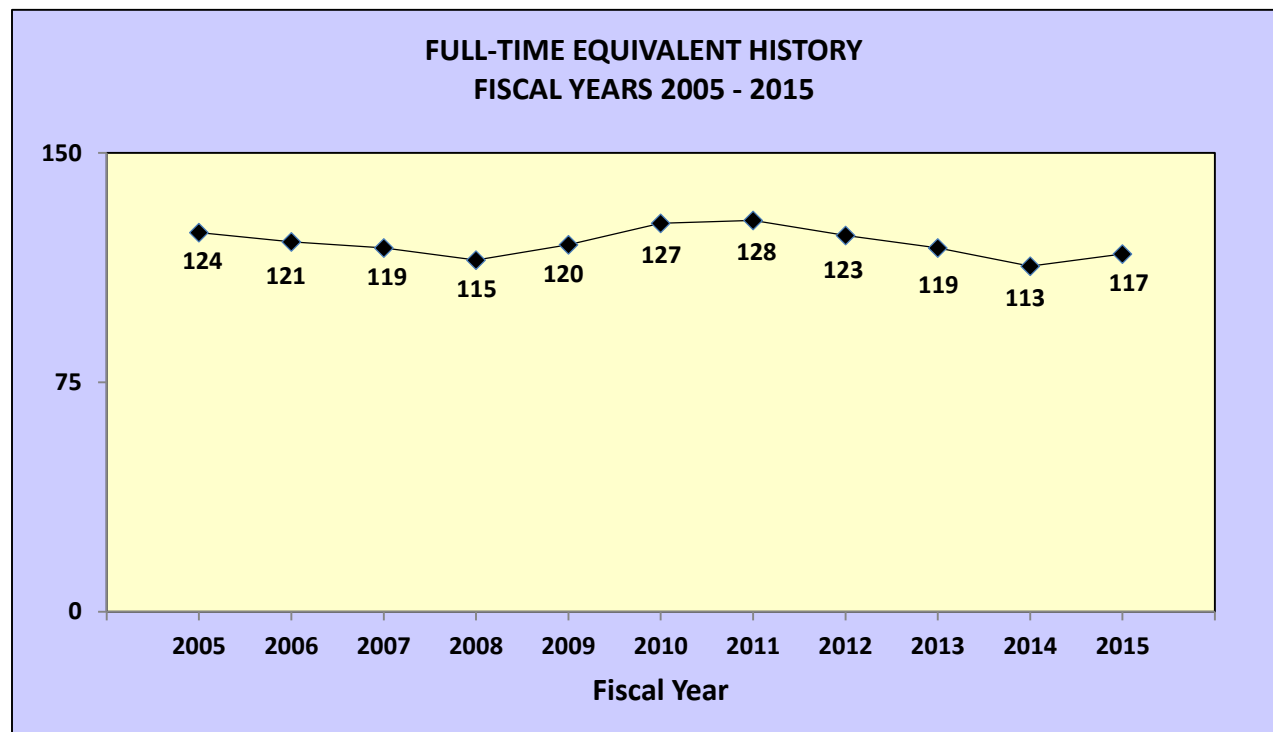


Management's Discussion and Analysis

Full-time Equivalent History

The FMC's FTE level is largely driven by our annual appropriation level; however, unanticipated vacancies in such offices as the Offices of the Commissioners have sometimes remained unfilled for lengthy periods of time, awaiting Presidential and Congressional action. The FMC has maintained a full complement of Commissioners since June 2011.

The FTE level declined annually from 2004 through 2008, followed by increases in 2009 through 2011. In 2013, the Commission's FTE level dropped, and in 2014, it dropped further to the lowest level since the late 1970s. The Commission experienced a number of unanticipated retirements and separations in 2014, resulting in a lower than anticipated FTE level. The FMC's actual FTE level for 2015 was 117, with 121 employees on board at fiscal year's end. The Commission has endeavored to develop the appropriate mix of staffing and other available means to ensure effective accomplishment of its mission.

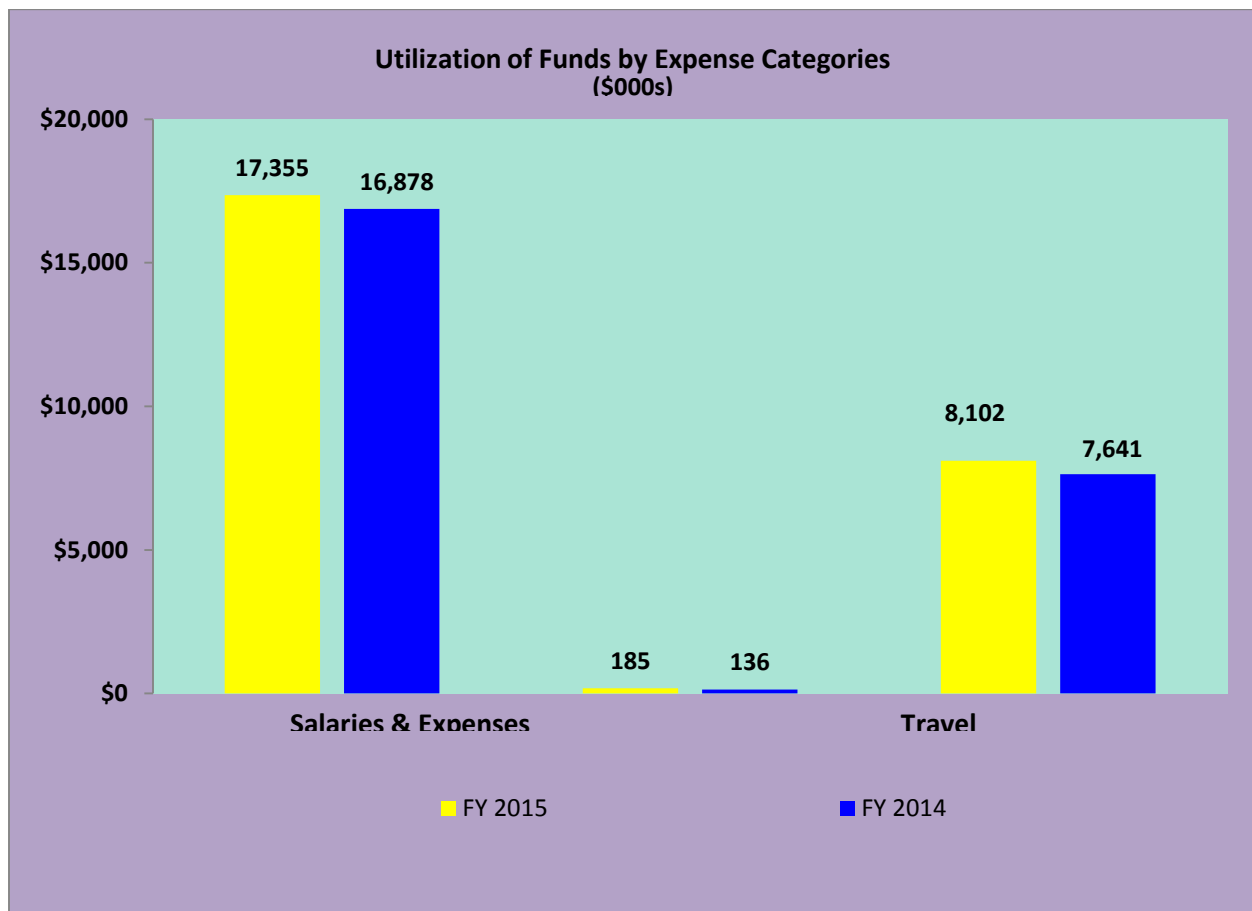




Management's Discussion and Analysis

Uses of Funds by Expense Category

During FY 2015, obligations against the FMC's appropriation totaled \$25,642,375, representing 99.93% of the funding level. The Commission spent \$25.642 million as follows: 67.7% for salaries and benefits, 0.7% for official travel expenses, and 31.6% for administrative expenses (e.g., rent, government and commercial contracts, telephones, and IT services and equipment). The balance of \$17,625 will be allocated to legitimate increases to existing FY 2015 obligations.



Audit Results

The FMC again received an unmodified (“clean”) opinion on its FY 2015 financial statements from the auditing firm of Regis & Associates, P.C. under contract through the FMC’s OIG. Comparative statements are located in the *Financial Information* section of this report.



Financial Statement Highlights

The financial statements have been prepared to report the financial position and results of operations of the Commission pursuant to the requirements of 31 U.S.C. § 3515(b). While the statements have been prepared from the books and records of the Commission in accordance with the formats prescribed by OMB, the statements are in addition to the financial reports used to monitor and control budgetary resources which are prepared from the same books and records. The statements should be read with the realization that they are for a component of the U.S. Government, a sovereign entity. One implication of this is that liabilities cannot be liquidated without legislation that provides resources to do so.

The FMC's financial statements summarize the financial position and financial activity of the agency. The financial statements, footnotes, and the remainder of the required supplementary information appear in their entirety in the *Financial Information* section of this report. A brief analysis of the principal statements follows.

Summary of Assets

The FMC's assets were \$4,825,958 as of September 30, 2015. This represents an increase from FY 2014 of \$314,604. The FMC's assets reported in the balance sheet are summarized in the accompanying table.

Summary of Assets as of September 30, 2015		
	FY 2015	FY 2014
Fund Balance with Treasury	\$4,397,659	\$4,105,128
Accounts Receivable	\$19,987	\$1,520
Capital Assets	\$408,312	\$404,706
Other	\$0	\$0
Total Assets	\$4,825,958	\$4,511,354

The Fund Balance with Treasury of \$4,397,659 represents the FMC's largest asset and represents 91.1% of the agency's total assets. This is an increase of \$292,531 from FY 2014. The Fund Balance with Treasury is comprised only of annual appropriations maintained by the Department of the Treasury to address current liabilities.

Accounts Receivable as of September 30, 2015 was \$19,987 for outstanding receivables billed to both Federal and non-Federal entities. This accounts for 0.4% of the FMC's assets.

Capital Assets, also known as Property, Equipment and Software, accounts for 8.5% of the FMC's total assets as of September 30, 2015. The net value of \$408,312 accounts for the depreciation of all assets and represents the current book value of those assets.



Management's Discussion and Analysis

Summary of Liabilities

The FMC's Liabilities totaled \$2,443,691 as of September 30, 2015, an increase of \$342,046 total liabilities from FY 2014. The majority of the increase is related to additional obligations where the goods and/or services have yet to be received or vendor(s) have not submitted billings for delivered orders.

Summary of Liabilities as of September 30, 2015		
	FY 2015	FY 2014
Accounts Payable	\$537,340	\$529,765
Payroll Taxes	\$130,733	\$96,301
Federal Employee Benefits	\$0	\$787
Custodial Liabilities	\$2,163	\$1,753
Accrued Liabilities	\$1,773,455	\$1,473,039
Total Liabilities	\$2,443,691	\$2,101,645

The FMC's accounts payable as of September 30, 2015 was \$537,340. This represents the funds owed for goods and services received from vendors. Federal employee benefits represent accrued salaries and liabilities that are not funded by budgetary resources. These liabilities represent future workers' compensation and accrued annual leave that remains on the books. The Federal budget process does not recognize future benefits for today's employees; however, these liabilities will be recognized in future budget cycles as they are paid.

Analysis of Changes in Net Position Summary

The Changes in Net Position Summary reports the change in the Commission's net position during the reporting period. The statement is a summary of two factors, Unexpended Appropriations - the amount of spending authority that remains unused at the end of the fiscal year and Cumulative Results of Operations - the cumulative excess of financing resources over expenses. The total net position for FY 2015 is a decrease of \$27,442 from FY 2014.

Changes in Net Position Summary as of September 30, 2015		
	FY 2015	FY 2014
Unexpended Appropriations	\$3,167,730	\$3,129,440
Cumulative Results of Operation	(\$785,463)	(\$719,731)
Total Net Position	\$2,382,267	\$2,409,709

Net position is the residual difference between assets and liabilities and is comprised of Unexpended Appropriations and Cumulative Results of Operations. Unexpended Appropriations represent the amount of unobligated and unexpended budget authority. Unobligated balances are the amount of appropriations or other authority remaining after deducting the cumulative obligations from the amount available for obligation. The Cumulative Results of Operations is the net result of FMC's operations for all active fiscal years.



Management's Discussion and Analysis

Analysis of Net Cost Summary

The analysis of Net Cost Summary presents the net cost of FMC's Programs as identified in the Annual Report. The four agency programs are Operational and Administrative, Formal Proceedings, Inspector General, and Equal Employment Opportunity. The Statement of Net Costs shows the net cost of operations for the agency as a whole and its sub-organizations and/or programs. Net Costs compared to Budgetary Resources can be found in the *Financial Information* section of this report.

Net Cost Summary as of September 30, 2015		
	FY 2015	FY 2014
Operational and Administrative	\$18,283,294	\$16,120,903
Formal Proceedings	\$7,781,594	\$7,476,772
Office of the Inspector General	\$450,246	\$314,541
Office of Equal Employment Opportunity	\$153,307	\$193,139
Total Net Cost	\$26,668,441	\$24,105,355

Analysis of the Statement of Budgetary Resources

The Statement of Budgetary Resources (SBR) shows the source of the agency's budgetary resources, the status of those resources at the end of the reporting period, and the relationship between the two. Total budgetary resources must be equal to the status of budgetary resources at all times. A more detailed SBR can be found in the *Financial Information* section of this report. During FY 2015, the FMC had total budgetary resources available of \$26,470,532, representing an increase of \$1,289,002 over 2014. The FMC incurred total obligations during FY 2015 of \$26,168,073. The budgetary resources represent financial activity during the accounting period for the five active fiscal years.

Statement of Budgetary Resources as of September 30, 2015		
Statement of Budgetary Resources as of September 30, 2014		
	FY 2015	FY 2014
Obligations Incurred	\$26,168,073	\$24,794,326
Unobligated Balance Unavailable	\$284,834	\$368,993
Unobligated Balance Available	\$17,625	\$18,211
Total Status of Budgetary Resources	\$26,470,532	\$25,181,530



Controls, Systems, and Legal Compliance

Internal controls are fundamental to the systems and processes that the FMC utilizes in managing its operations and achieving its strategic goals. As noted in the Chairman's Statement of Assurance in the following section, the FMC does not have any material weaknesses or nonconformance to report for FY 2015.

Federal Managers' Financial Integrity Act

The Federal Managers' Financial Integrity Act (FMFIA) mandates that agencies establish controls that reasonably ensure that: (i) obligations and costs comply with applicable laws; (ii) assets are safeguarded against waste, loss, unauthorized use, or misappropriation; and (iii) revenues and expenditures are properly recorded and accounted for. This Act encompasses program, operational, and administrative areas as well as accounting and financial management. The FMFIA requires that the Chairman provide an assurance statement of the adequacy of management controls and conformance of financial systems with Government-wide standards, that FMC managers are held accountable for efficient and effective performance of their duties in compliance with applicable laws and regulations, and for maintenance of the integrity of their activities through the use of controls.

The Chairman has provided his annual assurance statement in this report. This statement was based on various sources, including management knowledge gained from the daily operation of Commission programs and reviews, discussions with the Managing Director, and the Directors of the Offices of Budget and Finance and Management Services, audits of the financial statements, annual performance plans, and OIG reports, among other sources. Additionally, the Chairman meets regularly with the Commission's Senior Executive Service and receives regular reports from the FMC's OIG.

Management control deficiencies, when identified, are addressed at the highest management levels within the agency. For instance, any corrective actions for significant deficiencies identified in the agency's information technology area would be overseen directly by the agency's Chief Information Officer (CIO).

During the fiscal year, the IG identified no significant deficiencies and there were no significant management decisions made on which the IG disagreed. During FY 2015, management and the OIG reached agreement on 20 OIG audit recommendations. Management took action with respect to all recommendations and remedied 8. Management will continue work to implement the remainder of the IG's recommendations during the next fiscal year.

Debt Collection Improvement Act of 1996

The Debt Collection Improvement Act enhances the ability of the government to service and collect debts. The Act centralized the collection of non-tax delinquent debt owed to the government. Federal agencies are required to refer delinquent accounts in excess of 180 days to Treasury for collection. The collection of delinquent debts is conducted by the Bureau of Fiscal Services through the Cross-Servicing Program and Treasury Offset Program, where the names and taxpayer identification numbers (TIN) are matched against the TINs of recipients of government payments. The balance owed to the government is deducted or offset from the payment to the entity to satisfy the debt. The goal of the FMC is to minimize the amount of delinquent debt owed to the government.



Management's Discussion and Analysis

Prompt Payment Act of 1982

The Prompt Payment Act requires agencies to make timely payments to vendors for supplies and services, to pay interest penalties when payments are made after the due date, and to take cash discounts when they are economically justified. In FY 2015, the FMC maintained a percentage of on-time payments of 99.3%.

In FY 2015, the FMC paid \$148.00 in interest payments as a result of four late payments. The FMC will continue to strive towards maintaining 100% on-time vendor payments in future years.

Biennial Review of User Fees

The Chief Financial Officers Act requires agencies to conduct biennial reviews of fees and other charges imposed by agencies, and to make revisions to cover program and administrative costs incurred. During FY 2008, the Commission completed its biennial review of user fees. The OIG subsequently conducted a review of the methodology used to calculate the updated user fees.

A revised methodology for calculating user fees was developed in FY 2011. Performance goals and processing times for completion of certain user fee activities had changed dramatically since the review was performed in 2008, thus in FY 2012, management requested updated information from bureaus and offices on current processing times for all user fee activities in order to calculate user fees which accurately reflected the agency's costs. In FY 2014, the fees were updated based upon actual FY 2013 costs. The user fee working group concluded its review and provided its recommendations for Commission consideration. The Commission subsequently requested updated financial calculations from staff, which will be reviewed in early FY 2016.

Performance Measure Summary

The FMC does not have an in-house financial accounting system, and as a small agency does not receive a Performance Measure Summary from the Department of the Treasury. The agency acquires travel, procurement, accounting, and financial services from Treasury's Bureau of Fiscal Services. The Commission verifies and reconciles all financial statements and reports prior to submission, and has remained in compliance with all reporting thresholds.



Management's Discussion and Analysis

Inspector General Act of 1978, as amended in 1988, and the Inspector General Reform Act of 2008

Section 5(b) of the Inspector General Act of 1978 requires agencies to report on final actions taken on OIG audit recommendations.

Briefly, during FY 2015, the Inspector General issued the following audit and review reports:

- Independent Auditors' Report of FMC's FY 2014 Financial Statements;
- FY2014 Financial Statement Management Letter;
- Evaluation of FMC's Compliance with the Federal Information Security Management Act FY 2014;
- Evaluation of the FMC's FY 2014 Privacy and Data Protection;
- FMC Workplace Evaluation Report;
- Audit of Expenditures for Furnishing or Redecorating Commissioners' Offices; and
- Improper Payments Elimination and Recovery Act of 2010 (IPERA).

The agency addressed a number of recommendations from these reviews, and it is expected that progress will be made to address the remaining open recommendations during FY 2016.

During FY 2015, no significant deficiencies were identified.

Treasury Assurance Statement - USA Spending Reconciliation

The FMC has implemented its plan to ensure data completeness and accuracy on USAspending.gov by using control totals with financial statement data, and comparing samples of financial data to actual award documents. The prime Federal award financial data reported on USAspending.gov is correct at the reported percentage of accuracy, and the FMC has adequate internal controls over the underlying spending.



Management's Discussion and Analysis

Freeze the Footprint

OMB Memorandum 12-12, Section 3, *Promoting Efficient Spending to Support Agency Operations* and Management Procedures Memorandum 2013-02, "Freeze the Footprint" policy implementation guidance, require agencies to report total square footage associated with agency assets and annual operating costs. Although not a CFO Act agency, the FMC is committed to working closely with the General Services Administration to better steward government resources and align the size of Federal real property assets with actual program needs. In FY 2014, the FMC relocated a field office from New York City to New Jersey, slightly increasing its space but resulting in savings due to the lower cost of the new lease. Also in FY 2014, approximately 705 rentable square feet of headquarters space was released to GSA.¹ In FY 2015, FMC released approximately 1,615 rentable square feet. An additional potential reduction in office space (and associated cost savings) was identified, and the FMC is currently working with GSA to reduce and reconfigure space at headquarters. The agency will continue to evaluate its space needs going forward.

FY 2015 - FMC Square Footage² (Rentable Square Footage)

<u>Location</u>	<u>Square Footage</u>	<u>Comment</u>
Headquarters	61,191	60,822 + 1,369 in joint use space ³
Houston	547	
Los Angeles	838	Space is provided at no cost by DHS–CBP
New Orleans	250 ⁴	
New York/New Jersey	1,405	
Seattle/Tacoma	451	
South Florida	1,249	
TOTAL	66,931	

Footprint Baseline Comparison (Usable Square Footage)

	<u>FY 2012 (Baseline)</u>	<u>FY 2013</u>	<u>FY 2014</u>	<u>FY 2015</u>
Total Square Footage	58,208	58,208	58,530	57,237

Reporting of O&M Costs – Owned and Direct Lease Buildings

	<u>FY 2012 Reported Cost</u>	<u>FY 2013 Reported Cost</u>	<u>FY 2014 Reported Cost</u>	<u>FY 2015 Reported Cost</u>	<u>Change in Baseline 2012-2015</u>
Operation and Maintenance Costs	\$2,994,981	\$3,191,702	\$3,234,499	\$3,296,731	\$301,750

¹ The FMC received a credit in FY 2015 for HQ space that was released to GSA in FY 2014 and FY 2015.

² Previous years reported on usable square footage rather than rentable square footage. The usable square footage for FY 2015 is 57,237, which is a decrease from the usable square footage of 58,530 reported for FY 2014. FY 2015 reported cost is based on rentable square footage.

³ Joint use space is only applicable to the HQ office space. Joint use space includes the fitness center, health unit and security office, which is divided among the tenant agencies in the building.

⁴ The square footage provided for the New Orleans field office is approximate. The FMC does not maintain a lease or pay rent on this space.



Chairman's FMFIA Statement of Assurance

Management of the Federal Maritime Commission is responsible for establishing and maintaining an effective internal control and financial management system which meets the objectives of the Federal Managers' Financial Integrity Act of 1982 (FMFIA).

The FMC conducted its annual assessment of the effectiveness of the internal controls put in place by the organization to support effective and efficient programmatic operations, reliable financial reporting, and compliance with applicable laws and regulations, and to determine whether the financial management system conforms to applicable financial systems requirements in accordance with the requirements of the Office of Management and Budget (OMB) Circular A-123, *Management's Responsibility for Internal Control*.

The FMC can provide reasonable assurance that its internal controls over the effectiveness and efficiency of operations, reliable financial reporting, and compliance with applicable laws and regulations as of September 30, 2015, were operating effectively and that no material weaknesses were found in the design or operation of our internal controls based on the results of this assessment.

Additionally, based on our assessment, we have determined that the financial management system acquired from the Bureau of Fiscal Services, an integrated, internet-based financial system using Oracle Federal Financials, conforms to applicable financial systems requirements.

Mario Cordero
November 16, 2015



PROGRAM PERFORMANCE INFORMATION



Annual Performance Report

Introduction to Performance

The FMC's performance management system includes specific strategic goals, performance measures, and targets. The strategic goals represent the FMC's mission and reflect the overall outcomes and objectives the Commission is working to achieve. This report describes progress towards performance targets in 2015 in furtherance of the Commission's mission to foster a fair, efficient and reliable international ocean transportation system, and to protect the public from unfair and deceptive practices. The FMC's strategic goals and objectives are as follows:

- **Maintain an Efficient and Competitive International Ocean Transportation System.**
 - Identify and take action to address substantially anti-competitive conduct or unfavorable conditions in U.S. trades.
- **Protect the Public from Unlawful, Unfair and Deceptive Ocean Transportation Practices and Resolve Shipping Disputes.**
 - Identify and take action to end unlawful, unfair, and deceptive practices.
 - Prevent public harm through licensing and financial responsibility requirements.
 - Enhance public awareness of agency resources, remedies, and regulatory requirements through education and outreach.
 - Impartially resolve international shipping disputes through alternative dispute resolution and adjudication.

The FMC quantitatively measured seven performance goals during the fiscal year. Six out of seven measures reached and exceeded FY 2015 targets. Each measure, target, and actual result is reported in the summary table below (Table 1) and includes a description of the data used to measure performance along with an explanation of the procedures in place to validate and ensure integrity of the reported result.

Trend data for measures in place since 2011 is reflected in Table 2 below. This data reflects continuous increases in agency efficiency and productivity – a result of both improved and streamlined processes, and enhanced focus on improving the critical processes being measured. Table 3 provides a status update on unmet targets for FY 2011 through FY 2015.

The Strategic Plan was revised in FY 2011 to remove a third strategic goal and its associated objectives and measures. The third goal was established for administrative support functions such as human resources, information technology and financial management. Each of these important functions is subject to its own stringent planning and measuring regimes pursuant to various laws and executive mandates. Those related plans support the strategic plan and are referenced and described therein.

The Commission has forwarded this report to the President, with a copy to the Director, OMB, and appropriate Congressional committees. Additionally, this report has been placed on the FMC's public website to ensure that it is accessible to interested parties. All Commission employees have been advised to review this report.



Program Performance Information

Table 1: Summary of Performance Measure Results – FY 2015

Targeted performance compared to actual results.

Strategic Goal No. 1: Maintain an efficient and competitive international ocean transportation system.		
Performance Measure	FY 2015 Target	FY 2015 Actual
Measure: Percentage share of U.S. containerized cargo moving on other agreement parties' vessels in major U.S. trades. 2015 Target: 40% Validation: This outcome goal is measured by using information from several different commercial sources that collectively provide the number of loaded containers (TEUs) carried by vessels operating in selected major U.S. trade lanes while separately enumerating the number of TEUs carried by each vessel for the ship operator's own account and the number of TEUs carried by the vessel on behalf of other vessel operating common carriers (i.e., on behalf of third-parties). The vessels' data are aggregated, and the total number of TEUs carried on behalf of third-parties is divided by the total number of TEUs carried in the trades selected. The measure is applied to the transpacific and transatlantic liner trades, which together account for about two-thirds of all U.S. container cargo.	40%	49%
Strategic Goal No. 2: Protect the public from unlawful, unfair and deceptive ocean transportation practices and resolve shipping disputes.		
Performance Measure	FY 2015 Target	FY 2015 Actual
Measure: Percentage of enforcement actions taken under the Shipping Act of 1984 successfully resolved through favorable judgment, settlement, issuance of default judgment, or compliance letter or notice. 2015 Target: 77% Validation: This outcome goal is measured by examining enforcement case inventory and physically counting the number of cases resolved. The inventory is maintained for case load management, and monthly and quarterly reporting purposes. The data is constantly under review and frequently updated.	77%	83.4%
Measure: Percentage of decisions on completed OTI license applications rendered within 60 calendar days of receipt, facilitating lawful operation of OTIs with the appropriate character and experience requirements. 2015 Target: 75% Validation: This outcome goal is measured by comparing data fields in an internal database that contains, among other data points, the date the OTI license application is accepted for processing and the date a licensing determination is made or the application process has been completed. The difference between these two dates is the length of time to render a decision on an OTI application accepted for processing. The database is maintained for daily case load management, and monthly and quarterly reporting purposes. The data is constantly under review and frequently updated. BCL's target for processing OTI applications was not fully met, i.e., 72%, the target of 75%, due to hiring and retention challenges in BCL. BCL is now operating at a full complement and the FMC anticipates meeting this goal next fiscal year.	75%	72%



Program Performance Information

Measure: Percentage of cruise line operators examined during the year that have the full financial coverage required by regulation to protect against loss from non-performance or casualty. 2015 Target: 95% Validation: This outcome goal is measured by comparing reported financial coverage amounts against required coverage amounts. Approximately 200 cruise vessels are registered in and monitored by the Commission's Passenger Vessel (Cruise) Operator program. Operators covered by this program file semi-annual, monthly, and weekly unearned passenger revenue reports. This information is used to compare reported coverage against required coverage amounts.	95%	96%
Measure: Percentage of key Commission issuances, orders and reports that are available through the Commission's website within 5 working days of receipt. 2015 Target: 78% Validation: This outcome goal is measured by reviewing the workflow processes for posting documents to the Commission's website docket activity logs. The date that each docket activity log is updated with new filings or issuances is compared to the date the document is filed with or issued by the Commission in a particular proceeding. The case logs are used on a daily basis by agency staff and by the public, and as such, any discrepancies are discovered and remedied quickly.	78%	92%
Measure: Number of cases opened and closed each fiscal year using <i>ombuds</i> and ADR services assisting consumers to recover goods or funds. 2015 Target: 825 Validation: This outcome goal is measured using data maintained by the Commission on each such case opened and closed.	825	882
Measure: Percentage of formal complaints or Commission initiated orders of investigation completed within two years of filing or Commission initiation. 2015 Target: 58% Validation: This outcome goal is measured using docket activity logs maintained by the Commission. The docket logs are used on a daily basis by agency staff and by the public, and as such, any discrepancies are discovered and remedied quickly.	58%	90%



Program Performance Information

Table 2: Performance Measure Trends FY 2011-2015

Strategic Goal No. 1: Maintain an efficient and competitive international ocean transportation system.										
Performance Measure	FY 2011 Target	FY 2011 Actual	FY 2012 Target	FY 2012 Actual	FY 2013 Target	FY 2013 Actual	FY 2014 Target	FY 2014 Actual	FY 2015 Target	FY 2015 Actual
Measure: Percentage share of U.S. containerized cargo moving on other agreement parties' vessels in major U.S. trades.	18.5% *	17.9%	19%*	18.7%	19.5% *	19.5%	39.5%	45.6%	40%	49%
Measure: Percentage of enforcement actions taken under the Shipping Act of 1984 successfully resolved through favorable judgment, settlement, issuance of default judgment, or compliance letter or notice.	72%	82%	74%	88%	76%	78.9%	76.5%	83.8%	77%	83.4%
Measure: Percentage of decisions on completed OTI license applications rendered within 60 calendar days of receipt, facilitating lawful operation of OTIs with appropriate character and experience requirements.	60%	77%	70%	90.2%	75%	87.6%	75%	71.3%	75%	72%
Measure: Percentage of cruise line operators examined during the year that have the full financial coverage required by regulation to protect against loss from non-performance or casualty.	91%	91%	92%	100%	93%	100%	94%	96.7%	95%	96%
Measure: Percentage of attendees at agency sponsored outreach presentations that rate the program as "Useful" or "Extremely Useful" in their compliance efforts.	75%	N/A*	N/A*	N/A*	N/A*	N/A*	N/A*	N/A*	N/A*	N/A*
Measure: Percentage of key Commission issuances, orders and reports available through the Commission's web-site within 5 working days of receipt.	72%	72%	74%	79%	76%	86%	76%	93%	78%	92%
Measure: Number of cases opened and closed each fiscal year using <i>ombuds</i> and ADR services assisting consumers to recover goods or funds.	625	631	700	893	800	800	825	994	825	882
Measure: Percentage of formal complaints or Commission-initiated orders of investigation completed within two years of filing or Commission initiation.	52%	60%	54%	73%	56%	91%	58%	88%	58%	90%

* In consultation with OMB, results for performance measure, "Percentage share of total U.S. international oceanborne trade moved by containership as an indicator of liner shipping efficiency" is reflected in the years 2010-2013. The outcome goal was changed in 2013. Also, the measure "Percentage of attendees at agency sponsored outreach presentations that rate the program as 'Useful' or 'Extremely Useful' in their compliance efforts," is not reflective of current agency outreach practices. It also proved logistically difficult to execute because most outreach is performed by FMC staff as invitees at non-FMC sponsored events. This outcome goal was removed for FY 2011 – 2015.



Program Performance Information

Table 3: Status of Unmet Targets, 2011 - 2015

Performance Measure (2011)	FY 2011 Target	FY 2011 Actual
Measure: Percentage share of total U.S. international ocean borne trade moved by containership as an indicator of liner shipping efficiency. Strategic Goal No. 1: Maintain An Efficient Competitive International Ocean Transportation System (2011)	18.5%	17.9%
Performance Measure (2012)	FY 2012 Target	FY 2012 Actual
Measure: Percentage share of total U.S. international ocean borne trade moved by containership as an indicator of liner shipping efficiency. Strategic Goal No. 1: Maintain An Efficient Competitive International Ocean Transportation System (2012)	19%	18.7%
Performance Measure (2013)	FY 2013 Target	FY 2013 Actual
Measure: Strategic Goal No. 1: Maintain An Efficient Competitive International Ocean Transportation System (2013)	All Targets	All Targets Reached
Measure: Strategic Goal No. 2: Protect the public from unlawful, unfair and deceptive ocean transportation practices and resolve shipping disputes (2013)	All Targets	All Targets Reached
Performance Measure (2014)	FY 2014 Target	FY 2014 Actual
Measure: Strategic Goal No. 1: Maintain An Efficient Competitive International Ocean Transportation System (2014)	All Targets	All Targets Reached
Measure: Percentage of decisions on completed OTI license applications rendered within 60 calendar days of receipt, facilitating lawful operation of OTIs with the appropriate character and experience requirements. Strategic Goal No. 2: Protect the public from unlawful, unfair and deceptive ocean transportation practices and resolve shipping disputes (2014)	75%	71.3%
Performance Measure (2015)	FY 2015 Target	FY 2015 Actual
Measure: Strategic Goal No. 1: Maintain An Efficient Competitive International Ocean Transportation System (2015)	All Targets	All Targets Reached
Measure: Percentage of decisions on completed OTI license applications rendered within 60 calendar days of receipt, facilitating lawful operation of OTIs with the appropriate character and experience requirements. Strategic Goal No. 2: Protect the public from unlawful, unfair and deceptive ocean transportation practices and resolve shipping disputes (2015)	75%	72%



FINANCIAL INFORMATION



Message from the Chief Financial Officer

I am pleased to present the financial section of this Performance and Accountability Report. The Commission's financial position is fairly presented in the accompanying financial statements and related notes, which were prepared in conformity with accounting principles generally accepted in the U.S., and requirements set forth in Office of Management and Budget (OMB) Circular No. A-136, *Financial Reporting Requirements*.

During FY 2015, the Commission continued to focus on its statutory responsibilities while practicing fiscal discipline on behalf of the American people. FY 2015 marks the 12th consecutive year that the FMC received an unmodified ("clean") opinion on our financial statements. This unmodified opinion on the FMC's financial statements highlights the continuing commitment of this agency to maintain sound financial management of the resources entrusted to us. The FMC's financial condition is sound, and the Commission has sufficient internal controls in place to ensure that its budget authority is not exceeded, and that funds are utilized efficiently and effectively.

FY 2015 included the following key accomplishments, demonstrating the effectiveness and efficiency of the FMC's acquisition and financial functions:

- A continuous record of no material weaknesses, significant control deficiencies, or nonconformance with the Federal Managers' Financial Integrity Act and other applicable laws and regulations;
- Collecting, in civil enforcement proceedings and user fees, more than \$2,299,800 on behalf of the American public;
- Continued focus on internal controls, as mandated by OMB Circular A-123, providing budget information in concise and reliable formats; and
- Accurate and timely issuance of financial statements as required by the Accountability of Tax Dollars Act of 2002, which are prepared from, and fully supported by, the books and records of FMC in accordance with Generally Accepted Accounting Principles (GAAP), standards approved by the Federal Accounting Standards Advisory Board (FASAB), and OMB Circular A-136, *Financial Reporting Requirements*.

The FMC remains committed to exemplary financial management and strives to enhance operational efficiency. This report makes evident our commitment to fulfill our fiduciary responsibilities. I am proud of the role the FMC has played in effectively stewarding its limited resources, continuing to protect the interest of the American shipping public, particularly during times of fiscal challenges. I am confident that we will continue to use sound business practices to accomplish our regulatory mission, and that we will continue such improvements in the future.

Sincerely,

Vern W. Hill, Chief Financial Officer
November 16, 2015



Principal Financial Statements

The principal financial statements presented include:

- Balance Sheet – Presents the combined amounts the agency had to use or distribute (assets) versus the amounts the agency owed (liabilities), and the difference between the two (net position);
- Statement of Net Cost – Presents the annual cost of agency operations. The gross cost less any offsetting revenue is used to determine the net cost;
- Statement of Changes in Net Position – Reports the accounting activities that caused the change in net position during the reporting period;
- Statement of Budgetary Resources – Reports how budgetary resources were made available and the status of those resources at fiscal year-end; and
- Statement of Custodial Activity – Reports collections and their disposition by the agency on behalf of the Treasury General Fund. The FMC acts as custodian and does not have use of these funds.

The principal financial statements have been prepared to report the financial position and results of operations of the FMC, pursuant to the requirements of 31 U.S.C. § 3515(b). While the statements have been prepared from the books and records of the agency in accordance with GAAP for Federal entities and the formats prescribed by OMB, the statements are in addition to the financial reports used to monitor and control budgetary resources, which are prepared from the same books and records. The statements should be read with the realization that they are for a component of the U.S. Government, a sovereign entity. Therefore, liabilities not covered by budgetary resources cannot be liquidated without the enactment of an appropriation, and the payment of all liabilities other than for contracts can be abrogated by the sovereign entity. Other limitations are included in the footnotes to the principal statements. The accompanying notes are an integral part of these statements. The Federal Maritime Commission's financial statements were audited by Regis & Associates, PC, under contract to the FMC's Office of the Inspector General.



Financial Information



FEDERAL MARITIME COMMISSION
Washington, DC 20573

November 10, 2015

Office of Inspector General

Dear Chairman Cordero and Commissioners:

I am pleased to provide the attached audit report required by the Accountability for Tax Dollars Act of 2002 (ATDA), which presents an unmodified (clean) opinion on the Federal Maritime Commission's (FMC) fiscal year (FY) 2015 financial statements. The audit results indicate that the FMC has established an internal control structure that facilitates the preparation of reliable financial and performance information. The Office of Inspector General (OIG) commends the FMC for the noteworthy accomplishment of attaining an unmodified opinion.

The OIG contracted with the independent certified public accounting firm of Regis & Associates, P.C. (Regis) to: perform the audit of the FMC's financial statements for the fiscal year ended September 30, 2015; consider internal control over financial reporting; and test the agency's compliance with certain provisions of applicable laws, regulations, and contracts that could have a direct and material effect on the financial statements. The contract required that the audit be performed in accordance with U.S. Generally Accepted Government Auditing Standards and Office of Management and Budget (OMB) audit guidance.

In its audit of the FMC, Regis found: the financial statements were fairly presented, in all material respects, in conformity with U.S. Generally Accepted Accounting Principles; there were no material weaknesses or significant deficiencies in internal control over financial reporting; and no reportable noncompliance issues with the laws and regulations tested.

In connection with the OIG's contract, the OIG reviewed Regis & Associates' report and related documentation and inquired of its representatives. Our review, as differentiated from an audit in accordance with U.S. Generally Accepted Government Auditing Standards, was not intended to enable the OIG to express, and we do not express, opinions on FMC's financial statements or internal control; or conclusions on compliance with laws and regulations. Regis & Associates is responsible for the attached auditors' report dated November 4, 2015 and the conclusions expressed in the report. However, our review disclosed no instances where Regis & Associates did not comply, in all material respects, with Generally Accepted Government Auditing Standards.



Financial Information

The OIG would like to thank FMC staff; especially the Office of Budget and Finance, for their assistance in helping Regis & Associates and the OIG meet the audit objectives.

Respectfully submitted,

Jon Hatfield
Inspector General

Attachment

cc: Office of the Managing Director
Office of the General Counsel
Office of Budget and Finance



**REPORT ON THE
FINANCIAL STATEMENTS AUDIT
OF FEDERAL MARITIME COMMISSION
FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2015 and 2014**

REGIS
ASSOCIATES, PC
MANAGEMENT CONSULTANTS &
CERTIFIED PUBLIC ACCOUNTANTS



**REPORT ON THE
FINANCIAL STATEMENTS AUDIT
OF FEDERAL MARITIME COMMISSION
FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2015 and 2014
TABLE OF CONTENTS**

Independent Auditors' Report	1-3
Balance Sheet.....	4
Statement of Net Cost	5
Statement of Changes in Net Position	6
Statement of Budgetary Resources	7
Statement of Custodial Activity.....	8
Notes to Financial Statements.....	9-21
Agency Comments on Draft Audit Report (Appendix A).....	22



INDEPENDENT AUDITORS' REPORT

The Honorable Mario Cordero,
Chairman
Federal Maritime Commission
Washington, DC

Report on the Financial Statements

We have audited the accompanying Financial Statement Report of the Federal Maritime Commission, which comprises the Balance Sheet as of September 30, 2015 and 2014, and the related Statement of Net Cost, Statement of Changes in Net Position, Statement of Budgetary Resources, Statement of Custodial Activity, and the related notes to the financial statements as of September 30, 2015 and 2014.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements, in accordance with U.S. Generally Accepted Accounting Principles. This includes the design, implementation, and maintenance of internal control, relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements, based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits, contained in U.S. Government Auditing Standards, issued by the Comptroller General of the United States; and Office of Management and Budget's (OMB) Bulletin No. 15-02, *Audit Requirements for Federal Financial Statements*. Those standards and OMB Bulletin No. 15-02 require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the agency's preparation and fair presentation of the financial statements, in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the agency's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used, and the reasonableness of significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Federal Maritime Commission as of September 30, 2015 and 2014; and its net costs, changes in net position, budgetary resources, and custodial activity for the years then ended, in accordance with U.S. Generally Accepted Accounting Principles.

Other Accompanying Information

Required Supplementary Information

U.S. Generally Accepted Accounting Principles require that the information in the other accompanying information be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Federal Accounting Standards Advisory Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information, in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information, and comparing the information for consistency with management's responses to our inquiries, the financial statements, and other knowledge we obtained during our audits of the financial statements. We do not express an opinion, or provide any assurance on the information, because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Restriction on Use of the Report on the Financial Statements

This report is intended solely for the information and use of the management of the Federal Maritime Commission, the U.S. Department of the Treasury, OMB, and the U.S. Government Accountability Office, in connection with the preparation and audit of the Financial Report of the U.S. Government; and is not intended to be, and should not be, used by anyone other than these specified parties.

Internal Control over Financial Reporting Specific to the Financial Statements

In planning and performing our audits of the financial statements as of, and for the years ended September 30, 2015 and 2014, we also considered Federal Maritime Commission's internal control over the financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances, for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion of the effectiveness of Federal Maritime Commission's internal control. Accordingly, we do not express an opinion on the effectiveness of Federal Maritime Commission's internal control.

Our consideration of internal control was for the limited purpose described in the preceding paragraph, and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and; therefore, material weaknesses or significant deficiencies may exist that were not identified. We did not identify any deficiencies in internal control that we consider to be material weaknesses or significant deficiencies.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in their normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a



Financial Information

combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis.

A significant deficiency is a deficiency, or a combination of deficiencies in internal control, that is less severe than a material weakness, yet important enough to merit the attention by those charged with governance. There were no deficiencies in the accompanying financial statements that are considered to be significant deficiencies.

Compliance and Other Matters Specific to the Financial Statements

As part of obtaining reasonable assurance about whether Federal Maritime Commission's financial statements are free from material misstatement, we also performed tests of its compliance with certain provisions of laws, regulations, contracts, and agreements. However, we limited our tests of compliance to these provisions; and did not test compliance with all laws, regulations, and contracts applicable to the Federal Maritime Commission.

The results of our tests of compliance disclosed no instances of non-compliance with laws, regulations, contracts, and agreements; or other matters that are required to be reported herein, under *Government Auditing Standards* and OMB Bulletin No. 15-02.

Providing an opinion on compliance with laws, regulations, and contracts was not an objective of our audit; and accordingly, we do not express such an opinion.

Purpose of the Other Reporting Required by Government Auditing Standards

The purpose of the communication provided in the Other Reporting Required by *Government Auditing Standards* section is solely to describe the scope of our testing of internal control and compliance, and the results of that testing, and not to provide an opinion on the effectiveness of the agency's internal control or on compliance. This communication is an integral part of an audit performed in accordance with U.S. Generally Accepted Government Auditing Standards in considering internal control and compliance with provisions of laws, regulations, contracts, and agreements that have a material effect on the financial statements. Accordingly, this communication is not suitable for any other purpose.

Agency Comments and Our Evaluation

The Federal Maritime Commission concurred with the facts and conclusions in our report. See Appendix A.

Regis & Associates, PC
Washington, DC

November 4, 2015



Financial Information

FEDERAL MARITIME COMMISSION BALANCE SHEET AS OF SEPTEMBER 30, 2015 AND 2014 (IN DOLLARS)

	2015	2014
Assets:		
Intragovernmental:		
Fund Balance With Treasury (Note 2)	\$ 4,397,659	\$ 4,105,128
Accounts Receivable (Note 3)	14,540	-
Total Intragovernmental	4,412,199	4,105,128
Accounts Receivable, Net (Note 3)	5,447	1,520
Property, Equipment, and Software, Net (Note 4)	408,312	404,706
Total Assets	<u>\$ 4,825,958</u>	<u>\$ 4,511,354</u>
Liabilities:		
Intragovernmental:		
Accounts Payable	\$ 65,788	\$ 104,117
Other (Note 6)	117,760	86,032
Total Intragovernmental	183,548	\$ 190,149
Accounts Payable	471,552	425,648
Federal Employee and Veterans' Benefits (Note 5)	-	787
Other (Note 6)	1,788,591	1,485,061
Total Liabilities (Note 5)	<u>\$ 2,443,691</u>	<u>\$ 2,101,645</u>
Net Position:		
Unexpended Appropriations - Other Funds	\$ 3,167,730	\$ 3,129,440
Cumulative Results of Operations - Other Funds	(785,463)	(719,731)
Total Net Position	<u>\$ 2,382,267</u>	<u>\$ 2,409,709</u>
Total Liabilities and Net Position	<u>\$ 4,825,958</u>	<u>\$ 4,511,354</u>

The accompanying notes are an integral part of these financial statements



Financial Information

FEDERAL MARITIME COMMISSION STATEMENT OF NET COST FOR THE YEARS ENDED SEPTEMBER 30, 2015 AND 2014 (IN DOLLARS)

	2015	2014
Program Costs:		
Operational and Administrative		
Gross Costs	\$ 18,323,598	\$ 16,120,903
Less: Earned Revenue	<u>(40,304)</u>	<u>-</u>
Net Program Costs	<u>\$ 18,283,294</u>	<u>\$ 16,120,903</u>
Formal Proceedings		
Gross Costs	\$ 7,803,458	\$ 7,505,802
Less: Earned Revenue	<u>(21,864)</u>	<u>(29,030)</u>
Net Program Costs	<u>\$ 7,781,594</u>	<u>\$ 7,476,772</u>
Office of Inspector General		
Gross Costs	<u>\$ 450,246</u>	<u>\$ 314,541</u>
Net Program Costs	<u>\$ 450,246</u>	<u>\$ 314,541</u>
Office of Equal Employment Opportunity		
Gross Costs	<u>\$ 153,307</u>	<u>\$ 193,139</u>
Net Program Costs	<u>\$ 153,307</u>	<u>\$ 193,139</u>
Total Other Program Costs:	<u>\$ 8,407,011</u>	<u>\$ 7,984,452</u>
Net Cost of Operations (Note 9)	<u><u>\$ 26,668,441</u></u>	<u><u>\$ 24,105,355</u></u>

The accompanying notes are an integral part of these financial statements



Financial Information

FEDERAL MARITIME COMMISSION STATEMENT OF CHANGES IN NET POSITION FOR THE YEARS ENDED SEPTEMBER 30, 2015 AND 2014 (IN DOLLARS)

	2015	2014
Cumulative Results of Operations:		
Beginning Balances	<u>\$ (719,731)</u>	<u>\$ (910,588)</u>
Budgetary Financing Sources:		
Appropriations Used	25,464,081	22,988,907
Other Financing Sources (Non-Exchange):		
Imputed Financing Sources (Note 10)	<u>1,138,628</u>	<u>1,307,305</u>
Total Financing Sources	26,602,709	24,296,212
Net Cost of Operations	<u>(26,668,441)</u>	<u>(24,105,355)</u>
Net Change	<u>(65,732)</u>	<u>190,857</u>
Cumulative Results of Operations	<u>\$ (785,463)</u>	<u>\$ (719,731)</u>
Unexpended Appropriations:		
Beginning Balances	<u>\$ 3,129,440</u>	<u>\$ 1,820,115</u>
Budgetary Financing Sources:		
Appropriations Received	25,660,000	24,669,000
Other Adjustments	(157,629)	(370,768)
Appropriations Used	<u>(25,464,081)</u>	<u>(22,988,907)</u>
Total Budgetary Financing Sources	<u>38,290</u>	<u>1,309,325</u>
Total Unexpended Appropriations	<u>\$ 3,167,730</u>	<u>\$ 3,129,440</u>
Net Position	<u><u>\$ 2,382,267</u></u>	<u><u>\$ 2,409,709</u></u>

The accompanying notes are an integral part of these financial statements



Financial Information

FEDERAL MARITIME COMMISSION STATEMENT OF BUDGETARY RESOURCES FOR THE YEARS ENDED SEPTEMBER 30, 2015 AND 2014 (IN DOLLARS)

	2015	2014
Budgetary Resources:		
Unobligated Balance Brought Forward, October 1	\$ 387,204	\$ 585,311
Recoveries of Prior Year Unpaid Obligations	518,708	268,870
Other changes in unobligated balance	(157,629)	(370,768)
Unobligated balance from prior year budget authority, net	748,283	483,413
Appropriations	25,660,000	24,669,000
Spending authority from offsetting collections	62,249	29,117
Total Budgetary Resources	<u>\$ 26,470,532</u>	<u>\$ 25,181,530</u>
Status of Budgetary Resources:		
Obligations Incurred (Note 12)	<u>\$ 26,168,073</u>	<u>\$ 24,794,326</u>
Unobligated balance, end of year:		
Apportioned (Note 2)	17,625	18,211
Unapportioned (Note 2)	284,834	368,993
Total unobligated balance, end of year	<u>302,459</u>	<u>387,204</u>
Total Budgetary Resources	<u>\$ 26,470,532</u>	<u>\$ 25,181,530</u>
Change in Obligated Balance		
Unpaid Obligations:		
Unpaid Obligations, Brought Forward, October 1	\$ 3,717,924	\$ 2,035,436
Obligations Incurred (Note 12)	26,168,073	24,794,326
Outlays (gross)	(25,257,549)	(22,842,968)
Recoveries of Prior Year Unpaid Obligations	(518,708)	(268,870)
Unpaid Obligations, End of Year (Gross)	<u>\$ 4,109,740</u>	<u>\$ 3,717,924</u>
Uncollected payments		
Change in Uncollected payments, Federal Sources	(14,540)	-
Uncollected Customer Payments, Federal Sources, End of Year	(14,540)	-
Obligated Balance, End of Year	<u>\$ 4,095,200</u>	<u>\$ 3,717,924</u>
Budget Authority and Outlays, Net:		
Budget authority, gross	\$ 25,722,249	\$ 24,698,117
Actual offsetting collections	(47,709)	(29,117)
Change in uncollected Payments, Federal Sources	(14,540)	-
Budget Authority, net (total)	<u>\$ 25,660,000</u>	<u>\$ 24,669,000</u>
Outlays, gross	\$ 25,257,549	\$ 22,842,968
Actual offsetting collections	(47,709)	(29,117)
Outlays, net (total)	25,209,840	22,813,851
Distributed Offsetting Receipts	(248,451)	(220,316)
Agency Outlays, net	<u>\$ 24,961,389</u>	<u>\$ 22,593,535</u>

The accompanying notes are an integral part of these financial statements



Financial Information

FEDERAL MARITIME COMMISSION STATEMENT OF CUSTODIAL ACTIVITY AS OF SEPTEMBER 30, 2015 AND 2014 (IN DOLLARS)

	2015	2014
Revenue Activity:		
Sources of Cash Collections:		
Miscellaneous	\$ 2,299,802	\$ 3,185,724
Total Cash Collections (Note 14)	2,299,802	3,185,724
Accrual Adjustments	(643)	(1,247)
Total Custodial Revenue	2,299,159	3,184,477
Disposition of Collections:		
Transferred to Others (by Recipient)	2,300,035	3,185,491
Increase/(Decrease) in Amounts Yet to be Transferred	410	1,480
Retained by the Reporting Entity	(1,286)	(2,494)
Net Custodial Activity	\$ -	\$ -

The accompanying notes are an integral part of these financial statements



FEDERAL MARITIME COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
SEPTEMBER 30, 2015

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The Federal Maritime Commission (“FMC” or “the Commission”) was established as an independent regulatory agency on August 12, 1961. The FMC is responsible for the regulation of ocean borne transportation in the foreign commerce of the United States (U.S.). The principal statutes or statutory provisions administered by the Commission are the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998; the Foreign Shipping Practices Act of 1988 (FSPA); section 19 of the Merchant Marine Act of 1920; and sections 2 and 3 of Public Law No. 89-777.

The Commission: monitors the activities of ocean common carriers, marine terminal operators (MTOs), agreements among ocean common carriers and/or MTOs, ports and ocean transportation intermediaries (non- vessel-operating common carriers and ocean freight forwarders) operating in the U.S. foreign commerce to ensure they maintain just and reasonable practices; maintains trade monitoring, enforcement and dispute resolution programs designed to assist regulated entities in achieving compliance and to detect and remedy malpractices and violations of the 1984 Act; monitors the laws and practices of foreign governments, which could have a discriminatory or otherwise adverse impact on shipping conditions in U.S. trades, and imposes remedial action, as

appropriate, pursuant to section 19 of the 1920 Act or FSPA; enforces special regulatory requirements applicable to carriers owned or controlled by foreign governments; processes and reviews agreements, service contracts, and service arrangements, pursuant to the 1984 Act for compliance with statutory requirements; and reviews common carriers’ privately published tariff systems for accessibility and accuracy, as required by OSRA. The Commission also issues licenses to qualified ocean transportation intermediaries (OTIs) in the U.S., ensures that all OTIs are bonded or maintain other evidence of financial responsibility, and ensures that passenger vessel operators (PVOs) demonstrate adequate financial responsibility in case of nonperformance of voyages, or death or injury occurring to passengers.

The FMC is composed of five Commissioners, appointed for five-year terms by the President, with the advice and consent of the Senate. The President designates one of the Commissioners to serve as Chairman, who is the chief executive and administrative officer of the FMC.

The FMC reporting entity is comprised of General Funds and General Miscellaneous Receipts. General Funds are accounts used to record financial transactions arising under congressional appropriations or other authorizations to spend general revenues. General Fund Miscellaneous Receipts are accounts established for receipts of non-

The accompanying notes are an integral part of these financial statements



recurring activity, such as fines, penalties, fees and other miscellaneous receipts for services and benefits.

The FMC makes custodial collections and holds custodial receivables that are non-entity assets and are transferred to Treasury at fiscal year end. The FMC has rights and ownership of all assets reported in these financial statements. FMC does not possess any non-entity assets.

B. Basis of Presentation

The financial statements have been prepared to report the financial position and results of operations of FMC. The Balance Sheet presents the financial position of the agency. The Statement of Net Cost presents the agency's operating results; the Statement of Changes in Net Position displays the changes in the agency's equity accounts. The Statement of Budgetary Resources presents the sources, status, and uses of the agency's resources, and follows the rules for the Budget of the United States Government.

The statements are a requirement of the Chief Financial Officers' Act of 1990, and the Government Management Reform Act of 1994. They have been prepared from, and are fully supported by, the books and records of FMC, in accordance with the hierarchy of accounting principles generally accepted in the United States of America; standards issued by the Federal Accounting Standards Advisory Board (FASAB); Office of Management and Budget (OMB) Circular A-136, *Financial Reporting Requirements*, as amended; and FMC accounting policies, which are summarized in this note. These statements, with the exception of the Statement of Budgetary Resources, are different from financial management reports, which are also prepared pursuant to OMB directives that are used to monitor and control FMC's use of budgetary

resources. The financial statements and associated notes are presented on a comparative basis. Unless specified otherwise, all amounts are presented in dollars.

C. Basis of Accounting

Transactions are recorded on both an accrual accounting basis and a budgetary basis. Under the accrual method, revenues are recognized when earned, and expenses are recognized when a liability is incurred, without regard to receipt or payment of cash. Budgetary accounting facilitates compliance with legal requirements on the use of federal funds.

D. Fund Balance with Treasury

Fund Balance with Treasury is the aggregate amount of the FMC's funds with Treasury in expenditure and receipt accounts. Appropriated funds recorded in expenditure accounts are available to pay current liabilities and finance authorized purchases.

E. Accounts Receivable

Accounts receivable consists of amounts owed to FMC by other Federal agencies and the general public. Amounts due from Federal agencies are considered fully collectible. An allowance for uncollectible accounts receivable from the public is established when, based upon a review of outstanding accounts and the failure of all collection efforts, management determines that collection is unlikely to occur considering the debtor's ability to pay.

F. Property, Equipment, and Software

Property, equipment and software represent furniture, fixtures, equipment, and information technology hardware and software, which are recorded at original acquisition cost and are depreciated or amortized using the straight-line method over their estimated useful lives. Major

The accompanying notes are an integral part of these financial statements



Financial Information

alterations and renovations are capitalized, while maintenance and repair costs are expensed as incurred. FMC's capitalization threshold is \$25,000 for individual purchases. Property, equipment, and software acquisitions that do not meet the capitalization criteria are expensed upon receipt. Applicable standard governmental guidelines regulate the disposal and convertibility of agency property, equipment, and software. The useful life classifications for capitalized assets are as follows:

<u>Description</u>	<u>Useful Life</u> <u>(years)</u>
Leasehold Improvements	5
Office Furniture	5
Computer Equipment	5
Office Equipment	5
Software	5

G. Advances and Prepaid Charges

Advance payments are generally prohibited by law. There are some exceptions, such as reimbursable agreements, subscriptions, and payments to contractors and employees. Payments made in advance of the receipt of goods and services are recorded as advances or prepaid charges at the time of prepayment, and recognized as expenses when the related goods and services are received.

H. Liabilities

Liabilities represent the amount of funds likely to be paid by the FMC, as a result of transactions or events that have already occurred.

The FMC reports its liabilities under two categories; Intragovernmental, and With the Public. Intragovernmental liabilities represent funds owed to another government agency. Liabilities with the Public represent funds owed to any entity or person that is not a federal agency,

including private sector firms and federal employees. Each of these categories may include liabilities that are covered by budgetary resources and liabilities not covered by budgetary resources.

Liabilities covered by budgetary resources are liabilities funded by a current appropriation or other funding source. These consist of accounts payable and accrued payroll and benefits. Accounts payable represent amounts owed to another entity for goods ordered and received, and for services rendered, except for employees. Accrued payroll and benefits represent payroll costs earned by employees during the fiscal year, which are not paid until the next fiscal year.

Liabilities not covered by budgetary resources are liabilities that are not funded by any current appropriation or other funding source. These liabilities consist of accrued annual leave, actuarial Federal Employees' Compensation Act (FECA), and the amounts due to Treasury for collection and accounts receivable of civil penalties.

I. Annual, Sick, and Other Leave

Annual leave is accrued as it is earned, and the accrual is reduced as leave is taken. The balance in the accrued leave account is adjusted to reflect current pay rates. Liabilities associated with other types of vested leave, including compensatory, restored leave, and sick leave in certain circumstances, are accrued at year-end, based on latest pay rates and unused hours of leave. Funding will be obtained from future financing sources to the extent that current or prior year appropriations are not available to fund annual and other types of vested leave earned, but not taken. Non-vested leave is expensed when used. Any liability for sick leave that is accrued, but not taken by a Civil Service Retirement System (CSRS)-covered employee is transferred to the Office of Personnel Management (OPM) upon the

The accompanying notes are an integral part of these financial statements



retirement of that individual. Credit is given for sick leave balances in the computation of annuities upon the retirement of Federal Employees Retirement System (FERS)-covered employees, effective at 50% for the 1st quarter of FY 2014, and 100% thereafter.

J. Accrued and Actuarial Workers' Compensation

The FECA administered by the U.S. Department of Labor (DOL) addresses all claims brought by the FMC employees for on- the-job injuries. The DOL bills each agency annually as its claims are paid, but payment of these bills is deferred for two years to allow for funding through the budget process. Similarly, employees that the FMC terminates without cause may receive unemployment compensation benefits under the unemployment insurance program also administered by the DOL, which bills each agency quarterly for paid claims. Future appropriations will be used for the reimbursement to DOL. The liability consists of (1) the net present value of estimated future payments calculated by the DOL, and (2) the unreimbursed cost paid by DOL for compensation to recipients under the FECA.

K. Retirement Plans

FMC employees participate in either the CSRS or the FERS. The employees who participate in CSRS are beneficiaries of FMC matching contribution, equal to seven percent of pay, distributed to their annuity account in the Civil Service Retirement and Disability Fund.

Prior to December 31, 1983, all employees were covered under the CSRS program. From January 1, 1984 through December 31, 1986, employees had the option of remaining under CSRS or joining FERS

and Social Security. Employees hired as of January 1, 1987 are automatically covered by the FERS program. Both CSRS and FERS employees may participate in the federal Thrift Savings Plan (TSP). FERS employees receive an automatic agency contribution equal to one percent of pay, and FMC matches any employee contribution up to an additional four percent of pay. For FERS participants, FMC also contributes the employer's matching share of Social Security.

FERS employees and certain CSRS reinstatement employees are eligible to participate in the Social Security program after retirement. In these instances, FMC remits the employer's share of the required contribution.

FMC recognizes the imputed cost of pension and other retirement benefits during the employees' active years of service. OPM actuaries determine pension cost factors by calculating the value of pension benefits expected to be paid in the future, and communicate these factors to FMC for current period expense reporting. OPM also provides information regarding the full cost of health and life insurance benefits. FMC recognized the offsetting revenue as imputed financing sources to the extent these expenses will be paid by OPM.

FMC does not report on its financial statements, information pertaining to the Retirement plans covering its employees. Reporting amounts such as plan assets, accumulated plan benefits, and related unfunded liabilities, if any, is the responsibility of the OPM, as the administrator.

L. Other Post-Employment Benefits

FMC employees eligible to participate in the Federal Employees' Health Benefits Plan (FEHBP) and the Federal Employees' Group Life Insurance Program (FEGSLIP) may

The accompanying notes are an integral part of these financial statements



continue to participate in these programs after their retirement. The OPM has provided the FMC with certain cost factors that estimate the true cost of providing the post-retirement benefit to current employees. The FMC recognizes a current cost for these and Other Retirement Benefits (ORB) at the time the employee's services are rendered. The ORB expense is financed by OPM, and offset by the FMC through the recognition of an imputed financing source.

M. Use of Estimates

The preparation of the accompanying financial statements in accordance with Generally Accepted Accounting Principles requires management to make certain estimates and assumptions that affect the reported amounts of assets, liabilities, revenues, and expenses. Actual results could differ from those estimates.

N. Imputed Costs/Financing Sources

Federal Government entities often receive goods and services from other Federal Government entities, without reimbursing the providing entity for all the related costs. In addition, Federal Government entities also incur costs that are paid in total or in part by other entities. An imputed financing source is recognized by the receiving entity for costs that are paid by other entities. FMC recognized imputed costs and financing sources in fiscal years 2015 and 2014 to the extent directed by accounting standards.

O. Contingencies

Liabilities are deemed contingent when the existence or amount of the liability cannot be determined with certainty, pending the outcome of future events. FMC recognizes contingent liabilities in the accompanying balance sheet and statement of net cost, when it is both

probable and can be reasonably estimated.

FMC discloses contingent liabilities in the notes to the financial statements when the conditions for liability recognition are not met, or when a loss from the outcome of future events is more than remote. In some cases, once losses are certain, payments may be made from the Judgment Fund maintained by the U.S. Treasury, rather than from the amounts appropriated to FMC for agency operations. Payments from the Judgment Fund are recorded as an "Other Financing Source" when made.

P. Reclassification

Certain fiscal year 2014 balances have been reclassified, re-titled, or combined with other financial statement line items for consistency with the current year presentation.

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 2- FUND BALANCE WITH TREASURY

Fund Balance With Treasury account balances as of September 30, 2015 and 2014 were as follows:

No discrepancies exist between the Fund Balance reflected on the Balance Sheet, and the balances in the Treasury accounts.

	2015	2014
Fund Balances:		
Appropriated Funds	\$ 4,397,659	\$ 4,105,128
Total	<u>\$ 4,397,659</u>	<u>\$ 4,105,128</u>
Status of Fund Balance with Treasury:		
Unobligated Balance		
Available	\$ 17,625	\$ 18,211
Unavailable	284,834	368,993
Obligated Balance Not Yet Disbursed	4,095,200	3,717,924
Total	<u>\$ 4,397,659</u>	<u>\$ 4,105,128</u>

The available unobligated fund balances represent the current-period amount available for obligation or commitment. At the start of the next fiscal year, this amount will become part of the unavailable balance, as described in the following paragraph.

The unavailable unobligated fund balances represent the amount of appropriations for which the period of availability for obligation has expired. These balances are available for upward adjustments of obligations incurred only during the period for which the appropriation was available for obligation, or for paying claims attributable to the appropriations.

The obligated balance not yet disbursed, includes accounts payable, accrued expenses, and undelivered orders that have reduced unexpended appropriations, but have not yet decreased the fund balance on hand (see also Note 13).

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 3- ACCOUNTS RECEIVABLE

Accounts receivable balances for as of September 30, 2015 and 2014, were as follows:

	2015	2014
Intragovernmental		
Accounts Receivable	\$ 14,540	\$ -
Total Intragovernmental Accounts Receivable	<u>\$ 14,540</u>	<u>\$ -</u>
	2015	2014
With the Public		
Miscellaneous Accounts Receivable	\$ 5,141	\$ 1,389
Interest Receivable	21	-
Penalties and Fines Receivable	285	131
Total Public Accounts Receivable	<u>\$ 5,447</u>	<u>\$ 1,520</u>
Total Accounts Receivable	<u>\$ 19,987</u>	<u>\$ 1,520</u>

The accounts receivable is primarily made up of services provided to other Intragovernmental agencies. Historical experience has indicated that the majority of the receivables are collectible. There are no material uncollectible accounts as of September 30, 2015 and 2014.

NOTE 4- PROPERTY, EQUIPMENT, AND SOFTWARE

The Schedule of Property, Equipment, and Software as of September 30, 2015 is as follows:

Major Class	Acquisition Cost	Accumulated Amortization/ Depreciation	Net Book Value
Leasehold Improvements	\$ 225,000	\$ 225,000	\$ -
Furniture & Equipment	502,537	324,249	178,288
Software-in-Development	<u>230,024</u>	<u>-</u>	<u>230,024</u>
Total	<u>\$ 957,561</u>	<u>\$ 549,249</u>	<u>\$ 408,312</u>

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 4- PROPERTY, EQUIPMENT, AND SOFTWARE Cont'd

Schedule of Property, Equipment, and Software as of September 30, 2014 is as follows:

Major Class	Acquisition Cost	Accumulated Amortization/ Depreciation	Net Book Value
Leasehold Improvements	\$ 225,000	\$ 225,000	\$ -
Furniture & Equipment	341,800	262,401	79,399
Software-in-Development	325,307	-	325,307
Total	\$ 892,107	\$ 487,401	\$ 404,706

NOTE 5- LIABILITIES NOT COVERED BY BUDGETARY RESOURCES

The liabilities of FMC as of September 30, 2015 and 2014 include liabilities not covered by budgetary resources. Congressional action is needed before budgetary resources can be provided. Although future appropriations to fund these liabilities are likely and anticipated, it is not certain that appropriations will be enacted to fund these liabilities.

	2015	2014
Unfunded Leave	\$ 1,197,058	\$ 1,123,416
Actuarial FECA	-	787
Custodial Liabilities	2,163	1,753
Total Liabilities Not Covered by Budgetary Resources	\$ 1,199,221	\$ 1,125,956
Total Liabilities Covered by Budgetary Resources	1,244,470	975,689
Total Liabilities	\$ 2,443,691	\$ 2,101,645

FECA and the Unemployment Insurance liabilities represent the unfunded liability for actual workers' compensation claims, and unemployment benefits paid on FMC's behalf and payable to the DOL. FMC also records an actuarial liability for future workers' compensation claims, based on the liability to benefits paid (LBP) ratio provided by DOL, and multiplied by the average of benefits paid over three years.

Unfunded leave represents a liability for earned leave, and is reduced when leave is taken. The balance in the accrued annual leave account is reviewed quarterly; and adjusted as needed, to accurately reflect the liability at current pay rates and leave balances. Accrued annual leave is paid from future funding sources and, accordingly, is reflected as a liability not covered by budgetary resources. Sick and other leave is expensed as taken.

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 6- OTHER LIABILITIES

Other liabilities account balances as of September 30, 2015 were as follows:

	Current	Non Current	Total
Intragovernmental			
Payroll Taxes Payable	\$ 115,597	\$ -	\$ 115,597
Custodial Liabilities	2,163	-	2,163
Total Intragovernmental Other Liabilities	<u>\$ 117,760</u>	<u>\$ -</u>	<u>\$ 117,760</u>
With the Public			
Payroll Taxes Payable	\$ 15,136	\$ -	\$ 15,136
Accrued Funded Payroll and Leave	576,397	-	576,397
Unfunded Leave	1,197,058	-	1,197,058
Total Public Other Liabilities	<u>\$ 1,788,591</u>	<u>\$ -</u>	<u>\$ 1,788,591</u>

Other liabilities account balances as of September 30, 2014 were as follows:

	Current	Non Current	Total
Intragovernmental			
Payroll Taxes Payable	\$ 84,279	\$ -	\$ 84,279
Custodial Liabilities	1,753	-	1,753
Total Intragovernmental Other Liabilities	<u>\$ 86,032</u>	<u>\$ -</u>	<u>\$ 86,032</u>
With the Public			
Payroll Taxes Payable	\$ 12,022	\$ -	\$ 12,022
Accrued Funded Payroll and Leave	349,623	-	349,623
Unfunded Leave	1,123,416	-	1,123,416
Total Public Other Liabilities	<u>\$ 1,485,061</u>	<u>\$ -</u>	<u>\$ 1,485,061</u>

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 7- OPERATING LEASES

FMC occupies office space in seven locations, of which six of the lease agreements are required to be accounted for as operating leases. Lease payments are increased annually, based on the adjustments for operating cost and real estate tax escalations. The total operating lease expense for fiscal years 2015 and 2014 were \$3,277,725 and \$3,433,323, respectively. The lease locations and terms are listed below:

Location	Term	Lease Expiration Date
Houston, TX	10 years	09/14/2018
Tacoma, WA	10 years	06/30/2019
Hollywood, FL	10 years	05/31/2020
San Pedro, CA	10 years	09/30/2021
Washington, DC	10 years	10/31/2022
Iselin, New Jersey	10 years	03/15/2024

The operating lease amount does not include estimated payments for leases with annual renewal options. The schedule of future minimum payments for the term of the leases is as follows:

Fiscal Year	Totals
2016	\$ 3,189,633
2017	3,221,574
2018	3,419,625
2019	3,454,859
2020	3,469,921
Thereafter	7,330,851
Total Future Minimum Payments	<u>\$ 24,086,463</u>

NOTE 8- CONTINGENT LIABILITIES

FMC records commitments and contingent liabilities for legal cases in which payment has been deemed probable, and for which the amount of potential liability has been estimated, including certain judgments that have been issued against the agency. The FMC has knowledge of one lawsuit/investigation from FY 2014 where the amount of potential loss exceeds \$48,000. The FMC has knowledge of one lawsuit/investigation from FY 2015 where the amount of potential loss exceeds \$48,000. The Commission will be vigorously contesting both cases.

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 9- INTRAGOVERNMENTAL COSTS AND EXCHANGE REVENUE

Intragovernmental costs and revenue represent exchange transactions between FMC and other Federal government entities, and are in contrast to those with non-Federal entities (the public). Such costs and revenue are summarized as follows:

	2015	2014
Operational and Administrative		
Intragovernmental Costs	\$ 3,727,051	\$ 3,793,654
Public Costs	14,596,547	12,327,249
Total Program Costs	18,323,598	16,120,903
Less: Intragovernmental Earned Revenue	(40,304)	-
Net Program Costs	18,283,294	16,120,903
Formal Proceedings		
Intragovernmental Costs	1,096,851	1,021,862
Public Costs	6,706,607	6,483,940
Total Program Costs	7,803,458	7,505,802
Less: Intragovernmental Earned Revenue	(21,864)	(29,030)
Net Program Costs	7,781,594	7,476,772
Office of Inspector General		
Intragovernmental Costs	89,391	246,955
Public Costs	360,855	67,586
Total Program Costs	450,246	314,541
Net Program Costs	450,246	314,541
Office of Equal Employment Opportunity		
Intragovernmental Costs	20,242	20,323
Public Costs	133,065	172,816
Total Program Costs	153,307	193,139
Net Program Costs	153,307	193,139
Total Intragovernmental Costs	4,933,535	5,082,793
Total Public Costs	21,797,074	19,051,592
Total Costs	26,730,609	24,134,385
Less: Total Intragovernmental Earned Revenue	(62,168)	(29,030)
Net Cost of Operations	\$ 26,668,441	\$ 24,105,355

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 10- IMPUTED FINANCING SOURCES

FMC recognizes as imputed financing, the costs of future benefits, which include health benefits, life insurance, pension, and post-retirement benefit expenses for current employees. The assets and liabilities associated with such benefits are the responsibility of the administering agency, OPM. For the fiscal years ended September 30, 2015 and 2014, imputed financing was as follows:

	2015	2014
Office of Personnel Management	\$ 1,138,628	\$ 1,307,305
Total Imputed Financing Sources	<u>\$ 1,138,628</u>	<u>\$ 1,307,305</u>

NOTE 11- BUDGETARY RESOURCE COMPARISONS TO THE BUDGET OF THE UNITED STATES GOVERNMENT

The President's budget that will include fiscal year 2015 actual budgetary execution information has not yet been published. The President's budget is scheduled for publication in February 2016, and will be found at the OMB Web site: <http://www.whitehouse.gov/omb/>. The 2016 Budget of the United States Government, with the "Actual" column completed for 2014, has been reconciled to the Statement of Budgetary Resources, and there were no material differences.

NOTE 12- APPORTIONMENT CATEGORIES OF OBLIGATIONS INCURRED

Obligations incurred and reported in the Statement of Budgetary Resources in 2015 and 2014 consisted of the following:

	2015	2014
Direct Obligations, Category A	\$ 26,105,905	\$ 24,765,296
Reimbursable Obligations, Category A	62,168	29,030
Total Obligations Incurred	<u>\$ 26,168,073</u>	<u>\$ 24,794,326</u>

Category A apportionments distribute budgetary resources by fiscal quarters.

NOTE 13- UNDELIVERED ORDERS AT THE END OF THE PERIOD

For the fiscal years ended September 30, 2015 and 2014, budgetary resources obligated for undelivered orders amounted to \$ 2,865,271 and \$2,742,237, respectively.

The accompanying notes are an integral part of these financial statements



Financial Information

NOTE 14- CUSTODIAL ACTIVITY

FMC is an administrative agency, collecting funds for another entity or the General Fund. As a collecting entity, FMC measures and reports cash collections and refunds. These collections are reported as custodial activity on the “Statement of Custodial Activity”. The type of cash collected is for fines, penalties, and administrative fees. A small portion is for interest on the past due fines. Another part of the custodial activity is for the application on licenses issued to qualified Ocean Transportation Intermediaries (OTIs) in the U.S., commission reviews, petitions, status changes, and special permission fees.

Custodial receipts are broken out in the general receipt funds:

	2015	2014
Fines, Penalties, and Forfeitures	\$ 2,052,514	\$ 2,968,000
General Fund Proprietary Receipts (user fees)	253,476	220,549
Refund of user fees	(6,188)	(2,825)
Total Custodial Collections	<u>\$ 2,299,802</u>	<u>\$ 3,185,724</u>

NOTE 15- RECONCILIATION OF NET COST OF OPERATIONS TO BUDGET

FMC has reconciled its budgetary obligations and non-budgetary resources available, to its net cost of operations.

	2015	2014
Resources Used to Finance Activities		
Budgetary Resources Obligated		
Obligations Incurred	\$ 26,168,073	\$ 24,794,326
Spending Authority from Offsetting Collections and Recoveries	(580,957)	(297,987)
Offsetting Receipts	(248,451)	(220,316)
Net Obligations	<u>25,338,665</u>	<u>24,276,023</u>
Other Resources		
Imputed Financing from Costs Absorbed by Others	1,138,628	1,307,305
Net Other Resources Used to Finance Activities	<u>1,138,628</u>	<u>1,307,305</u>
Total Resources Used to Finance Activities	26,477,293	25,583,328
Resources Used to Finance Items Not Part of the Net Cost of Operations	42,414	(1,560,406)
Total Resources Used to Finance the Net Cost of Operations	<u>26,519,707</u>	<u>24,022,922</u>
Components of Net Cost of Operations that will not Require or Generate Resources in the Current Period	148,734	82,433
Net Cost of Operations	<u>\$ 26,668,441</u>	<u>\$ 24,105,355</u>

The accompanying notes are an integral part of these financial statements



APPENDIX A

FEDERAL MARITIME COMMISSION

COMMENTS ON

DRAFT AUDIT REPORT



Financial Information



**Federal Maritime
Commission**

800 North Capitol Street, N.W.
Washington, D.C. 20573-0001

Office of the
Managing Director

Phone: (202) 523-5800
Fax: (202) 523-3646
E-mail: omd@fmc.gov

November 4, 2015

Peter Regis
Engagement Partner
Regis & Associates, PC
1400 Eye Street, NW, Suite 425
Washington, DC 20005

Dear Mr. Regis:

I have reviewed the financial statements audit report provided to me for the Federal Maritime Commission for fiscal year 2015. I concur with the audit report's findings that the financial statements fairly present the agency's financial position during the fiscal year and that the FMC's financial statements are in conformity with U.S. Generally Accepted Accounting Principles; that the FMC has maintained, in all material respects, effective internal control over financial reporting; and that there were no instances of reportable noncompliance with laws and regulations tested by the auditors. This audit report is the FMC's twelfth consecutive unmodified or "clean" audit opinion.

The Commission appreciates Regis & Associates' work over the past fiscal year.

Sincerely,

Vern W. Hill
Chief Financial Officer



APPENDIX B

FEDERAL MARITIME COMMISSION

FINANCIAL STATEMENTS

FOR THE YEARS ENDED

SEPTEMBER 30, 2015 and 2014



**FEDERAL MARITIME COMMISSION
FINANCIAL STATEMENTS
FOR THE YEARS ENDED SEPTEMBER 30, 2015 AND 2014**

TABLE OF CONTENTS

BALANCE SHEET.....	1
STATEMENT OF NET COST.....	2
STATEMENT OF CHANGES IN NET POSITION.....	3
STATEMENT OF BUDGETARY RESOURCES.....	4
STATEMENT OF CUSTODIAL ACTIVITY.....	5
NOTES TO THE FINANCIAL STATEMENTS.....	6-16



Financial Information

FEDERAL MARITIME COMMISSION BALANCE SHEET AS OF SEPTEMBER 30, 2015 AND 2014 (In Dollars)

	2015	2014
Assets:		
Intragovernmental		
Fund Balance With Treasury (Note 2)	\$ 4,397,659	\$ 4,105,128
Accounts Receivable (Note 3)	14,540	-
Total Intragovernmental	4,412,199	4,105,128
Accounts Receivable, Net (Note 3)	5,447	1,520
Property, Equipment, and Software, Net (Note 4)	408,312	404,706
Total Assets	\$ 4,825,958	\$ 4,511,354
Liabilities:		
Intragovernmental		
Accounts Payable	\$ 65,788	\$ 104,117
Other (Note 6)	117,760	86,032
Total Intragovernmental	183,548	190,149
Accounts Payable	471,552	425,648
Federal Employee and Veterans' Benefits (Note 5)	-	787
Other (Note 6)	1,788,591	1,485,061
Total Liabilities (Note 5)	\$ 2,443,691	\$ 2,101,645
Net Position:		
Unexpended Appropriations - Other Funds	\$ 3,167,730	\$ 3,129,440
Cumulative Results of Operations - Other Funds	(785,463)	(719,731)
Total Net Position	\$ 2,382,267	\$ 2,409,709
Total Liabilities and Net Position	\$ 4,825,958	\$ 4,511,354



Financial Information

FEDERAL MARITIME COMMISSION STATEMENT OF NET COST FOR THE YEAR ENDING SEPTEMBER 30, 2015 AND 2014 (In Dollars)

	2015	2014
Program Costs:		
Operational and Administrative		
Gross Costs	\$ 18,323,598	\$ 16,120,903
Less: Earned Revenue	(40,304)	-
Net Program Costs	\$ 18,283,294	\$ 16,120,903
Formal Proceedings		
Gross Costs	\$ 7,803,458	\$ 7,505,802
Less: Earned Revenue	(21,864)	(29,030)
Net Program Costs	\$ 7,781,594	\$ 7,476,772
Office of Inspector General		
Gross Costs	\$ 450,246	\$ 314,541
Net Program Costs	\$ 450,246	\$ 314,541
Office of Equal Employment Opportunity		
Gross Costs	\$ 153,307	\$ 193,139
Net Program Costs	\$ 153,307	\$ 193,139
Net Cost of Operations (Note 9)	\$ 26,668,441	\$ 24,105,355



Financial Information

FEDERAL MARITIME COMMISSION
STATEMENT OF CHANGES IN NET POSITION
FOR THE YEAR ENDING SEPTEMBER 30, 2015 AND 2014
(In Dollars)

	2015	2014
Cumulative Results of Operations:		
Beginning Balances	\$ (719,731)	\$ (910,588)
Budgetary Financing Sources:		
Appropriations Used	25,464,081	22,988,907
Other Financing Sources (Non-Exchange):		
Imputed Financing Sources (Note 10)	1,138,628	1,307,305
Total Financing Sources	26,602,709	24,296,212
Net Cost of Operations	(26,668,441)	(24,105,355)
Net Change	(65,732)	190,857
Cumulative Results of Operations	\$ (785,463)	\$ (719,731)
Unexpended Appropriations:		
Beginning Balances	\$ 3,129,440	\$ 1,820,115
Budgetary Financing Sources:		
Appropriations Received	25,660,000	24,669,000
Other Adjustments	(157,629)	(370,768)
Appropriations Used	(25,464,081)	(22,988,907)
Total Budgetary Financing Sources	38,290	1,309,325
Total Unexpended Appropriations	\$ 3,167,730	\$ 3,129,440
Net Position	\$ 2,382,267	\$ 2,409,709



Financial Information

FEDERAL MARITIME COMMISSION STATEMENT OF BUDGETARY RESOURCES FOR THE YEAR ENDING SEPTEMBER 30, 2015 AND 2014 (In Dollars)

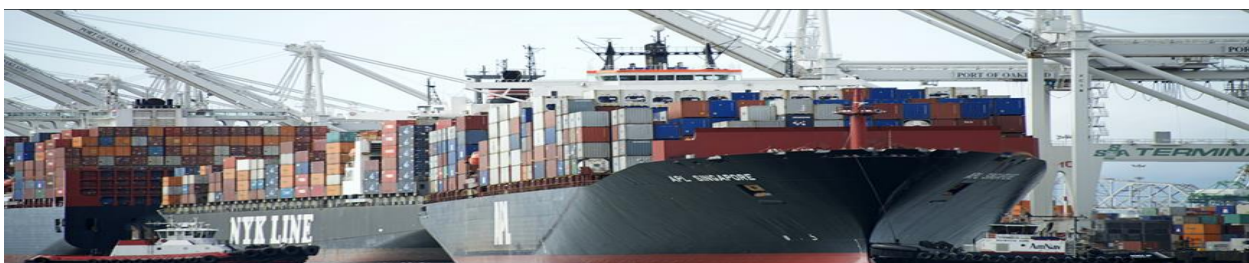
	2015	2014
Budgetary Resources:		
Unobligated Balance Brought Forward, October 1	\$ 387,204	\$ 585,311
Recoveries of Prior Year Unpaid Obligations	518,708	268,870
Other changes in unobligated balance	(157,629)	(370,768)
Unobligated balance from prior year budget authority, net	748,283	483,413
Appropriations	25,660,000	24,669,000
Spending authority from offsetting collections	62,249	29,117
Total Budgetary Resources	\$ 26,470,532	\$ 25,181,530
Status of Budgetary Resources:		
Obligations Incurred (Note 12)	\$ 26,168,073	\$ 24,794,326
Unobligated balance, end of year:		
Apportioned (Note 2)	17,625	18,211
Unapportioned (Note 2)	284,834	368,993
Total unobligated balance, end of year	302,459	387,204
Total Budgetary Resources	\$ 26,470,532	\$ 25,181,530
Change in Obligated Balance		
Unpaid Obligations:		
Unpaid Obligations, Brought Forward, October 1	\$ 3,717,924	\$ 2,035,436
Obligations Incurred (Note 12)	26,168,073	24,794,326
Outlays (gross)	(25,257,549)	(22,842,968)
Recoveries of Prior Year Unpaid Obligations	(518,708)	(268,870)
Unpaid Obligations, End of Year (Gross)	4,109,740	3,717,924
Uncollected payments:		
Change in Uncollected Payments, Federal Sources	(14,540)	-
Uncollected Customer Payments, Federal Sources, End of Year	(14,540)	-
Obligated Balance, End of Year	\$ 4,095,200	\$ 3,717,924
Budget Authority and Outlays, Net:		
Budget authority, gross	\$ 25,722,249	\$ 24,698,117
Actual offsetting collections	(47,709)	(29,117)
Change in Uncollected Payments, Federal Sources	(14,540)	-
Budget Authority, Net, (Total)	\$ 25,660,000	\$ 24,669,000
Outlays, gross	\$ 25,257,549	\$ 22,842,968
Actual offsetting collections	(47,709)	(29,117)
Outlays, net, (total)	25,209,840	22,813,851
Distributed Offsetting Receipts	(248,451)	(220,316)
Agency Outlays, Net	\$ 24,961,389	\$ 22,593,535



Financial Information

**FEDERAL MARITIME COMMISSION
STATEMENT OF CUSTODIAL ACTIVITY
FOR THE YEAR ENDING SEPTEMBER 30, 2015 AND 2014
(In Dollars)**

	2015	2014
Revenue Activity:		
Sources of Cash Collections:		
Miscellaneous	\$ 2,299,802	\$ 3,185,724
Total Cash Collections (Note 14)	2,299,802	3,185,724
Accrual Adjustments	(643)	(1,247)
Total Custodial Revenue	2,299,159	3,184,477
Disposition of Collections:		
Transferred to Others (by Recipient)	2,300,035	3,185,491
Increase/(Decrease) in Amounts Yet to be Transferred	410	1,480
Retained by the Reporting Entity	(1,286)	(2,494)
Total Disposition of Collections	2,299,159	3,184,477
Net Custodial Activity	\$ -	\$ -



FEDERAL MARITIME COMMISSION NOTES TO THE FINANCIAL STATEMENTS

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The Federal Maritime Commission (FMC or Commission) was established as an independent regulatory agency on August 12, 1961. The FMC is responsible for the regulation of ocean borne transportation in the foreign commerce of the United States. The principal statutes or statutory provisions administered by the Commission are the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998, the Foreign Shipping Practices Act of 1988 (FSPA), section 19 of the Merchant Marine Act of 1920, and sections 2 and 3 of Public Law No. 89-777.

The Commission monitors the activities of ocean common carriers, marine terminal operators (MTOs), agreements among ocean common carriers and/or MTOs, ports and ocean transportation intermediaries (non-vessel-operating common carriers and ocean freight forwarders) operating in the U.S. foreign commerce to ensure they maintain just and reasonable practices; maintains trade monitoring, enforcement and dispute resolution programs designed to assist regulated entities in achieving compliance and to detect and remedy malpractices and violations of the 1984 Act; monitors the laws and practices of foreign governments which could have a discriminatory or otherwise adverse impact on shipping

conditions in U.S. trades, and imposes remedial action, as appropriate, pursuant to section 19 of the 1920 Act or FSPA; enforces special regulatory requirements applicable to carriers owned or controlled by foreign governments; processes and reviews agreements, service contracts, and service arrangements pursuant to the 1984 Act for compliance with statutory requirements; and reviews common carriers' privately published tariff systems for accessibility and accuracy, as required by OSRA.

The Commission also issues licenses to qualified ocean transportation intermediaries (OTIs) in the U.S., ensures that all OTIs are bonded or maintain other evidence of financial responsibility, and ensures that passenger vessel operators (PVOs) demonstrate adequate financial responsibility in case of nonperformance of voyages or death or injury occurring to passengers.

The FMC is composed of five Commissioners appointed for five-year terms by the President with the advice and consent of the Senate. The President designates one of the Commissioners to serve as Chairman, who is the chief executive and administrative officer of the FMC.

The FMC reporting entity is comprised of General Funds and General Miscellaneous Receipts. General Funds are accounts used to record financial transactions arising under congressional appropriations or other authorizations to spend general revenues.



General Fund Miscellaneous Receipts are accounts established for receipts of non-recurring activity, such as fines, penalties, fees and other miscellaneous receipts for services and benefits.

The FMC makes custodial collections and holds custodial receivables that are non-entity assets and are transferred to Treasury at fiscal year-end. The FMC has rights and ownership of all assets reported in these financial statements. FMC does not possess any non-entity assets.

B. Basis of Presentation

The financial statements have been prepared to report the financial position and results of operations of FMC. The Balance Sheet presents the financial position of the Commission. The Statement of Net Cost presents the Commission's operating results; the Statement of Changes in Net Position displays the changes in the Commission's equity accounts. The Statement of Budgetary Resources presents the sources, status, and uses of the Commission's resources and follows the rules for the Budget of the United States Government.

The statements are a requirement of the Chief Financial Officers Act of 1990, and the Government Management Reform Act of 1994. They have been prepared from, and are fully supported by, the books and records of FMC in accordance with the hierarchy of accounting principles generally accepted in the United States of America, standards issued by the Federal Accounting Standards Advisory Board (FASAB), Office of Management and Budget (OMB) Circular A-136, *Financial Reporting Requirements*, as amended, and FMC accounting policies which are summarized in this note. These statements, with the exception of the Statement of Budgetary Resources, are different from financial management reports, which are also prepared pursuant to OMB directives that are used to monitor and control FMC's use of budgetary resources. The financial statements and associated notes are presented on a comparative basis. Unless specified otherwise, all amounts are presented in dollars.

C. Basis of Accounting

Transactions are recorded on both an accrual accounting basis and a budgetary basis. Under the accrual method, revenues are recognized when earned, and expenses are recognized when a liability is incurred, without regard to receipt or payment of cash. Budgetary accounting facilitates compliance with legal requirements on the use of federal funds.

D. Fund Balance with Treasury

Fund Balance with Treasury is the aggregate amount of the FMC's funds with Treasury in expenditure and receipt accounts. Appropriated funds recorded in expenditure accounts are available to pay current liabilities and finance authorized purchases.

E. Accounts Receivable

Accounts receivable consists of amounts owed to FMC by other Federal agencies and the general public. Amounts due from Federal agencies are considered fully collectible. An allowance for uncollectible accounts receivable from the public is established when, based upon a review of outstanding accounts and the failure of all collection efforts, management determines that collection is unlikely to occur considering the debtor's ability to pay.

F. Property, Equipment, and Software

Property, equipment and software represent furniture, fixtures, equipment, and information technology hardware and software which are recorded at original acquisition cost and are depreciated or amortized using the straight-line method over their estimated useful lives. Major alterations and renovations are capitalized, while maintenance and repair costs are expensed as incurred. FMC's capitalization threshold is \$25,000 for individual purchases. Property, equipment, and software acquisitions that do not meet the capitalization criteria are expensed upon receipt. Applicable standard governmental guidelines regulate the disposal and convertibility of agency property, equipment, and software. The useful life



Financial Information

classifications for capitalized assets are as follows:

<u>Description</u>	<u>Useful Life (years)</u>
Leasehold Improvements	5
Office Furniture	5
Computer Equipment	5
Office Equipment	5
Software	5

G. Advances and Prepaid Charges

Advance payments are generally prohibited by law. There are some exceptions, such as reimbursable agreements, subscriptions and payments to contractors and employees. Payments made in advance of the receipt of goods and services are recorded as advances or prepaid charges at the time of prepayment and recognized as expenses when the related goods and services are received.

H. Liabilities

Liabilities represent the amount of funds likely to be paid by the FMC as a result of transactions or events that have already occurred.

The FMC reports its liabilities under two categories, Intragovernmental and With the Public. Intragovernmental liabilities represent funds owed to another government agency. Liabilities with the Public represent funds owed to any entity or person that is not a federal agency, including private sector firms and federal employees. Each of these categories may include liabilities that are covered by budgetary resources and liabilities not covered by budgetary resources.

Liabilities covered by budgetary resources are liabilities funded by a current appropriation or other funding source. These consist of accounts payable and accrued payroll and benefits. Accounts payable represent amounts owed to another entity for goods ordered and received and for services rendered except for employees. Accrued payroll and benefits represent payroll

costs earned by employees during the fiscal year which are not paid until the next fiscal year.

Liabilities not covered by budgetary resources are liabilities that are not funded by any current appropriation or other funding source. These liabilities consist of accrued annual leave, actuarial Federal Employees' Compensation Act (FECA), and the amounts due to Treasury for collection and accounts receivable of civil penalties.

I. Annual, Sick, and Other Leave

Annual leave is accrued as it is earned, and the accrual is reduced as leave is taken. The balance in the accrued leave account is adjusted to reflect current pay rates. Liabilities associated with other types of vested leave, including compensatory, restored leave, and sick leave in certain circumstances, are accrued at year-end, based on latest pay rates and unused hours of leave. Funding will be obtained from future financing sources to the extent that current or prior year appropriations are not available to fund annual and other types of vested leave earned but not taken. Non-vested leave is expensed when used. Any liability for sick leave that is accrued but not taken by a Civil Service Retirement System (CSRS)-covered employee is transferred to the Office of Personnel Management (OPM) upon the retirement of that individual. Credit is given for sick leave balances in the computation of annuities upon the retirement of Federal Employees Retirement System (FERS)-covered employees effective at 50% for the 1st quarter of FY 2014 and 100% thereafter.

J. Accrued and Actuarial Workers' Compensation

The FECA administered by the U.S. Department of Labor (DOL) addresses all claims brought by the FMC employees for on-the-job injuries. The DOL bills each agency annually as its claims are paid, but payment of these bills is deferred for two years to allow for funding through the budget process. Similarly, employees that the FMC terminates without cause may receive unemployment compensation benefits under the unemployment



Financial Information

insurance program also administered by the DOL, which bills each agency quarterly for paid claims. Future appropriations will be used for the reimbursement to DOL. The liability consists of (1) the net present value of estimated future payments calculated by the DOL, and (2) the unreimbursed cost paid by DOL for compensation to recipients under the FECA.

K. Retirement Plans

FMC employees participate in either the CSRS or the FERS. The employees who participate in CSRS are beneficiaries of FMC matching contribution, equal to 7% of pay, distributed to their annuity account in the Civil Service Retirement and Disability Fund.

Prior to December 31, 1983, all employees were covered under the CSRS program. From January 1, 1984 through December 31, 1986, employees had the option of remaining under CSRS or joining FERS and Social Security. Employees hired as of January 1, 1987 are automatically covered by the FERS program. Both CSRS and FERS employees may participate in the federal Thrift Savings Plan (TSP). FERS employees receive an automatic agency contribution equal to 1% of pay and FMC matches any employee contribution up to an additional 4% percent of pay. For FERS participants, FMC also contributes the employer's matching share of Social Security.

FERS employees and certain CSRS reinstatement employees are eligible to participate in the Social Security program after retirement. In these instances, FMC remits the employer's share of the required contribution.

FMC recognizes the imputed cost of pension and other retirement benefits during the employees' active years of service. OPM actuaries determine pension cost factors by calculating the value of pension benefits expected to be paid in the future and communicate these factors to FMC for current period expense reporting. OPM also provides information regarding the full cost of health and life insurance benefits. FMC recognized the offsetting revenue as imputed financing sources

to the extent these expenses will be paid by OPM.

FMC does not report on its financial statements information pertaining to the retirement plans covering its employees. Reporting amounts such as plan assets, accumulated plan benefits, and related unfunded liabilities, if any, is the responsibility of the OPM, as the administrator.

L. Other Post-Employment Benefits

FMC employees eligible to participate in the Federal Employees' Health Benefits Plan (FEHBP) and the Federal Employees' Group Life Insurance Program (FEGGLIP) may continue to participate in these programs after their retirement. The OPM has provided the FMC with certain cost factors that estimate the true cost of providing the post-retirement benefit to current employees. The FMC recognizes a current cost for these and Other Retirement Benefits (ORB) at the time the employee's services are rendered. The ORB expense is financed by OPM, and offset by the FMC through the recognition of an imputed financing source.

M. Use of Estimates

The preparation of the accompanying financial statements in accordance with generally accepted accounting principles requires management to make certain estimates and assumptions that affect the reported amounts of assets, liabilities, revenues, and expenses. Actual results could differ from those estimates.

N. Imputed Costs/Financing Sources

Federal Government entities often receive goods and services from other Federal Government entities without reimbursing the providing entity for all the related costs. In addition, Federal Government entities also incur costs that are paid in total or in part by other entities. An imputed financing source is recognized by the receiving entity for costs that are paid by other entities. FMC recognized imputed costs and financing sources in fiscal years 2015 and 2014 to the extent directed by accounting standards.



Financial Information

O. Contingencies

Liabilities are deemed contingent when the existence or amount of the liability cannot be determined with certainty pending the outcome of future events. FMC recognizes contingent liabilities in the accompanying balance sheet and statement of net cost, when it is both probable and can be reasonably estimated.

FMC discloses contingent liabilities in the notes to the financial statements when the conditions for liability recognition are not met or when a loss from the outcome of future events is more than remote. In some cases, once losses are

certain, payments may be made from the Judgment Fund maintained by the U.S. Treasury rather than from the amounts appropriated to FMC for agency operations. Payments from the Judgment Fund are recorded as an “Other Financing Source” when made.

P. Reclassification

Certain fiscal year 2014 balances have been reclassified, re-titled, or combined with other financial statement line items for consistency with the current year presentation.

NOTE 2. FUND BALANCE WITH TREASURY

Fund balance with Treasury account balances as of September 30, 2015, and 2014 were as follows:

	2015	2014
Fund Balances:		
Appropriated Funds	\$ 4,397,659	\$ 4,105,128
Total	\$ 4,397,659	\$ 4,105,128
Status of Fund Balance with Treasury:		
Unobligated Balance		
Available	\$ 17,625	\$ 18,211
Unavailable	284,834	368,993
Obligated Balance Not Yet Disbursed	4,095,200	3,717,924
Total	\$ 4,397,659	\$ 4,105,128

No discrepancies exist between the Fund Balance reflected on the Balance Sheet and the balances in the Treasury accounts.

The available unobligated fund balances represent the current-period amount available for obligation or commitment. At the start of the next fiscal year, this amount will become part of the unavailable balance, as described in the following paragraph.

The unavailable unobligated fund balances represent the amount of appropriations for which the period of availability for obligation has expired. These balances are available for upward adjustments of obligations incurred only during the period for which the appropriation was available for obligation or for paying claims attributable to the appropriations.

The obligated balance not yet disbursed, includes accounts payable, accrued expenses, and undelivered orders that have reduced unexpended appropriations but have not yet decreased the fund balance on hand (see also Note 13).



Financial Information

NOTE 3. ACCOUNTS RECEIVABLE

Accounts receivable balances as of September 30, 2015, and 2014, were as follows:

	2015	2014
Intragovernmental		
Accounts Receivable	\$ 14,540	\$ -
Total Intragovernmental Accounts Receivable	\$ 14,540	\$ -

	2015	2014
With the Public		
Miscellaneous Accounts Receivable	\$ 5,141	\$ 1,389
Interest Receivable	21	-
Penalties and Fines Receivable	285	131
Total Public Accounts Receivable	\$ 5,447	\$ 1,520
Total Accounts Receivable	\$ 19,987	\$ 1,520

The accounts receivable is primarily made up of services provided to other Intragovernmental agencies. Historical experience has indicated that the majority of the receivables are collectible. There are no material uncollectible accounts as of September 30, 2015 and 2014.

NOTE 4. PROPERTY, EQUIPMENT, AND SOFTWARE

Schedule of Property, Equipment, and Software as of September 30, 2015

Major Class	Acquisition Cost	Accumulated Amortization/ Depreciation	Net Book Value
Leasehold Improvements	\$ 225,000	\$ 225,000	\$ -
Furniture & Equipment	502,537	324,249	178,288
Software-in-Development	230,024	-	230,024
Total	\$ 957,561	\$ 549,249	\$ 408,312



Financial Information

Schedule of Property, Equipment, and Software as of September 30, 2014

Major Class	Acquisition Cost	Accumulated Amortization/Depreciation	Net Book Value
Leasehold Improvements	\$ 225,000	\$ 225,000	\$ -
Furniture & Equipment	341,800	262,401	79,399
Software-in-Development	325,307	-	325,307
Total	\$ 892,107	\$ 487,401	\$ 404,706

NOTE 5. LIABILITIES NOT COVERED BY BUDGETARY RESOURCES

The liabilities for FMC as of September 30, 2015 and 2014 include liabilities not covered by budgetary resources. Congressional action is needed before budgetary resources can be provided. Although future appropriations to fund these liabilities are likely and anticipated, it is not certain that appropriations will be enacted to fund these liabilities.

	2015	2014
Unfunded Leave	\$ 1,197,058	\$ 1,123,416
Federal Employee and Veterans' Benefits	-	787
Custodial Liabilities	2,163	1,753
Total Liabilities Not Covered by Budgetary Resources	\$ 1,199,221	\$ 1,125,956
Total Liabilities Covered by Budgetary Resources	1,244,470	975,689
Total Liabilities	\$ 2,443,691	\$ 2,101,645

FECA and the Unemployment Insurance liabilities represent the unfunded liability for actual workers compensation claims and unemployment benefits paid on FMC's behalf and payable to the DOL. FMC also records an actuarial liability for future workers compensation claims based on the liability to benefits paid (LBP) ratio provided by DOL and multiplied by the average of benefits paid over three years.

Unfunded leave represents a liability for earned leave and is reduced when leave is taken. The balance in the accrued annual leave account is reviewed quarterly and adjusted as needed to accurately reflect the liability at current pay rates and leave balances. Accrued annual leave is paid from future funding sources and, accordingly, is reflected as a liability not covered by budgetary resources. Sick and other leave is expensed as taken.



Financial Information

NOTE 6. OTHER LIABILITIES

Other liabilities account balances as of September 30, 2015 were as follows:

	Current	Non Current	Total
Intragovernmental			
Payroll Taxes Payable	\$ 115,597	\$ -	\$ 115,597
Custodial Liability	2,163	-	2,163
Total Intragovernmental Other Liabilities	\$ 117,760	\$ -	\$ 117,760
With the Public			
Payroll Taxes Payable	\$ 15,136	\$ -	\$ 15,136
Accrued Funded Payroll and Leave	576,397	-	576,397
Unfunded Leave	1,197,058	-	1,197,058
Total Public Other Liabilities	\$ 1,788,591	\$ -	\$ 1,788,591

Other liabilities account balances as of September 30, 2014 were as follows:

	Current	Non Current	Total
Intragovernmental			
Payroll Taxes Payable	\$ 84,279	\$ -	\$ 84,279
Custodial Liability	1,753	-	1,753
Total Intragovernmental Other Liabilities	\$ 86,032	\$ -	\$ 86,032
With the Public			
Payroll Taxes Payable	\$ 12,022	\$ -	\$ 12,022
Accrued Funded Payroll and Leave	349,623	-	349,623
Unfunded Leave	1,123,416	-	1,123,416
Total Public Other Liabilities	\$ 1,485,061	\$ -	\$ 1,485,061



Financial Information

NOTE 7. OPERATING LEASES

FMC occupies office space in seven locations, of which six of the lease agreements are required to be accounted for as operating leases. Lease payments are increased annually based on the adjustments for operating cost and real estate tax escalations. The total operating lease expense for fiscal years 2015 and 2014 were \$3,277,725 and \$3,433,323, respectively. The lease locations and terms are listed below:

Location	Term	Lease Expiration Date
Houston, TX	10 years	09/14/2018
Tacoma, WA	10 years	06/30/2019
Hollywood, FL	10 years	05/31/2020
San Pedro, CA	10 years	09/30/2021
Washington, DC	10 years	10/31/2022
Iselin, NJ	10 years	03/15/2024

The operating lease amount does not include estimated payments for leases with annual renewal options. The schedule of future payments for the term of the leases is as follows:

Fiscal Year	Totals
2016	\$ 3,189,633
2017	3,221,574
2018	3,419,625
2019	3,454,859
2020	3,469,921
Thereafter	7,330,851
Total Future Minimum Payments	\$ 24,086,463

NOTE 8. CONTINGENT LIABILITIES

FMC records commitments and contingent liabilities for legal cases in which payment has been deemed probable, and for which the amount of potential liability has been estimated, including certain judgments that have been issued against the agency. The FMC has knowledge of one lawsuit/investigation from FY 2014 where the amount of potential loss exceeds \$48,000. The FMC has knowledge of one lawsuit/investigation from FY 2015 where the amount of potential loss exceeds \$48,000. The Commission will be vigorously contesting both cases.



Financial Information

NOTE 9. INTRAGOVERNMENTAL COSTS AND EXCHANGE REVENUE

Intragovernmental costs and revenue represent exchange transactions between FMC and other federal government entities, and are in contrast to those with non-federal entities (the public). Such costs and revenue are summarized as follows:

	2015	2014
Operational and Administrative		
Intragovernmental Costs	\$ 3,727,051	\$ 3,793,654
Public Costs	14,596,547	12,327,249
Total Program Costs	18,323,598	16,120,903
Less: Intragovernmental Earned Revenue	(40,304)	-
Net Program Costs	18,283,294	16,120,903
Formal Proceedings		
Intragovernmental Costs	1,096,851	1,021,862
Public Costs	6,706,607	6,483,940
Total Program Costs	7,803,458	7,505,802
Less: Intragovernmental Earned Revenue	(21,864)	(29,030)
Net Program Costs	7,781,594	7,476,772
Office of Inspector General		
Intragovernmental Costs	89,391	246,955
Public Costs	360,855	67,586
Total Program Costs	450,246	314,541
Net Program Costs	450,246	314,541
Office of Equal Employment Opportunity		
Intragovernmental Costs	20,242	20,323
Public Costs	133,065	172,816
Total Program Costs	153,307	193,139
Net Program Costs	153,307	193,139
Total Intragovernmental costs	4,933,535	5,082,793
Total Public Costs	21,797,074	19,051,592
Total Costs	26,730,609	24,134,385
Less: Total Intragovernmental Earned Revenue	(62,168)	(29,030)
Net Cost of Operations	\$ 26,668,441	\$ 24,105,355



Financial Information

NOTE 10. IMPUTED FINANCING SOURCES

FMC recognizes as imputed financing the costs of future benefits which include health benefits, life insurance, pension and post-retirement benefit expenses for current employees. The assets and liabilities associated with such benefits are the responsibility of the administering agency, OPM. For the years ended September 30, 2015 and 2014 imputed financing was as follows:

	2015	2014
Office of Personnel Management	\$ 1,138,628	\$ 1,307,305
Total Imputed Financing Sources	\$ 1,138,628	\$ 1,307,305

NOTE 11. BUDGETARY RESOURCE COMPARISONS TO THE BUDGET OF THE UNITED STATES GOVERNMENT

The President's Budget that will include fiscal year 2015 actual budgetary execution information has not yet been published. The President's Budget is scheduled for publication in February 2016 and can be found at the OMB Web site: <http://www.whitehouse.gov/omb/>. The 2016 Budget of the United States Government, with the "Actual" column completed for 2014, has been reconciled to the Statement of Budgetary Resources and there were no material differences.

NOTE 12. APPORTIONMENT CATEGORIES OF OBLIGATIONS INCURRED

Obligations incurred and reported in the Statement of Budgetary Resources in 2015 and 2014 consisted of the following:

	2015	2014
Direct Obligations, Category A	\$ 26,105,905	\$ 24,765,296
Reimbursable Obligations, Category A	62,168	29,030
Total Obligations Incurred	\$ 26,168,073	\$ 24,794,326

Category A apportionments distribute budgetary resources by fiscal quarters.

NOTE 13. UNDELIVERED ORDERS AT THE END OF THE PERIOD

For the years ended September 30, 2015 and 2014, budgetary resources obligated for undelivered orders amounted to \$2,865,271 and \$2,742,237, respectively.

NOTE 14. CUSTODIAL REVENUES

FMC is an administrative agency, collecting for another entity or the General Fund of the Treasury. As a collecting entity, FMC measures and reports cash collections and refunds. These collections are reported as custodial revenue on the Statement of Custodial Activity. The type of cash collected is for fines, penalties



Financial Information

and administrative fees. A small portion is for interest on the past due fines. Another component of the custodial revenue is general proprietary receipts (User Fees) for the application of licenses issued to qualified Ocean Transportation Intermediaries (OTI's) in the U.S., FMC reviews petitions, status changes and special permission fees. FMC believes that all fines, penalties, administrative fees and user fees will be collected in full. There are no material uncollectible accounts as of September 30, 2015 and 2014.

Custodial collections are reported on the Statement of Custodial Activity. The miscellaneous receipts are broken out in the general receipt funds as follows:

	2015	2014
Custodial Collections:		
Fines, Penalties, and Forfeitures	\$ 2,052,514	\$ 2,968,000
General Fund Proprietary Receipts (User fees)	253,476	220,549
Refunds of Proprietary Receipts (User fees)	(6,188)	(2,825)
Total Custodial Collections	\$ 2,299,802	\$ 3,185,724

NOTE 15. RECONCILIATION OF NET COST OF OPERATIONS TO BUDGET

FMC has reconciled its budgetary obligations and non-budgetary resources available to its net cost of operations.

	2015	2014
Resources Used to Finance Activities		
Budgetary Resources Obligated		
Obligations Incurred	\$ 26,168,073	\$ 24,794,326
Spending Authority from Offsetting Collections and Recoveries	(580,957)	(297,987)
Offsetting Receipts	(248,451)	(220,316)
Net Obligations	25,338,665	24,276,023
Other Resources		
Imputed Financing from Costs Absorbed by Others	1,138,628	1,307,305
Net Other Resources Used to Finance Activities	1,138,628	1,307,305
Total Resources Used to Finance Activities	26,477,293	25,583,328
Resources Used to Finance Items Not Part of the Net Cost of Operations	42,414	(1,560,406)
Total Resources Used to Finance the Net Cost of Operations	26,519,707	24,022,922
Components of Net Cost of Operations that will not Require or Generate Resources in the Current Period	148,734	82,433
Net Cost of Operations	\$ 26,668,441	\$ 24,105,355



OTHER INFORMATION



Other Information



FEDERAL MARITIME COMMISSION
Washington, DC 20573

October 15, 2015

Office of Inspector General

TO: Chairman Cordero
Commissioner Lidinsky
Commissioner Doyle
Commissioner Dye
Commissioner Khouri

FROM: Inspector General

SUBJECT: Inspector General's Statement on the Federal Maritime Commission's
Management and Performance Challenges

The Reports Consolidation Act of 2000 (Public Law 106-531) requires inspectors general to provide a summary and assessment of the most serious management and performance challenges facing Federal agencies, and their progress in addressing these challenges. The attached document responds to the requirements and provides the annual statement on Commission challenges to be included in the Federal Maritime Commission's (FMC) Performance and Accountability Report (PAR) [or Agency Financial Report (AFR)] for fiscal year (FY) 2015.

This year, the Office of Inspector General (OIG) has identified two management and performance challenges for inclusion in the FMC's FY 2015 PAR: information technology security and workplace satisfaction. These assessments are based on information derived from a combination of sources, including OIG audit and inspection work, Commission reports, and a general knowledge of the Commission's programs.

The Reports Consolidation Act of 2000 permits agency comment on the inspector general's statements. Agency comments, if applicable, are to be included in the final version of the PAR / AFR that is due by November 16, 2015.

Jon Hatfield

Attachment

Cc: Vern Hill, Managing Director



Other Information

Office of Inspector General

Fiscal Year 2015 Management Challenges

1. **The Management Challenge:** Information Technology Security

Information technology (IT) security is a challenge the Federal Maritime Commission (FMC) shares with other Federal government departments and agencies due to the evolving and growing threats to government information systems. Risks to information and communication systems include insider threats from disaffected or careless employees and business partners; escalating and emerging threats from around the globe; the ease of obtaining and using hacking tools; the steady advance in the sophistication of attack technology; and the emergence of new and more destructive attacks.

Since 1997, the Government Accountability Office (GAO) has designated Federal information security as a government-wide high-risk area, and in 2003, expanded this area to include computerized systems supporting the nation's critical infrastructure. In GAO's 2015 high-risk update, GAO further expanded this area to include protecting the privacy of personal information that is collected, maintained, and shared by both Federal and non-Federal entities. In a GAO report on Federal information security dated September 29, 2015⁵, GAO recognizes how the widespread use of the Internet has changed the way that our government, our nation, and the rest of the world communicates and conducts business. GAO further acknowledges that the benefits of the Internet have been enormous, but the connectivity of the Internet, without effective cybersecurity, can also pose significant risks to computer systems and networks as well as to the critical operations and key infrastructures they support.

Significant examples of the challenges faced by Federal agencies protecting information and communication systems are the cybersecurity incidents that were reported in 2015 by the Office of Personnel Management (OPM). OPM is the independent agency that manages the civil service of the Federal government, to include providing Federal investigative services for background checks. Early in 2015, OPM first reported the discovery that the personnel data, such as full name, birth date, home address and social security numbers, of 4.2 million current and former Federal government employees had been stolen through a cybersecurity incident. In June 2015, OPM also discovered that the background investigation records of current, former, and prospective Federal employees and contractors had been stolen through a cybersecurity incident. Specifically, OPM and an interagency incident response team concluded with high confidence that sensitive information, including social security numbers, of 21.5 million individuals was stolen from the OPM background investigation databases. The frequency and

⁵ U.S. Government Accountability Office, Federal Information Security, *Agencies Need to Correct Weaknesses and Fully Implement Security Programs*, GAO-15-714 (Washington, DC, 2015), <http://www.gao.gov/assets/680/672801.pdf>.



Other Information

increased sophistication of cyber threats underscores the need to manage and bolster the security of Federal information systems.

Agency Progress in Addressing the Challenge:

The *Federal Information Security Management Act of 2002* (FISMA) established information security program and evaluation requirements for Federal agencies in the executive branch, including the FMC. Each year, the FMC OIG performs an independent evaluation of the information security program and practices of the agency. The results of the evaluation are reported annually to the Office of Management and Budget, selected congressional committees, the Comptroller General and the FMC's Commission.

Overall, the FMC is demonstrating a commitment to maintain an effective information security program. In the OIG's *Evaluation of the FMC's Compliance with the Federal Information Security Management Act (FISMA) FY 2014*, the OIG found the FMC had effectively implemented eight of the 12 outstanding prior year FISMA recommendations. Further, the FY 2014 FISMA evaluation contained five recommendations to address three findings, and the agency agreed to implement all of the OIG's recommendations. The OIG is nearing completion of the FY 2015 FISMA evaluation and the preliminary results indicate continued progress is being made by the agency to address security weaknesses; the final report is expected to be issued in November 2015.

The OIG believes the positive results of recent OIG FISMA evaluations can be attributed, at least in part, to FMC leadership accountability, and an effective working relationship between the agency's information security team and the OIG. First, as evidenced during the OIG's interactions with agency staff involved in information security, the FMC Chairman demonstrates a high-level of accountability for his management team. The OIG believes the Chairman's leadership and holding management officials accountable are critical elements contributing to positive results with information security. In addition, the effective working relationship between the agency's information security team and the OIG help ensure that everyone involved is working towards a common goal, to ensure an effective information security program for the agency. Although the OIG's work does identify problems, agency officials responsible for information security are responsive, cooperative and dedicated in their work to address these problems.

The Challenge Ahead:

The 2015 OPM cybersecurity incidents highlight that continued advancements in computer and communication technologies will likely result in ongoing challenges protecting Federal systems. In GAO's September 2015 report on Federal Information Security (GAO-15-714), GAO reported the number of information security incidents affecting systems supporting the Federal government has continued to increase: since fiscal year 2006, the number rose from



Other Information

5,503 to 67,168 in FY 2014, an increase of 1,121 percent. These incidents included unauthorized access to systems; improper use of computing resources; and the installation of malicious software, among others. Particularly because of the FMC's small size and limited resources, it is critical for the FMC to prioritize security controls and enhancements based on risk, and continue to properly plan and partner with Federal agencies to protect vital agency resources.

2. The Management Challenge: Workplace Satisfaction

The OIG identified workplace satisfaction at the FMC as a management challenge for the first time in 2013, and again in 2014, due to low survey results as reported by the Office of Personnel Management (OPM) in their annual Federal Employee Viewpoint Survey (FEVS). OPM's 2015 FEVS results indicate some meaningful improvements in the FMC's workplace satisfaction and employee engagement, but continued improvements are needed.

Workforce satisfaction, or employee engagement, is defined as an employee's sense of purpose: this is evident in their display of dedication, persistence, and effort in their work or overall commitment to their organization and its mission. OPM conducts the annual FEVS to provide government employees, including the FMC, the opportunity to candidly, and anonymously, share their perceptions of their work experiences, their agency, and their leaders. An engaged and satisfied workforce is central to effectively achieving agency goals, retaining staff, and recruitment of new staff.

In December 2012, the Partnership for Public Service (PPS), a nonprofit organization that works to revitalize the Federal government, released its rankings for the *Best Places to Work in the Federal Government*. The December 2012 report ranked the FMC the second lowest of small agencies; the FMC ranked the third lowest of small agencies in both the 2013 and 2014 rankings. The PPS uses data from the OPM's FEVS to rank agencies according to a *Best Places to Work* index score. OPM surveys agency employees and then the agencies are measured on overall employee satisfaction, as well as 10 workplace categories, such as effective leadership, employee skills/mission match, pay, teamwork and work/life balance.

Due to the low FEVS results, the OIG completed an independent evaluation of the FMC's workplace environment in March 2015. The goal of the evaluation was to validate the FEVS results, receive additional or updated feedback from employees, identify areas of agreement and disagreement and provide specific ideas for improving the workplace.

Overall, the OIG evaluation found the major cause of disengagement was in the area of effective leadership. Within this area, three main themes were uncovered: (1) leadership legacy - challenges with previous leaders remain top-of-mind at the agency and continue to impact morale; (2) low levels of trust - management and staff exhibit signs of distrust and a fear of retribution for speaking up or being perceived as out of favor; and (3) poor communication - information is not widely or effectively shared across the agency, which results in rumors and misinformation. During the OIG evaluation process, it was found that the FMC has been taking



Other Information

positives steps to improve low employee satisfaction and commitment scores. In particular, employees pointed to several areas as organizational strengths: (1) positive actions taken to address low leadership scores; (2) transparency in the hiring and promotion process; (3) expertise and talent among staff; and (4) a small agency culture and environment. To address the weaknesses, and build upon the workplace strengths, the OIG provided several recommendations to the agency, centered on the implementation of a robust action planning process, to focus on high impact and achievable action items. The agency agreed to implement all of the recommendations.

Agency Progress in Addressing the Challenge:

The FMC made progress in 2015 to address the challenge of employee satisfaction and employee engagement. This progress is reflected through improved results in OPM's 2015 FEVS and the agency's progress implementing the recommendations from the OIG's March 2015 evaluation of the FMC's workplace environment.

The 2015 FEVS was administered by OPM from May 4, 2015, through June 12, 2015. The survey was anonymous, web based, and offered to all permanent FMC employees on board as of October 31, 2014. Of the 98 employees surveyed, 77, or 78%, chose to participate. Answers to the survey questions enable the FMC to develop effective strategies and tools for driving continuous improvement in the workplace.

Among the notable OPM 2015 FEVS results for the FMC are a 14% increase in the global satisfaction index, the fourth largest increase among small agencies. On average, government-wide, the global satisfaction index increased by one percentage point from 2014. The global satisfaction index measures employee satisfaction about four aspects related to their work: their job, their pay, their organization, and whether they would recommend their organization as a good place to work.

The FMC also increased the FEVS engagement index by eight percent as compared to 2014; this is the fifth largest percent increase among small agencies. On average, government-wide, the engagement index increased by one percentage point from 2014. The engagement index is a measure of the employee's sense of purpose, the display of dedication, persistence, and effort in their work or overall commitment to their organization and its mission. The index is comprised of numerous FEVS questions in the following sub-factors: leaders lead - reflects the employees' perceptions of the integrity of leadership, as well as leadership behaviors such as communication and workforce motivation; supervisors - reflects the interpersonal relationship between worker and supervisor, including trust, respect, and support; and intrinsic work experience - reflects the employees' feelings of motivation and competency relating to their role in the workplace.

In addition to the improvements reported in the 2015 FEVS results, the agency made considerable progress implementing the recommendations contained in the OIG's March 2015 evaluation of the FMC workplace. Specifically, the agency updated the FMC-wide action plan to



Other Information

focus on high impact and achievable action items in the workplace. The improved action plan added important elements, to include detailed action items, key deliverables, a timeline, responsible parties, resources needed and metrics for evaluating progress. The action plan was communicated in several ways to all employees, through email, meetings, and posted on the agency's intranet. Several initiatives for fiscal year 2015 were included in the new action plan, to include an updated telework program, diversity training, the appraisal process, and a refresh to the agency's employee suggestion program. As one example, the employee suggestion program is made up of a cross section of employees from the agency who volunteered to serve a six month term. The plan is for this team to meet monthly, review employee suggestions and make recommendations to the agency's senior leaders. In addition, the Chairman, in his capacity as executive champion of the workplace improvement efforts, instituted regular meetings with the senior leaders to review progress and plan for next steps in the workplace improvement efforts.

The Challenge Ahead:

The agency's actions and results in fiscal year 2015 demonstrate a strong commitment to improve the FMC workplace. While there is much work still to do, the agency has put in place an effective action planning process, and beneficial communication and feedback mechanisms. Most importantly, the agency must ensure the efforts being made are resulting in real change for the employees, and continuous feedback at all levels is critical to ascertain the pulse of the workforce.



Comments on IG-Identified Management and Performance Challenges

The FMC appreciates the work of its Inspector General in reviewing the agency's actions and compliance with Federal laws and mandates. The role of the Inspector General is important government-wide to ensure accountability to the U.S. public. The Commission agrees with the FMC's Inspector General on its identified Management and Performance Challenges and commits itself to continuing efforts to meet these challenges with planning, attention, and diligence. A response to each challenge is outlined below:

1. Information Technology Security

Management agrees that it is critical for this agency to continue to prioritize information technology security controls and risk-based enhancements, especially in view of the many highly-publicized recent incidents and data breaches at other Federal agencies. In recent fiscal years, the Commission has responded quickly to identify critical vulnerabilities, mitigate risk and strengthen our cybersecurity readiness with upgrades to our information technology infrastructure. However, the Commission's limited resources hinder its ability to stay ahead of the latest cybersecurity threats. Strategic planning and partnering with other Federal agencies to protect our information technology infrastructure is essential. The FMC is a participant in the General Services Administration and Department of Homeland Security's Continuous Diagnostics and Mitigation and Continuous Monitoring as a Service programs, which will enable the agency to implement tools and services to strengthen the security posture of our information technology network.

2. Workplace Satisfaction

Management agrees that, although much has been accomplished, efforts must and will continue to be made to improve the FMC workplace. The results of the FEVS discussed by the IG are encouraging, but the Commission remains focused on continued improvement. Workplace satisfaction and employee engagement remain mission-critical priorities at the FMC.

In FY 2015, the Commission made strides and implemented actions and initiatives that demonstrate the leadership's commitment to workplace satisfaction and employee engagement. The FMC's Statement of Principles was updated and published on August 31, 2015, and is on display in FMC offices. The FMC's Workplace Improvement Plan was updated, and provided to all employees by the Chairman.

Employees were encouraged to collaborate in several improvement initiatives by participating in working groups, and information is available to staff in their respective charter plans on the FMC intranet, and include:

- (1) Diversity Training: will be provided annually to SES and Managers (completed for FY2015). A diversity training working group was formed and is in progress;



Other Information

- (2) Appraisal Process: A working group was formed with employee participation, and training for supervisors and staff was provided in June and July, 2015. An After Actions Report was made to supervisors and managers in July 2015, and to employees in September 2015;
- (3) Telework: A Cross-Bureau/Office employee working group was established to examine and modernize the Commission's telework policy and update Commission Order 71. Training for all employees was provided in July 2015. The new policy is effective in October 2016;
- (4) Employee Suggestion Program: A working group was formed to refresh and modernize the employee suggestion program. Early in FY 2016, the working group will present suggestions to the SES. It is anticipated that employee recognition for adopted employee suggestions will be completed by the end of calendar year 2015; and
- (5) Social Interaction: A social events program working group was formed. Various social events were held throughout FY 2015, and several are planned for FY 2016.

The Chairman, in his capacity as executive champion, together with the SES, continue to hold regular (monthly/bimonthly) meetings to review progress and implement next steps. The Chairman and SES completed identified FY2015 actions by the end of the fiscal year, and with staff input and discussion, are now identifying FY2016 actions. All actions are being communicated via all-hands meetings, and inter- and intra-Bureau/Office meetings are ongoing.



Other Information

Improper Payments Information Act

Narrative Summary of Implementation Efforts for FY 2015

- I. The Federal Maritime Commission has not identified any program that in and of itself constitutes a high-risk for improper payments. Therefore, the FMC considers all of its payments to fall within the realm of low risk. As such, the FMC has instituted a separation of duties concerning payments that has been very successful in curtailing any improper payments. The National Finance Center (NFC) became the agency's payroll provider in 2002 and is responsible for monitoring and reporting on any payroll-related payments. Any overpayments made to an FMC employee by the NFC on behalf of the FMC, would be offset by NFC. In FY 2015, the FMC had no overpayments. The FMC did not identify any improper collections through the Intergovernmental Payments and Collections (IPAC).
- II. The FMC used a statistical sample conducted by BFS to determine its improper payment rate.
- III. The FMC will continue to monitor payments to maintain a zero dollar improper payment figure. To this end, the FMC will ensure that there is sufficient segregation of duties pertaining to payments concomitantly with closer scrutiny of all IPAC collections made against the Commission. The FMC will continue to monitor all disbursements made on its behalf to ensure payments are valid and proper.
- IV. The table below represents the improper payments made by the FMC in FY 2015 with percentage forecasts through FY 2018.

Improper Payments Information Act Reduction Outlook FY 2015 - 2018 (millions)						
Program	FY 15 Outlays	FY15 IP %	FY15 IP \$	FY16 %	FY17 %	FY18 %
Formal Proceedings	\$0.00	0.00	\$0.00	0.00	0.00	0.00
Inspector General	\$0.00	0.00	\$0.00	0.00	0.00	0.00
Equal Employment Opportunity	\$0.00	0.00	\$0.00	0.00	0.00	0.00
Operational and Administrative	\$0.00	0.00	\$0.00	0.00	0.00	0.00
Totals	\$0.00	0.00	0.00	0.00	0.00	0.00

- V. The FMC has a segregation of duties in place to ensure that all invoices processed for payment are legitimate expenses of the agency. All IPAC invoices are received by BFS and forwarded to OBF via electronic media for internal processing and payment authorization. When an invoice is received, it is first verified as a valid invoice belonging to the agency. OBF matches the invoice to documentation provided by the Contracting Officer's Representative (COR)



Other Information

indicating that goods/services have been received by the Commission, and approves the invoice for payment. BFS is advised of the purchase order the invoice is being paid against and the payment amount. OBF also ensures that sufficient funds have been obligated to make the payment and provides BFS with the period of performance. Once the payment authorization has been processed by OBF, the payment information is verified by a second OBF staff member. At that point, the invoice is electronically returned to BFS for processing. When the payment is loaded into the Oracle database, a final funds availability check is made by the financial system against the fund controls set for the FMC. OBF audits the payment information posted in the financial system.

- VI. The Chairman, as the Chief Administrative Officer of the FMC, is ultimately responsible for the efficient and effective utilization of the spending authority granted the agency by Congress. The Chairman has delegated administrative funds control to the Director, OBF. The Director of OBF has the responsibility to ensure that disbursements made by BFS on behalf of the FMC are legitimate expenses of the Commission and that there are sufficient funds available to pay the agency's expenses. The OBF is responsible for reducing and recovering improper payments, and keeps senior agency officials apprised of all relevant activities.
- VII.
 - a. The FMC does not have an in-house information system to help reduce improper payments. The agency utilizes the infrastructure and financial system maintained by BFS in Parkersburg, WV.
 - b. In 2015, the FMC requested funding to maintain the contract between the FMC and BFS for financial support and platform access to the Oracle database through Oracle's Discoverer portal.
- VIII. There are no statutory or regulatory barriers that limit the agency's ability to take corrective actions to address any improper payments.

Summary of Financial Statement Audit

Summary of Financial Statement Audit					
Audit opinion	Unmodified				
Restatement	No				
Material Weakness	Beginning Balance	New	Resolved	Consolidated	Ending Balance
None	0	0	0	0	0

EXHIBIT 2



The Ocean Shipping Reform Act:

An Interim Status Report

FEDERAL MARITIME COMMISSION

JUNE 2000

Table of Contents

Executive Summary	ii
Introduction	1
Part I: Regulatory and Industry Overview	2
Regulatory Overview	2
Industry Overview	10
Part II: Service Contracts	17
Overview of the OSRA Service Contract System	17
Preliminary Observations on Service Contracts under OSRA	20
Service Contract Filings Among Shipper Groups	25
Part III: Agreements	27
Agreement Filings	27
Voluntary Service Contract Guidelines	30
Guideline Content	32
Adherence to Service Contract Guidelines	33
Part IV: Ocean Transportation Intermediaries	34
OTI Statistics	35
Part V: Tariffs	37
The Final Report	40

Executive Summary

This interim status report provides a preliminary view of some of the effects the Ocean Shipping Reform Act of 1998 (“OSRA”) is having on the liner shipping industry in the very short term. It also details how the Federal Maritime Commission (“Commission”) has responded to its changed responsibilities under the new statute, and points out some of the issues which have arisen in the process of implementing OSRA. This interim report will be followed by a more comprehensive report, scheduled for issuance in the summer of 2001.

- OSRA’s reforms were enacted to produce a more market-driven liner shipping industry. Based on business operations during OSRA’s first year, there are at least preliminary indications that the new law is having some of the positive effects on the business of ocean shipping intended by Congress and the President. Shippers are negotiating one-on-one with carriers for contract terms, including the ability to keep those terms confidential. The number of conferences is declining, leaving discussion agreements - which are prohibited from imposing binding commitments on their members - as the primary means for carriers to exercise their antitrust immunity with regard to rate levels. Indications are that rates and service increasingly are being driven by market forces.

- It is premature to determine the full impact OSRA will have on U.S. ocean shipping. More definitive conclusions may be drawn once all sectors of the industry have had sufficient time to explore new possibilities and appropriately alter their operations.
- In response to OSRA, the FMC implemented an efficient and user-friendly Internet-based system for the receipt of confidential service contracts. This system allows filers to electronically submit their service contract files using off-the-shelf word processing software. From May 1, 1999, through May 2000, 46,035 new service contracts and 95,627 amendments were filed with the Commission.
- Preliminary observations indicate that most service contracts are individual contracts resulting from one-on-one negotiations between shippers and carriers. The majority of contracts involve only one trade lane, and have a term of one year. In addition, many of the contracts reviewed contain no confidentiality provisions, and carriers differed greatly in the manner in which they negotiated confidentiality provisions.
- Based on a random sample, about seventy-five percent of the service contracts filed under the new Internet-based system were signed by beneficial owners of the cargo, twenty percent by NVOCCs, and five percent by shippers' associations.

- While there were 32 conference agreements in effect in 1997, only 22 are in effect today. There is only one conference operating in the major east-west trades. Overall, discussion agreements have replaced conference agreements as the primary vehicle for concerted carrier activity.
- The majority of agreements filed since the passage of OSRA involve operational matters, as opposed to pricing authority. This continues a trend that has been developing over the last several years. These agreements allow carriers to integrate their operations in ways that reduce costs and increase efficiencies.
- OSRA permits agreements to establish guidelines that may be applied to members' individual service contracting. These guidelines must be strictly voluntary and are nonenforceable by the agreement. The Commission has received eleven sets of voluntary service contract guidelines, mostly filed by discussion agreements. These guidelines generally have covered matters such as minimum rates for specific commodities, general rate increases, and a variety of specific charges and fees.
- A preliminary analysis reveals limited adherence to filed guidelines. It appears that guidelines are being followed most closely by agreements whose members are operating closest to vessel capacity.

- While certain automated tariff systems developed to comply with OSRA comport with applicable accessibility requirements, many have deficiencies which affect their accessibility. The Commission issued advisories to the industry and an advance notice of proposed rulemaking, in an attempt to resolve the accessibility problems it identified.

Introduction

The Commission is in the process of studying the effects of the Ocean Shipping Reform Act of 1998 (“OSRA”) on the liner shipping industry. The study will cover the two-year period following the implementation of OSRA in May 1999. This Interim Status Report describes the effects of OSRA on the liner shipping industry in the very short term, how the Federal Maritime Commission (“Commission”) has responded to its changed responsibilities under the new statute, and some of the issues which have arisen in the process of implementing OSRA. In addition, this report gives an indication of the issues and research methods which are being undertaken for the full two-year OSRA Impact Study, which will be released in the summer of 2001.

Part I of the report gives an overview of OSRA’s more prominent changes. It also describes the new regulations the FMC has promulgated in response to OSRA, and discusses the reorganization the FMC effectuated to better carry out its regulatory responsibilities under OSRA.

Part II presents information and statistics on service contract filings under the new Internet-based filing system the Commission implemented as a result of OSRA. Two studies of filed contracts are presented: one dealing with certain provisions contained in contracts, and the second involving the types of shippers who have signed contracts.

Part III discusses agreement filing trends under OSRA, including a general description of the voluntary service contract guidelines that are required to be filed confidentially with the Commission. A discussion of the effectiveness of some of these guidelines is also presented.

Part IV provides information and statistics on ocean transportation intermediaries (“OTIs”). It describes the numbers and types of OTIs that have filed for licenses and established financial responsibility required by OSRA.

Part V discusses tariff issues which have arisen under OSRA. An FMC audit has found that some of the published tariffs do not appear to comport with OSRA’s accessibility requirements. This section describes the measures the Commission is undertaking to ensure that the public has access to carriers’ tariff systems.

The final section focuses on the full two-year study and the types of research that are being undertaken for that study.

Part I: Regulatory and Industry Overview

Regulatory Overview

The Shipping Act of 1984 (“1984 Act” or “Shipping Act”), 46 U.S.C. app. § 1701 et seq., was amended by the Ocean Shipping Reform Act of 1998, Pub. L. 105-258, effective May 1, 1999. OSRA, enacted by Congress in October 1998, was the culmination of a nearly four-year effort to update and revise the Shipping Act, with virtually all segments of the industry represented in the legislative reform process.

Service Contracts

The key components of the new law are the enhanced confidentiality of service contracts between shippers and ocean common carriers and the inability of carrier conferences to prevent conference members from entering into individual service contracts. As before, service contracts are filed confidentially with the Commission, but

now fewer essential terms are public information. The rates are no longer publicly filed; only the origin and destination port ranges, the commodity or commodities involved, the minimum volume or portion, and the duration of the contract are made public. In addition, the parties to a contract can agree on provisions for keeping all, or a portion, of the contract confidential from their competitors. Moreover, similarly situated shippers no longer have “me-too” rights to obtain the same essential terms. Shippers do have the option of entering into service contracts individually, through a shippers’ association, or for the first time, through a group of unrelated shippers, and contracts now may be negotiated for a portion (i.e., percentage) of a shipper’s cargo as opposed to a fixed quantity. Also, the authority to offer joint service contracts has been expanded from solely conferences to any agreement among ocean common carriers.

Agreements

With respect to agreements, OSRA has maintained antitrust immunity for concerted carrier actions, but has limited the permissible activities to which such immunity attaches. Agreements no longer may limit or prohibit service contracting by their members. Moreover, agreements are precluded from requiring members to disclose their service contract negotiations or the details of any contracts into which they have entered. An agreement may publish general guidelines applicable to members’ individual contracting practices, but these guidelines must be voluntary and non-enforceable by the agreement and filed confidentially with the Commission.

The notice period for independent action on an agreement rate or charge has been reduced from 10 to 5 days. Also, a conference or group of two or more carriers may not deny its members the right to take independent action, on 5 days’ notice, on the level of

compensation to be paid to an ocean freight forwarder. Nor may a conference agree to limit compensation to less than 1.25 percent of the aggregate of the applicable rates and charges.

OSRA left intact the 45-day period for Commission review of an agreement. Absent Commission action to reject or request additional information, an agreement automatically becomes effective 45 days from its filing. It also left intact the general standard for evaluating substantially anticompetitive agreements; the Commission may seek an injunction in district court against an agreement that the Commission can prove likely, by a reduction in competition, to produce an unreasonable reduction in service or unreasonable increase in costs. However, a Senate Commerce Committee Report accompanying OSRA (S. Rep. No. 61, 105th Cong., 1st Sess. (1997) at 12-17) urged the Commission to take a more active and vigilant role in administering the standard, using “reasoned projections and forward-looking analyses” to head off likely anti-competitive harms.

Tariffs

OSRA eliminates the requirement that carriers file their tariffs with the Commission, and instead requires carriers to develop and utilize their own electronic systems for notifying the public of the prices and practices applicable to their various shipping services. Tariffs must be made available electronically to any person, without time, quantity or other limitation, though a reasonable charge may be assessed for such access. No charge may be assessed a federal agency. The Commission is authorized to prescribe requirements for the accessibility and accuracy of carriers' automated tariff systems.

OSRA also provides that marine terminal operators (“MTOs”) may make available to the public schedules of rates, regulations and practices, including any limitations of liability. Such schedules shall then be enforceable as an implied contract, without proof of actual knowledge of their provisions.

Ocean Transportation Intermediaries

OSRA defines ocean freight forwarders and non-vessel-operating common carriers (“NVOCCs”), as ocean transportation intermediaries (“OTIs”). OSRA requires that all OTIs in the United States, rather than only ocean freight forwarders, obtain a license. Further, the Commission was instructed to reevaluate the amount of financial responsibility required to be furnished by these entities and to establish an alternative procedure for pursuing a claim against an OTI’s financial responsibility.

Foreign Practices

Specific changes have been made to enhance the Commission’s ability to guard against foreign government-supported predatory pricing, and to clarify the types of activities that create unfavorable conditions in our foreign trades. OSRA clarifies that pricing practices are among those practices that may constitute a condition unfavorable to shipping, and the suspension of service contracts is now available as a remedy by which to address unfair foreign trade practices. In addition, there are now fewer exceptions to the controlled carrier requirements.

Prohibited Acts

OSRA made several modifications to the prohibited acts found in section 10 of the Shipping Act. In general, the changes comport with the new service contract provisions,

which encourage one-on-one contracts between individual shippers and carriers, and do not require providing the same terms to similarly situated shippers. The prohibitions pertaining to concerted action are more stringent than the restrictions applicable to individual common carriers. Moreover, the prohibited acts applicable to actions in accordance with a tariff are different from those applicable to actions in accordance with a service contract, to better reflect OSRA's encouragement of the use of these individual contracts.

Rulemakings to Implement OSRA

The Commission issued eight proposed rules to implement the changes effectuated by OSRA. We reviewed and assessed the comments submitted by the interested parties and then adopted those consistent with the Commission's mandate. The rules ultimately promulgated as a result of the notice and comment procedures reflect the interests and address the concerns of the industry. In particular, we implemented an Internet-based service contract filing system by which the filers can file via the Commission's website and simply attach, in a variety of formats, the text of the contract.

The new rules governing agreements among ocean common carriers and MTOs set forth that shipping lines are barred from collectively agreeing on prohibitions or restrictions on service contract negotiations or on requirements for disclosure of contract terms or negotiations, but are permitted to establish voluntary guidelines. Moreover, the Commission deleted much of the format requirements for filed agreements, and based on industry requests for further clarification and guidance, issued a notice of inquiry relating to the content of agreements. Those responses are currently under review to determine

whether, and in what manner, another rulemaking would be warranted. In a subsequent proceeding, the Commission adopted a definition of ocean common carrier to better reflect the practical workings of the industry and the intent of Congress. The rules governing tariff publication allow carriers to implement automated systems using the latest technological innovations, to provide easy access to their rates and charges. Since OSRA's effective date, the Commission's staff has experienced several problems relating to tariff accessibility. Working with the industry, we hope to resolve these problems on an informal basis to ensure the public's access to tariffs. Moreover, the Commission has issued an advance notice of proposed rulemaking to assist it in determining reasonable charges for tariff access.

The rules relating to OTIs reflect many constructive suggestions submitted by the commenters involving the licensing and financial responsibility provisions. The rules set forth a range of financial responsibility to be obtained by ocean freight forwarders, NVOCCs in the U.S., and unlicensed foreign NVOCCs. Moreover, foreign NVOCCs are provided the opportunity to obtain a license and maintain a lesser amount of financial responsibility by establishing a presence in the United States. The rules define "transportation-related activities," and set forth an alternative claim procedure for parties seeking payment from an OTI's financial responsibility as a result of damages arising from the OTI's transportation-related activities. Subsequent to OSRA's implementation, in response to a petition filed by an association of OTIs, the Commission lessened the restrictions governing who could be a qualifying individual for purposes of obtaining an OTI license.

Working together with the industry, the Commission was able to effectuate as smooth a transition as possible to the new operational environment resulting from OSRA. We continue to assess the rules promulgated to implement OSRA and are receptive to industry suggestions as to where they might be refined to further Congressional objectives or eliminate unintended burdens.

The FMC Reorganization

On February 27, 2000, the Commission implemented a reorganization designed to meet the new responsibilities and challenges of OSRA. The agency has been streamlined and restructured, and resources have been reallocated, to enhance the efficiency of all oversight efforts. By organizing the Commission differently, the agency stands in a better position to focus on the policy objectives embodied in the new statute. The agency also is able to utilize its limited personnel and other resources in a manner that maximizes effectiveness, promotes efficient ocean transportation, and places greater reliance on the dynamics of the marketplace. The Commission will continue to foster an environment that facilitates statutory compliance and ensures equitable trade conditions.

Specifically, the Commission formed the new Bureau of Consumer Complaints and Licensing to enhance its consumer assistance efforts. We have augmented our ombudsman-type services and will devote additional attention to consumer fraud and informal complaints. We also will increase our emphasis on alternative dispute resolution, conciliation, and mediation, so as to avoid the costs and time commitments attendant to formal adjudications, where possible. Additionally, the new bureau will oversee and streamline the licensing and financial responsibility of OTIs, and will be responsible for

the oversight of the certification of passenger vessels for financial responsibility. This function has become more important given the increasing popularity of ocean cruising and the continual attention that must be given to cruise lines' various forms of financial coverage packages.

Additionally, certain functions of two former bureaus were merged into one - the Bureau of Trade Analysis. This Bureau will be responsible for processing agreement filings, performing competition oversight and analysis, and providing assistance regarding service contracts and tariffs. More resources will be devoted to substantive analysis of industry practices and trends, with a reduced emphasis on the technical review of filed documents. This structure gives the Commission a more efficacious mechanism to address its statutory responsibilities concerning the filing of service contracts and the accessibility and accuracy of carriers' automated tariff systems.

The Commission's Bureau of Enforcement will continue to respond to evidence of statutory violations so as to ensure equitable trading conditions in U.S. ocean commerce. OSRA requires the Commission to address malpractices that are market-distorting or violate the statute in a manner that negatively affects U.S. ocean shipping. Within this framework, however, the Commission's preference, whenever possible, is to achieve compliance through outreach to and cooperation with the stakeholders.

The reorganization also resulted in the elimination of a layer of management in the administrative support area - all administrative functions have been placed under the direction of an Executive Director, who is also responsible for operational oversight within the Commission in addition to providing policy advice. Also, a permanent task force on

international affairs was established to enhance Commission efforts to address the restrictive practices of foreign governments, and to more effectively oversee controlled carrier matters.

The Commission is making a concerted effort to meet the challenges of the new statute within the limits imposed by staffing and funding resources. We have focused on improving efficiency, reducing burdens on the industry, and enhancing our ability to assist industry compliance efforts.

Industry Overview

There are at least two important trends in international liner shipping that may affect the longer term impact of OSRA reforms. The first is the increasing concentration in liner shipping, either by mergers and acquisitions, or through the formation of multi-trade alliances. The second is the virtual replacement of traditional conferences by discussion agreements. This latter trend began in the 1980s with the creation of “stabilization” agreements that included both conference and non-conference lines operating in the same trades, and has – following the implementation of OSRA – culminated in the suspension or dissolution of several major conferences. These two trends will be addressed more fully in the Commission’s final OSRA Impact Study.

Increasing Industry Concentration

Although the trend towards greater industry concentration can be traced back to the containerization revolution of the late 1960s, it has been surging in recent years for several reasons, e.g., the rapid growth of international trade and the technological innovations that have supported intermodalism, the building and operation of post-panamax vessels,

greater use of specialized containers, and innovations in terminal handling technologies. As worldwide trade continues to expand, carriers are building ever larger vessels, expanding their containership fleets, modernizing and expanding terminals, and providing electronic cargo tracking systems, while struggling to minimize costs. One result has been the formation of global alliances as a vehicle for expanding the scope of service networks and realizing operational savings, while minimizing financial outlays and risks. The situation also has led to a dramatic series of both major and minor carrier acquisitions.

Current expectations are that economies of scale and scope in liner shipping will continue to create incentives for additional acquisitions, and possibly even for the formation of additional global alliances. One consequence, some industry analysts have predicted, may be the creation of an oligopoly in the provision of liner services. However, even if that degree of industry concentration is not achieved soon, there remains the prospect that the diminishing number of surviving carriers may attempt to use discussion agreements as a forum for developing trade-lane capacity policies to complement their collective pricing policies – either by reintroducing a formal capacity management program, or by attempting to influence member lines' individual capacity plans.

Either possibility, the eventual creation of a stable and effective oligopoly or the introduction of a capacity management function among discussion agreement activities, could affect the extent to which the expected benefits of OSRA reforms would be achieved.

The Movement Towards Discussion Agreements

The rise in the 1970s of new independent container lines, often based in Asian nations, introduced an increasingly effective alternative to conference carriers, and created

competitive pressures that eroded conference market power in major U.S. trades. These new independent competitors, frequently established with government support, initially did not offer levels of service that could match leading conference lines and tended to compete mainly on price, typically charging an estimated 10 - 15 percent below conference rates. In effect, two overlapping markets were created: a premium service market that was largely catered to by conference lines, and a discount market in which the new independents could compete successfully against conference lines. Over time, the new independents' asset base, technologies, and operational experience improved to the point where their overall level of service was increasingly comparable to that offered by many conference lines – and, at least at the level of port-to-port ocean carriage, the initial two markets blended into one.

This homogenization of basic service heightened rate pressure on conference lines, whose market share began to erode. This presented conference lines with two basic options: either persuade the non-conference lines to sharply reduce and eventually eliminate the existing rate differentials, ideally by joining the conference, or else reduce the rate differentials by cutting conference rates to a level that matched the independents.

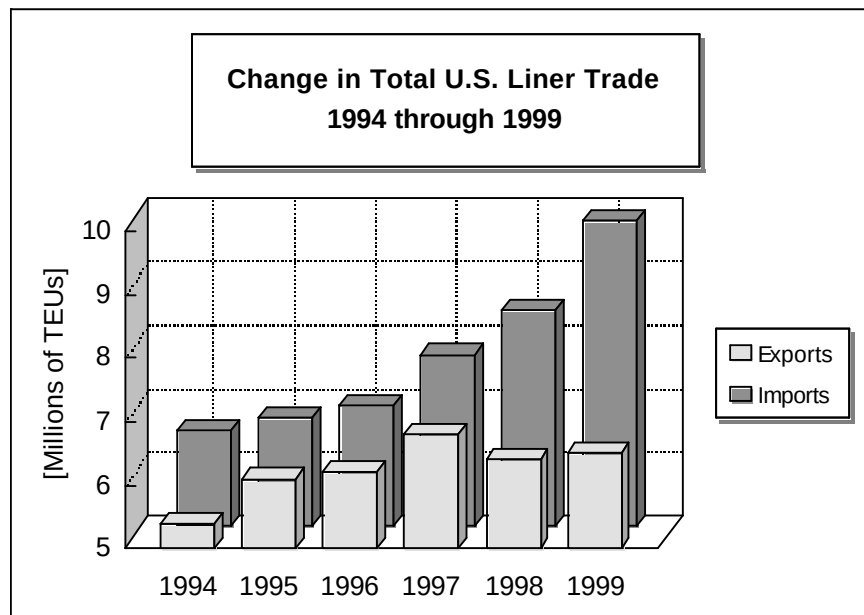
In the Europe trades, the creation of the Eurocorde Discussion Agreement in the mid-1980s, and eventual creation of an enlarged conference, the Trans-Atlantic Agreement (“TAA”), both of which followed periods of excess capacity and heavy rate discounting, aligned independent lines with conference carriers. TAA also introduced a capacity management program into the Atlantic trades as part of its broader stabilization effort.

The use of capacity management programs was introduced in the transpacific trades in 1989 when conference and non-conference lines joined to establish the Transpacific Stabilization Agreement (“TSA”) as a response to a precipitous rate decline and overcapacity of approximately 25 percent. Although TSA’s capacity management program ended in 1995, in the face of a potential legal challenge by the Commission, discussion agreements have become a fixture in the Pacific trades and also have been established in the US/South American and US/Caribbean trades.

In short, discussion agreements became prevalent in the late 1980s and early 1990s as a forum within which conference lines could meaningfully participate with non-conference rivals to discuss and voluntarily act together with respect to rates, capacity, and various charges and fees. Their existence was evidence that traditional conferences lacked the flexibility to attract participation by the new independent lines, but that a broader and sufficiently flexible, collective arrangement was possible.

Recent Trade Conditions

Beginning in late 1997, the U.S. liner trades have experienced a rapidly growing trade imbalance with imports far outstripping exports. U.S. liner imports totaled more than 10 million containers during 1999, while exports totaled 6.5 million containers. Although imports are growing at a rate of over 11 percent per year, the export market remains depressed (see graph below).



Source: *Piers/Journal of Commerce Trade Horizons* - Winter 2000

The imbalance between imports and exports exists largely due to the strong U.S. economy, the collapse of the export market as a result of Asia's 1997 financial crisis, and the euro's decline in value against the dollar under the EU's newly integrated monetary system. Trade developments in three of the largest U.S. trades - Asia, Europe, and Latin America - are discussed below.

Asia

The transpacific trades are the largest and fastest growing U.S.-foreign trade area. Total cargo volumes between the U.S. and the Far East make up more than 50 percent of all U.S. liner trade. Imports from Asia are growing at almost 20 percent per year, totaling 6 million containers. Exports in the smaller U.S. to Asia trade are increasing at over 5 percent per year, totaling slightly less than 3 million containers.

The strong U.S. economy coupled with the economic crisis in Asia resulted in a large increase in U.S. purchases of imported goods, causing space on inbound liner carriers to become extremely tight - capacity utilization grew to 100 percent in the peak season of 1998. Members of the Asia to U.S. Transpacific Stabilization Agreement successfully implemented a \$900 per 40-foot equivalent unit ("FEU") general rate increase ("GRI") in 1999, as well as a \$300 per FEU peak season surcharge. In contrast, the U.S. to Asia trade was decimated as sales to Asia dropped off significantly as a result of the Asian economic crisis. Members of the Westbound Transpacific Stabilization Agreement have continued to struggle with a relatively low demand for cargo space, very low capacity utilization, and plunging rate levels, although rates in the trade have recently appeared to bottom out.

North Europe

In the transatlantic trades, trade volume has been growing in the North Europe to U.S. trade since 1997 at an average annual rate of 11 percent, although there was a drop-off in the growth rate in 1999. As in the transpacific trade, the strong U.S. economy and a strong dollar have resulted in good growth rates for imports. In the U.S. to North Europe

trade, strong growth in outbound cargo volume in 1997 has given way to a rapid fall in export cargo volumes. This decline was caused by the financial crisis in Russia that depressed demand in much of eastern Europe, as well as a weak euro and stagnating North European economies.

The Trans-Atlantic Conference Agreement (“TACA”), the major carrier agreement in the trade, holds about a 50 percent market share. However, as a result of regulatory and competitive market pressures, TACA’s membership has dropped from 17 carriers in 1997 to 7 members by late 1999. As a result of poor market conditions and increasingly competitive conditions in the trade, rates have been declining over the past two years.

Latin America

Trade volume in the South America to U.S. trade grew modestly in 1997, remained stagnant in 1998, then took off in 1999, growing almost 25 percent. On the other hand, volume on the other leg from the U.S. to South America declined 8 percent in 1998 from its 1997 levels, and a further 22 percent in 1999. The surge in imports over exports is attributable primarily to a 40 percent devaluation of the Brazilian currency due to a financial crisis similar to that in Asia, as well as to the strong U.S. economy. There also has been a significant increase in capacity in the trades as a number of large carriers have entered the Latin American markets, putting pressure on the trade in general and the smaller niche carriers in particular.

This dramatic turnabout in the direction of the trade has had a negative impact on carriers in this trade lane, mainly because many of the commodities carried into the U.S. face highly competitive world markets, and cannot bear large rate increases. Thus, the

strong, or northbound, leg of the trade has been unable to support rate increases sufficient to offset the significant decline in rate levels experienced in the weak, or southbound, leg of the trade. In response to the changing competitive conditions, a number of the major conferences have disbanded, including: the West Coast of South America Agreement, the Inter-American Freight Conference, and the Venezuelan American Maritime Association. The two South American discussion agreements, the East Coast South America Discussion Agreement and the West Coast South America Discussion Agreement, have become the major focus for carrier joint rate-making activity. In addition, alliances, joint service agreements, and mergers have been used to reduce the excess capacity recently put into the trades and to make more efficient use of each carrier's assets.

Part II: Service Contracts

Overview of the OSRA Service Contract System

The 1984 Act provided the specific statutory authority for vessel-operating common carriers and conferences to enter into service contracts with shippers and shippers' associations. Service contracts stipulate the terms and conditions wherein the shipper party commits to a certain volume of cargo over a fixed time period in exchange for the carrier party's commitment to charge a certain rate and provide a defined level of service. Service contracts evolved in significance as an alternative to shipping under the more standardized rates and terms of tariffs. The appeal of shipping under service contracts is the ability of the parties to negotiate and tailor contracts to meet their specific shipping needs. Since first initiated, the use of service contracts has grown substantially.

OSRA expanded the statutory authority to allow service contracting by all agreements between carriers, not just conferences. It also prohibits agreements from setting any mandatory rules or requirements that would obstruct the right of their members to enter into individual service contracts. Prior to OSRA, conferences collectively regulated the service contracts of their members, and few conferences permitted their members to enter into any form of individual service contracts.

To safeguard against statutory violations, carriers and agreements are required to confidentially file their service contracts with the Commission and make available certain essential terms to the general public in tariff format. Prior to OSRA, service contracts were filed with the Commission in paper form, and their essential terms were published and made available through the Commission's Automated Tariff Filing and Information ("ATFI") system. With the implementation of OSRA, the number of annual service contract filings was projected to increase by 200 percent or more. Consequently, the Commission sought to replace its paper-based filing system with an electronic filing system that could efficiently accommodate the anticipated large increase in filings without being burdensome to the industry.

Beginning May 1, 1999, the Commission placed in operation two electronic filing systems. Filers were given the option of electronically submitting their service contracts via the Internet, or as an alternative, using a modified and secure version of the defunct ATFI system. The modified ATFI system was adapted from the system formerly used to publish the essential terms of service contracts and tariffs, and expanded to include such additional terms as the contract signatories and the shippers' status. Among its

drawbacks, the modified ATFI system required that service contracts be filed in a prescribed format using specific software. Both the Commission and the industry favored the ease and flexibility of the Internet filing system. Given the time constraints placed on implementing an electronic filing system, the Commission offered the modified ATFI system on a transitional basis until the industry had fully adjusted to the Internet system. The option to file service contracts using the modified ATFI system was discontinued on October 1, 1999.

The Internet system was created as an easy filing method that would safely and efficiently accommodate the electronic submission of a large number of files. The system offers many user-friendly features. It places a minimal burden on the filer and requires only basic information to submit a service contract. The system operates within a Windows environment and employs the latest security and encryption to ensure confidentiality. No special software is required to submit a service contract, other than Windows and an Internet provider. While service contracts must comply in content with 46 CFR §530.8, the system does not require contracts to be filed in any prescribed format. Contracts may be submitted as originally drafted without having to re-format them for filing purposes. The system also will accept files in a variety of word processing software including WordStar, WordPerfect, and Microsoft Word, as well as ASCII formats. In addition, filers may submit multiple service contract or amendment files into the system. Using the Internet, filers access the Service Contract Filing System (“SERVCON”) through the Commission’s home page on the World Wide Web at www.fmc.gov. The SERVCON is a secure area of the Commission’s web site that allows files to be electronically transmitted in a protected environment.

Since OSRA's implementation on May 1, 1999, through May 31, 2000, the Commission has received a total of 141,662 service contracts and amendments. Of this total, 46,035 were original service contracts and 95,627 were amendments.

Preliminary Observations on Service Contracts under OSRA

As a preliminary effort to gauge the effects of OSRA's reforms on service contracting, the Commission conducted a study of contracts of the top 13 ocean common carriers operating in the U.S. foreign trades based on their total annual cargo carriage. A total of 408 contracts filed via the Commission's Internet filing system on or after May 1, 1999, were reviewed. It should be emphasized, however, that these contracts were not a random statistical sample; approximately 30 original contracts from each of the top 13 ocean carriers were retrieved for review. Therefore, only guarded and preliminary generalizations about the entire service contract database can be made from this study. A more comprehensive examination of service contracts, one based on random sampling methods, will be included in the Commission's final two-year OSRA Impact Study.

The study focused on several key service contract provisions: contract duration, number and type of shippers and carrier parties to contracts, minimum quantity commitments, geographic scope, and contract confidentiality provisions. The contract's duration was measured from its effective date to its expiration date. Contracts were examined to determine whether they were signed by a single shipper party or multiple, non-affiliated shipper parties, outside of a shippers' association, as now permitted under OSRA. For purposes of this review, shippers' associations and multiple affiliated shipper parties under one signatory were classified as a single shipper.

The contracts also were examined to determine whether carriers were entering into service contracts individually or collectively with other carriers under an effective agreement. In addition, the levels of minimum quantity commitments, and the commitment specifications, were reviewed to detect changes in light of OSRA's reforms and the revised service contract definition that allows for commitments based on a portion of a shipper's cargo.¹ For geographic scope, the origin and destination port ranges and areas of the contracts were reviewed and divided into categories of either: (1) a single U.S. trade lane or area, (2) multiple U.S. trade lanes or areas, or (3) global trade lanes or areas. Contracts in the single trade category had scopes confined to one U.S. trade lane or area, such as between the U.S. and Germany, or the U.S. and the Far East. Contracts with multiple scopes spanned two or more U.S. trade lanes or areas, such as between the U.S. and South America, Europe, and the Far East, or U.S. worldwide. Contracts categorized as global included foreign-to-foreign trades within their scopes in addition to U.S. foreign trades.

An important feature of the reforms initiated under OSRA is the provision for confidentiality of certain service contract information. Confidentiality provisions allow shippers and carriers to agree to restrictions on the sharing of service contract information with third parties, with the exception of those terms required to be published or disclosed under sections 8(c)(3) and (4) of the 1984 Act, as amended. The study sought to discern the degree to which shippers and carriers were using confidentiality provisions in their service contracts. Contracts were examined for the inclusion of

¹Where possible, each contract's commitment was converted to 20-foot equivalent units ("TEUs") for standardization purposes.

confidentiality provisions, and to assess the extent of any such provisions. Confidentiality provisions were considered “complete” where the contracting parties were mutually prohibited from disclosing any terms to third parties. Confidentiality provisions that required only certain aspects of a contract to be confidential were considered “partial”. In addition, the study examined the specific methods and contract language used by the carriers to achieve confidentiality between the parties.

It should be noted that because OSRA was enacted in May, one of the heaviest periods of contract renewal, most of the terms and conditions of contracts entered into by shippers and carriers in 1999 varied little from traditional contracts. Negotiations for a good deal of these contracts may have taken place entirely under the previous regulatory framework. It has been during 2000 that the flexibility introduced by OSRA has begun to affect the contents of new contracts. Thus, this snapshot of contracts is a preliminary view of the early and transitional stages of contracting under OSRA.

In general, the contracts examined showed one significant difference from pre-OSRA contracts. Conference contracts were negligible, with the vast majority of new service contracts being negotiated between a single carrier and shipper. Shippers signing contracts under one signatory included single shippers identified as owners of the cargo, multiple affiliated shippers identified as owners of the cargo, NVOCCs, and shippers’ associations. The study found no multiple, non-affiliated shippers jointly entering into service contracts outside of shippers’ associations. Based on these data, shippers do not appear to be taking advantage of this new service contract feature at this time.

In terms of service contract length, most of the contracts had a duration of 12 months or less. The average duration of all 408 contracts was approximately 10 months, with the range spanning from a low of one half of a month to a high of 38 months. In general, a one-year contract appears to remain an industry standard thus far.

Upon examination, it was found that the level of minimum quantity commitment for the majority of contracts was set at 100 TEUs or higher. The variability of the commitment levels was high, however, ranging from a low of one TEU to a high of 11,000 TEUs. While most commitments were stated in terms of TEUs or FEUs, the study found one contract's quantity commitment specified as a percentage of the shipper's total cargo within the scope of the contract.

Geographically, almost all the contracts were confined to a single U.S. trade lane or area. Contracts categorized as global primarily included Canada and/or Mexico in their origin or destination ranges, along with the specified U.S. foreign trade(s). Some global contracts, however, included foreign-to-foreign trades that did not border the United States. The predominance of contracts with single scopes may relate to shipper size. The majority of shippers are small or mid-sized firms. The transportation needs of small to mid-size shippers may be limited to a particular U.S. trade or area. The needs of large, multi-national shippers are often much broader, spanning multiple U.S. trade lanes or globally throughout foreign-to-foreign trades. One can assume that a greater number of global contracts have been negotiated by larger shippers and will become more prevalent as both shippers and carriers reconfigure their transportation logistics and operations for efficiency under OSRA.

As for confidentiality clauses, an initial review of the contracts showed that the use of confidentiality provisions varied greatly among carriers. For some carriers, almost all of the contracts contained confidentiality clauses, while for others, few of the contracts contained such clauses. For some carriers, confidentiality provisions were a standard part of their contract language. Other carriers included confidentiality provisions in contracts only upon the request of a shipper.

Further, the initial review of contracts showed that only about 17 percent contained clauses in the text of the contract which ensured confidentiality. However, additional research and follow-up inquiries with certain filers showed that the percentage of contracts with some type of confidentiality provision was significantly greater, i.e., close to 50 percent. Several factors account for the variances in treatment of confidentiality.

Some shippers and carriers enter into their confidentiality agreements prior to the commencement of negotiations, under a separate confidentiality agreement covering both the negotiations and the final rates and service terms; therefore, no clause appears in the service contract text. Other carriers have standard confidentiality language in their tariffs that may be briefly referenced, but not spelled out, in the service contract text. Thus, service contracts which do not contain specific confidentiality provisions still may be treated confidentially by the parties.

Of perhaps greater significance is the variety in the types of confidentiality language that appeared in the new service contracts. Some contracts provided for complete confidentiality that precludes sharing information with outside parties such as other shippers or carriers. Less restrictive provisions for partial confidentiality allowed carriers

to share rate and service information with the secretariat of a discussion agreement or other carrier members of an agreement but without identifying the shipper's name. Finally, some of the contracts contained confidentiality provisions which contained very brief and vague statements that may or may not be clearly understood by the parties to the negotiation. The contract review also found several examples of very detailed confidentiality language that specified the types of information which may be shared, what procedures will be used to protect information, and what penalties apply in the case of breach of confidentiality.

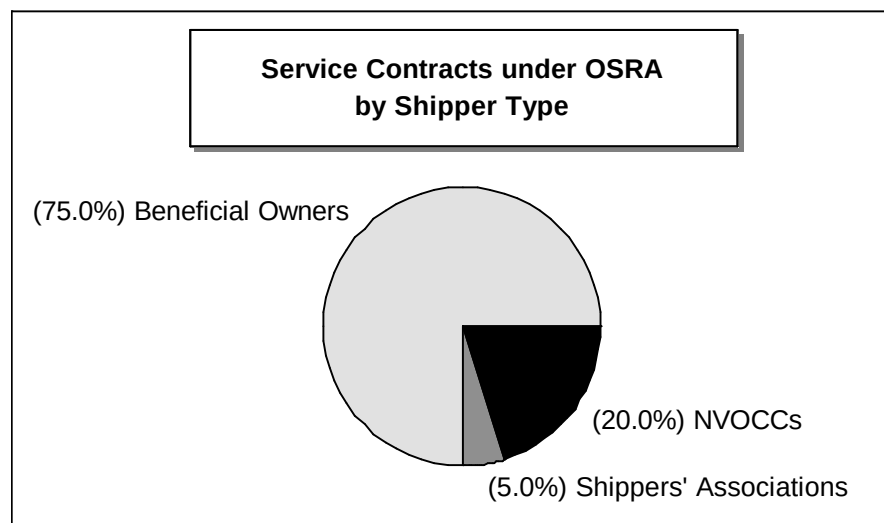
Service Contract Filings Among Shipper Groups

In a separate study, the Commission conducted an examination of service contracts strictly focused on the status of the shipper as stated in the contract. The study sought to evaluate the proportional dispersion of service contracts among the various types of shipper groups since OSRA became effective.

Three separate random samples were conducted of service contracts filed via the Commission's Internet-based filing system since May 1, 1999. Original service contracts, and amendments to service contracts, were examined separately. The study included a total of 550 original service contracts, and 612 amendments to service contracts. Based on the stated shipper status, contracts were divided into three mutually exclusive groups of shippers: (1) owners of the cargo, (2) NVOCCs, or (3) shippers' associations.

For both original service contracts and amendments, the study found that the majority of contracts were with shippers identified as owners of the cargo. Among the other groups, contracts with NVOCCs accounted for a significant portion, while the number

of contracts with shippers' associations was proportionally the smallest. However, shippers' associations vary in size and may include a few, or many individual shippers, including NVOCCs. Of the original contracts, the average percentage dispersion for the three samples was 75 percent owners, 20 percent NVOCCs, and 5 percent shippers' associations (see graph below).

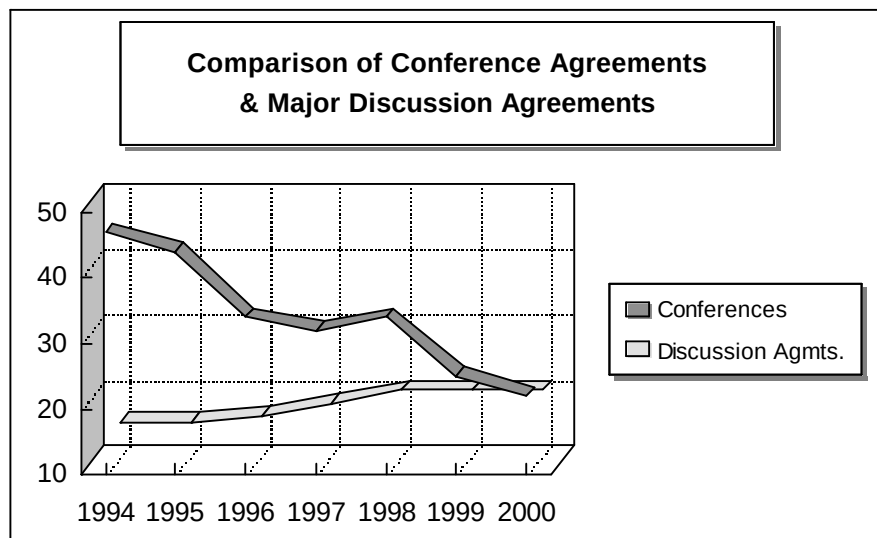


Results for the amendments were similar, with an average percentage dispersion of 76 percent owners, 19 percent NVOCCs, and 5 percent shippers' associations.

Part III: Agreements

Agreement Filings

The number of agreements on file with the Commission has remained fairly constant since 1997, despite the passage of OSRA. There are currently 271 agreements on file with the Commission, only 4 fewer than the 275 on file in 1997. However, there has been a shift in the types of agreements filed, with the most important change being the decline in conference agreements (see graph below).



While there were 32 conferences on file with the Commission in 1997, there were only 22 as of May 2000. In fact, there is only one conference operating in the major east-west trades today, the Trans-Atlantic Conference Agreement. The majority of the remaining conference agreements are in the Latin American trades. Moreover, most trades that have a conference also have an active discussion agreement.

Conferences and Discussion Agreements

As aforementioned, the movement towards discussion agreements and away from conferences began with the rise of independent carriers who offered a level of service close or equal to that of the conference members, but priced at a discount to conference rates. These independent carriers were not interested in joining the conference and giving up their pricing freedom. However, they were willing to join the conference carriers in an agreement which allowed for the discussion of rate levels in general, means to control falling rates and capacity within the trade during periods of overcapacity, and mutual agreements on surcharges. As these independents gained market share, the conferences' ability to affect rate levels declined. Discussion agreements were flexible enough to accommodate the concerns of the independents, and gave the conference members a forum to cooperate with the independents.

One of the major purposes of OSRA was to introduce greater competition into the liner shipping market. The decline of conferences and rise of discussion agreements has resulted in a looser structuring among carriers. However, the ultimate question of whether there exists greater competition in liner shipping as a result of OSRA depends on how effective the discussion agreements are, and to what extent discussion agreement

members operate in accordance with any adopted voluntary guidelines. This in turn may depend on the types of confidentiality clauses contained in contracts, and the degree to which the carriers are able to share this information. For any agreement to yield the intended effects, whether conference or discussion agreement, its members must be able to determine if all the members are following the agreed upon policies. OSRA permits agreements to establish guidelines applicable to their members' individual service contracting, although these guidelines must be strictly voluntary and nonenforceable by the agreement. A later section will discuss the guidelines on file with the Commission and generally the extent to which they are being followed.

Operational Agreements

The majority of the agreements that have been filed by carriers since the passage of OSRA are operational agreements. In fact, this continues a trend which has existed for a number of years. Most of these agreements include vessel-sharing arrangements, where the parties seek to expand their services and minimize their costs and risks. Approximately 140 of the close to 260 agreements on file with the Commission are vessel-sharing agreements.

The continued filing of such agreements indicates that carriers are still making use of antitrust immunity to rationalize service and lower their costs. These agreements, in addition to permitting vessel sharing, allow carriers to integrate their operations so as to reduce the costs of terminal and shoreside service, equipment use, and information and electronic data management. They provide an opportunity for greater efficiencies in the marketplace and improve use of carriers' assets. These greater efficiencies also should

be beneficial to shippers because efficiencies would be expected to be passed on in the form of lower rates given sufficient competition in the market.

One special type of joint carrier agreement which has become prominent is the alliance. Alliances, or global strategic alliances, are operational agreements among two or more carriers that operate on a continuing basis in several major trade lanes. These global alliances allow the participating lines to integrate their ocean, shoreside, and some inland operations in a way that lets them offer their customers access to a large transportation network, while keeping cost per participant line relatively low, reducing risk, and freeing capital for other uses, such as upgrading electronic information systems. While alliances have experienced a number of membership changes in the recent past, their basic purpose and operational format does not appear to have been changed as a result of the passage of OSRA. Although some anticipated that alliances would amend their agreements to include joint service contracting authority, this has not materialized. However, since the passage of OSRA three agreements have been filed with the Commission whose primary purpose is to permit joint service contracting among its members.

Voluntary Service Contract Guidelines

As previously stated, OSRA allows agreements to adopt voluntary collective guidelines with respect to the contents of their members' individual service contracts, and the sharing of information in them. Those guidelines are filed confidentially with the Commission, where they are reviewed in the context of existing economic conditions and

carrier agreement activities in the affected trades to ensure that they will not result in an unreasonable increase in transportation costs or unreasonable reduction in service.

Since OSRA went into effect, the Commission has received eleven sets of guidelines. Nine of the guidelines were filed by discussion agreements, and the remaining two were filed by conferences. One of those conference guidelines was put into place in a trade which also has a discussion agreement that has filed identical guidelines.

The guidelines on file with the Commission cover most of the major U.S. trade lanes, including the Transpacific, South America, and the Caribbean Basin. The only major exception is in the trade between the United States and the nations of the European Union. Because the competition authorities in the European Commission ("EC") have taken a position that prohibits carrier agreements operating in its trades from establishing collective commercial guidelines related to individual or multi-carrier service contracts negotiated outside of the conference's framework, U.S./European agreements have filed no voluntary service contract guidelines with the Commission. However, the EC does permit standard/model agreement service contract forms, and conference service contract rate matrices. In developing individual or multi-carrier service contracts, conference members may refer to, but are free to depart from, these conference model service contract forms and matrices. The conference operating in the U.S./ North Europe trade, for example, publishes its agreement standard/model service contracts and refers to its service contract rate matrices on its Internet web site under the rules of its Essential Terms Publication. The conference also files its service contract rate matrices with the Commission as an attachment to its confidential minutes filings.

Guideline Content

Since voluntary guidelines filed with the Commission are confidential, a discussion of their content must focus on their general features, as opposed to specific information. Though each set of guidelines takes a different format, there are certain broad characteristics among the differing sets of guidelines. The most common elements found in the filed guidelines pertain to minimum rates for specific commodities, GRIs, and a variety of specific charges, including surcharges. The underlying goal of all of these elements is to make it possible for discussion agreement members to agree on rate levels.

Other common elements are limitations on the duration of contracts, and language allowing the termination of contracts 30 days after the minimum cargo quantity terms have been met. These provisions are aimed at establishing a common contracting season, making it easier to coordinate collective GRIs and the implementation of minimum rates.

A few discussion agreements' guidelines specify the minimum volume necessary to qualify for a service contract, set limitations on credit and discount policies, and agree on set percentage increases for inland rates. Some guidelines also involve a voluntary agreement to provide information to other agreement members and/or the agreement secretariat about service contracts being negotiated.

Some discussion agreements have also suggested standardized service contract confidentiality language in their guidelines. For example, the Transpacific Stabilization Agreement, which made its initial guidelines public, suggested service contract confidentiality clauses which state that members may provide information about pending contracts to other members and to the secretariat, provided the shipper's name not be

included. The purpose of such contract language would be to provide the members with some indication as to whether members are adhering to the guidelines and allow information to be exchanged on what rates and terms are being offered in the market. Such guidelines, if effectively implemented, may create an asymmetry in the commercial information available to the negotiating parties to the disadvantage of shippers.

Adherence to Service Contract Guidelines

A preliminary analysis of several of the largest agreements which file voluntary service contract guidelines shows that overall carrier compliance with them has been limited, depending on the trade in question. The review focused on five trade lanes which carry a significant amount of cargo into and out of the United States. The analysis examined the extent to which rates, surcharges, and other guideline provisions specific to the trade were being followed. A total of over eighty contracts were examined in this analysis.

In any agreement, compliance with group decisions depends on a number of factors. The most important factor is the general economic conditions in the trade. When there is overcapacity and competitive pressures are high, agreement members generally find it impossible to hold to group decisions, and they act unilaterally. When the converse is true, i.e., capacity is tight and rates have been low, carriers' solidarity tends to be strong and group decisions on rate increases are easier to follow. The analysis of the guidelines shows that this pattern held true - those agreements whose guidelines were being followed were the ones operating under the economic conditions most favorable to the carriers.

One set of guidelines attempted to steer its members to use time-volume rates as opposed to offering service contracts to their customers. This appears to have been an attempt to maintain rate levels and allow for checking the rates in the member carriers' separate tariffs. However, the review shows that the members of the agreement have not followed this guideline as a large number of service contracts have been filed in this trade.

Part IV: Ocean Transportation Intermediaries

OSRA created a new entity, the Ocean Transportation Intermediary. An OTI is an ocean freight forwarder or NVOCC. OSRA introduced a new requirement that NVOCCs in the United States be licensed. The Commission's regulations require that to be licensed, each OTI in the United States must appoint a qualifying individual with good character, who holds an acceptable position, and who possesses at least three years of OTI experience obtained in the United States. The Commission's regulations further require that for NVOCCs in the United States, proof of financial responsibility must be increased from \$50,000 to \$75,000, plus \$10,000 for each unincorporated branch office in the United States. Ocean freight forwarders are required to increase their proof of financial responsibility from \$30,000 to \$50,000, plus \$10,000 for each unincorporated branch office. OTIs may, in addition to surety bonds, provide proof of financial responsibility in the form of an acceptable guaranty, insurance, or group coverage using any of these forms of financial responsibility. NVOCCs have been permitted these financial responsibility options since 1993; all of the various options became available to ocean freight forwarders with the enactment of OSRA.

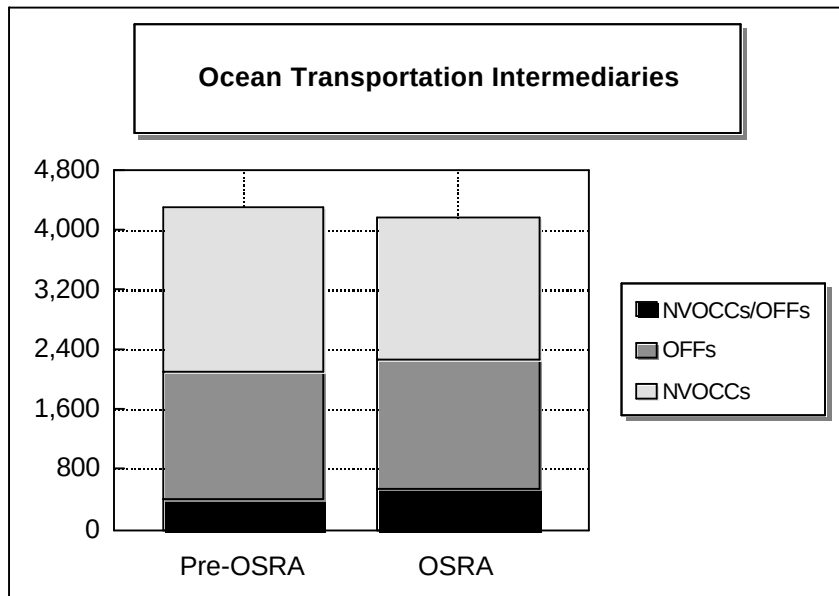
NVOCCs not in the United States are not required to obtain a license, but Commission regulations provide them the option of being licensed. If a foreign NVOCC wishes to be licensed, it must submit an application and fee, appoint a qualifying individual (whose OTI experience may be outside the United States), maintain an unincorporated branch office in the United States, and provide acceptable proof of financial responsibility in the amount of \$75,000, plus \$10,000 for each additional unincorporated branch office in the United States. If a foreign-based NVOCC chooses to remain unlicensed, it must provide acceptable proof of financial responsibility in the amount of \$150,000.

All NVOCCs must provide the Commission with the location of their electronically available tariffs published in compliance with the requirements of 46 CFR Part 520.

OTI Statistics

Number of OTIs

OSRA has had minimal impact on the number of tariffed and bonded NVOCCs and licensed and bonded ocean freight forwarders (see graph below). Prior to the passage of OSRA, there were a total of 2,200 NVOCCs both in and outside the United States with active ATFI tariffs and proof of financial responsibility on file with the Commission; 1,700 licensed ocean freight forwarders; and 400 firms that were both NVOCCs and ocean freight forwarders. Altogether, there were approximately 4,300 OTIs. A year after the effective date of OSRA, there are 1,900 NVOCCs (1,300 in the United States and 600 outside the United States); 1,750 licensed ocean freight forwarders; and 525 firms that are both NVOCCs and ocean freight forwarders, for a total of approximately 4,200 OTIs.



Amounts of Financial Responsibility on File with the Commission

Financial protection for the public for the transportation-related activities of NVOCCs has increased dramatically since OSRA became effective. Before OSRA, each NVOCC was required to provide financial responsibility in the amount of \$50,000. The total amount of financial responsibility in place was approximately \$130 million for the 2,600 NVOCCs. Because of the increased amount of financial responsibility now required of NVOCCs, along with the new requirement that \$10,000 be posted for each unincorporated branch office in the United States, NVOCC proof of financial responsibility now totals approximately \$243 million.

Before OSRA went into effect, each ocean freight forwarder was required to provide a surety bond in the amount of \$30,000 plus \$10,000 for each unincorporated branch office, for a total amount of surety bond financial responsibility equal to approximately

\$84.6 million. After the Commission's implementing rules became effective, the ocean freight forwarder proof of financial responsibility now totals approximately \$135 million.

In summary, total consumer protection against losses caused by NVOCCs and ocean freight forwarders has increased from \$214.6 million to \$378 million since OSRA went into effect.

Surety Companies

Even though Commission regulations permit guaranties and insurance policies as proof of financial responsibility for OTIs, all coverage currently is provided by surety bonds. At this time approximately 75 surety companies underwrite OTI surety bonds. The top two companies underwrite approximately 55 percent of the total number of bonds, the top five approximately 75 percent, and the top 10 approximately 90 percent of the bonds.

Two group surety bonds currently are on file. The *Federation Internationale des Associations de Transitaires et Assimiles* ("FIATA") NVOCC bond covers approximately 160 members. The other is a bond filed by a household goods movers association with approximately 35 members.

Part V: Tariffs

OSRA requires carriers and conferences to publish their rates in private, automated tariff systems, and stipulates that these tariffs be made available electronically to any person, without time, quantity, or other limitation. OSRA also authorizes that "a

reasonable charge" may be assessed for tariff access. The Commission is charged with prescribing requirements for the "accessibility and accuracy" of these systems; the periodic review of these systems; and the prohibition of the use of systems that fail to meet the Commission's requirements.

The Commission has been reviewing the accessibility of tariffs since its OSRA tariff publication requirements became effective on May 1, 1999. The Commission's staff experienced a number of tariff access problems in the first few months following the implementation of OSRA tariff publishing. The staff worked with several tariff publishers to assist them in complying with OSRA requirements and conducted an audit of OSRA carrier tariffs in August 1999 to further examine tariff accessibility. In conducting this audit, approximately 120 tariffs were selected. The tariffs selected for the audit were for each of the top 30 ocean common carriers;² five randomly-selected NVOCCs from each of the major tariff publishing companies; and several NVOCCs that published their own tariffs. The audit's framework was structured on a series of questions along with narrative comments. The audit elements were programmed into an electronic Tariff Profile System on the Commission's Local Area Network. This audit identified several fairly common problems which were hampering tariff access. The staff again worked informally with publishers in an attempt to remedy these deficiencies.

In January 2000, the staff conducted a second audit to ascertain if any changes had occurred since the August audit. That audit found that tariff systems had different

²Carriers were selected based on their total cargo carriage and ranking as listed by the PIERS/Journal of Commerce "U.S. Global Container Report." Many of the audited ocean common carriers' tariffs are accessible from their home pages, which may be linked to one of the publishers' systems.

strengths and weaknesses. For example, one tariff system did not charge access fees, but a user would spend several hours to locate a rate because of poor search features. Another tariff system provided a commodity search feature, but did not provide access to historical tariff information. Yet another system provided historical tariff information, but did not provide user instructions.

The audit also found that several carriers and conferences have published electronic tariffs in accordance with OSRA and the Commission's implementing regulations. Overall, the Commission's review found that some tariff systems continued to limit the public's ability to access tariffs.³ Therefore, the Commission issued a press release and a circular letter to alert the industry that certain carriers' tariff systems:

- Fail to contain required user instructions, or publish incomplete instructions;
- Do not contain an alphabetical commodity index, or render commodity description searches impermissibly difficult;
- Pose problems relative to access to historical tariff information;
- Require an inordinate amount of time to download information or are exceedingly slow in moving between system functions; and,
- Effectively may be limiting the public's access to them due to excessive fees or monthly minimum requirements.

The press release and circular letter noted the Commission's preference to achieve the tariff access envisioned by OSRA via voluntary carrier compliance, but made it clear that necessary corrective action would be initiated should informal attempts to achieve statutory compliance prove unsuccessful. The Commission voiced its hope that the

³The Commission plans to review tariff accuracy matters at a later date.

industry will cooperate to ensure that tariffs are the information tools contemplated by OSRA.

Additionally, the informal complaints received by the Commission regarding tariff access predominantly have concerned the level of access fees. For example, it has been brought to the Commission's attention that in some tariff systems, a public user who wanted to check one term of a bill of lading or one rate would have to subscribe to a tariff for a minimum of three months at a cost as high as \$1,500. In contrast, other carriers do not charge any fees to access their tariffs. Accordingly, the Commission issued an advance notice of proposed rulemaking ("ANPR") seeking comments on how the Commission might propose to define "reasonable charge" for tariff access. The Commission indicated that if an access fee is to be assessed at all, a reasonable charge for providing public access under OSRA and the Commission's regulations should be minimal. The ANPR solicited public comment on specific questions attendant to a possible Commission regulation on tariff access fees.

The Final Report

This interim report presents the initial observations with which the Commission begins its systematic inquiry into the impact of OSRA's amendments to the 1984 Act. It offers a preliminary look at some of the more immediate and manifest industry responses to OSRA's implementation: the decline in traditional liner conferences, the growth in individual carrier service contracting, and the development of voluntary service contract guidelines. Greater insight into OSRA's effects will require both a slightly longer time-

frame, to allow emerging commercial changes to become clearer, and a more comprehensive analysis of the views of all sectors of the industry and pertinent data and information.

In its final report, the Commission expects to provide a detailed picture of how agreement activity is evolving under OSRA. The role of global alliances and other operational agreements will be examined, as will the structure and operation of major, trade-wide discussion agreements, including their information exchange, pricing, and service-related activities. Of particular importance will be the question of how effective discussion agreements are at developing and implementing voluntary service contract guidelines, and what forms those agreements take.

The final report also will examine the development of service contracts under OSRA. Drawing on its service contract database, the Commission has begun research into how service contracting, in the aggregate, is functioning under OSRA. In addition to basic data on the numbers and types of contracts signed by shippers, the OSRA Impact Study will develop information on such key issues as contract confidentiality, the growth of innovative contract terms, multi-trade contracting, and any significant changes in the commercial relations between carriers and their customers that are embodied in new contracts. The voluntary guidelines also will be examined to determine the extent to which they affect the development of service contracts.

The OSRA Impact Study will appraise several broad trends affecting international liner shipping, such as the beginnings of e-commerce, the growing importance of logistics services and supply chain management, and continued carrier consolidation via

acquisitions and mergers. The final report will evaluate, where possible, how these factors might affect price and service competition under OSRA.

The final report also will address OSRA's effect on OTIs, shippers' associations, port authorities, independent port drivers, and other shipping-related industries. For example, the relations between vessel-operating common carriers and transportation intermediaries, in their role as shippers and as NVOCCs, will be evaluated. The final report also will revisit the accessibility and accuracy of carrier automated tariff systems, and will discuss any other substantive issues that arise involving the application of carrier tariffs.

The Commission's final report, to be made public next summer, will present a broader and more detailed evaluation of the extent to which OSRA is yielding the benefits it was expected to produce, and whether it is having any unintended detrimental impact. In preparing that report, the Commission will be seeking relevant information and insight from all segments of the international shipping community, initially through informal dialogue about some of the key issues mentioned above, and possibly including a formal Notice of Inquiry as well. It is the Commission's intention to make the OSRA Impact Study as definitive as possible.

EXHIBIT 3



THE IMPACT OF THE OCEAN SHIPPING REFORM ACT OF 1998

FEDERAL MARITIME COMMISSION
SEPTEMBER 2001



CONTENTS

INTRODUCTION	1
EXECUTIVE SUMMARY	2
REGULATORY AND ECONOMIC OVERVIEW	8
Regulatory Overview	8
Service Contracts	8
Agreements/Voluntary Service Contract Guidelines	8
Tariffs	9
Restrictive Foreign Practices	9
OTI Licensing and Bonding	9
Economic Overview of US Trades	9
Competitive Conditions	9
Transpacific - Inbound	10
Transpacific - Outbound	10
Transatlantic Trade	11
Mediterranean/Middle East Trade	12
South American Trade	13
Central American and Caribbean Trades	13
Concentration	14
CHANGES IN SERVICE CONTRACTING	16
Statutory Changes	16
The NOI and the Random Sample of Service Contracts	17
SERVICE CONTRACT CONFIDENTIALITY	22
OSRA's Changes	22
Industry Experiences	22
AGREEMENT ACTIVITY/VOLUNTARY	
SERVICE CONTRACT GUIDELINES	25
Industry Structure Overview	25
Discussion Agreements	25
Operational Agreements	26
Internet Portal Agreements	28
Voluntary Service Contract Guidelines	28
Guideline Content	28
Adherence to Service Contract Guidelines	29
Agreement Issues Noted in NOI Comments	30
Discussion Agreements	30
Agreement Filings	31
Agreement Monitoring Reports	31

OTI LICENSING AND BONDING	32
The OTI Industry at a Glance	32
Licensing/Bonding and Tariff Publication	33
Competitive Activity	33
TARIFF PUBLICATION	35
Tariff Publishing Under OSRA	35
The NOI and Tariff Use Under OSRA	36
OTHER ISSUES (CONTROLLED CARRIERS, FOREIGN SHIPPING PRACTICES, TRUCKING, AND E-COMMERCE)	38
Controlled Carrier Oversight	38
Unfair Foreign Shipping Practices	40
Port Trucking Issues	41
E-Commerce	42
CLOSING OBSERVATIONS	45
Snapshot of Findings	45
Ongoing Evolution of the Industry	46
Continuing Regulatory Issues	47
Suggestions for Further Legislative Consideration	50
Freight Forwarder Compensation	50
Tariffs	50
Level of Civil Penalties and Monetary Sanctions	50
Definition of “Ocean Common Carrier” as it Affects the Scope of Agreements and Service Contracts	51
Service Contract/Bill of Lading Inconsistency	52
Controlled Carrier Issues (Section 9)	53
Service contracts	53
Taking cost into account	53
Definition of controlled carrier to include NVOCCs	54
Remedies to address violations of section 9	54
APPENDIX I	
NOI REVIEWS BY QUESTION	56
APPENDIX II	
SERVICE CONTRACT RANDOM SAMPLE AND SURVEY	82
APPENDIX III	
OCEAN TRANSPORTATION INTERMEDIARY STATISTICS	86

INTRODUCTION

It now has been two years since the implementation of the Ocean Shipping Reform Act of 1998 (“OSRA”) -- a sufficient period of time for those in the industry to begin to adjust to the new regulatory environment and for the Federal Maritime Commission (“FMC” or “Commission”) to make an initial candid assessment of how the impact of the legislation appears to be unfolding. While there may be divergent views ripe for intriguing debate on various issues, the focus of the following pages is to provide objective, impartial findings on the regulatory and commercial impact of OSRA to date. We have relied on a broad range of sources in collecting information on how the legislation has played out across the industry. Representatives of all sectors of the industry have provided the Commission with their views and comments throughout this two-year period. The responses to the Commission’s Notice of Inquiry (“NOI”) on OSRA’s impact were voluminous. An in-house review of hundreds of service contracts provided a rich source of information, as has our continued monitoring of carrier activity exercising statutory antitrust immunity. We also have drawn on the Commission’s numerous and varied experiences in dealing with all aspects of this new law over the past two years. Taken together, this information provides a wealth of insight on the state of US ocean shipping under OSRA.

It is important to emphasize that this report concentrates on the impact of OSRA -- we have not undertaken to present a general trade study on everything that has occurred in US liner shipping since May 1, 1999. Our focus is the manner in which OSRA has shaped or affected operations and developments in that time frame. As indicated throughout the report, OSRA does appear to be achieving its primary policy objectives. However, several areas do present significant issues that the Commission must continually assess to determine if responsive action becomes warranted.

This study is divided into five topics: service contracts, agreements, ocean transportation intermediary (“OTI”) licensing and bonding, tariffs, and a grouping of other relevant issues. The views of the various sectors of the industry, as well as an assessment of OSRA’s impact on these groups, are reflected throughout each section. We have focused on what we believe to be more significant points or developments so as to offer a streamlined report. Nonetheless, we have cited some particular details or nuances to clearly convey OSRA’s impact on those who participate in US liner shipping.

EXECUTIVE SUMMARY

General

- The major regulatory changes made by OSRA were aimed at promoting a more market-driven, efficient liner shipping industry. After two years of operations under this statute, indications are that it generally is achieving this objective.
- The liner shipping industry has been experiencing dynamic structural changes over the past several years. OSRA was enacted in full recognition of these changes, and has helped to foster their continuing evolution.
- Developments in US liner shipping in the past two years, while occurring in large measure due to the interplay of market forces, were impacted by the changed business environment brought about by OSRA.
- While there is no industry-wide consensus on most specific issues involving the impact of OSRA, this disparity of views has not had a major negative effect on business relationships or ongoing arrangements among industry participants.
- The FMC developed comprehensive regulations to implement OSRA, and has altered its approach to industry oversight to facilitate the attainment of OSRA's basic policy direction.

Service Contracting

- Numerous pro-competitive reforms enacted under OSRA to increase industry market responsiveness focused on service contracting. The ability to deal with individual carriers, the elimination of the "me-too" requirement for similarly situated shippers, and the confidentiality of certain commercially sensitive service contract terms have fostered a shift to contract carriage -- carriers generally report that 80 percent or more of their liner cargo currently moves under service contracts.
- The 200 percent increase in the number of service contracts and amendments filed since May 1999, as well as the increase in the volume of cargo moving under service contracts is due, in part, to the flexibility and confidentiality of individual service contracting.
- Most shippers presently are negotiating one-on-one with individual carriers for confidential service contracts, instead of negotiating with rate-setting conferences or groups of carriers.

- Many service contracts continue to be linked to tariffs for accessorial charges, surcharges, and certain rules.
- Responses to the Commission's NOI contained no allegations that shippers could not secure service contracts.
- Non-vessel-operating common carriers ("NVOCCs") would like to have the authority to engage in service contracting with shipper customers, so as to put them on equal footing with vessel-operating common carriers ("VOCCs").

Agreements

- The emergence of global markets, the improved service of non-conference carriers, and the deregulatory nature of OSRA are catalysts that have contributed to the restructuring of the liner shipping industry. This has led to a de-emphasis of traditional conferences and a dramatic increase in efficiency-enhancing operational types of agreements, such as vessel-sharing and space charters.
- While there were 35 conference agreements on file with the Commission in 1998, there were only 19 as of June 1, 2001. Operational agreements made up 58 percent of all effective agreements as of June 1, 2001. Internet portal agreements, basically "one-stop shopping" Internet sites, are innovative agreements that promise to further improve operational efficiencies.
- Carriers continue to use supply-side operational agreements, including global strategic alliances, to expand service and geographic coverage, while limiting individual risk and capital. Industry reports indicate that in the main east-west trades, alliances now account for between 60 to 65 percent of all capacity deployed, and have, along with the use of new technologies, enabled ocean carriers to reduce their average cost by more than \$260/TEU over the past four years.
- Broad-based discussion agreements with non-binding rate authority have become the primary forum for carriers to exercise their antitrust immunity with regard to rate levels. Attention has focused on agreement members' adoption of and adherence to voluntary service contract guidelines affecting individual service contracts. These guidelines must be strictly voluntary and are non-enforceable by the agreement.
- At present, the Commission receives confidential guideline submissions from 19 agreements. The guidelines establish objectives for general rate increases ("GRIs"), minimum rate levels, or rate increases for specific major-moving commodities, surcharges, or accessorials. A Commission audit of 2000 and 2001 service contracts indicated that carrier success in gaining guideline adherence generally depended upon overall market conditions.

OTI Licensing and Bonding

- Since OSRA's implementation, the number of individual NVOCCs and ocean freight forwarders has declined slightly, whereas the number of OTIs that are both NVOCCs and freight forwarders more than doubled.
- Consolidation among OTIs, similar to that occurring elsewhere in the liner industry, and the merging of NVOCC and freight forwarding functions into one firm, help explain the decrease in the number of NVOCCs and freight forwarders.
- OSRA requires that NVOCCs in the US now be licensed. Additionally, the Commission's rules implementing OSRA subjected all NVOCCs and ocean freight forwarders to a higher bonding level than pre-OSRA. OTIs generally have not objected to these additional licensing and bonding requirements, nor is there any evidence that these new requirements have had a significant effect on OTI operations.
- OTIs voiced concern over what they perceive to be a closer FMC scrutiny of their activities vis-a-vis those of VOCCs. Similarly, NVOCCs in the US pointed to the significant and unfair advantage enjoyed by unlawfully-operated NVOCCs who do not establish or adhere to published tariffs.

Tariffs

- The Commission's proposed tariff publication rules sought to implement OSRA's requirements and enable the industry to take advantage of existing technology. Based on comments received, the Commission significantly altered its proposal so as to reduce compliance burdens further, and to provide carriers with additional flexibility in publishing their tariff systems.
- The Commission continues to monitor accessibility of tariffs, and works with tariff publishers to ensure an effective and efficient tariff publication system. Systems that do not achieve statutory compliance are subject to appropriate enforcement action as circumstances warrant.
- NVOCCs are of the opinion that they are at a competitive disadvantage in relation to VOCCs because they must make all of their rate information publicly available, while VOCCs are free to enter into confidential service contracts with their shipper customers.

Other Issues

Unfair Foreign Shipping Practices

- OSRA amended section 19 of the Merchant Marine Act, 1920, and the Foreign Shipping Practices Act of 1988 (“FSPA”) to clarify that pricing practices are among the types of activities that create unfavorable conditions to shipping in the US foreign trades.
- Most commenters to the Commission’s NOI believe that OSRA did not materially impact this area. The Commission remains active in monitoring and addressing unfair shipping practices as they arise. Periodic reports from carriers in specified trade areas are used when appropriate to monitor developments.
- The Commission has established a permanent Task Force that meets regularly to exchange information about new and continuing areas of concern, and to formulate recommended approaches to restrictive foreign shipping practices that may require Commission action.

Controlled Carriers

- OSRA expanded the definition of a controlled carrier by deleting the previous limitation that an entity can be a controlled carrier only when it operates vessels registered under the government that controls the carrier. This change removed a potential loophole that may have enabled a controlled carrier to “flag-out” or register its vessels under the laws and regulations of another country, and thereby avoid the controlled carrier provisions.
- The Commission’s OSRA rules require an ocean common carrier controlled by a government in any manner to provide the Commission with immediate written notification to that effect. The recent addition of China Shipping Container Lines Ltd. (“CSCL”) to our controlled carrier list was accomplished after that carrier advised us of its controlled status.
- OSRA also removed three conditions that previously qualified as exceptions from controlled carrier provisions: agreement membership, operations in a controlled carrier’s bilateral trade with the US, and signatory status to the Organization for Economic Competition and Development (“OECD”) shipping policy.
- The Commission actively monitors controlled carrier practices to ensure continuing statutory compliance. The Commission intends to intensify its efforts in order to preserve fair competition and promote international trade.

Port Trucking Issues

- The International Brotherhood of Teamsters, Port Division (“Teamsters”) raised several issues not addressed by others. The Teamsters believe that OSRA permits ocean common carriers, through their agreements’ voluntary guidelines, to establish harmfully low, “anti-competitive ceiling rates” for through and inland transportation. They contend that port driver wages have declined, driver bankruptcies and truck repossessions have increased, and working conditions for port drivers are generally “abusive.”
- A comprehensive examination of voluntary guidelines on file with the Commission did not reveal any indication that inland carriers are unable to negotiate inland rates with ocean carriers, as alleged by the Teamsters. Further, the Commission reviewed the confidential minutes of meetings of conferences and discussion agreements on file and found no indication of discussions among the respective agreement members concerning the negotiation of US inland divisions with motor carriers. Additionally, agreement representatives confirm that no arrangements involving motor carriers have been implemented pursuant to agreements that authorize joint negotiation of inland divisions with motor carriers.

E-Commerce

- Although the emergence of e-commerce in the ocean shipping industry is not a direct result of OSRA, the new law did create a more competitive, market-oriented environment in which “dot-com” businesses have grown in importance. Since an explosion in the number of transportation-related e-commerce companies in 1999, many such sites have been bought or gone out of business due to a lack of shipper interest and carrier cooperation.
- Track-and-trace technologies, as well as cargo-based e-commerce portals, are the current trend and are receiving much support from the major carrier companies. The concept of “supply-chain collaboration” also has been gaining attention in the industry and promises to streamline the logistics process significantly.
- The Commission will continue to address the question of how these entities fit within the Shipping Act of 1984 (“1984 Act”), as well as the appropriate extent of Commission oversight they warrant.

Continuing Regulatory Issues

- The FMC recognizes the dramatic changes taking place in international trade against the backdrop of OSRA. The Commission is committed to fulfilling its statutory responsibilities in a manner that gives deference to market processes while defending against market-distorting abuses.

- Notwithstanding the apparent widespread general satisfaction with the current US regulatory framework for ocean shipping, the Commission will be focusing on several major aspects of US shipping laws that cause concern for those less than fully satisfied with OSRA's changes.
- The Commission will continue to evaluate the impact of discussion agreements on rates. It is incumbent on those who participate in the ongoing debate to address the effects of discussion agreements within the context of the current regulatory environment.
- While the Commission's analyses and the comments of parties suggest that discussion agreements are not utilizing service contract voluntary guidelines to unreasonably increase rates, the issue merits ongoing close attention as the industry evolves in the post-OSRA environment.
- The Commission's requirements for electronic tariff systems imposed a minimum of restrictions and requirements, so as to maximize carriers' flexibility in meeting their obligation to maintain accurate and accessible tariffs. Although the regulations themselves have generated few complaints, the adequacy of compliance remains a concern, which necessitates continuing review of carrier systems.
- Given that service contracts have become the overwhelmingly predominant rate-setting vehicle, the Commission will continue to employ techniques such as random sampling to evaluate trends and activities in this area and to identify any market-distorting practices that arise.
- While the Commission intends to encourage the advantages and efficiencies obtained via e-commerce innovations, it will continue to evaluate this area to ensure that any regulatory issues of concern are addressed as appropriate.
- Experience in administering the 1984 Act as revised by OSRA, leads the Commission to suggest that several provisions could be revised for greater clarity or to eliminate ambiguities. These provisions include those dealing with controlled carriers, freight forwarder compensation, new or initial tariff rates, civil penalties, and the definition of an ocean common carrier for certain purposes.

REGULATORY AND ECONOMIC OVERVIEW

Regulatory Overview

Service Contracts

OSRA's amendments to the Shipping Act of 1984 ("1984 Act") are dramatically altering the way business is conducted in the ocean liner industry. Nowhere is this more evident than in the material changes made to the service contracting process. The opportunity for shippers and carriers to enter into individual, confidential service contracts, and the inability of carrier agreements to prohibit or directly interfere in that process, are the cornerstones of the new statute. Under OSRA, fewer service contract essential terms and no rates are made public. Shippers no longer have "me-too" rights to obtain the same essential terms as similarly situated shippers, but for the first time, unrelated shippers have the option to collectively enter into service contracts. OSRA also extended the authority to offer joint service contracts to any agreement among ocean common carriers, not just conferences.

Agreements/Voluntary Service Contract Guidelines

OSRA has greatly affected the functions of traditional liner conferences. While OSRA maintained antitrust immunity for concerted carrier activities, agreements no longer may prohibit service contracting by their members, or require members to disclose the details of their service contract negotiations. An agreement may establish voluntary service contract guidelines applicable to members' individual service contracting practices, but they are non-enforceable by the agreement. Additionally, notice of independent action on tariff rates or charges was reduced from 10 to 5 days.

OSRA did not alter the 45-day period for Commission review of agreements -- they continue to become effective in that time absent Commission action to reject, request additional information, or seek to enjoin an agreement. And, while OSRA made no changes to the general standard for opposing substantially anti-competitive agreements, a Senate Commerce Committee Report accompanying OSRA urged the Commission to take a more active and vigilant role in administering it.

- OSRA has dramatically altered the way business is done in the ocean liner industry.
- OSRA has given shippers and carriers the ability to enter into individual, confidential service contracts.
- OSRA maintained antitrust immunity for ocean carriers, but limited the scope of permissible concerted activities.
- Tariffs no longer are filed with the FMC, but must be made publicly available.
- OSRA has strengthened the Commission's ability to address unfair foreign trade practices.
- Under OSRA, freight forwarders and NVOCCs in the US must be licensed and bonded. NVOCCs outside the US must be bonded and tariffed, and have the option of obtaining a license.

Tariffs

OSRA eliminated the requirement that tariffs be filed with the Commission, requiring instead that carriers develop individual electronic tariff systems available to the public for a reasonable access charge. The Commission is mandated to prescribe conditions for the accessibility and accuracy of these systems, and to review them periodically.

Restrictive Foreign Practices

OSRA gave the Commission greater ability to guard against predatory pricing by clarifying that pricing activities are among the practices that may constitute a condition unfavorable to shipping. OSRA also made the suspension of service contracts available as a remedy to address unfair foreign practices.

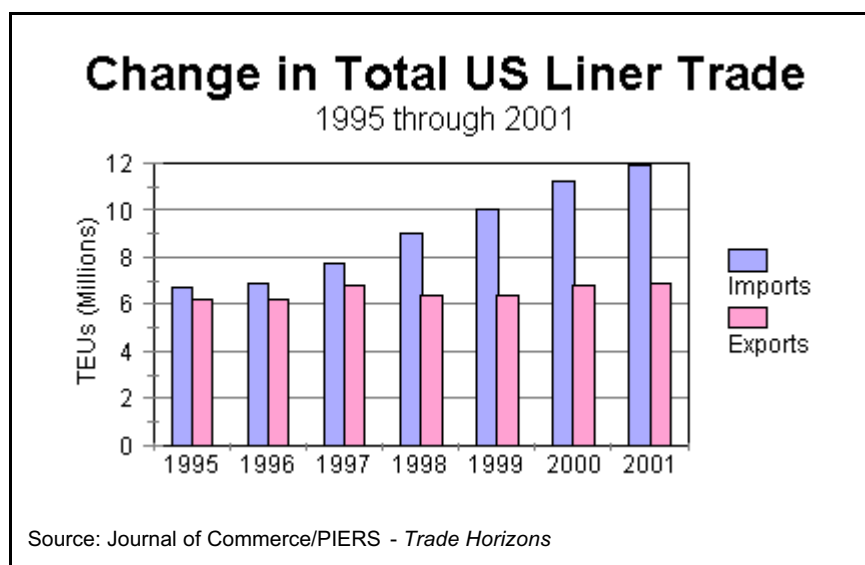
OTI Licensing and Bonding

OSRA has grouped both ocean freight forwarders and NVOCCs under the heading of OTI. NVOCCs in the US now join ocean freight forwarders in being required to obtain a license -- the Commission's implementing regulations also permit NVOCCs outside the US to apply for a license if they so choose. OSRA also requires that every OTI have a bond or other financial security on file with the Commission. The bond amounts are \$50,000 for freight forwarders, \$75,000 for NVOCCs in the US, and \$150,000 for non-licensed foreign NVOCCs.

Economic Overview of US Trades

Competitive Conditions

The US liner trades continue to reflect the ebbs and flows of the world's economy which distinctively play out in specific trade areas. US international trade volumes continue to grow, with predictions that cargo volume will double over the next ten years. In the near term, US containerized imports and exports for 2001 are forecasted to grow at a slower rate of approximately 5.7 and 1.4 percent, respectively, over last year's totals.



Transpacific - Inbound: The Transpacific Stabilization Agreement (“TSA”) is the prime example of a discussion and policy-setting agreement with voluntary pricing authority. The members exchange information and discuss proposed GRIs, standardized surcharges, and other pricing-related issues in the US inbound Far East trade.

TSA members were largely successful in implementing proposed GRIs and peak-season surcharges during 1998 and 1999, a period during which demand consistently outstripped the supply of vessel capacity. More recently, members of TSA have been less effective in implementing proposed pricing objectives. The cohesiveness of TSA and its ability to implement rate increases have been reduced by several changes in underlying competitive trade and market conditions: an increase in the number of carriers serving the trade; an increase in vessel capacity deployed; a reduction in import cargo growth; and a shift to individual, confidential service contracting. Nonetheless, the group still enjoys a high market share, *i.e.*, approximately 80 percent at the end of the first half of 2001. During the latter half of 2000 and into early 2001, carriers and shippers reported declining rates and vessel oversupply following declines in retailers’ orders from Asia and rising unemployment rates in the US.

TSA has adopted and filed with the Commission voluntary service contract guidelines that the members may use in their contract negotiations. A review of TSA members’ individual service contracts shows that, in general, TSA’s ability to effectively implement GRIs and peak-season surcharges appears to have diminished considerably due to enhanced competition between members in a new individual, confidential service contracting environment ushered in by OSRA. Negotiations for annual contracts in May 2000 often resulted in lower rates and, generally, proposed increases were not achieved. In light of increases in vessel capacity (10 percent) and soft economic trade growth (4-5 percent) during the first half of 2001, it was no surprise that carriers were unable to obtain the May 2001-announced GRI.¹

- Competitive trade and market conditions -- more competing carriers, excess vessel capacity, lower import cargo growth, and the shift to individual, confidential contracts -- appear to be the main driving force behind liner pricing in the Asia to US trades since the latter half of 1999.
- The individual, confidential service contracting environment resulting from OSRA has diminished TSA’s ability to implement GRIs and peak-season surcharges.
- Despite earlier failure to achieve rate increases, the WTSA members were able to achieve some success in increasing rates between October 1999 and September 2000.

Transpacific - Outbound: The Westbound Transpacific Stabilization Agreement (“WTSA”) is the outbound counterpart to TSA and, likewise, provides a forum for the exchange

¹ The Commission’s observations regarding guideline adherence discussed in this section are based on research described in the Agreement Activity/Voluntary Service Contract Guidelines section of this study.

of information (including pricing) among its members. WTSA became the primary pricing forum in the westbound transpacific trade following the demise of the outbound conference, the Transpacific Westbound Rate Agreement, on May 1, 1999.

Despite the growing post-OSRA prominence of discussion agreements in the transpacific, WTSA, for the most part, was unable to implement relatively minor rate increases as market conditions prevented members from becoming a cohesive group on pricing. The dramatic trade imbalance (with vessels reportedly operating at approximately 50 percent of capacity) significantly contributed to the failure of WTSA members to achieve proposed rate increases. However, between October 1999 and September 2000, the members of WTSA began to experience higher vessel capacity utilization as demand increased. Even though the inbound and outbound trades remained imbalanced, WTSA members were able to achieve some measure of success in increasing rates.

WTSA has adopted and filed voluntary service contract guidelines that the members may use in their contract negotiations. A review of a sample of WTSA members' individual 2000 and 2001 service contracts reveals that, in general, WTSA's relative success in 2000 appears to have been temporary. Declining trade growth, coupled with expanding capacity, precluded achievement of rate increases during the first half of 2001. Carriers, however, were more successful in implementing a chassis usage charge during the first half of 2001.

- TACA's market share has dropped from 80 percent to about 50 percent, and its membership has declined from 17 to 7 carriers.
- Of over 1,000 service contracts entered into by TACA members in 1999, only 30 were conference service contracts. By 2000, conference service contracts had dwindled to 3.

Transatlantic Trade: From the early 1990s to the present, rate-related agreement activity in the transatlantic trade primarily focused on the major conference between the US and North Europe. At present, the Trans-Atlantic Conference Agreement ("TACA") faces a much higher degree of rate competition from independent carriers than in the past. In addition, the authority the conference once exercised over its members' service contracts has eroded. A combination of regulatory actions both in the US and Europe dramatically altered the structure and influence of the conference. The conference declined both in market share and membership. From its initial formation in 1992, the collective market share of the conference dropped from close to 80 percent to roughly 50 percent at present. In terms of conference participants, TACA's membership has fallen from a high of 17 carriers to a low of 7 carriers.

Starting in 1999, TACA amended its service contract provisions to comply with OSRA, and to resolve legal issues before the European Commission ("EC"). As such, TACA revised its

authority to permit TACA members to enter into non-conference service contracts.² By the EC's directive, TACA members are prohibited from adopting voluntary service contract guidelines that affect their non-conference service contracts. Further, the EC restricts TACA members from discussing their non-conference service contracts, and no data or information on such contracts may be submitted to, or collected by, the conference. TACA, however, may establish a model conference service contract and rate matrices, provided such information is publicly available. TACA members are permitted to refer to and adopt such information in their non-conference service contract negotiations, if they so choose.

Prior to the foregoing changes, a major portion of the trade's cargo moved under TACA's conference service contracts. For instance, TACA reported in its NOI response that nearly 600 conference service contracts were entered into in 1998. In 1999, however, with OSRA becoming effective and competition accelerating in the trade, TACA members actively entered into non-conference service contracts. By the end of 1999, TACA members reported that upwards of 80 percent of their cargo moved under non-conference service contracts. Of over 1,000 service contracts entered into by TACA members in 1999, only 30 were conference service contracts. In 2000, TACA entered into only 3 conference service contracts. Thus, the decline in TACA's direct authority over its members' service contracts, and hence pricing, was precipitated by OSRA and the directives of the EC.

In general, freight rates have reflected market conditions in the transatlantic trade. Over the past several years, a trade imbalance has resulted from higher cargo growth in the inbound direction from North Europe to the US. Consequently, freight rates for inbound cargo have increased steadily in response to higher demand, while outbound freight rates have remained unchanged or fallen due to weaker European demand for US exports. In 2001, TACA implemented moderate tariff GRIs in both trade directions, and plans to introduce further tariff GRIs toward the end of the year. The direct impact of TACA's tariff GRIs is limited, however, since the amount of cargo moved under the conference's rates has diminished. Recently, TACA reported that only about 10 percent of the cargo carried by TACA members moved under conference rates. To further gauge the prevailing trends in freight rates, the Commission examined a limited number of 2000 and 2001 non-conference service contracts for TACA members. The Commission found that contract rates in the inbound direction increased moderately from the 2000 contract period to the 2001 contract period. In the outbound direction, however, the majority of contract rates remained unchanged and, in some cases, declined in 2001. These results tended to correspond to the overall market trends in the trade.

Mediterranean/Middle East Trade: The Mediterranean is a logical collection point for in-transit cargo. This area attracts a number of carriers outside the direct US/Mediterranean and Middle East trade, which contributes to available cargo space. It also has seen numerous types of

² The EC specifically considers conference service contracts to be those contracts negotiated directly through the conference secretariat on behalf of the TACA members. The EC considers all other contracts negotiated outside of the conference secretariat by TACA members to be non-conference service contracts. OSRA, however, distinguishes between agreement service contracts and individual carrier service contracts. Agreement service contracts under OSRA are those contracts negotiated pursuant to the agreement's rate authority, which are not necessarily administered through an agreement secretariat.

arrangements focused on bringing stability to a heavily imbalanced trade, with imports into the US far exceeding US exports.

Like the trade between the US and North Europe, rate-related agreement activity in the US/Mediterranean trade is focused primarily on the major conference serving the trade. The United States South Europe Conference (“USSEC”) covers the trade between ports and interior destinations in the US, and South European countries on the Mediterranean. USSEC has three carrier members with a collective market share of less than 50 percent as of the first half of 2001. As is the case in the transatlantic trade, the EC prohibits USSEC members from adopting voluntary service contract guidelines that affect their non-conference service contracts, discussing their non-conference service contracts, and sharing information or data on such non-conference service contracts through the conference secretariat. USSEC members advise that they have increased their use of individual service contracts substantially since the enactment of OSRA. The convenience of one-on-one negotiations with shippers is specifically noted as a driving factor for this increase. The intense competitive economic environment in the US/Mediterranean trade has kept freight rates low, especially in the outbound trade from the US. However, conference members are attempting to implement rate increases in the relatively stronger inbound trade – announcing a tariff GRI in January 2001 and a subsequent tariff GRI in May 2001.

The Eastern Mediterranean Discussion Agreement (formerly the Israel Discussion Agreement), which covers the trade between the US and Israel, Egypt and Turkey, has adopted and filed voluntary service contract guidelines. However, given the current overall competitive trade conditions, adherence appears to be limited.

South American Trade: Changing competitive trade conditions in South America, along with regulatory changes under OSRA, have resulted in the demise of the major conferences that once dominated the South American trades. Joint carrier activity now is accomplished pursuant to two rate discussion agreements: the East Coast of South America Discussion Agreement (“ECSADA”) and the West Coast of South America Discussion Agreement (“WCSADA”). The members of both discussion agreements have commanded a high market share of at least 90 percent in each trade direction from 1999 through the first half of 2001. Whereas the predecessor conferences had hundreds of conference service contracts, the only collective contracting taking place under either discussion agreement at present involves a number of members contracting jointly without the involvement of the others. Virtually all service contracts in both agreement trades now are negotiated by the member lines on an individual basis. ECSADA and WCSADA have adopted and filed voluntary service contract guidelines that the members may use in their individual contracts. It appears that members are more likely to follow the voluntary service guidelines when the market is tight, *i.e.*, when demand is high and capacity tight, than during slack-demand periods with overcapacity. For example, during 2000 and the first half of 2001, ECSADA members appear to have adhered closely to their respective commodity-specific service contract guidelines most of the time.

Central American and Caribbean Trades: The Central America and Caribbean trades have undergone significant changes since the passage of OSRA. Beginning in 1999, the

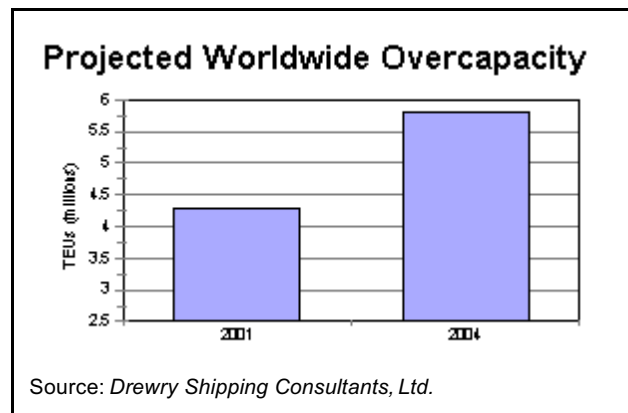
economies of the region slowed, with a concomitant decline in cargo, causing excess capacity and falling rates. These depressed trade conditions were further compounded by the entry of five new carriers in the trade during 1999.³ Rate instability forced as many as six carriers to either scale back services or leave the trade, contributing to the demise of three conference agreements. Although there remain two conferences serving the Central America and Caribbean trades, as in other trade areas, discussion agreements are now the main forum for rate and policy discussions. Both trades also have witnessed a growth in operational agreements -- mostly two-party vessel-sharing arrangements.

The Central America Discussion Agreement (“CADA”) and the Hispaniola Discussion Agreement are the predominant agreements now operating in the trades. Over the past several years, CADA’s membership and market share have fallen. As of the first half of 2001, CADA’s membership stood at five, down from nine in 1999. However, while CADA’s outbound market share to the US remained relatively flat from 1999 through the first half of 2001, its outbound market share from the US fell from 73.5 percent in 1999 to 62 percent as of the first quarter of 2001. Individual service contracting by the members of these two agreements since OSRA became effective appears to have increased, although many of the service contracts are for small volumes, often as little as one twenty-foot equivalent unit (“TEU”). While CADA has adopted and filed voluntary service contract guidelines, a review of its members’ service contracts shows that they rarely follow them.

Concentration

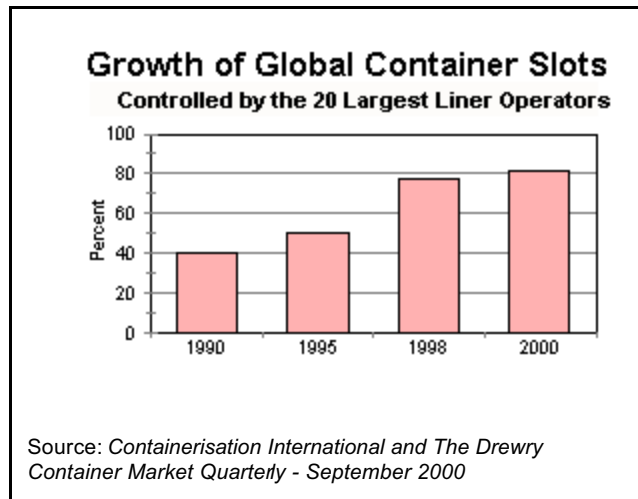
Like other transportation industries, international liner shipping has been undergoing major structural changes for several years. Liner companies are being driven by the same fundamental forces: the ongoing globalization of manufacturing, technological innovations (especially those that support vertical integration of transportation services, *e.g.*, electronic communications, automated data systems, larger/faster vessels, *etc.*), intense competition and relatively low profit margins, development of global service networks, deregulation, and privatization. Carriers have responded to these pressures in several ways, including engaging in a rash of mergers and acquisitions and forming global strategic alliances.

Since 1994, nearly all principal global containership operators have grouped themselves into alliances. Through operational cooperation, carriers have the opportunity to reduce costs and business risks, while offering a broader range of improved customer service options. The



³ During 1999, American President Lines, Ltd. (“APL”), Evergreen Marine Corp. (Taiwan) Ltd. (“Evergreen”), Maersk Line, P&O Nedlloyd, Limited (“P&O Nedlloyd”), and Mitsui OSK Lines (America), Inc. (“MOL”) entered the trade in an effort to expand their separate global services.

formation of global strategic alliances arguably has slowed the pace of concentration in liner shipping because they offer a number of the benefits associated with mergers (*i.e.*, economies of scale, expansion and improvement of services, *etc.*) while limiting members' exposure to investment risk. Some carriers have chosen to venture beyond alliances and have engaged in mergers or acquisitions that increase their size and expand their scope of operations. Since 1995, seven principal mergers and more than 30 acquisitions have taken place.



As a result of this increased merger and acquisition activity, the liner shipping industry has become more concentrated over the last decade. In 1990, the 20 largest liner operators controlled approximately 40 percent of the global container slots. In 1995, their share grew to 50 percent; three years later it jumped to 77 percent. By 2000, the top 20 operators controlled 81 percent of the worldwide fleet.⁴ While the industry is still highly fragmented -- with several hundred companies (including feeder operators) offering regular liner services -- the largest operators clearly dominate current container supply.

Industry reports suggest that over the next three years, more than 1.5 million additional TEUs will be deployed, representing an increase over current worldwide fleet capacity of nearly 35 percent, or an annualized growth rate of more than 12 percent.⁵ In contrast, worldwide trade growth is expected to increase by less than 9 percent. While the long-term effect of continued industry consolidation remains uncertain, some industry representatives believe that under these pressures, renewed merger/acquisition activity can be expected.

⁴Various issues of *Containerisation International*, and Drewry Shipping Consultants Ltd., *The Drewry Container Market Quarterly*, September 2000.

⁵*Ibid.*, Note 4: Drewry Shipping Consultants Ltd., *The Drewry Container Market Quarterly*, September 2000.

CHANGES IN SERVICE CONTRACTING

Statutory Changes

Before the OSRA amendments, the 1984 Act permitted only individual carriers and conferences to enter into service contracts. Conferences had the authority to regulate or prohibit their members' use of service contracts. Except for brief periods, conferences rarely permitted their members to engage in any form of independent service contracting.⁶ The statute required service contracts to be confidentially filed with the Commission, and rates and other essential terms to be made available to the public in tariff format. To discourage any undue discrimination, carriers and conferences were required to make the same essential terms available to similarly situated shippers for a period of 30 days. This requirement was known as the "me-too" provision. In 1993, the publication of tariffs and essential terms was computerized with the introduction of the Commission's Automated Tariff Filing and Information ("ATFI") System.

- Freight rates and other unpublished terms now can be structured in confidence between the contracting parties.
- Service contract guidelines may be adopted by agreements so long as they are voluntary and unenforceable on members, and confidentially submitted to the Commission.

Numerous pro-competitive reforms enacted under OSRA to increase the market responsiveness of the industry were aimed at service contracting. Under OSRA, only certain essential terms now are required to be published; significantly, freight rates are among the non-published terms. Consequently, freight rates and other unpublished terms now can be structured in confidence between the contracting parties. In addition, the "me-too" requirement for similarly situated shippers was eliminated.

Significant reforms relating to service contracts were directed at reducing the collective control of conferences. For one, all agreements now are permitted to enter into service contracts, not just conferences, as was the case under the 1984 Act before amendment. With this change, however, strict statutory prohibitions were placed on the contracting authority of agreements. OSRA prohibits agreements from restricting the right of their members to independently negotiate and enter into individual service contracts. Moreover, agreements cannot require members to disclose their individual service contract negotiations or unpublished terms, nor adopt mandatory rules affecting such contracts. Voluntary service contract guidelines, however, may be adopted by agreements so long as they are unenforceable and confidentially submitted to the Commission.

Individual carriers and agreements still are required to file their service contracts confidentially with the Commission under OSRA. For ease of filing, the Commission replaced its

⁶Exceptions to this occurred just prior to the implementation of OSRA when a number of conferences, in anticipation of OSRA's reforms, relinquished their control over individual member service contracting.

former paper-format filing system with the electronic Service Contract Filing System (“SERVCON”). The Commission placed SERVCON into operation when OSRA became effective on May 1, 1999.

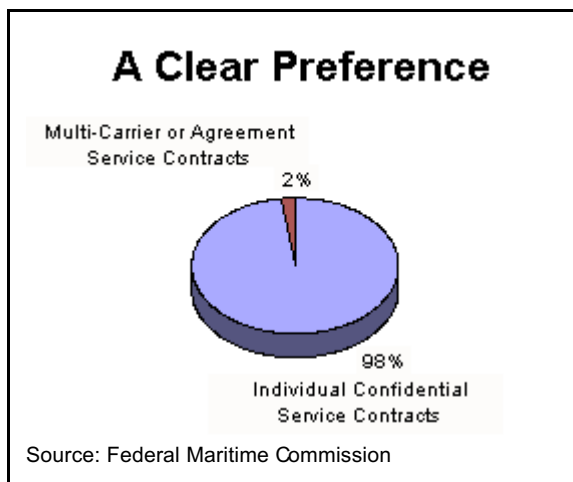
The NOI and the Random Sample of Service Contracts

In order to identify pertinent developments concerning service contracting under OSRA, the Commission’s NOI solicited comments from carriers and shippers on specific issues. In addition, the Commission conducted a comprehensive service contract survey. As discussed in Appendix II, the Commission’s survey was based on two computer-generated random samples of original service contracts on file in SERVCON. Each random sample contained 500 contracts, so that a total of 1,000 separate contracts were reviewed. Relevant information from each contract was entered into a unique database for each sample. This approach allowed the Commission to analyze and compare the survey results of the two separate random samples. A high degree of consistency existed between the two samples on most of the issues examined, which added confidence to the survey results. (See Appendix II.)

- The number of service contracts and amendments filed with the Commission since May 1999 has increased by 200 percent.
- In certain of the major trade lanes, some shippers now are moving nearly 100 percent of their cargo under service contracts.

Overall, the use of service contracts has increased significantly under OSRA. According to NOI comments, this increase in contracting was due primarily to the change from conference control of service contract availability to easily obtainable and flexible individual service contracts. The 200 percent increase in the number of service contracts and amendments filed with the Commission since May 1999 bears witness to the fact that service contracting is now overwhelmingly the primary rate-setting vehicle. As noted below, however, most service contracts are linked to tariffs for accessorial charges, surcharges, and certain rules. To effect changes across numerous contracts, it is more expedient for carriers to make a single tariff change than amend multiple service contracts. Carriers also use tariffs to publish the required service contract essential terms.

The increase in individual contracting also has altered the structure of the industry. In their NOI comments, carriers related that the high demand for individual contracts led to the termination or suspension of major conference agreements in such trade areas as the transpacific and South America. In their place, carriers have structured their collective associations more loosely under discussion agreements with voluntary rate authority and service provisions. In trades where conferences remain, agreement contracts among conference members have fallen



significantly. In comparing calendar years 1998 and 2000, conference service contracts fell from 596 to 3 for TACA, and from 125 to 7 for the US Australasia Agreement. Former and present conference carriers in these trades now are entering into a greater number of service contracts on an individual basis with shippers outside the direct control of their respective agreements.

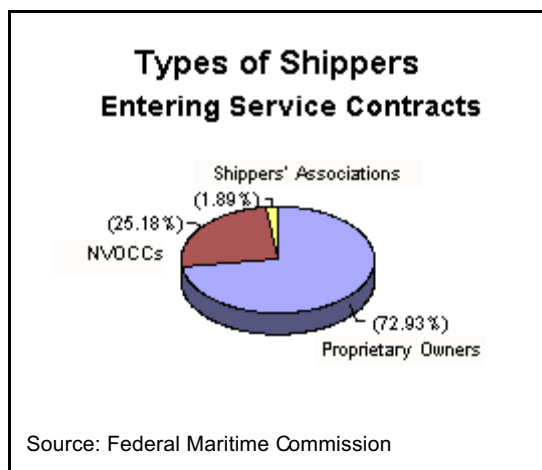
Service contracts also are being used to ship a greater volume of cargo as a result of OSRA. NOI commenters revealed that substantial portions of cargo shipped under tariffs prior to OSRA shifted to individual contracts. In certain of the major trade lanes, some shippers now are moving nearly 100 percent of their cargo under service contracts. This shift is due primarily to the confidentiality and flexibility achieved through individual contracts. In several trades where the volume of service contract cargo had been 50 to 60 percent, some carriers indicated that the volume jumped to 80 percent and greater under OSRA.

The preference for individual contracting clearly was discernible from the Commission's random sample survey. Of the 1,000 separate contracts surveyed, 98 percent were individual contracts. In their responses to the NOI, carriers and shippers reported numerous advantages of contracting on an individual basis, but acknowledged an increased administrative burden in managing the contracts. The main advantage was the ability to engage in one-on-one negotiations with greater flexibility to structure contracts as needed. Overall, shippers have found carriers more responsive in meeting their specific contract requirements under OSRA. The process of obtaining and amending individual contracts also was reported to be easier and more efficient than in the past when dealing with conference contracts. No longer are extended delays incurred in seeking the approval of contracts and amendments through the conference's voting procedures. Consequently, individual contracts are amended more frequently to reflect changing market conditions.

Specific changes in contracting included a trend toward smaller minimum volume commitments. The Commission's survey showed that roughly 60 percent of the contracts sampled had minimum volume commitments of 100 TEUs or less -- commitments ranged from one TEU to 68,000 TEUs. The willingness of carriers to allow smaller minimum volume commitments was recognized in the NOI comments as a new development attributable to OSRA. Contract duration, however, has remained predominantly within a one-year period as before OSRA. The survey revealed that 90 percent of the contracts had durations of 11 months or less,

with a range from a few days to upwards of two years. So far, contracts with smaller cargo commitments and limited durations seem to be the market preference. Several commenters noted, however, that such terms frequently are expanded through amendments beyond those initially agreed to in the original contract.

The Commission's survey found no significant changes from the results of past studies on the division of contracts between proprietary owners, NVOCCs, and shippers' associations. Of the contracts sampled, over 70 percent were with proprietary owners, roughly 25 percent were with NVOCCs, and 2 percent were with shippers'



associations. No shippers complained of an inability to obtain contracts. However, some shippers' associations noted that since OSRA, carriers have tried more aggressively to solicit independently their individual members. To prevent this, some associations have included specific clauses addressing such solicitation in their contracts.

OSRA also increased the ability of carriers and shippers to expand contract scopes by including multiple US trades and adding foreign-to-foreign trades. Combining more trades and cargo within a single contract gives shippers greater leverage in their negotiations with carriers. While most NOI respondents reported some expansion of contract scopes, the Commission's survey results revealed that the majority of contracts had scopes confined to one US trade or geographic area, particularly in the US/Asia trade. Ten percent of the total contracts sampled had scopes with multiple US trade lanes, and 8 percent had global scopes -- *i.e.*, scopes which included foreign-to-foreign trades. Shippers that conduct a broader and more varied range of business worldwide may take advantage of contracts with expanded scopes. Such shippers include large multi-national companies, NVOCCs, and shippers' associations. Some NOI commenters related problems with the regional dispersion of operations among both shippers and carriers, which complicated structuring multi-trade and global contracts. Carriers further noted a reluctance among some shippers to include their foreign-to-foreign arrangements in US trade contracts.

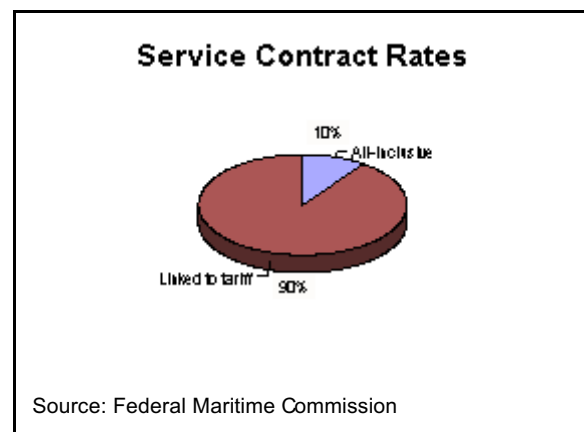
Changes to the content of contracts have been moderate thus far under OSRA. Carriers commented that the approach to adding contract clauses has been gradual and cautious, with shippers preferring as much contract simplification as possible. Recent developments show a compromise between contracting parties, with some clauses favoring shippers and others benefitting carriers. The most common changes include the addition of confidentiality clauses, specific vessel space guarantees, advance booking notices, slack-season volume guarantees, and certain standard or model contract terms. An increase in the use of vessel space guarantees in contracting occurred post-OSRA, particularly in the inbound transpacific as a result of tight demand during 1998 and 1999. Carriers also mentioned more service guarantees for equipment and set transit times. On the other hand, some shippers expressed concern over the use of service commitment disclaimers to cover cases where the carrier uses chartered vessel space. Shippers also mentioned their interest in increasing carrier liability for cargo loss and damage beyond that provided in the standard bill of lading. The Commission's survey examined contracts specifically for such provisions as equipment guarantees, transit times, and increased carrier liability. Less than 10 percent of the contracts sampled contained any of these provisions. While such provisions are not widespread

- The most common changes in service contracts since OSRA include the addition of confidentiality clauses, specific vessel space guarantees, advance booking notices, slack-season volume guarantees, and shipper boiler-plate contract terms.
- In their NOI responses, carriers consistently maintained that rate levels are determined by market forces, and contended that individual contracting has created more rate competition.

as yet, both carriers and shippers foresee many of these issues as areas of future contract development over the next five years.

Under OSRA, the prevailing rates no longer are transparent and contracting has become more customized. In their NOI responses, carriers consistently maintained that rate levels are determined by market forces, and contended that individual contracting has created more rate competition. NVOCCs complained that their inability to contract as carriers places them at a rate disadvantage under OSRA. At the same time, NVOCCs acknowledged that carriers are more agreeable to establish “bullet rates”⁷ in contracts, enabling them to amend their contract rate levels with carriers more easily and frequently. Some shippers commented that GRI clauses and other such tariff links in contracts which allow for the pass-through of rate increases and surcharges that are difficult to anticipate or ascertain are antithetical to the purpose of contracting for a specified rate. Carriers maintained that such tariff references and links make drafting and managing contracts easier.

The Commission’s survey revealed that roughly 10 percent of the contract rates were completely all-inclusive, while approximately 90 percent were linked or referenced to a tariff. The survey defined completely all-inclusive as single rates inclusive of freight and all other applicable charges for a fixed duration. Many contracts contained rates inclusive of specific surcharges for fixed durations, with the proviso that any other charges in the governing tariff would apply. Such contracts, however, did not meet the survey’s definition of completely all-inclusive. In addition, the survey found that 36 percent of the contracts contained GRI clauses or other such provisions for the general increase of freight rates connected to tariff rate increases. Some GRI clauses directly passed through the tariff rate increases, while others gave the shipper the option to terminate the contract. While tariff references in contracts are not new, their use under OSRA has created some controversy regarding the carriers’ ability to influence contract rate levels and terms collectively.



Thus far, OSRA’s reforms have increased the use of contracting both in terms of the number of service contracts and cargo volume. New options in contracting are available, and business relationships are evolving as contemplated. OSRA has reduced the direct control of conferences, with greater freedom and flexibility of contracting on an individual basis, while preserving the option for agreement contracts. With contract rates and certain service terms no longer published, parties are free to privately structure their contracts in accordance with their individual business requirements. Service contracts are easier to obtain and amend. For the most part, OSRA has enabled contracts to be fashioned and consummated in a more market-responsive environment as intended.

⁷Bullet rates are specific commodity rates that are added to a service contract after its original effective date. (This is a publication feature which is similar to adding specific commodity rates to an existing tariff.) In effect, bullet rates provide the flexibility of tariff rates and the confidentiality of service contracts.

SERVICE CONTRACT CONFIDENTIALITY

OSRA's Changes

As previously discussed, OSRA's changes regarding the confidentiality of service contracts have had a significant impact on the way service contracts are developed and negotiated. OSRA discontinued the publication of rates and certain other terms -- published essential terms now are limited to the origin/destination port ranges, commodities, minimum commitments, and durations of service contracts. All other essential terms now can be kept confidential between the contracting parties. In this new environment, added measures to preserve confidentiality in contracting have evolved. Specific clauses and provisions have been included in contracts to restrict the disclosure of unpublished terms to third parties. In some cases, contracting parties have entered into agreements to ensure confidentiality prior to negotiations, or added penalty provisions for breach of confidentiality. The Commission specifically explored the effects and use of contract confidentiality in both its NOI and its survey of service contracts randomly selected from SERVCON.

Prior to OSRA, carriers and shippers could access the contract rates and terms of their competitors directly, and relied heavily on the published essential terms of service contracts as benchmarks in their own negotiations. Contract terms achieved by a particular shipper were published and made available to any similarly situated shipper through the "me-too" provision. Accordingly, carriers were more reluctant to grant specific contract concessions for a particular shipper since their other customers could request equal treatment. The transparency of information constrained the commercial benefits of contract specialization for both carriers and shippers.

Industry Experiences

The confidentiality of information under OSRA has altered the process of negotiating contracts considerably. Comments in response to the Commission's NOI indicate that contract negotiations are less focused on meeting a market-rate benchmark, or matching the terms of competitors, and more attention is given to internal cost factors and individual service

- Overall, enhanced confidentiality under OSRA has provided shippers and carriers with an environment that is conducive to effective business transactions.
- Specific clauses and other internal measures have evolved to require negotiations and unpublished contract terms to remain confidential.
- As a result of OSRA's confidentiality requirements, closer attention now is given to internal cost factors and individual service requirements in contracts.
- NVOCCs concurred with the general view that confidentiality has improved the contracting process, but commented that tariff publication puts them at a competitive disadvantage relative to VOCCs.

requirements in contracts. Shippers and carriers advise that they can discuss and address commercially sensitive issues more freely, and privately structure their contracts accordingly. Respondents note that greater emphasis is placed on the skill of conducting negotiations to achieve business objectives. In their comments, shippers and carriers reported that confidentiality has created a more favorable contracting process in which it is easier to accommodate specific rate discounts and terms. NVOCCs concurred with the general view that confidentiality has improved the contracting process, but commented that tariff publication puts them at a competitive disadvantage relative to VOCCs.

Since OSRA, more attention must be devoted to evaluating market conditions through other sources of information. Carriers commented that internal contract accounts and rate bids from shippers constitute their main sources of market information. They contended that some shippers use rate quotes from competing carriers as leverage for better rate offers. Carriers noted, however, that such rate information is hard to validate, and added that tariffs generally are not reflective of market rates. Shippers commented that a wide range of published information and data including tariffs is used in their market evaluations. They disclosed that carrier sales representatives also provide a certain amount of market information. Shippers' associations support their shipper members by collecting and distributing market information.

Shippers claimed to be at a disadvantage relative to carriers in terms of market knowledge, noting that carriers can make broader observations due to their greater access to information about the overall market. Further, shippers complained that voluntary service contract guidelines adopted by agreements allow carriers to share contract rate information at agreement meetings. Carriers and agreements acknowledged that some contract rate information is shared at agreement meetings, but stressed that carriers must honor the confidentiality provisions of their individual contracts. Carriers pointed out that much less specific contract information is made available to agreement secretariats as a result of OSRA. They also questioned the accuracy of contract rate information shared by competing carriers at agreement meetings. Clearly, reliable rate information now is more valuable and increasingly sought throughout the industry.

However, confidentiality clauses and provisions increasingly are being added to contracts to restrict the disclosure of unpublished contract terms. The Commission's survey specifically reviewed the texts of the contracts for any of the following forms of confidentiality between the parties: (1) a specific confidentiality clause or provision, (2) a cross-reference to a tariff provision that describes the parties' obligations with respect to confidentiality, or (3) a stamp or mark of confidentiality within the contract. The survey revealed that just over 35 percent of the contracts sampled contained one of the aforementioned forms of confidentiality stated within their texts.⁸ For the most part, the confidentiality clauses found in the survey stipulated that neither the carrier party nor the shipper party could disclose unpublished contract information to third parties. In some cases, clauses were less restrictive and allowed the carrier party to share

⁸The actual use of confidentiality provisions may be understated since the survey confined its examination to the texts of the sampled contracts. Certain governing tariffs of carriers and conferences contain general confidentiality provisions which apply to service contracts and which may not be cross-referenced in the contract. Further, some industry participants have indicated that confidentiality agreements may be reached prior to the negotiation of the service contract.

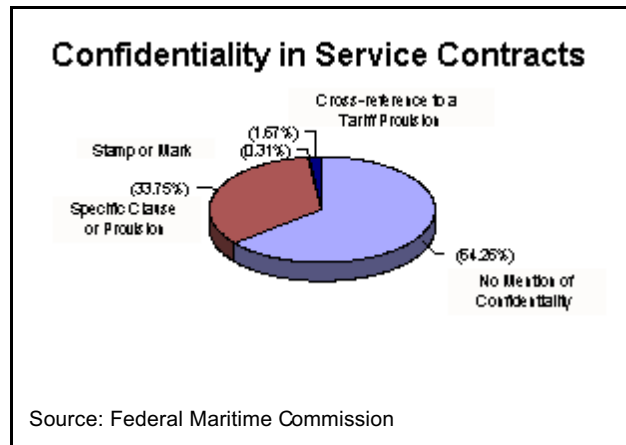
unpublished information with an agreement secretariat or other carrier members of an agreement without identifying the shipper party.

Certain carriers disclosed in their NOI comments that internal controls and new procedures were developed to limit the exposure of confidential contract information within their companies. On the use of confidentiality in contracting, roughly half of the carrier respondents indicated that standard confidentiality clauses automatically are included in 100 percent of their contracts. Those carriers also reported that shippers requested specifically crafted confidentiality clauses or language in about 5 percent of the carriers' contracts. Such requests were

acceptable to the carriers so long as the confidentiality terms were reciprocal. Other carriers stated that as a matter of policy, confidentiality clauses are added to contracts only at the shipper's request. Further comments disclosed that some of the larger shippers sought confidentiality agreements prior to conducting contract negotiations. Such agreements usually were initiated by shippers, and here again, carriers found them acceptable as long as the terms were reciprocal.

On a related issue, the Commission's survey showed that only 2 percent of the contracts sampled contained penalty provisions for breach of confidentiality. The breach penalties predominantly focused on the recourse of legal action with court remedies. Most NOI comments voiced no significant concern with respect to breach of confidential information. Carriers stated that cases of suspected breach usually were treated by limiting the number of participants in future negotiations. Certain carriers recognized that sales representatives and shippers exchanged market information in the course of making contract proposals, but did not characterize breach of confidential information as a problem. Another shippers' association expressed concern over the possible breach of confidentiality given non-contract parties' broad access to rate information on bills of lading.

Overall, the responses reflect that confidentiality under OSRA has provided shippers and carriers with the privacy they deem necessary to freely transact business. With the ability to shield such information, the contracting process is not constrained by the previous standards of meeting benchmarks and matching terms identically. Commercially sensitive issues and business requirements can be discussed more freely and accommodated more easily with specific contract terms. Carriers and shippers are more focused on achieving their individual rate and business objectives through contract negotiations. Specific clauses and other internal measures have evolved to ensure that negotiations and unpublished contract terms remain confidential.



AGREEMENT ACTIVITY/VOLUNTARY SERVICE CONTRACT GUIDELINES

Industry Structure Overview

While liner operators have enjoyed antitrust immunity since 1916, the last decade has seen dramatic changes in their exercise of this privilege. No longer can the structure of liner shipping be viewed as fifty or so major carriers operating autonomously. It is more appropriate to view the industry as blocs of operational partnerships with crisscross ties via space charters between and among different members of different partnership blocs. Such arrangements are important to understand when reviewing the use of antitrust authority. The Commission is acutely aware of the growing mosaic of vessel-sharing, alliance, and space-chartering configurations that can form a web, often with a discussion agreement bringing all involved carriers together. An economic understanding of a trade no longer can be garnered merely by focusing on a single agreement -- the competitive impact of carrier behavior across a myriad of interconnected relationships must be assessed.

- To gain an economic understanding of a trade, one now must assess the competitive impact of carrier behavior across a myriad of interconnected arrangements.
- Members of discussion agreements are not bound to specific rate levels, and are attracted by the opportunity to exchange information and the ability to agree voluntarily on pricing policy.

The emergence of global markets and anticipated deregulation under OSRA were the twin catalysts that triggered de-emphasis on traditional conferences and the continual migration to operational agreements. In 1996, one observer opined that “[a]ny history of the industry will have to distinguish between ‘Before Global Alliance’ and ‘After Global Alliance,’ so radical are the changes which the new structure promises.”⁹ The story of the use of antitrust immunity under OSRA is the progressive shifting from a demand-side focus to a realization of the considerable possibilities to be gained from a supply-side focus.

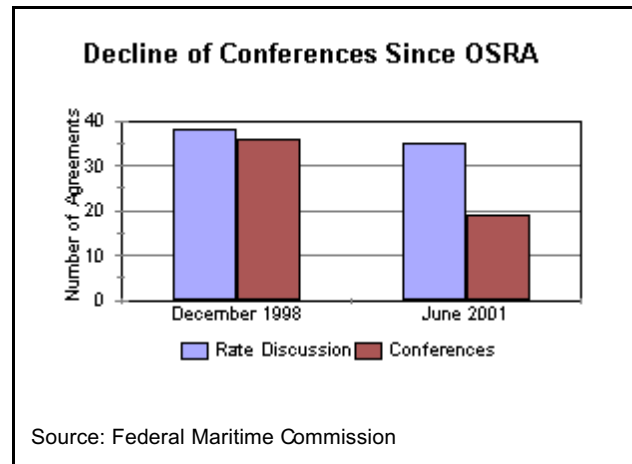
Discussion Agreements

During the 1980s, the traditional demand-side preoccupation was with rate stability, and the vehicle to address this single concern was the stereotypical, binding-ratemaking conference. The emergence of strong non-conference carriers, bringing a homogeneity of services across most liner operators, fractured the existing industry structure of strong conferences and weak non-conference carriers. The conference system was unable to deal with outsiders that provide a similar level of service, traditionally the exclusive domain of conference carriers. Given continued price-spread tensions between conference and committed non-conference carriers, in

⁹ Drewry Shipping Consultants Ltd., *Global Container Markets*, July 1996.

the face of endemic overtonnaging, there was pressure for some forum to mitigate rate competition between these two groups. The Eurocorde Discussion Agreement in the transatlantic and TSA in the US inbound Far East trade emerged in response to these forces. While the conference carriers were unable to entice the committed independents to become conference members and engage in binding ratemaking, they were able to bring them under the discussion agreement umbrella of voluntary ratemaking. Furthermore, during the late 1980s, carriers realized that supply-side control could be extremely powerful in curtailing destructive rate competition and consequently turned to capacity management in discussion agreements.

With the demise of the conference system, the discussion agreement, by default, became the sole forum for collective carrier pricing activity in most US liner trades. In the major trades, it is able to attract key players by being less bureaucratic and autocratic than the traditional conference. Members are not bound to specific rate levels, and among the variety of their features found attractive, the opportunity to exchange information and the ability to agree voluntarily on pricing policy are paramount. Although a discussion agreement's ratemaking may not be on the rigid, enforceable scale of the traditional conference, the ability of the members to share commercial information and formulate pricing policy can have a considerable demand-side influence under certain economic conditions.



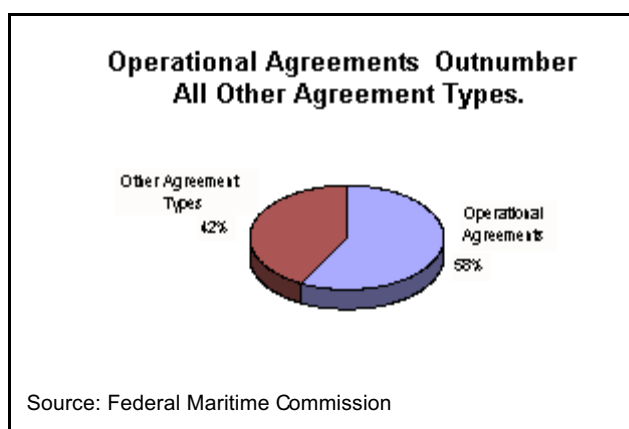
Unlike conferences, which saw a marked decline in their numbers (almost one-third either disbanded or were suspended about the time OSRA became effective in May 1999), the number of rate discussion agreements has remained somewhat stable during the first two years of OSRA. As of June 1, 2001, there were 19 conferences and 36 discussion agreements in effect. Further, consistent with the decline in the number of conferences, the number of discussion agreements that include a conference as a member has likewise fallen. The Commission's June 2000 Interim Status Report noted that there were 18 such agreements at that time. Currently, there are only four such agreements.

Operational Agreements

The demand-side demise of the traditional conference system and the emergence of discussion agreements undoubtedly are major hallmarks of the OSRA era. But the bigger headline is on the supply side, where carriers have turned to operational agreements to achieve significant efficiencies and global service expansion.

Globalization requires carriers to expand into new markets, and deregulation made it unlikely that strong conferences would be the vehicle for such expansion. The global strategic alliance soon emerged as the key vehicle for a carrier's entry into new markets by offering the ability to expand service and geographic coverage, while limiting individual risk and capital.

Alliances, like globalization and deregulation, developed gradually. Upon recognizing the advantages of operational cooperation, carriers initially ventured into space-chartering, joint services, and vessel-sharing arrangements that were typically confined to a single trade lane. Positive experiences in deployment and vessel-sharing cost savings led to more involved cooperation, and ultimately to the global strategic alliance as we know it. Alliances essentially strove to maximize the advantages of operational cooperation while maintaining individual marketing. Alliance partners worked to capture efficiencies across the entire gamut of shared operational assets such as vessels, containers, marine terminals, equipment, and inland facilities.



Operational agreements comprised 58 percent of all effective agreements on file with the Commission as of June 1, 2001. They range in scope and complexity from simple space-sharing arrangements (for example, one carrier selling to another 25 TEUs of space on one vessel operating in a single trade), to the highly integrated multi-carrier, multi-trade lane, global strategic alliances (typically, 3-5 carriers coordinating the services of numerous -- often as many as 80 -- vessels calling at ports worldwide).

Although global alliance agreements are not numerous,¹⁰ reports indicate that in the main east-west trades, alliances now account for between 60 to 65 percent of all slots deployed. Moreover, alliances and the use of new technologies have enabled ocean carriers to reduce their average cost by more than \$260/TEU over the past four years.¹¹

While operational agreements such as global alliances and basic space-chartering/vessel-sharing arrangements have the potential to reduce costs and expand the service network of each participant, there may be down sides to such supply-side forms of cooperation. Some shippers pointed out in their NOI responses that, in certain cases, carriers that are party to these integrated operational arrangements no longer have complete control over assets and, therefore, are unable to guarantee vessel space.¹² There also may be instances in which service levels (*i.e.*, capacity and number of vessel calls) are reduced as a result of carrier cooperation because the service is “shared” among carriers.

On the other hand, operational agreements offer an alternative to consolidation through mergers and acquisitions. These operational agreements arguably provide shippers with more

¹⁰Only four were on file with the Commission as of June 1, 2001.

¹¹*Containerisation International*, November 2000, p.14; “Drewry predicts better times ahead,” The Drewry Shipping Consultants, *The Drewry Annual Container Market Review and Forecast 2000*.

¹²Other shippers stated that, while there may be some service problems during the initial process of merging or coordinating different services and organizations, financially stronger and, therefore, more stable carriers with improved services are the long-run result.

service choices and the possible preservation of competition with respect to price and ancillary or related services, as compared with the results of mergers and acquisitions.

Internet Portal Agreements

Like most other industries, ocean shipping is adapting to the age of the Internet. A new carrier innovation that improves operational efficiencies and financial results is the formation of Internet portal agreements. Two portal agreements have been filed with the Commission that provide “one-stop shopping” Internet sites. Under these agreements, the participating carriers have established a common Internet portal and platform through which the carriers and other transportation service providers interact with shippers through a common set of transactions covering tracking and tracing, booking, and the like. The portals also contain links to the individual carriers’ own web-sites.

Voluntary Service Contract Guidelines

With the proliferation of individual service contracts since OSRA, greater scrutiny has shifted toward determining the degree of influence agreements are able to exert on the contracting practices of their agreement members. As broad-based discussion agreements evolved in many trades, attention has focused on the agreement members’ adoption of and adherence to voluntary service contract guidelines affecting individual service contracts. The extent to which agreement members adhere to voluntary service contract guidelines, especially on rate matters, gives an indication of the agreement’s collective influence or market power in its respective trade. Under OSRA, agreements that adopt guidelines are required to submit them confidentially to the Commission. Because of the confidential nature of the guidelines and the service contracts actually filed, the results of our review of the nature of and adherence to voluntary service contract guidelines may be reported only in general terms. At present, the Commission receives guideline submissions from 19 agreements.

Guideline Content

The guidelines adopted by the respective agreements vary considerably. It is evident in some trades that agreement members actively discuss, and set or amend their guidelines, on a regular basis. Activity often centers on very specific rules or charges for particular countries within the geographic scopes of the agreements. Conversely, in other trades, agreement members set very basic guidelines on an infrequent or sporadic basis. Most of the guidelines establish objectives for GRIs, minimum rate levels, or rate increases for specific major-moving commodities, surcharges, or accessorial. One particular set of guidelines recommended that agreement members use time-volume rates rather than service contracts. Many guidelines encouraged open communication

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between members on information relating to proposed or effective individual service contracts, provided that no confidentiality agreements are breached. Other guidelines discouraged rate discount mechanisms in their contracts, and instead recommended including automatic GRI clauses. Some guidelines further recommended using prescribed confidentiality clauses, as well as establishing specific dollar limitations for cargo loss or damage in line with the Carriage of Goods by Sea Act.

Adherence to Service Contract Guidelines

Carriers' success in gaining guideline adherence generally tracked overall market conditions.

To measure guideline adherence, the Commission undertook an audit of service contracts for the 2000 and 2001 contract periods. While all guidelines are reviewed, the audit focused on major agreements in various US liner trades including: the transpacific, transatlantic,¹³ Australia/New Zealand, and South and Central America. The Commission selected a range of service contracts on file with the Commission for major

commodities moved by a variety of agreement carriers in each trade. Rate levels in each contract were examined to determine whether agreement members were able to implement and/or sustain the rate objectives specified in each agreement's guidelines. In the case of GRIs, contracts and amendments for 2000 were matched with the corresponding 2001 contracts for each identical shipper and carrier to gauge the level of rate change. The rates were evaluated from 2000 through the start of the 2001 contract renewal period to determine whether carriers were able to implement increased rates by the full or partial GRI amount, or not at all. Where guidelines set commodity rates at specific levels, contracts for the same commodities were retrieved for 2000 and 2001 to determine whether the rates adhered to the guideline criteria. Adherence to the commodity rate guidelines was considered to be affirmed if the contract rates were at or above the specified levels. Other common guidelines regarding additional charges also were evaluated. If applicable, contracts were reviewed to determine whether carriers adhered to the guidelines by assessing a peak-season or equipment imbalance surcharge, and/or a chassis usage charge.

The results of the Commission's review of over 600 individual service contracts and rate observations confirm that carriers' success in gaining guideline adherence generally depended upon overall market conditions. For example, it appears that guideline adherence in 1999, when high demand kept inbound Far East vessels relatively full, was greater compared to 2000 and 2001. The current weaker US trade conditions, with anticipated additions in capacity, resulted in actual rate erosion in the inbound Far East trades in the face of guidelines calling for rate increases. However, the audit found that carriers in the inbound Far East trades were more

¹³The transatlantic is distinct from other US liner trades regarding guidelines. As previously mentioned, the EC prohibits carrier agreements that include European Union nations from setting voluntary service contract guidelines. Moreover, the EC significantly restricts any discussion or collection of information on service contracts negotiated outside of an agreement secretariat. Such agreements, however, are permitted to establish a service contract rate matrix that must be made publicly available. By the terms of their agreement, conference members may refer to and adopt such rates in their individual contract negotiations, if they so choose. Nonetheless, the transatlantic was included in the audit because of its commercial significance.

successful with adherence to surcharge guidelines than those pertaining to GRIs. This result was similar across the other trades audited.

The degree of adherence to voluntary service contract guidelines is routinely reviewed by the Commission. In sum, our findings were consistent with the preliminary findings made in the Commission's June 2000 Interim Status Report on OSRA: "... overall carrier compliance with [the guidelines] has been limited, depending on the trade in question The most important factor [to adherence] is the general economic conditions in the trade." While these findings remain true, the results of this audit yielded additional information with respect to adherence. Overall, the percentage of contracts adhering to guideline recommendations on surcharges and/or accessorial was mixed, ranging from 34 to 100 percent depending on the trade. Given the extensive impact of surcharges on a shipper's bottom-line costs, a high degree of adherence on such items merits the continued close attention of the Commission in evaluating the anticompetitive effects of an agreement under the section 6(g) standard. Adherence to guideline-recommended GRIs and commodity-specific rate increases was less successful, ranging from none to upwards of 60 percent.

Agreement Issues Noted in NOI Comments

A number of commenters raised issues concerning agreements, with a particular focus on discussion agreements, agreement filings, and monitoring reports.

Discussion Agreements

There were numerous comments and suggestions for future Commission action regarding agreement structure and activities. Carriers emphasized the necessity for discussion agreements and the benefits of exchanging information, *i.e.*, a more stable environment which benefits shippers and provides carriers with the security to make additional financial investments. Shippers suggested that the anti-competitive effects of discussion agreements should be examined by the Commission. Many believed that voluntary service contract guidelines are not voluntary and that carriers use them, as well as their exchange of information on capacity and surcharges, to increase freight rates. A number of shippers contended that discussion agreements contravene the pro-market thrust of OSRA. (See Appendix I: questions 14-17.)

As noted above, the Commission thoroughly reviews all agreements, with a particular emphasis on discussion agreements. Under the Commission's monitoring program, the activities of discussion agreements and the web of agreements that make up the structure of agreement activity are evaluated through examination of confidentially-filed monitoring reports, agreement minutes, service contracts and other trade sources. The information contained in the Commission's service contract database is evaluated continuously, along with voluntary service contract guidelines, to determine whether there is abuse of antitrust immunity. This

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- Shippers emphasized the anti-competitive effects of discussion agreements in increasing freight rates.

information is analyzed in conjunction with other pertinent data, including agreement monitoring reports and minutes of meetings.

Agreement Filings

Several commenters suggested that the Commission consider exempting certain carrier agreements from filing and waiting requirements. For example, commenters variously proposed that agreements regarding specific aspects of space-charter arrangements (*i.e.*, operational matters), changes to space allocations, and the expansion of the geographic scope of agreements, be allowed to become effective on filing or effective on less than 45-days' notice (*e.g.*, effective after five business days). These agreement-related issues, as well as others, currently are being reviewed by the Commission's staff, and proposals are being developed in connection with a Notice of Inquiry - Docket No. 99-13 - *The Content of Ocean Carrier and Marine Terminal Operator Agreements Subject to the Shipping Act of 1984*, August 3, 1999, 64 FR 42057.

Agreement Monitoring Reports

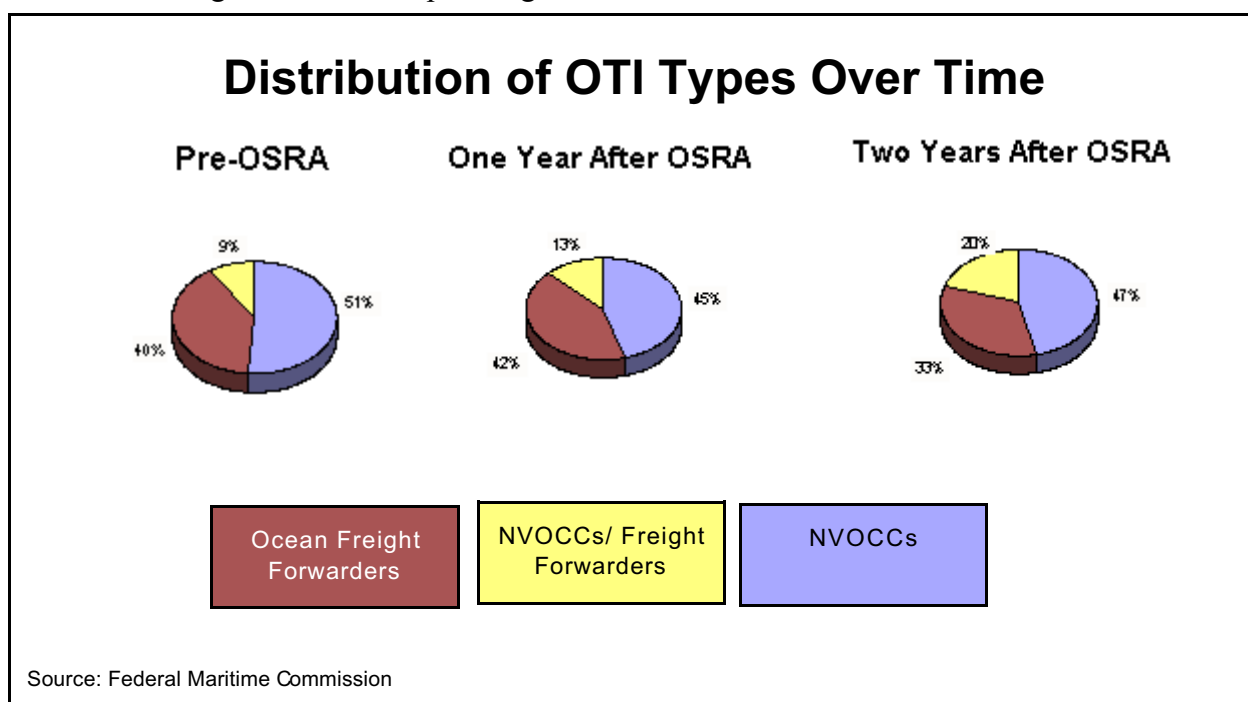
A number of carrier commenters raised a variety of concerns regarding the Commission's monitoring report program. They suggested that the Commission review, revise, or reduce its monitoring report requirements in light of the changes brought about by OSRA. The commenters acknowledged that some reporting is necessary in order for the Commission to fulfill its regulatory responsibilities. However, they noted that the present reporting requirements "pre-date" OSRA and argue that they are not well suited to a regulatory system in which a majority of cargo moves under the confidential terms of individual service contracts. Several carriers questioned the necessity of having any monitoring report requirements on various types of agreements such as operational agreements which are entered into for efficiency purposes and to meet the specific needs of customers. Carriers made a number of other suggestions for streamlining the reporting process which many found burdensome and costly.

Based on the Commission's experiences with monitoring reports over the last several years, and in light of the reforms introduced under OSRA, the Commission has begun to consider possible changes to the agreement information form and monitoring report requirements. Any proposed changes to these requirements would be addressed at some future date in a proposed rulemaking.

OTI LICENSING AND BONDING

The OTI Industry at a Glance

OSRA, together with the continuing logistics and supply-chain evolution, is bringing about significant change in the structure of the OTI industry. Since OSRA became effective, the number of NVOCCs has decreased by almost 15 percent and ocean freight forwarders by 21 percent; however, the number of OTIs that are both NVOCCs and ocean freight forwarders has more than doubled. Overall, the total number of OTIs has fallen by about 6 percent, but the number of foreign NVOCCs keeps rising.



There are several possible explanations for the decrease in the total number of OTIs. One is the increasing consolidation among OTI firms, similar to that occurring elsewhere in the liner industry. Second, as just cited, is the increase in the number of OTIs adding freight forwarding or NVOCC activities to their existing functions. This increase in the number of OTIs that are both NVOCCs and ocean freight forwarders was explained by some commenters to the Commission's NOI as an effort to remain competitive by offering a wide variety and level of services. These intermediary respondents noted that ocean carriers also are diversifying operations by developing and offering their own value-added services and performing traditional OTI activities. With the increased awareness of efficiencies from, and customer demand for, supply-chain management, carriers are developing and selling services traditionally offered by OTIs and logistics providers. Confidential contracting between shippers and carriers has fostered the rapid growth in carriers providing logistics and value-added services. Through the confidential contracting process,

carriers and shippers jointly can customize service packages that include both ocean transportation and logistics services.

Licensing/Bonding and Tariff Publication

OSRA requires that NVOCCs in the US now be licensed by the Commission. Additionally, the Commission's rules implementing OSRA increased the bond amount required from all NVOCCs. Ocean freight forwarders, while already licensed and bonded, also are subject to a higher bonding level under the Commission's implementing regulations. The vehicle for insuring financial responsibility to date has been surety bonds exclusively. (See Appendix III.) OTIs generally have not objected to these additional licensing and bonding requirements, nor have there been indications that these new requirements have had a significant impact on OTI operations. However, OTIs have raised various concerns since OSRA became effective. They are troubled that their regulatory burden increased, and consistently have questioned the regulatory need for NVOCC tariff publication. They also believe that they are subjected to more FMC oversight -- tariff publication, adherence to tariffs, and common carriage provisions of the 1984 Act -- than vessel operators. Similarly, OTIs in the US contend that they have a significant and unfair competitive disadvantage since they face closer FMC scrutiny regarding statutory compliance. Some commenters suggested a relaxation, simplification, or elimination of applicable requirements and/or a reduction of enforcement activities directed at NVOCC compliance with tariff and common carriage provisions of the 1984 Act.

Competitive Activity

As mentioned, many shippers' associations and OTIs expressed concern with the greater level of regulation of OTIs relative to VOCCs. They point to the fact that NVOCCs still must make their rates publicly available, while VOCCs are free to sign confidential service contracts. In their opinion, this gives ocean common carriers a commercially competitive advantage over NVOCCs, who cannot protect their customers' rates and terms of service from public scrutiny via confidential service contracts. They submit that ocean carriers are using all the competitive tools at their disposal, including confidential contracting and antitrust immunity, to compete head-to-head with transportation intermediaries, both on the ocean side and in market sectors such as logistics and supply-chain management. Several intermediary commenters indicated that VOCCs are able to provide a bundling of services from warehousing, to customs brokerage, to ocean shipping all in one confidential package, and therefore have a substantial advantage over OTIs who are legally prohibited from offering confidential "one-stop" transportation packages to shipper-clients. Some commenters believe the Commission should examine more closely carriers' concerted activities and allegedly unfair shipping practices.

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While the Commission does not have evidence of specific harm to OTIs vis-a-vis ocean carriers due to OSRA's changes, OTIs as a group have voiced their concerns at the highest national levels. And as previously mentioned, the doubling in the number of OTIs that are both NVOCCs and ocean freight forwarders can be attributed to a perceived need to offer more service to customers in an effort to strengthen competitive position under what is seen as a more difficult operating environment under OSRA. The FMC recognizes the importance of the interplay between the VOCC and OTI sectors, and will monitor future activities closely.

TARIFF PUBLICATION

Tariff Publishing Under OSRA

Tariff publication was the area affected the most by OSRA's regulatory approach. Effective May 1, 1999, OSRA eliminated the requirement that carriers and conferences file their tariffs and essential terms publications with the Commission. OSRA requires carriers and conferences to publish their tariff rates and services in automated systems to be made available to any person, without time, quantity, or other limitation, through appropriate access from remote locations. OSRA also authorizes assessment of a "reasonable charge" for tariff access. Additionally, with respect to service contracts, OSRA removed rates and charges, service commitments, and any liquidated damages from the essential terms required to be made public. Instead, public essential terms of service contracts now are: the origin and destination port ranges; commodity or commodities; minimum volume or portion; and the duration of the contract. OSRA also provides that marine terminal operators ("MTOs") may publish schedules of their rates, regulations, and practices, if they so choose.

OSRA mandates the Commission to prescribe the requirements for the accessibility and accuracy of carrier automated tariff systems ("CATS") and, after periodic review, to prohibit the use of any automated tariff system that fails to meet these requirements. The Commission issued a proposed rule to implement OSRA that covered all relevant aspects of tariff publication. Based on public comments received from affected parties, the Commission significantly altered its proposal to reduce further the burdens of compliance, and to provide carriers with more flexibility and options in publishing their CATS. All conferences, VOCCs and NVOCCs are required to publish the services they offer.

Following the implementation of OSRA, the Commission reviewed a number of tariff systems and found that many appeared to limit the public's access to tariff information. The Commission contacted carriers and publishers in an attempt to rectify significant problems. The Commission consistently concentrated on compliance with OSRA's requirements that tariffs be accessible to the public and accurate -- a number of questions were asked and clarifications sought.

- OSRA eliminated the requirement that carriers and conferences file their tariffs and essential terms publications with the Commission.
- The FMC continues to review on-line tariff systems to ensure statutory compliance.
- Most ocean carriers use tariffs not only to publish rate information, but to link their service contracts to basic terms and conditions that are spelled out in tariffs -- particularly GRIs, surcharges and accessorial charges.
- NVOCCs, on the other hand, view tariffs as burdensome because they retain the pre-OSRA format which includes the publication and maintenance of all rate line items.

After several failed attempts to obtain overall industry statutory compliance, the Commission issued *Circular Letter No. 00-1, Public Access to Tariffs and Tariff Systems Under the Ocean Shipping Reform Act of 1998*, on April 6, 2000. The circular letter, addressed to carriers, conferences, and tariff publishers, indicated that a number of tariff systems failed to provide adequate user instructions, had no commodity index or failed to provide a commodity search feature, had no historical data search capability, required a considerable time to download or move from one function to another, and had access fees and/or monthly minimum requirements that appeared to discourage public use. The Commission urged publishers to correct access deficiencies and advised public users to notify the Commission of any problems that might be experienced in accessing tariff systems. The circular letter also expressed the Commission's desire to work with the industry to address any problems that limit public access to tariff systems. The letter concluded with the admonition that, if the problems were not remedied voluntarily, the Commission would consider other remedial actions to ensure public access to tariffs in accordance with the Congressional mandate contained in OSRA.

The Commission also issued an Advance Notice of Proposed Rulemaking addressing the issues of access fees and monthly minimum charges, seeking input from all interested parties on the reasonableness of such fees and charges. Based on a review of the comments, the Commission determined not to proceed with a rulemaking and instead issued *Circular Letter No. 00-2, Charges Assessed for Access to Tariffs and Tariff Systems*, on October 6, 2000. The Commission stated that while it was not promulgating regulations governing tariff access charges, it was providing guidance with respect to access fees and monthly minimum charges assessed by carriers, conferences, and tariff publishers, as well as certain costs and expenses that should not be recovered when establishing charges for tariff access. The Commission indicated that voluntary adherence to the guidelines mentioned in the circular letter would obviate the need for further Commission action.

No written complaints have been received by the Commission concerning the issues addressed in the two circular letters. The Commission's staff, however, has received informal inquiries from members of the public requesting assistance in retrieving tariff information. During the course of these communications, allegations have been made that some carriers' tariff access fees are too high, hence the request for staff assistance. Such inquiries generally involve only a minor amount of tariff research.

The Commission will continue its monitoring efforts so as to ensure equitable, uniform compliance with OSRA's requirements. Given the various uses of tariffs, particularly their applicability to service contracts, fair and effective administration of this responsibility is important. Additionally, since OSRA, and the Commission's implementing regulations, greatly reduce the burden of publishing tariff information, compliance should not be difficult to achieve. Naturally, our efforts will continue to seek voluntary compliance. However, more formal action may need to be instituted for those who refuse to comply or are involved in particularly egregious activity.

The NOI and Tariff Use Under OSRA

Comments received in response to the Commission's NOI expressed varying opinions concerning the accessibility and accuracy of tariffs. (See Appendix I, summary of responses to

questions 24 through 29.) Most ocean carriers use tariffs not only to publish freight rate information, but to link their service contracts to basic terms and conditions that are spelled out in tariffs -- particularly GRIs, surcharges and accessorial charges. The carriers indicated that the linkage between tariffs and service contracts relieves them of the burden of repeating these common service contract provisions separately in each contract. It would also appear that linking service contracts to these tariff terms and conditions makes it easier for carriers to take such items out of the negotiation process. Consequently, most ocean carriers are satisfied with present-day tariff publication requirements.

NVOCCs, on the other hand, view tariffs as burdensome because they retain the pre-OSRA format, which includes the publication and maintenance of all rate line items. NVOCCs also are of the opinion that they are disadvantaged because most of the active VOCC rates are contained in confidential service contracts, and therefore NVOCCs are precluded from reviewing them. They point to the fact that VOCCs individually have access to specific commercial information, and depending on specific agreement authority, may collectively exchange this information as members of discussion or other types of agreements (within the restrictions of any service contract confidentiality requirements). In addition, many NVOCCs want the tariff requirement removed entirely. They believe this would put them on equal footing with VOCCs.

Ocean freight forwarders generally stated that they had no real difficulty in accessing tariff systems, although one forwarder group advised that the lack of appropriate standards made access difficult for its members. Many OTIs viewed tariffs as very useful for inland rate information, which they said can be incorporated in their rate quotes. Other OTIs contended that tariff information was not relevant in the current trading environment.

Shippers varied in their views on the ease of access to, and overall usefulness of, tariffs. Some stated that they had no difficulty in accessing carrier systems and found the published data informative. Others indicated that they had no occasion to refer to tariffs. And still others referred to them as too cumbersome, or complained that they did not have adequate guidance on how to access linked tariffs which are issued by different publishers. Certain shippers advised that they contacted carriers directly for rate and rate-related information. Shippers' associations reported that they referred to tariffs regularly since their contracts so often were linked to them. They accessed tariffs to verify charges, obtain rates for service contract movements, or for general market information. One association emphasized that the publication of a commodity index and bottom-line rates would increase tariffs' utility.

Maintaining public tariffs and adherence to specific publication requirements continue to be a contentious issue. Despite OSRA's deregulatory changes in this area, debate still persists on the usefulness of tariffs, the burden of applicable statutory and regulatory requirements, and tariffs' overall impact on industry operations. Not only do the different sectors of the industry disagree, but there is far from unanimity within sectors. Often, a company's views on tariffs are dictated as much by its internal circumstances and general approach to business, as they are by the competitive consequences of pricing services. Clearly this issue is far from resolved, and indications are that it may be presented in some form for Commission consideration in the future. The Commission will continue to fulfill its oversight role with the aim of assisting the industry in achieving compliance as efficiently as possible, while helping to create the trade environment envisioned by OSRA.

OTHER ISSUES (CONTROLLED CARRIERS, FOREIGN SHIPPING PRACTICES, TRUCKING, AND E-COMMERCE)

Controlled Carrier Oversight

The 1984 Act defines a controlled carrier as an ocean common carrier whose operating assets are, directly or indirectly, owned or controlled by a government. Due to a controlled carrier's close national ties, profit cannot always be assumed to be the chief motivation for its operations. To address this concern, Congress enacted the Controlled Carrier Act (section 9 of the 1984 Act), to prevent controlled carriers, whose marketplace decision-making can be influenced by governmental priorities or by their access to non-market sources of capital, from engaging in unreasonable below-market pricing practices that could disrupt trade or harm privately-owned shipping companies.

A number of changes instituted under OSRA strengthened the controlled carrier provisions. OSRA expanded the definition of a controlled carrier by deleting the previous limitation that an entity can be a controlled carrier only when it operates vessels registered under the government that controls the carrier. This change removed a potential loophole that may have enabled a controlled carrier to "flag-out" or register its vessels under the laws and regulations of another country, thereby avoiding the controlled carrier

- OSRA expanded the definition of a controlled carrier by deleting the previous limitation that an entity can be a controlled carrier only when it operates vessels registered under the government that controls it.
- OSRA removed three conditions that previously qualified as exceptions from controlled carrier provisions: agreement membership, operations in a controlled carrier's bilateral trade with the US, and signatory status to the OECD shipping policy.
- OSRA clarified the types of foreign activities that create unfavorable conditions to shipping in the US foreign trades, and enumerated pricing practices as among those activities that may create unfavorable conditions.
- OSRA also authorized suspension of service contracts as a remedy available to the Commission to address unfavorable conditions and restrictive foreign practices.

provisions.¹⁴ In addition, OSRA removed three exceptions from the controlled carrier provisions: agreement membership, operations in a controlled carrier's bilateral trade with the US, and OECD signatory status. Prior to OSRA, the rates, charges, classifications, rules, *etc.*, of a controlled carrier were exempt from the controlled carrier provisions when they were pursuant to a conference tariff. The removal of the second exception now brings cargo in a controlled carrier's bilateral trade under the controlled carrier provisions of OSRA. The last change regarding OECD signatory status appears to have had minimal impact.

Over the past several years, carriers of the People's Republic of China ("PRC") have been the largest group of controlled carriers.¹⁵ Currently there are five PRC-controlled carriers. COSCO North America, Inc. ("COSCO"), the largest of the group, has grown from a very modest beginning to become one of the largest carriers in the world -- during 2000 it ranked as one of the top five carriers serving the US trades.¹⁶ COSCO's fleet consists of more than 500 ships which call at ports in approximately 180 countries. It also is a very diversified company, offering non-shipping services such as real estate, finance, and insurance. CSCL, one of the newest controlled carriers, has grown considerably. It currently has more than 100 ships and has embarked on a building program to further expand its fleet. CSCL's market share in the trade between the US and the rest of the world increased from .02 percent (2,707 TEUs) in 1999 to 1.1 percent (205,616 TEUs) in 2000. During the same period, it increased its market share in the trade between the US and the PRC from 0.1 percent (1,328 TEUs) to 3.9 percent (139,947 TEUs).¹⁷

In response to the Commission's NOI, COSCO reiterated some of its earlier comments made in a petition for regulatory relief before the Commission.¹⁸ In its latest petition, COSCO requested the Commission to expand its current exemption from the Controlled Carrier Act (as amended by OSRA) to permit COSCO to publish tariff rate decreases in the US foreign

¹⁴To improve the process of identifying controlled carriers operating in the US trades, the Commission's rules implementing OSRA provided that an ocean common carrier that is owned or controlled by a government, in any manner, must furnish the Commission with immediate written notification as to its status as a controlled carrier.

¹⁵There are currently 13 carriers on the Commission's list of controlled carriers. Two of the most recent additions include CSCL and China National Foreign Trade (Group) Corporation ("SINOTRANS").

¹⁶COSCO's volume in the trade between the US and the rest of the world increased from 4.9 percent (847,688 TEUs) in 1999 to 5 percent (962,995 TEUs) in 2000. During the same period, while the volume of cargo carried by COSCO in the bilateral trade between the US and the PRC increased, its market share decreased from 13.9 to 12.1 percent. Source: Journal of Commerce ("JOC") PIERs.

¹⁷Source: JOC PIERs.

¹⁸*Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act*, Petition No. P3-99, March 31, 1999.

commerce that would be effective upon publication, without regard to competing carrier rates.¹⁹ In both the petition and in its response to the Commission's NOI, COSCO contends that it lost its short-term flexibility to price tariff cargo freely in the trade between the US and the PRC due to the repeal of the bilateral trade exception to the Controlled Carrier Act; therefore, it contends its burden of regulation has increased under OSRA. COSCO has found this burden especially difficult with regard to oversized project and forwarder-controlled cargoes that need quick (often one-day) tariff publication. COSCO would like to see the 30-day notice requirements for its tariff publications dropped. The merits of the specific regulatory relief sought by COSCO will be evaluated by the Commission in the proceeding that considers Petition P3-99. The Commission also will increase its focus on controlled carrier activities to ensure that the Controlled Carrier Act objectives of preserving equitable competition and promoting international trade are being met.

Unfair Foreign Shipping Practices

OSRA amended section 11a of the 1984 Act (FSPA), and section 19 of the Merchant Marine Act, 1920, to add the suspension of service contracts to the remedies available to the Commission to address unfavorable conditions, and to clarify the types of foreign activities that create unfavorable conditions to shipping in the US foreign trades, enumerating pricing practices as among those activities that may create unfavorable conditions.

The majority of those commenting on this issue in response to the NOI believed that OSRA had no impact on potentially unfair shipping practices. Several commenters stated that it was beneficial for the FMC to have authority to take action against foreign restrictive practices and noted their concern regarding such practices in particular US foreign trades. (See Appendix I, question 30.)

The Commission continues to address unfair shipping practices as they arise. The Commission requires periodic reports from carriers in specified trade areas, when appropriate, to monitor developments. Further, the Commission has established a permanent Task Force on Restrictive Foreign Practices, chaired by the General Counsel, with representatives from a number of bureaus and offices. The Task Force meets regularly to exchange information about new and continuing areas of concern, and to formulate recommended approaches to restrictive foreign shipping practices which may require action under the Commission's statutory authorities. Since the implementation of OSRA, the Commission has continued to address unfair shipping practices under existing proceedings and continuously monitors new developments in this area.

¹⁹In October 2000, SINO TRANS filed a petition (*Petition of China National Foreign Trade Transportation (Group) Corp. (SINOTRANS) for Exemption from Section 9(c) of the Shipping Act of 1984*, Petition No. P2-00) with the Commission requesting the same relief granted to COSCO in an earlier proceeding. This was an exemption from the requirements of section 9(c) to allow it to lower tariff rates to exceed or meet competitors' rates, but not to undercut them. Both P3-99 and P2-00 are pending before the Commission.

Port Trucking Issues

Question 23 of the Commission's NOI asked: "What impact, if any, has the implementation of OSRA had on the port trucking industry?" In responding to this question, the International Brotherhood of Teamsters complained that port driver wages have declined, driver bankruptcies and truck repossessions have increased, and working conditions for port drivers are generally "abusive." The Teamsters believe that OSRA permits ocean common carriers, through their rate agreements' voluntary guidelines, to keep inland rates harmfully low by setting anti-competitive and unreasonable "ceiling" rates for both through and inland transportation. Further, they claim that the inland transportation rates "dictated by ocean common carriers and shippers" to trucking companies are non-negotiable rates and prohibit trucking companies from providing a living wage to port drivers. The Teamsters provide several examples of poor working conditions in the container hauling industry, including port congestion, unpaid waiting time at ports, unroadworthy chassis, overweight containers, and improperly labeled hazardous materials.

Because the purpose of the Commission's NOI proceeding was to examine the impact of OSRA, the Commission is not treating the Teamsters' comment as a petition for formal action, nor is the Commission addressing whether the Teamsters' concerns would be remediable by the Commission were a complaint or petition filed. It does not appear, however, that the Teamsters' concerns are occasioned by the passage of OSRA. Rather, its comments reflect longstanding difficulties faced by the port trucking industry in its relationship to the ports and ocean carrier industry. One apparent change in the law related to the Teamsters' concerns is found in section 10(c)(4). Prior to OSRA, section 10(c)(4) prohibited concerted action in negotiating with non-ocean carriers on "rates or services provided to ocean common carriers within the US by those non-ocean carriers." OSRA amended the prohibition to allow for such concerted action if "negotiations and any resulting agreements are not in violation of the antitrust laws and are consistent with the purposes of this Act." The Teamsters do not cite specifically to this change in the law and do not provide specific facts alleging unlawful concerted action in negotiating with inland providers. Furthermore, the Commission has no information to indicate that this particular change in the law has had a detrimental effect on the port trucking industry.

Voluntary guidelines for service contracting are filed confidentially with the Commission pursuant to 46 C.F.R. § 535.802(e). These were examined carefully to determine which guidelines could affect port trucking. Some guideline provisions were found that could theoretically impact inland truckers and port drivers. Certain of the voluntary guideline provisions would appear to aim at relieving port congestion, one of the Teamsters' significant

- The Teamsters believe that OSRA permits ocean common carriers, through their rate agreements' voluntary guidelines, to keep inland rates too low by setting anti-competitive and unreasonable "ceiling" rates for both through and inland transportation.
- The Teamsters' concerns, as opposed to being occasioned by the passage of OSRA, appear to reflect longstanding difficulties faced by the port trucking industry in its relationship to ports and ocean

concerns, and thereby would benefit port truck drivers. Nothing in the voluntary guidelines, however, substantiates the Teamsters' apparent claim that they allow carriers to jointly negotiate inland divisions, defined in section 3 (11) as "the amount paid by a common carrier to an inland carrier for the inland portion of through transportation offered to the public by the common carrier." Section 7(b)(2) establishes that antitrust immunity is not extended to discussion agreements or conferences for the purpose of discussion or negotiation regarding the "inland divisions." The inland division is specifically distinguished in section 7(b)(2) from the inland portion, or the amount charged by the common carrier to its customer for inland services. Nor do the voluntary guidelines indicate that carrier practices with regard to agreements affecting the inland portion of through rates have changed as a result of OSRA: carrier antitrust immunity for such activities by conferences and rate agreements existed under the 1984 Act prior to the passage of OSRA. Its extension by OSRA to voluntary rate discussion agreements does not appear to have any connection to the Teamsters' concerns as they were presented; no specific allegations or evidence was provided to suggest such a connection. Further, the voluntary guidelines do not provide any indication that inland carriers are unable to negotiate inland rates with individual ocean carriers, as alleged by the Teamsters. In sum, the Commission is unaware of any agreements which, through their voluntary guidelines, permit concerted activity with regard to inland trucking in contravention of the 1984 Act.

In addition to the examination of voluntary service contract guidelines, the Commission also identified several agreements that contain language authorizing the respective members to jointly negotiate inland divisions with motor carriers. Agreement representatives, however, confirm that no arrangements involving motor carriage have been implemented. The Commission also reviewed the confidential minutes of meetings of conferences and discussion agreements on file with the Commission and found no indication of discussions among the respective agreement members concerning the negotiation of US inland divisions with motor carriers. The Commission will continue to review guidelines, minutes, and agreement provisions to ascertain whether agreement authority is occasioning any adverse effects on port and trucking operations.

E-Commerce

Prior to the passage of OSRA, transportation-related, e-commerce businesses had already started appearing on the liner shipping scene. Many of the original Internet-

- Traditional information management dot-com companies, either independently or in cooperation with liner shipping firms, have entered the liner shipping arena, offering an array of automated, value-added service packages.
- Cargo-based, e-commerce portals, which provide a centralized location for "one-stop shopping" for various participating carrier services, are the current trend and are receiving much support from major liner companies.
- The concept of "supply-chain collaboration" has been gaining attention in liner shipping and promises to streamline the process significantly.

based companies focused specifically on developing automated services (including e-commerce auction sites) tailored to the business of liner shipping. Many of these start-ups were founded by carrier and shipper executives displaced as a result of industry down-sizing that occurred during the 1990s. These former carrier and shipper executives have combined their extensive industry expertise with today's high-tech capabilities to advance industry automation. Traditional information management companies, either independently or in cooperation with liner shipping firms, also have entered the liner shipping arena, offering an array of automated, value-added service packages.

While OSRA is not directly responsible for the emergence of these dot-com businesses, it arguably has created a more competitive, market-oriented environment in which these companies have grown in importance. For example, 1999 saw an explosion in the number of dot-com companies focused on the design and promotion of automated services customized for liner shipping. Since then, however, liner shipping dot-com firms have generally followed the same consolidation trends of those in other industries -- by January 2001, many firms that partially were labeled as "Internet auction" companies had been bought or gone out of business. The surviving companies have changed their emphasis drastically from auction sites to focus on more fundamental, practical applications.

For example, track-and-trace technologies, which provide visibility, are gaining in popularity. Cargo-based, e-commerce portals are the current trend and are receiving much support from major liner companies. These Internet portals provide a centralized location for "one-stop shopping" for various participating carrier services and obviate the need for shippers to refer to numerous individual carrier web-sites. INTTRA and Global Transportation Network, two ocean carrier-backed Internet portals, focus on track-and-trace systems as a core capability. Extensive carrier collaboration is expected to continue in this area. In addition, one carrier recently unveiled six products that it will provide shippers, along with a track-and-trace feature. These products include: vessel schedule information, on-line booking capability and shipping instructions, ability to print remote bills of lading, automated shipment tracking, and a complete on-line invoicing and payments system.

E-commerce for value-added services was seen by the NOI commenters as something that was likely to prove more useful than e-auctions, both in allowing carriers and shippers to reduce costs, and improving carrier-shipper relationships. E-auctions, however, received very little support from vessel operators because the auctions are meant to fill unused capacity by auctioning-off unused slots at reduced rates. Carriers generally believed that participation in e-auctions only hurts their operations by further lowering rates. It is no surprise that those companies who concentrated on this type of service largely were unsuccessful. Shippers additionally noted that they are looking for applications that go beyond ocean carriage to include middleman functions as well. Some also contended that because many lines offer their own systems, the complexity of dealing with multiple systems makes the current offerings less useful than otherwise might be the case. The new portals look to ease this complexity.

A relatively new development in the area of logistics and e-commerce also may address the problem of multiple, complex systems. The concept of "supply-chain collaboration" has been gaining attention in liner shipping and promises to streamline the process significantly. True collaboration involves two or more companies working jointly to develop shared information,

design and execute a logistics supply-chain plan, measure performance, and share equally in the rewards. In essence, collaboration involves the supply-chain partners sharing commercially sensitive, customer-demand forecast information, and using it throughout the supply chain, to ensure the correct and timely delivery of products. Collaboration is considered so critical in today's highly competitive environment that many of the largest US-based shippers (including Wal-Mart, K-Mart, Eastman Kodak, *etc.*) formed a group known as VICS -- Voluntary Interindustry Commerce Standards -- to develop uniform documentation and standards for supply-chain collaboration.

The advent of auction dot-coms, transportation exchanges, Internet portals, and similar e-commerce entities has increasingly blurred the distinction between forwarding (OTI) and other value-added services. Some commenters to the Commission's NOI believe these new entities should be reviewed to determine how they fit within the 1984 Act, as amended. The Commission recognizes the important role that these entities play in the efficient movement of goods in the US-foreign commerce, as well as in reducing operational costs. The question of the rights and responsibilities of these entities under OSRA and the role, if any, of the Commission in regulating their activities is an issue that the Commission will continue to evaluate. In the meantime, it is likely that transportation exchanges and similar e-commerce firms will continue to evolve and provide cost-saving solutions to the industry.

CLOSING OBSERVATIONS

Snapshot of Findings

The changes in the liner shipping industry, and OSRA's impact over the past two years, can be characterized as significant, but are not totally unexpected. Certainly the dissolution of the traditional conference system in most major trades, and the ascendancy of discussion agreements, was anticipated. The wholesale reshaping of carrier supply-side operations, replete with various types of partnering and vessel-sharing arrangements, continued a trend that had begun several years ago. And the across-the-board surge in service contracting (as reflected in the number of contracts, the cargo volume, and the percentage of cargo moved under such contracts), while greater and more sudden than most expected, was consistent with the anticipated decline in tariff movements as a result of individual confidential contracting and the removal of conference oversight authority.

But these changes over the past two years nonetheless have been noteworthy. The high percentage of service contracts entered into by individual carriers (98 percent of all contracts in the Commission's 1,000 contract random sample) is remarkable. The confidentiality, flexibility, and lack of conference control over these instruments have made them attractive to carriers and shippers alike, who share the desire to find cost savings and efficiencies through individualized arrangements. The portal for tariff information has migrated from the FMC's ATFI System to the Internet. And while the preponderance of service contracts refer to the respective carrier tariff for accessorial and GRI information, tariffs are far different from those of a mere two years ago. They no longer are the center stage for rate information, but more the coordinating link across most service contracts. Of course, NVOCC rate information still is contained in published tariffs. Consolidation is also taking place in the OTI sector as more traditional freight forwarders and NVOCCs seek to wear both hats; this is consistent with attempts to respond to customer demand for more integrated logistic services.

OSRA specifically amended the 1984 Act to encourage the growth of US exports through "... a greater reliance on the marketplace." The changes in service contracting and the rise in carrier efficiency-enhancing agreements suggest that OSRA has achieved this objective. Many see the replacement of the conference system with discussion agreements as resulting in a less rigid form of carrier control over the liner trades. Others, however, remain concerned with the degree to which such agreements are able to achieve adherence to voluntary service contract guidelines. As indicated earlier, the

- It is now the Internet, not the FMC's ATFI System, that is the portal for tariff information.
- Tariffs are no longer the center stage for ocean carrier rate information, but more the coordinating link across most service contracts.
- The changes in and popularity of service contracting, and the rise in carrier-efficiency-enhancing agreements, suggest that OSRA has brought greater

Commission's confidential review of carrier service contracts found limited adherence to contract guidelines, although carrier actions in this regard appear to be dictated by prevailing market conditions.

Ongoing Evolution of the Industry

OSRA is but one factor in the ongoing reshaping of worldwide distribution (in which liner shipping is one component). This evolution is driven by the powerful and recent economic forces of technology, partnering, globalization and process integration. The fundamental concept behind these forces is as old and unchanging as the market itself: buyers looking for the most advantageous deals and sellers striving to provide a service that attracts and retains customers.

Limits on the speed and accuracy of information exchange historically have constrained efficient market processes. The rapid availability of electronic information has radically eased such limits and helped to promote globalization. No longer do companies confine themselves to their service segment, when it has become clear that significant efficiencies are to be captured from integration across all segments. Supply-chain management, which integrates traditionally independent processes, has led to efficiencies in each link of the chain, from product inception to delivery. Sellers of goods must partner with their customers and work with others in the supply chain to realize and share available economic benefits. Hence, liner operators, middlemen, third-party logistics providers, consolidators, and others all now seek to redefine themselves beyond their traditional transportation sector. More than one liner operator's mission statement, for example, has been revised to indicate a broader distribution and logistics focus than just liner movements.

When viewed from the broad perspective of worldwide distribution, OSRA was a clear response to calls for an institutional scheme that was more adaptive to the emerging economic order of integrated, information-intense, supply-chain processes. This is nowhere more evident than in the rush of carriers and shippers to enter into one-on-one service contracts that accommodate broader and more customized distribution arrangements. As shown, there has been a surge in individualized contracting, a transformation in the manner by which ocean carriers in any given trade collectively address pricing and service matters, and a proliferation in efficiency-enhancing operational carrier arrangements.

One issue worth noting is the apparent impact of OSRA on limitations of carrier liability for cargo loss or damage. As our report reflects, both shippers and carriers reported to us that some shippers are seeking service contract provisions which would raise carriers' liability, and that certain carriers are seeking to address the issue collectively through discussion agreement service contract guidelines. While the issue of carrier limitations of liability for cargo loss or damage is not addressed in the 1984 Act, the availability of confidential, individual carrier service contracts

- Instantaneous electronic information exchange has ushered in the era of globalization, breaking down traditional national and market boundaries.
- Participants in various sectors of the ocean shipping industry now seek to redefine themselves beyond their traditional transportation sector.

pursuant to OSRA appears to be providing a new medium in which shippers and carriers will address such matters. To date the FMC has not received formal complaints or requests for action under the statutes it administers to address this issue. We intend to monitor ongoing developments in this important area.

By any standard, OSRA is still in its infancy. Clearly, its impact on liner shipping and worldwide distribution will continue to unfold. As this occurs, and those in US ocean shipping further adapt to a new trade environment, its direct effects should be even more discernable.

Continuing Regulatory Issues

The dramatic changes taking place in international trade against the backdrop of OSRA, and the issues they raise, are focal points for the Commission. The FMC is committed to fulfilling its statutory responsibilities in a manner that gives deference to the market process while defending against market-distorting abuses. Its mission statement and strategic goals are based on this underlying premise.

Despite what appears to be widespread general satisfaction with most aspects of the current US regulatory framework for ocean shipping, a number of issues remain as points of contention. Some of these issues stem from changes made by OSRA; others include policies which preceded OSRA but which OSRA left unchanged, or policies which OSRA did not amend as radically as some proponents had advocated during the legislative process. There appear to be several major aspects of the US shipping laws which are generating the most expressions of concern among those less than wholly satisfied with the 1984 Act as amended by OSRA.

- The FMC is committed to fulfilling its statutory responsibilities in a manner that gives deference to the market process while defending consumers against market-distorting abuses.
- Notwithstanding general satisfaction with the current regulatory framework for US ocean shipping, issues of concern remain which require ongoing Commission assessment.

The first of the issues is the aforementioned concern with the rise of discussion agreements and the relative merits of antitrust immunity for rate-setting forums. While the 1984 Act's section 6 provisions for FMC action on agreements remained unchanged, the OSRA amendments included refinements to the section 4 provisions describing the agreements within the scope of the 1984 Act, as well as the section 5 provisions prescribing independent action and the rights of agreements in addressing service contract matters. Thus, Congress reaffirmed the general principle of limited antitrust immunity for rate-setting arrangements, while amending the scope and conditions of that immunity. Therefore, the validity and appropriateness of continued limited antitrust immunity must be evaluated in the context of the changes effected by OSRA. Among the factors relevant to such an assessment are the decline in conference power and influence, the proliferation of individual carrier contracts, the freight rate levels predominating in the trades, the impact of discussion agreement rate discussions and information sharing as well as voluntary guideline authority, and the other services, charges, innovations and developments, for better or

worse, brought about via concerted carrier activity under the post-OSRA regulatory scheme. Moreover, the effects of immunity under a variety of economic and trade conditions would provide the best means of fully evaluating its impact. The overall low freight rates prevailing in most US trades may appear to suggest that agreement and conference authority has limited impact at the present time, but under trade conditions more favorable to the carrier sector, the newly amended authorities may prove less benign from the shipper perspective. Thus, it is incumbent on the Commission to continue to assess and evaluate the impact of discussion agreements on rates, in order to assess more accurately the OSRA amendments' influence on the role and effects of immunity for ratemaking. Similarly, as the debate continues, it is of paramount importance that the participants address the alleged benefits and harm resulting from immunity for ratemaking under the current revised regulatory scheme, rather than to reiterate the arguments pro and con expressed over the last decade.

Of particular relevance is OSRA's authorization of voluntary guidelines for discussion agreements and the degree of adherence to such guidelines among agreement members. Critics argue that such authority has vested in discussion agreements effectively the same authorities that the now weakened or defunct conferences had once wielded. This is another issue of continued spirited debate, and the subject demands ongoing attention on the part of this agency. As noted *supra*, an agreement's cohesiveness on service contract matters varies with the trade and particular market influences. The fact that guidelines are "voluntary" and unenforceable does not render those guidelines and the discussion agreements ineffectual; on the other hand, the fact that the carriers are occasionally, frequently or regularly cohesive does not suggest that they are abusing that authority or that the guidelines are violative of the 1984 Act merely because they are having the intended consequences. When the Commission promulgated its regulations implementing OSRA, one of the more challenging undertakings was in fact the regulations corresponding to the voluntary guidelines language of OSRA's addition to section 5(c)(3) of the statute. The Commission retreated from its earlier, more restrictive reading of those provisions enunciated in its proposed rule, and instead adopted in its final rule a more permissive approach toward voluntary guidelines that was, the Commission majority concluded, consistent with the new language of the statute. The Commission's own analyses and the comments in response to our NOI suggest that the dire predictions that discussion agreements would abuse this authority to effect unreasonable rate hikes have not, to date, been realized. However, as noted above, the issue merits continuing close attention as trade conditions change and as the industry evolves in the post-OSRA environment.

Tariff publication is another matter generating some controversy within the industry. OSRA eliminated the responsibility to file tariffs with the Commission, substituting a responsibility merely to publish tariffs electronically. OSRA clearly reflected a compromise between the competing interests in transparency on the one hand (a seemingly necessary component of common carriage), and flexibility and competition on the other. In promulgating implementing regulations, the Commission imposed a minimum of restrictions and requirements, opting instead, as an initial approach, to maximize the carriers' flexibility in meeting their obligation to have accurate and accessible tariff publications. The regulations themselves have generated few complaints, although the Commission has some concerns about the adequacy of compliance, particularly as to accessibility. However, the underlying statutory mandate for some form of

public rate information continues to be challenged by some as unnecessary in light of the overwhelming predominance of shipments which are now rated under service contracts in lieu of tariffs.

The question of the usefulness of tariff publication requirements takes on additional nuances in that those challenging tariff publication tend primarily not to be ocean common carriers, but rather the NVOCC-OTIs. The OTI complaint generally is that the NVOCCs bear the burden of being treated as a common carrier when it comes to tariff publication, but that NVOCCs do not enjoy the privilege afforded to ocean common carriers of offering service contracts to their shipper customers. Thus, a common grievance expressed in the course of this Inquiry was that even under the OSRA amendments, the 1984 Act continues to provide NVOCCs all the obligations of being a common carrier but few of the advantages (some citing as well the new requirement for NVOCCs to be licensed as well as bonded, neither of which requirements applies to ocean common carriers). Whether to confer upon NVOCCs the right to enter into service contracts in their carrier capacities is peculiarly a legislative prerogative and is not a matter subject to administrative discretion. The Commission is aware that some in the NVOCC community have proposed petitioning the Commission for an exemption from the statutory tariff publication requirement under the Commission's section 16 exemption standards. It would be premature, therefore, for the Commission to address this issue further in advance of an anticipated petition, and without the input of other interested persons who have the right to offer comment on any petition that is filed.

The foregoing represent what appear to be the major contentious issues arising from or continuing beyond the passage of the OSRA amendments to the 1984 Act. They are by no means the only regulatory issues which may be debated. Other topics of increasing interest may include the proliferation of e-commerce companies and how they fit into the current regulatory scheme. Technological advances are thriving in the OSRA environment and are creating new and evolving efficiencies. While the Commission wants to encourage the advantages and efficiencies gained through these innovations, it must further evaluate this area to address any regulatory issues of concern.

Additionally, service contracts have become the overwhelmingly predominant rate-setting vehicle, and as carrier/shipper cooperation increases, they no doubt will become even more important. With confidentiality and streamlined contracting, it is all the more critical that smaller-volume shippers receive fair treatment. The Commission will continue to employ techniques such as analysis of random samples of service contracts to evaluate trends and activities in this area.

While the Commission's experience under OSRA to date, and the industry's account of its own experiences since May 1999, have not demonstrated an obvious or compelling need for revisions in the foregoing areas at this time, they remain the matters on which the Commission intends to focus its attention and resources in the immediate future.

In sum, OSRA thus far has accommodated the ongoing process of industry transformation. As liner operators vie with other participants in the distribution industry to serve as supply-chain managers/collaborators, only time will tell how successful they will be and how much further OSRA can accommodate such directions. Clearly, the industry as we know it today will not look the same in the future. It is within this context that the Commission will continue to encourage a free-market environment which enhances the ability of the shipping industry to operate as efficiently and effectively as possible.

Suggestions for Further Legislative Consideration

In the course of administering the OSRA-amended 1984 Act over the past two years, the Commission has identified several provisions in the statute which are either ambiguous or could be revised in order better to effect the intentions of Congress. To this end, the Commission suggests that Congress might wish to consider certain amendments and clarifications, addressing the following matters.

Freight Forwarder Compensation

Section 8(a)(1)(C) of the 1984 Act, 46 U.S.C. app. § 1707(a)(1)(C), requires that a tariff state the level, if any, of freight forwarder compensation to be paid by a carrier or conference. Section 19(e)(4), 46 U.S.C. app. § 1718(e)(1), provides that no conference or group of two or more carriers authorized to agree on the level of compensation, may either deny any member or group the right to take independent action on the level of compensation to be paid, or agree to limit that compensation to less than 1.25 percent of the aggregate of the applicable rates and charges. The level of freight forwarder compensation is now being included as a negotiable term in many service contracts, independent of the level set forth in the applicable tariff.

Congress may wish to clarify whether, under sections 8(a)(1)(C) and 19(e)(4), the level of freight forwarder compensation paid for shipments moving under a service contract may be different from the level of compensation paid for shipments rated according to a tariff rate. That is, did Congress intend that parties to a service contract be permitted to negotiate the level of freight forwarder compensation to be paid on shipments moving under the service contract?

Tariffs

Section 8(d) provides that

No new or initial rate or change in an existing rate that results in an increased cost to the shipper may become effective earlier than 30 calendar days after publication. The Commission, for good cause, may allow such a new or initial rate or change to become effective in less than 30 calendar days. A change in an existing rate that results in a decreased cost to the shipper may become effective upon publication.

46 U.S.C. app. § 1707(d). Prior to OSRA, carriers and conferences were required to obtain “Special Permission,” granted upon the showing of good cause, to file new or initial rates on less than 30 days’ notice. However, since OSRA, the Commission has, in practice, allowed such rates to become effective immediately, rather than on 30 days notice, and without the filing of a special permission request, to better serve the shipping community.

We suggest that section 8(d) be amended to reflect this policy. Changes in rates or charges that result in an increased cost to the shipper would still require a 30-day publication period before becoming effective.

Level of Civil Penalties and Monetary Sanctions

We suggest that the following sections be annotated to indicate that the amount of the civil penalty set forth therein has been adjusted for inflation by the Federal Civil Penalties Inflation

Adjustment Act of 1990, 46 U.S.C. 2461, as amended by the Debt Collection Improvement Act of 1996, Pub. L. 104-134, and further, that such adjustment will continue to be made every four years.

<u>United States Code Citation</u>	<u>Civil Monetary Penalty description</u>
46 U.S.C. app. sec. 817d	Failure to establish financial responsibility for death or injury
46 U.S.C. app. sec. 817e	Failure to establish financial responsibility for non-performance of transportation
46 U.S.C. app. sec. 876	Failure to provide required reports, etc. -- Merchant Marine Act of 1920
46 U.S.C. app. sec. 876	Adverse shipping conditions/Merchant Marine Act of 1920
46 U.S.C. app. sec. 876	Operating after tariff or service contract suspension/Merchant Marine Act of 1920
46 U.S.C. app. sec. 1710a	Adverse impact on US carriers by foreign shipping practices
46 U.S.C. app. sec. 1712	Operating in foreign commerce after tariff suspension
46 U.S.C. app. sec. 1712	Knowing and willful violation/ Shipping Act of 1984 or Commission regulation or order
46 U.S.C. app. sec. 1712	Violation of Shipping Act of 1984, Commission regulation or order, not knowing or willful
31 U.S.C. sec. 3802(a)(1)	Program Fraud Civil Remedies Act/giving false statement
31 U.S.C. sec. 3802(a)(2)	Program Fraud Civil Remedies Act/giving false statement

Definition of “Ocean Common Carrier” as it Affects the Scope of Agreements and Service Contracts

Another matter which has arisen in connection with the Commission’s implementation of the OSRA amendments relates to the 1984 Act’s definition of an “ocean common carrier.” Section 3(16). That term, by incorporating the more general definition of common carrier at section 3(6)(B), provides that an ocean common carrier is “a person holding itself out . . . to provide transportation for passengers or cargo between the United States and a foreign country

[utilizing] . . . a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” In applying that definition in the context of agreements within the scope of section 4 of the 1984 Act, which are exempt from the antitrust laws once filed and effective, the Commission ruled that a conference could not include in its filed agreement any provision authorizing rate setting for calls between foreign ports. In *Transpacific Westbound Rate Agreement v. FMC*, 951 F.2d 950 (9th Cir. 1991) (“*TWRA*”), the Ninth Circuit Court of Appeals upheld the Commission’s ruling declining jurisdiction over foreign-to-foreign portions of mixed foreign and US-trade agreements and found the Commission’s regulatory power over common carriers is limited to the US trades. The Commission’s and the Court’s interpretation turned on the 1984 Act’s definition of the term “common carrier by water.”

The agreement at issue in *TWRA* was a rate-setting agreement. However, industry developments in the intervening years, including the proliferation of new forms of operational and cooperative working arrangements among carriers, such as the VSAs and global alliances discussed in this study, as well as the new authority under OSRA for ocean common carriers to enter into individual service contracts pursuant to collectively established voluntary guidelines, have led to the filing of agreements and service contracts which are of global scope or whose terms are applicable, in part, to service between foreign ports. In many such agreements, sanitization of the parties’ actual agreement or contract to omit or delete portions affecting non-US service is impracticable or would result in less than a full reflection of the parties’ arrangements affecting the US trades. As a practical matter, the Commission has permitted the filing of agreements whose reach extends beyond the US trades when the agreement parties recognize and acknowledge that no antitrust immunity or Commission jurisdiction attaches to foreign-to-foreign provisions or activities by virtue of the filing and effectiveness of the agreement. Nevertheless, we recognize that carrier agreements and service contracts may have terms which affect US trades by including trade-offs of services and prices in one trade for another. While we might view such agreements as falling within the scope of section 4 in their entirety by virtue of their inclusion of terms affecting the US trades, the status of such agreement terms under the antitrust laws might be called into question in light of the 1984 Act’s ocean common carrier definition and the *TWRA* decision. Moreover, in view of the increasing frequency with which carrier agreements include supply-side arrangements of multi-trade or global scope, as well as the authorization of multi-trade and global service contracts pursuant to OSRA, it might be useful for Congress to re-examine these issues.

Service Contract/Bill of Lading Inconsistency

Section 8(a)(1)(E) of the 1984 Act requires that carrier tariffs “include sample copies of any loyalty contract, bill of lading, contract of affreightment, or other document evidencing the transportation agreement.” As indicated in our study, many carrier tariffs now serve as the source of common elements affecting or incorporated by reference in service contracts. The 1984 Act does not specifically address the relationship between tariffs or boilerplate bills of lading issued by ocean common carriers and their service contracts. Many carrier service contracts provide that, where service contract terms conflict with bill of lading terms, the bill of lading will prevail. However, absent such provisions, there may be instances in which carrier bills of lading issued for shipments of cargo booked pursuant to a service contract include terms which are not consistent with particular service contract terms, such as those relating to carrier liability for loss

or damage. In such instances, it may be unclear which document would govern. This may be an issue appropriately addressed through legislation.

Controlled Carrier Issues (Section 9)

When the Controlled Carrier Act (now section 9 of the 1984 Act) originally was adopted by Congress in 1978, it was done in the context of an industry which operated much differently than it does today.

Service contracts: Although section 9 was amended by OSRA to recognize that service contract rates provide another vehicle by which controlled carriers may unreasonably underprice their competition, Congress may again wish to consider section 9 in light of the fact that service contracts have become the primary measure for, as well as method to implement, changes to pricing. Congress may wish to give the Commission greater authority to address unjust and unreasonable rates contained in service contracts filed by controlled carriers by:

- Providing explicit authority for the Commission to impose further form and manner requirements for the filing of service contracts of controlled carriers to facilitate review of their rates; and
- Revising section 9(c) to include a thirty-day delay for the imposition of service contract rates which result in lower rates (section 9(c) currently applies only to reductions in tariff rates).

Taking cost into account: OSRA made the Commission's examination of costs an issue which the Commission must, rather than may, take into account in an assessment of a controlled carrier's rate. Prior to OSRA, below-cost pricing was just one of several factors the Commission could consider when it examined controlled carriers' rates. As revised, section 9(b) requires the Commission to

take into account whether the rates or charges which have been published or assessed or which would result from the pertinent classifications, rules or regulations are below a level which is fully compensatory to the controlled carrier based upon that carrier's actual costs or upon constructive costs.

In prior proceedings, the Commission had found it necessary to examine costs only when a controlled carrier's "overall rate structure" was at issue; when the examination concerned an individual commodity rate, the Commission's analysis focused on the extent to which the rate caused disruptive effects on the trade. OSRA's revision to section 9(c) appears to invalidate this distinction, and may have been intended to create a presumption that a controlled carrier's use of a particular commodity as a "loss leader" makes that rate unjust and unreasonable. However, the revision also appears to impose the extraordinary, perhaps unintended burden on the Commission of undertaking a cost analysis when it seeks to address individual commodity rates of controlled carriers even though there may be other sufficient bases to establish whether particular rates are not just and reasonable. Congress may wish to clarify this matter.

Some may also contend that the Commission must take such costs into account in any case *before* it requests a statement of justification from the controlled carrier under section 9(c).

Congress may wish to clarify that the Commission need not make an initial finding (akin to a probable cause showing), that the rates in question are below cost and therefore unreasonable before the Commission may require the controlled carrier to justify those rates. Conversely, Congress may wish to direct the Commission that the initial assessment may be based on factors other than a price/cost comparison.

Definition of controlled carrier to include NVOCCs: Controlled carriers are currently defined by section 3(8) of the 1984 Act as ocean common carriers owned or controlled by a government. Congress may wish to consider expanding the application of the prohibitions and limitations on controlled carriers to all common carriers, whether they be ocean (and therefore vessel-operating) or non-vessel-operating common carriers, owned or controlled by a government.

Remedies to address violations of section 9: It appears that the only applicable remedies to address unjust or unreasonable rates under section 9 are prospective: suspension or prohibition of the use of those rates. Because of the time-consuming nature of determining if the controlled carrier is engaged in predatory pricing, the remedies may be moot as the rates may no longer be in effect by the time such findings are made (when, for example, the service contracts containing those rates have expired or will soon expire). It appears that no retroactive penalties, *i.e.*, the assessment of fees, are presently available under the statute. Thus, Congress may wish to consider giving the Commission the authority to impose retrospective penalties. Congress may also wish to clarify whether any person may bring a complaint under section 11 alleging violations of section 9, and if so, what penalties or damages would be available to a successful complainant.

APPENDICES

APPENDIX I

NOI REVIEWS BY QUESTION

NOI General Description

The FMC's NOI was issued on January 22, 2001, with comments to be returned to the Commission by March 12, 2001. On March 7, 2001, a Notice of Extension of Time was issued which extended the comment date through March 22, 2001. The Commission asked thirty-five questions concerning the impact of OSRA on all sectors of the international ocean liner transportation industry. Several key areas are addressed in the NOI, including service contracting, the activities of carrier agreements, the impact of OSRA on OTIs, shippers' associations and other affected parties, and tariff accessibility and accuracy. Of the sixty-one responses that the Commission received, twenty-one came from individual carriers, eleven from freight forwarders and NVOCCs, ten from shippers and shippers' associations, eight from various industry groups, seven from discussion agreements, and four from carrier conferences. These comments have assisted the Commission's analysis and evaluation of the new Act's effects during its first two years in force, and have been incorporated in the present study. The following is a list of the commenters:

A.N. Deringer, Inc.
American International Freight Association & Transportation Intermediaries Association
American President Lines, Ltd.
Americana Carriers (Lykes Lines Limited, LLC and Mexican Line Limited, LLC)
Atlantic Container Line
Australia-New Zealand Direct Line
Australian Peak Shippers Association
Central America Discussion Agreement
Contship Containerlines Limited
COSCO North America, Inc.
Crowley Liner Services, Inc.
Dryvit Systems, Inc.
DuPont Co. (USA)
East Coast of South America Agreement/West Coast of South America Discussion Agreement
Evergreen Marine Corp. (Taiwan) Ltd.
Gemini Shippers' Association, Inc.
Globe.Com Lines, LLC.
Hamburg Süd Group (Columbus Line, Inc., Crowley American Transport, and Alianca Lines, Inc.)
Hanjin Shipping
Hapag-Lloyd Container Line
Hayleys Export Shipping Department

Hispaniola Discussion Agreement
 Hyundai Merchant Marine Co., Ltd.
 Importers Association of Australia
 International Transportation Group of ATOFINA Chemicals, Inc.
 International Brotherhood of Teamsters
 Israel Trade Conference
 Judy July
 “K” Line America
 LTD Shippers Association
 M. G. Maher & Company, Inc.
 Maersk Sealand
 Mediterranean-North Pacific Coast Freight Conference
 Middle East Indian Subcontinent Discussion Agreement
 Mitsui OSK Lines (America), Inc.
 National Customs Brokers & Forwarders Association of America, Inc.
 National Industrial Transportation League
 National Unaffiliated Shippers’ Association
 New York/New Jersey Foreign Freight Forwarders and Brokers Association, Inc.
 Nippon Yusen Kaisha Line
 North Atlantic Alliance Association, Inc.
 Orient Overseas Containerline Limited
 Orion Marine Corp.
 P&O Nedlloyd, Limited
 Roadway Express, Inc.
 Samuel Shapiro & Company, Inc.
 South Florida NVOCC - NAOCC Association, Inc.
 Toy Shippers Association, Inc.
 Trans Service Line, NVOCC
 Trans-Atlantic Conference Agreement
 Transpacific Stabilization Agreement
 Tucker Company
 US Shippers Association
 United States South Europe Conference
 United States Australasia Agreement and US/Australasia Interconference
 and Carrier Discussion Agreement
 Wallenius Wilhelmsen Lines AS
 Westbound Transpacific Stabilization Agreement
 Westwind International Inc., Westwind Maritime International Inc. and
 Westwind NVOCC Inc.
 World Shipping Council
 Yang Ming Line
 Zim-American Israeli Shipping Co., Inc.

The following are summaries of the responses to the NOI. Unless specifically noted, comments attributed to “shippers” include comments of shippers’ associations. The variation in detail provided in the summaries reflects in large measure the various degrees of explanation, illustration and argument provided in the comments themselves. Anyone interested in reviewing a particular respondent’s actual submission should contact the Commission’s Office of the Secretary. In several instances our questions called for differentiation and specificity in responses. When our summaries do not reflect such differentiation and specificity, it is because it was not provided by the respondents. It should also be noted that in a number of instances our summaries reflect inconsistencies in responses, for example, where a single respondent or group of respondents pointed to favorable impacts of certain types of agreements in one question and detrimental impacts of the same type of agreements in other questions.

Service Contracting

1. Has your company’s use of service contracts expanded under OSRA? Why or why not? If so, please include the approximate increase (by volume of cargo shipped) of such use, by relevant trade lane.

Most carriers commented that OSRA has significantly expanded both the use of service contracts and the volume of cargo moving under service contracts. Common reasons given for the increase in service contracts were customer demand and preference for a contractual relationship that preserves the confidentiality of the terms of the contract without fear of competition undercutting contract deals, as well as the opportunity for shippers and carriers to build a working relationship or partnership. Carriers that were previously members of conferences reported the largest increase in usage of service contracts, as the number of conference service contracts drastically diminished or have been completely eliminated. All or most contracts are now executed by individual lines. However, independent, non-conference carriers reported that their use of service contracts had not significantly expanded, as they were using service contracts to meet their objectives prior to OSRA. Hamburg Süd Group (“Hamburg Süd”), while reporting an increase in service contracts, noted that overall volume had not changed significantly due to more small-volume contracts with minimum commitments of 25 TEUs or less.

Most shippers and shippers’ associations reported that the number of contracts increased following OSRA. DuPont Co. (USA) (“DuPont”) pointed out that OSRA has allowed for more freedom and flexibility in contracting. However, some shippers reported that OSRA’s impact has been mixed regarding the overall volume of cargo moving under service contracts; *e.g.*, Gemini Shippers’ Association (“Gemini”) believes that cargo volumes have expanded dramatically, while the Toy Shippers Association, Inc. (“Toysa”) advised that overall volumes have not increased.

The majority of OTIs/NVOCCs/freight forwarders and their associations reported an increase in the use of service contracts. The National Customs Brokers & Forwarders Association of America (“NCBFAA”) and the New York/New Jersey Foreign Freight Forwarders and Brokers Association, Inc. (“NY/NJ Forwarder Group”) pointed out that this increase is due to the

dissolution of conferences and the rise of one-on-one contracting with individual carriers. Orion Marine Corp. (“Orion”) explained that its use of service contracts has not expanded because it can obtain “ad hoc” terms of carriage under tariff rates that are more favorable than fixed contract provisions. Trans Service Line, an NVOCC, contended that the use of service contracts has increased due to market conditions rather than a result of OSRA. M. G. Maher & Company, Inc. (“Maher”), a licensed OTI and customs broker, stated that OSRA has not detracted from nor enhanced its business opportunities, but that it is “handicapped” without the ability to sign service contracts as a carrier.

2. Has OSRA changed the way you negotiate contracts? If so, in what ways (for example, shifting from conference contracts to individual contracts, or changes in the negotiating process itself)? If no, why not? Are your contracts being amended more frequently under OSRA? If so, why?

With the exception of two independent carriers, carriers and carrier agreements opined that OSRA has changed the way contracts are negotiated, noting that prior to OSRA many contracts were negotiated through a conference structure. They pointed out that now contracts are, for the most part, negotiated directly between a shipper and a carrier, allowing for “tailor-made solutions” to meet shipper requirements. Moreover, carriers and conferences noted that this flexibility and efficiency extends to rate and non-rate parts of the service contract. APL advised that there is now an increased customer demand for multi-trade and global service contracts. Further, many carriers reported a sizable increase in the number of contract amendments, while a few noted minimal or no changes to amendment volumes or changes only in certain trades. Hapag-Lloyd Container Line (“Hapag-Lloyd”) added that through amendments the parties can address changing business requirements without fear of competitors finding out.

Shippers noted that they now are able to work more closely with individual carriers as opposed to conference members. Shippers also pointed out that, due to the confidentiality aspects of OSRA, carriers are more willing to customize contracts to suit individual shipper needs, allowing shippers to better meet their requirements. Most shippers stated that negotiations have become faster with carriers being more responsive. Toysa thought the negotiation process had become more complicated and time-consuming.

Most OTIs responded that OSRA has changed the way contracts are negotiated. As a result of the one-on-one negotiation process, contracting is more rapid and flexible. Samuel Shapiro & Company, Inc. (“Shapiro”) also points out that carriers now are willing to sign contracts for smaller volume commitments.

3. Have the types of contracts your company signs (single trade, multi-trade, global, multi-shipper, multi-carrier) changed under OSRA? [Note: A *multi-trade* contract is one that covers multiple US trade lanes in one contract, but no foreign-to-foreign trades. A *global* contract is one that covers multiple trades, including foreign-to-foreign trades.]

Most carriers reported increases in the number of global and multi-trade contracts. While many reported only modest increases, APL indicated that global and multi-trade contracts

together now represent 48 percent of its total service contract volume. A reason given for the increase was shippers' apparent preference to deal with selected global carriers to meet all of their requirements, which is seen as improving the bargaining power of the shipper while simplifying the negotiation process. Still other carriers advised that there has been no (or at least no significant) increase in these types of contracts. "K" Line America ("K Line") indicated that multi-carrier contracts are not popular because they are more cumbersome than individual contracts. K Line also stated that multi-shipper contracts, though increasing somewhat, still are not widely used. Other carriers also reported very few multi-carrier contracts.

Many shippers noted that global contracts are more accessible when negotiating with an individual carrier as opposed to negotiating with a conference. OTIs pointed out that carriers are offering various incentives to be flexible in their contracts, allowing OTIs to expand their opportunities under OSRA. Also, NVOCCs believed that various types of contracting and negotiating options now are available to them since they no longer are restricted to dealing through the conference secretariat.

4. Has the content of your service contracts changed (for example, the inclusion of new types of clauses) under OSRA? If so, what are those changes? Why have they occurred?

Carriers agreed that under OSRA the content of service contracts has changed to fit the needs of both shippers and carriers. Carrier and carrier agreements commented that there has been an increase in unique and customized service contracts. The most significant changes include an increased demand for special clauses. For example, many service contracts now include confidentiality clauses, service commitment clauses, performance guarantees (which include penalty and liability clauses, space and equipment guarantee clauses), GRI clauses, and transit time guarantees. K Line stated that "[t]hese changes have occurred because shippers are seeking to protect their legal interests [by shifting liability to the carrier and/or increasing the limits of the carrier's liability]."

Most shippers agreed that rates were the primary focus of contracts prior to OSRA, and that service issues now have become more important. Shippers also noted that one of the developments in service contracts was the increase in carrier liability.

5. Have OSRA's service contracting provisions (for example, the end of public filing of rates and certain terms, the removal of conference authority to regulate members' contracts, allowing explicit confidentiality agreements in contracts) had any impact on your contract rates? Please explain, and include relevant illustrative examples where possible.

Most carriers agreed that market conditions of supply and demand continue to be the most critical factor in determining rates. Although most felt that OSRA has had little to do with rates, some carriers added that identifying market-rate levels has become increasingly more difficult, which has given the shipper an edge in obtaining lower rates. Several carriers noted that OSRA's service contract provisions have made rates more competitive, with a clear downward pressure on rate levels. Yang Ming Line ("Yang Ming") added that ending the public filing of contract rates has made its pricing policy more flexible and more attractive to its customers.

All shippers commented that OSRA's service contracting provisions have had an impact on contract rates. Some believed OSRA's service contracting provisions have created a more competitive and more market-based environment with lower rates. They emphasized that one-on-one relationships between a carrier and a shipper have improved, particularly in previously conference-dominated trades. Others voiced the view that OSRA has not removed the carrier-collusive nature of the business, since carriers have antitrust immunity and engage in discussion agreements.

OTIs generally believed that OSRA has resulted in lower rates, creating competition among the carriers. However, Westwind International Inc., Westwind Maritime International Inc., and Westwind NVOCC Inc. ("Westwind International") pointed out that individual shippers often receive rates from carriers much lower than what NVOCCs can negotiate, even when the latter guarantee significantly more TEUs per annum. NCBFAA contended that although OSRA initially had an impact on rates, it is too soon to determine the true extent of the effects.

6. Are there any service contract issues that you believe are likely to become of increasing importance in the next 5 years? For example, issues concerning space guarantees, service commitments, standardization of contract formats, or liability clauses. Please explain.

Most carriers reported that contracts are now fairly uniform, with clauses added as necessary to meet specific needs of the shipper or the carrier. The contract issues that carriers believe to be increasingly important include: space guarantees; electronic information (e-business) requirements and resulting protective clauses; liability clauses; service commitments; further globalization of service contracts; rate structures, *i.e.*, "all-in rates" versus port-to-port rates plus surcharges; and contract clauses dealing with the application of GRIs. Carriers most frequently cited liability clauses, with one carrier noting that increasing carrier liability can have negative effects on carriers that lack adequate insurance coverage. Carrier comments also mentioned the increasing importance of "tailor-made" contracts. Crowley Liner Services, Inc. ("Crowley"), noted the importance of incorporating ocean shipping services into supply-chain logistics packages.

The most common issues reported by shippers were: more flexibility in contracts in regard to pricing and service; contract volume commitments (with shortfall penalties being cited as counter-productive to contract flexibility); and penalties for service incidents along with rewards for good service. OTIs recognized the increasing importance of commitment to service.

7. For shippers, shippers' associations, and NVOCCs: For the following categories of contract terms, please indicate the type of change, if any, that has occurred in the contracts you have signed since the implementation of OSRA (May 1, 1999).

Respondents were asked to indicate their degree of satisfaction with the following contract terms: space guarantees, service commitments, liquidated damages, breach of contract, range of commodities included, and level of rates and charges. Each term was to be characterized as "less satisfactory," "unchanged," or "more satisfactory" since OSRA. The following chart reflects the

percentage of respondents selecting the degree of satisfaction for each contract term listed -- 13 parties responded to this question.

Contract Term	Less Satisfactory	Unchanged	More Satisfactory
Space guarantees	23%	54%	23%
Service commitments	8%	62%	31%
Liquidated damage terms	0%	54%	46%
Breach of contract terms	0%	67%	33%
Range of commodities included	0%	54%	46%
Level of Rates and Charges	23%	54%	23%

For each of the identified contract terms, a majority of respondents stated no change since the implementation of OSRA. Nevertheless, 46 percent of respondents indicated that they were more satisfied with the changes they have experienced in liquidated damage terms and the range of commodities included in service contracts, while approximately one-third indicated more satisfaction with contract terms relating to service commitments and breach of contract. Responses pertaining to space guarantees and level of rates and charges were split, with 54 percent citing no change, 23 percent less satisfied, and the remaining 23 percent more satisfied.

8. *For VOCCs and NVOCCs:* In their role as shippers, have NVOCCs been able to use (a) the initial contract negotiation process, and/or (b) the ability to subsequently amend contract rates (e.g., use “bullet” rates), to benefit from OSRA’s contracting reforms? Please explain your response (referring to specific trade lanes where relevant).

A number of VOCCs reported that NVOCCs have benefitted from OSRA’s contracting reforms as evidenced by the increase in the number of service contracts signed with NVOCCs and subsequent contract amendments. Reasons given for the increase in NVOCC contracts and amendments include the ability to deal with selected global carriers to meet all their transportation requirements, and the freedom to avoid contacting individual conferences covering different trade lanes. K Line reasoned that NVOCCs, more than beneficial cargo owners, need to frequently adjust their contracts to meet market conditions. Several carriers reported that NVOCCs are treated the same as beneficial cargo owners, with an identical contracting process for each. Wallenius Wilhelmsen Lines AS (“Wallenius”) added that NVOCCs benefit because they are able to re-market carrier rates and services without significant capital investments.

Most VOCCs also noted the substantial use of “bullet” rates by NVOCCs. Bullet rates are specific commodity rates that are added to a service contract after its original effective date, thereby effectively providing the flexibility of tariff rates and the confidentiality of service contracts. NVOCCs acknowledged that they have benefitted from the ability to obtain “bullet” rates by amending contracts to accommodate specific needs.

Contract Confidentiality

9. What significant effects, if any has OSRA's elimination of public filing of contract rates and services had on the way your company does business? Please explain.

Many carrier comments cited improved carrier/shipper relationships and freedom to negotiate as a positive OSRA effect. Further, without "me-too" clauses, carriers advised that they are now negotiating more individualized and efficiency-oriented contracts. Instead of monitoring filed rates, carriers advised that they now use more market-based approaches for rates. Carriers reported that they now are better able to accommodate niche shippers, and rates can be tailored to the best interests of the carrier and shipper alike. Several carriers mentioned that improved one-on-one relationships between the carrier and shipper encourage long-term partnerships. Carriers also reported that they now dedicate more resources to statistical information and to analyzing market conditions. One carrier added that it now pays closer attention to fixed and variable costs.

Most shippers noted that OSRA has made contracting easier because they can negotiate individual contracts. Shippers added that OSRA has placed greater reliance on the marketplace, which in turn has forced them to improve their market intelligence skills to remain competitive. Most NVOCCs noted that OSRA's elimination of public filing of contract rates and services facilitated negotiation of contracts with increased volumes. NCBFAA pointed out that the confidentiality that the parties to a contract desire may not be achievable because of the reporting requirements of Customs and Census "... as well as the reporting obligations that the carriers may 'voluntarily' take on pursuant to their 'voluntary guidelines'."

10. In the absence of public filing of service contract rates and terms, has your company been able to adequately identify the range of ocean shipping rates relevant to your business from alternative information sources? If so, what sources? If not, what has been the effect on your business?

Many carriers pointed out that the absence of public filing has made identifying the range of ocean shipping rates much more difficult and uncertain. Several carriers also acknowledged that in speaking to a variety of customers and monitoring market conditions, they are able to adequately identify ranges of rates. They also noted that with the lack of public filing, and the resultant uncertainty of rates, the focus in contracting has shifted from rates to service issues, requiring greater emphasis on the contract negotiation process. A few carriers stated that the lack of public filing contributed to the deterioration of rates in some trades. MOL noted that it can benchmark requested rates against already existing rates of similar moves within its organization. P&O Nedlloyd's view was that the inability to benchmark rates has not resulted in any significant advantage or disadvantage for carriers or shippers.

Shippers noted that they use a combination of resources in negotiating their rates: NVOCCs, transshipment carriers, direct carriers, trade journals, shipper publications, and Internet sites. NVOCCs' responses varied, with some reporting no problem identifying rates, and others noting the need to make more phone calls. Several other NVOCCs reported that they are unable to identify rates.

11. Has your company sought to negotiate specific confidentiality measures in the contracts you have signed since OSRA took effect? If so, were you able to negotiate what you consider adequate confidentiality measures (including pre-negotiation confidentiality agreements, if sought)? Please explain.

Most of the responding carriers indicated that they include a standard confidentiality clause in their service contracts. Of the carrier respondents that do not, the vast majority stated that they have successfully negotiated confidentiality measures that were agreeable to both the shipper and carrier. Some carriers noted that often the confidentiality measures in their contracts are initiated and encouraged by their customers. COSCO explained that early on in the life of OSRA, shipper-proposed confidentiality clauses were one-sided, but that it had been able to negotiate reciprocal confidentiality commitments in all those cases.

Shippers generally reported that confidentiality agreements are adequate. Some stated that the standard confidentiality agreement is sufficient, thereby making the pre-negotiation confidentiality agreement unnecessary. Others have made it a standard practice to have all contracts covered by a pre-negotiation confidentiality agreement(s). NVOCCs generally reported that they have not sought to negotiate specific confidentiality measures in their contracts since OSRA took effect.

12. Please estimate the percentage of the service contracts that your company signs that (a) include a confidentiality clause or (b) are covered by a pre-negotiation confidentiality agreement. Was the inclusion of such clauses or pre-negotiation agreement, if any, generally made at your company's request or by the other party?

Carrier use of service contract confidentiality clauses was on opposite sides of the spectrum, with eleven carriers indicating that most or all of their contracts contained confidentiality clauses, while seven carriers indicated very little usage of such clauses (less than 13 percent of contracts). A final carrier indicated that 20-25 percent of its contracts contained confidentiality clauses.

While most carriers said that their contracts were not subject to a pre-negotiation confidentiality agreement, other carriers noted: (1) that they do use such agreements in all or a portion of their contracts; (2) that such agreements were not practical and they had received few requests for them; (3) that the use of such agreements is diminishing; and (4) that they enter into a number of pre-negotiation agreements with larger shippers.

Shipper responses to this question were received from US Shippers Association ("USSA"), Toysa, Gemini, DuPont, and International Transportation Group of ATOFINA Chemicals, Inc. ("ATOFINA Chemicals"). Both USSA and ATOFINA Chemicals reported that while all of their contracts include confidentiality clauses, neither used pre-negotiation agreements. Although Toysa, Gemini, and DuPont did not (in their respective responses) provide a separate percentage for (a) the degree to which their contracts contain confidentiality clauses and (b) the degree to which their contracts are covered by a pre-negotiation agreement, they each reported that such clauses and agreements were used "100%" of the time.

13. In your company's experience to date, has breach of service contract confidentiality been a problem? If so, please explain how you dealt with such breaches.

Breach of service contract confidentiality has not been a problem for the vast majority of all respondents. K Line suspected that breaches of confidentiality do occur from time to time, but opined that it is very difficult to verify those instances. APL noted that it takes steps, as a preventative measure in some situations, to reduce the number of participants in negotiations. Two carriers emphasized that by using one carrier's offer as leverage in rate "shopping," customers may undermine contract confidentiality.

Agreement Activity/Voluntary Guidelines

14. In your company's experience, have the rate and/or surcharge activities of discussion agreements (or conferences), under OSRA, generated either significant problems or benefits for your business? Please explain your response and indicate the trade lane(s) to which it applies.

Carriers largely agreed that discussion agreements have provided benefits including: the exchange of information, a common or unified approach on commercial and regulatory issues, and a forum for discussion of rates and trade conditions. Carrier comments maintained that discussion agreements tend to stabilize the commercial trade environment, while noting that supply and demand for cargo still control the market. They further indicated that voluntary service contract guidelines help make the negotiation of rates easier, and provide benchmark rates that can be tailored in order to accommodate their customer relationships. The World Shipping Council ("WSC") submitted that discussion agreements reduce commercial uncertainty and promote further capital investment. It stated that the ultimate benefits to the shipping public are increased rate and service stability, along with continued adequate levels of investment in vessels, equipment, facilities, and communication systems to meet the rapidly growing demand for ocean carriage and related logistics services. P&O Nedlloyd and other carriers noted that there is a greater willingness for carriers to participate in discussion agreements because they are voluntary and non-binding. K Line stated that discussion agreements have had little impact on its business, while Wallenius noted that these arrangements provide a useful buffer against destructive rate competition.

A number of shippers and OTIs voiced concerns that discussion agreements have presented problems to their businesses. Representative comments claimed that discussion agreements:

- Undermine the development of one-on-one relationships between carriers and shippers.
- Obstruct the free market principle of supply and demand and have become very hostile to exporters.
- Limit or eliminate competition on price and capacity by combining conference members and independent operators in any particular trade.

- Are used only to increase freight rates, limit capacity, and create obstacles to multi-year contracts.
- Stifle free-market pricing and contract negotiations, contrary to the spirit of OSRA and confidential contracting.

Many shippers and OTIs were particularly concerned over the actions of the TSA. LTD Shippers Association (“LTD Shippers”) stated that the level of price and surcharge increases in the transpacific eastbound trade was due to TSA, which used strong shipping volumes to obscure real price and contract initiatives by all contracting parties.

15. In your experience, has liner shipping consolidation via acquisition, merger, or the formation of operational alliances affected prices and/or service? If so, in what ways and resulting in what benefits or problems?

Carriers generally commented that these consolidations provide increased and improved services at lower costs and better asset management. Some carriers noted that consolidations have resulted in an escalation in global contracting, and allow carriers to achieve a global presence with limited service through alliances. Many shippers, NVOCCs, freight forwarders, and related groups were concerned that consolidation has, in fact, resulted in overall reduced service levels.

Contrary to WSC’s assertion that vessel-sharing agreements and space charters improve service to shippers, several commenters reported service failures due to the inability of carriers to guarantee and control space under space-chartering/vessel-sharing arrangements. In fact, NCBFAA, in response to question 4 concerning changes to the content of service contracts, noted that they have seen clauses in contracts that remove carrier space guarantees when space is chartered on a vessel under the control of another carrier. Orion commented that service levels are at their lowest due to the concentration of carriers.

Less clear, however, is the commenters’ assessment of the overall effect of consolidations on rates. While Zim-American Israeli Shipping Co., Inc. (“Zim”) noted that the improved services and lower operating costs afforded by consolidations appear to result in lower prices to shippers, other carriers believed that rates and prices have not been affected. P&O Nedlloyd noted that consolidations, mergers, and alliances are more beneficial from an expense standpoint than a revenue generation standpoint. The WSC contended that carrier consolidation has not generated the high industry concentration ratios that could lead to negative effects on rates and service, and that global alliances appear to have offset some of the pressure to consolidate. Orion claimed that “mega carriers are most abusive, insensitive and generally inaccessible to small clients.” Shapiro, on the other hand, noted that consolidation has brought prices down so low in many cases that carriers cannot afford to provide the service that the marketplace demands. Toysa offered yet another view, stating that consolidation has had no effect on prices. ATOFINA Chemicals observed that initially with carrier consolidations, freight rates go down in an effort to gain market share, but once established, move back up.

DuPont commented that “[g]enerally alliances and mergers result in problems early on as they try to merge different organizations, but long term we believe we will see stronger carriers. Operational alliances generally result in quicker improved services. The big question is whether long term these will lead to monopolistic behaviour.”

16. (A) *For VOCCs*: Have (a) discussion agreements, (b) global alliances, and (c) space/sharing agreements led to more efficient use of carrier assets? Produced other benefits? Any problems? Please explain for each category.

Carriers agreed that discussion agreements are beneficial to their operations. WSC commented that the information exchange from discussion agreements “is an important agreement activity that helps member lines improve business planning, encourage better capacity utilization, and develop rational pricing policies as well as strengthening business confidence.” Wallenius pointed out that such agreements can assist carriers in making decisions about commercial policy and investment in trade infrastructure. Hamburg Süd noted that “discussion agreements have led to a better understanding of pricing and surcharge ranges, market conditions and port regulations at non-U.S. ports.”

There was also a consensus among carriers of the operational efficiencies associated with alliances and space/sharing agreements. P&O Nedlloyd believed that alliances and space chartering are extremely beneficial because they promote efficient use of assets and offer shippers better service from more carriers who are competing with one another. P&O Nedlloyd stated that it can offer 20 sailings per week to North America because of its participation in carrier alliances. Wallenius commented that global alliances can be an effective way to share costs of providing efficient and competitive service, while minimizing the investment risk of trade imbalances or downturns. It also noted that space-chartering/vessel-sharing agreements enable carriers to expand service without added vessel deployment, which also results in environmental benefits.

16. (B) *For shippers, shippers’ associations, freight forwarders, and NVOCCs*: In your company’s experience to date, what benefits or problems, if any, have (a) discussion agreements, (b) global alliances (c) space sharing/chartering agreements produced? Please explain your response for each category with as much specificity as possible.

Several shippers commented that discussion agreements are detrimental to service contract negotiations because carriers thereby exchange information, and diminish the confidentiality their service contracts call for. NCBFAA commented that it is difficult to see how shippers and OTIs could benefit from discussion agreements, and cited as an example the establishment of a \$100 fee for handling paper Shipper Export Declarations that it believed would never have occurred if such arrangements did not exist. DuPont reported that discussion agreements have had no impact on its company, while Australian Peak Shippers Association commented that such discussion agreements are only used to increase freight rates and limit capacity. The National Industrial Transportation League (“NIT League”) stated that shippers remain cautious over the operation of discussion agreements, and urged the Commission to continually monitor them.

Several shipper groups noted that global alliances and space-chartering/vessel-sharing agreements have improved services, created efficiencies, and lowered costs.

Shapiro added that VOCCs often have difficulty in preventing cargo from being “rolled” to subsequent vessel sailings because they are not the vessel operator or their space allocation has been met.

17. How has the use of OSRA’s authority for VOCCs to agree upon voluntary service contract guidelines affected your company’s business, if at all? Please explain.

Carriers generally submitted that voluntary guidelines were not restrictive to individual carriers and that they help promote market stability and avoid destructive rate competition. Rather than being used as a rate-setting mechanism, APL asserted that voluntary guidelines are more relevant to market structure because they may serve to dampen market volatility. Many carriers reported that the guidelines have been useful in establishing benchmark rates and other terms that the parties may use in contract negotiations. MOL remarked that negotiations within a framework created by voluntary guidelines make it less likely that either a carrier or shipper will insist upon or agree to service contract terms that are seriously out of line with market conditions. TSA added that its discussion agreement cannot and does not alter the basic supply and demand factors prevailing in the market, noting that benchmarks reflect the conditions of the market. Conferences and discussion agreements generally reported that there appears to be significant deviation from guidelines and that they are unaware of shipper complaints involving voluntary service contract guidelines. Australia-New Zealand Direct Line (“ANZDL”) believed that allowing lines to enter into independent confidential contracts that may vary considerably from the voluntary guidelines has put increased bargaining power into the hands of their customers, and enables each carrier to make decisions based on its own business requirements as opposed to a conference requirement. ANZDL stated that OSRA’s provision for “voluntary guidelines” has resulted in a significant decline in its revenues since May 1999. Crowley stated that, “. . . the ability of carriers to adopt voluntary service contract guidelines has helped somewhat in avoiding disruptive and destabilizing rate and service offerings. Because they are voluntary and compliance cannot be monitored, however, their impact on any particular service contract is doubtful.”

While NIT League submitted that it has not received any complaints from its members that a discussion agreement member has refused to negotiate on service contract terms, some shippers are very concerned that voluntary guidelines are not truly voluntary and may interfere with individual carriers’ pricing and negotiating behavior. The South Florida NVOCC - NAOCC Association, Inc. (“South Florida Association”) noted that its members do not believe that voluntary guidelines have been significantly better than the prior system because carriers traditionally have either “cheated” on their conference obligations or abided by them, whichever was in their interest. NY/NJ Forwarder Group claimed that its membership has been subject to

discriminatory actions by discussion agreements before and after OSRA, citing specific examples involving guidelines.¹

Shippers' Associations, Intermediaries and Port Trucking Issues

18. How has OSRA affected shippers' associations (if at all) with respect to membership growth, consolidation among associations, and the development of new activities or membership services?

LTD Shippers, USSA, Gemini, the National Unaffiliated Shippers' Association, and the North Atlantic Alliance Association, Inc. ("NAAA") said OSRA stimulated interest or growth in membership. Toysa, however, indicated that OSRA slowed membership growth of shippers' associations due to carriers' soliciting individual association members to sign their own service contracts.

All three OTI respondents to this question believed that OSRA encouraged the development of shippers' associations. They claimed generally that to remain competitive with larger shippers, small and medium-sized companies must pool cargo to increase their negotiating power.

Contship Containerlines Limited ("Contship") and the Americana Carriers (Lykes Lines Limited, LLC and Mexican Line Limited, LLC) noticed an increased growth in the number of shippers' associations as well as increased membership within existing associations. Nippon Yusen Kaisha Line ("NYK") and Crowley indicated a growth in membership in shippers' associations. These carriers believe shippers' associations allow members to have greater bargaining power and thereby obtain better deals. Hamburg Süd, Hanjin Shipping ("Hanjin") and K Line believe OSRA did not affect or had only a minimal effect on shippers' associations. Conference respondents also indicated that OSRA had minimal or no adverse impact on shippers' associations. Many carriers noted that OSRA did not change the manner in which they deal with shippers' associations.

19. For shippers' associations and NVOCCs: In the period since OSRA took effect (since May 1, 1999) has your business grown, declined, or remained largely unchanged? If it has grown or declined, please indicate the percentage change in volumes shipped. Has OSRA contributed to that change? Please explain.

Gemini reported that membership and member business grew and diversified "since the enactment of OSRA." LTD Shippers credited growth to an increase in contracts with individual

¹According to the NY/NJ Forwarder Group, several discussion agreements in South America established NVOCC benchmark rates in voluntary guidelines that were adhered to for most of the shipping season. It reported that NVOCCs in the transpacific trades were subject to TSA-agreed to voluntary price and service conditions and that TSA indirectly implemented surcharges applicable to the whole shipping community active in the transpacific inbound trades. With regard to the transatlantic, it stated that an equipment repositioning surcharge that was imposed by TACA and non-conference lines on or about the same day in October 1999, has been rolled into the base ocean freight rates offered to shippers.

lines rather than contracts with a conference. Shapiro and NCBFAA did credit OSRA with fostering a competitive environment which contributed to their firms' growth, brought about by activities such as one-on-one contract negotiations. Dryvit Systems, Inc. ("Dryvit"), USSA and NAAA mentioned no overall change in their level of business.

Trans-Service Line, Orion, and Maher responded that their business grew, though not as a result of OSRA. Rather, in their view, market conditions, currency valuation, and internal company policies such as the focus on developing value-added services were the major factors of this growth.

On the other hand, Globe.Com Lines, LLC ("Globe.Com") and Westwind International indicated that their NVOCC business under-performed, while their firms' other business sectors, such as brokerage and air freight forwarding, grew.

20. *For NVOCCs*: What effects, if any, have the statutory provisions of OSRA, and the commercial environment in which they apply, had on your operations as an NVOCC (including your offering of any value-added services) and/or your clients? Please support your response with as much detail as possible and explain which provisions (or factors) have had the most significant impact on your operations.

Westwind International and Roadway Express, Inc., found more negative impact than positive with the implementation of OSRA. NCBFAA, NAAA, South Florida Association, and NY/NJ Forwarder Group stated that the negative impact is due primarily to two statutory provisions: the licensing requirement for NVOCCs and the continuation of a public tariff requirement. In addition, NAAA, NCBFAA, and South Florida Association saw OSRA as increasing the regulatory burden of NVOCCs since NVOCCs in the US now are required to be licensed in addition to being bonded. They also believe NVOCCs are disadvantaged in competition with VOCCs because they cannot sign confidential service contracts with their shipper customers, while VOCCs can conduct virtually all of their business under confidential service contracts. Orion, A.N. Deringer, Inc. ("Deringer"), Maher, and the American International Freight Association & Transportation Intermediaries Association ("TIA") viewed the requirement for publicly available tariffs as unnecessary, and the cost to maintain tariff systems as burdensome and without benefit to the shipping public. NAAA and NY/NJ Forwarder Group asked the Commission to examine the implementation of the Interstate Commerce Commission Termination Act of 1995 and to determine whether flexibility in tariff enforcement and an exemption for NVOCCs could be employed under OSRA.

NY/NJ Forwarder Group, TIA, NCBFAA, and the South Florida Association noted that the tariff publication and licensing requirements appear to have resulted in an increased level of enforcement activity directed at NVOCCs by the Commission. They were concerned that more significant market-distorting practices, such as carrier behavior as a result of antitrust immunity, are not being investigated more by the Commission. Furthermore, TIA, NY/NJ Forwarder Group and NAAA stated that the air freight industry does not have a tariff filing/publication requirement, which consequently offers more flexibility in meeting customer needs.

21. *For VOCCs:* For the last calendar year, approximately what percentage (by TEUs carried) of your total cargo carried in the US trades (total import and export) was NVOCC cargo? Approximately what percentage of that NVOCC cargo was full-container-load cargo (offered but not consolidated by an NVOCC), and what percentage was less-than-container-load cargo that the NVOCC had consolidated? To the extent that the answers may vary significantly by trade lane, please explain.

The percentages varied by trade lane for many carriers. Fourteen of the 16 carrier respondents provided specific percentages for either certain trades or overall movements. The overall movement percentages with two exceptions were at or below 35 percent. Most of the percentages were in the 15-35 percent range; while one major carrier was as low as 7 percent, two other operators were well over 50 percent. For those carriers who responded, the overwhelming majority of NVOCC cargo was full-container-load cargo rather than less-than-container-load cargo.

22. *For VOCCs:* Has there been a change (increase or decrease) in the percentage of NVOCC cargo carried by your line since OSRA took effect, as compared with pre-OSRA NVOCC carriage? If so, what was the change and was it a result of OSRA's implementation or other factors? Please explain.

Most carrier respondents reported an increase in NVOCC cargo carried since OSRA became effective. Zim and Wallenius attributed the increase to the ability of NVOCCs to negotiate one-to-one confidential service contracts, including multi-trade and global contracts. APL, Zim and Hanjin believed that their entry or expansion into new markets or internal marketing changes, rather than OSRA, explained the increases.

Yang Ming stated that it lost NVOCC cargo to previous conference members because of service contract confidentiality, *i.e.*, because agreement members now tend to offer confidential, individual service contracts (subject to confidentiality provisions) rather than conference service contracts, there is less opportunity to collectively share shipper account information and/or participate in joint/conference service contracts. Evergreen, Hamburg Süd, Orient Overseas Container Line Limited ("OOCL"), Contship, and Crowley noted that there was no significant change in their NVOCC cargo after OSRA came into effect.

23. What impact, if any, has the implementation of OSRA had on the port trucking industry?

The vast majority of respondents did not answer this question. Of those who did, several respondents believe that there was no impact, while others voiced their uncertainty on the matter. The Teamsters contended that OSRA negatively affected the port trucking industry. Specifically, the Teamsters alleged that discussion agreements and voluntary guidelines have had a negative impact on truckers' salaries. A major concern raised by the Teamsters is port drivers' lack of leverage in dealing with carriers who have antitrust immunity. The Teamsters asked the Commission to conduct a comprehensive investigation into carrier rate-setting practices under

the discussion agreement umbrella, with the goal of leveling the playing field for port drivers and the inland transport sector of the industry.

Tariff Use, Access, and Accuracy

24. In the last 6 months, has your company tried to access carrier (VOCC and/or NVOCC) tariffs, or MTO schedules? If so, which kind (VOCC, NVOCC, or MTO), for what purposes, and what was your experience? If not, why not?

Almost all carriers reported accessing carrier tariffs in the last six months to check rates, rules, and accessorial charges. Access to VOCC tariffs was more frequent than access to NVOCC tariffs. APL and Hamburg Süd noted the limited need to access other carriers' tariffs because of the amount of cargo moving under service contracts. Hapag-Lloyd reported that it had not accessed carrier tariffs in the last six months because tariffs are not relevant to its decision-making. Crowley, Evergreen, MOL, OOCL, Zim and NYK stated that access to tariffs was considered generally satisfactory. Crowley and NYK reported that access to NVOCC tariffs was somewhat less satisfactory. P&O Nedlloyd and Maersk Sealand stated that successful rate inquiries often require research by a relatively knowledgeable staff member.

ATOFINA Chemicals and DuPont reported that they had not accessed carrier tariffs, but had instead requested rates and rate-related tariff information directly from the carrier. ATOFINA Chemicals, however, noted that carriers have not provided requested assistance on rate-related information "that may be hidden in their tariffs." LTD Shippers reported that it was able to readily and easily access VOCC web-site tariffs, and that those sites are more informative than information available in "pre-OSRA" and "pre-Internet days." NAAA reported that it, as well as its NVOCC members, accessed carrier tariffs on an almost daily basis to obtain surcharges, accessorial charges, and other provisions pertaining to the rates in the service contracts. It reported that typically the required information was published where expected in the tariff. USSA reported accessing both VOCC and NVOCC tariffs and MTO schedules to look for general market information and to gain an understanding of the tariffs, but acknowledged spending little time on the published tariff data. Dryvit indicated that Internet access to carrier tariffs is complicated and cumbersome for the casual user and rules are difficult to find.

OTIs had varied responses to this question. Several OTIs reported accessing tariffs to obtain inland rates. Shapiro noted that its ability to access inland rates increased its efficiency and competitiveness, allowing it to quote rates more quickly and more effectively. NCBFAA reported some of their members accessed VOCC tariffs without any particular difficulty. Deringer believes that the tariff publication requirement should be eliminated. It further advised that anyone requiring a rate quote can call a carrier directly to get a rate without going through access to a published tariff. Maher & Globe.Com found both the carrier and NVOCC tariffs of other carriers difficult to navigate, or had difficulty finding the bottom line because of all of the accessorial charges. The South Florida Association reported that their members found no utility in accessing tariffs because OSRA encouraged widespread use of service contracts, making tariffs meaningless. NY/NJ Forwarder Group commented that it had little-to-moderate difficulty in accessing either VOCC or NVOCC tariffs, but added that enforcement of carrier tariffs under

OSRA was inconsistent with OSRA's stated purpose of encouraging a more market-driven approach to international liner shipping. This association would like the FMC to modify substantially its publication requirements for common carrier tariffs and its enforcement actions targeted at the NVOCC community.

25. Are the VOCC and NVOCC tariffs in which you are interested, if any, currently accessible to you at what you consider a reasonable cost? Please explain and support with specific examples if possible.

The majority of carriers found that the tariffs in which they were interested were available either at a reasonable cost or for no access fee at all. Additionally, arrangements often were available with the tariff vendor to access other carriers' tariffs at a competitive market price. COSCO wished to see the wide range of access costs more standardized; Crowley generally found NVOCC tariffs more difficult to access than VOCC tariffs, and sometimes subject to excessive fees; Hanjin thought more carriers should charge for access to improve the technical problems in their tariff database management systems; and P&O Nedlloyd has limited interest in accessing tariff information in general, and especially avoids accessing tariffs where a fee is required. Israel Trade Conference commented that the cost of accessing some carrier tariffs was prohibitive. The Middle East Discussion Agreement said that its members had generally been able to access one another's tariffs as well as the rate levels in NVOCC tariffs at little or no cost. Crowley and Wallenius specifically commented that some NVOCC access fees were excessive, and NYK and P&O Nedlloyd stated that some companies assessed access charges that they were unwilling to pay.

ATOFINA Chemicals checked prices for certain tariffs and, based on three hours of access time per month, cited costs ranging from a low of \$50 to a high of \$164 per month. The shipper noted that the \$50-per-month cost would have provided access only to a bill-of-lading tariff, and that one tariff service gave no indication of how to sign up for tariff access or what the costs would be. NAAA did not encounter any access fees for tariffs published by any of the carriers with which the association had service contracts. USSA found that many VOCC and NVOCC tariffs seemed to be accessible at no cost, but also found that some tariff sites charged prohibitively high rates for access to tariff data.

Globe.Com found that costs varied widely, from free to an initialization fee as high as \$2,000 plus additional annual fees. Orion found carrier tariffs to be accessible with little or no cost, but generally of little value. Shapiro noted that certain carrier tariffs only required access to the Internet and that those costs were already counted as a cost of doing business. NY/NJ Forwarder Group commented that, despite the general accessibility of tariffs, some carrier and conference tariffs were not readily accessible even when the required access payment had been made. NCBFAA also said that a number of its members found the process very difficult and confusing, particularly in ascertaining bottom-line rates. However, according to NCBFAA, the cost and difficulty does not appear to be a significant issue; its members do not have a need to access tariffs.

26. Do VOCC and NVOCC tariffs that you have accessed in the last 6 months, if any, provide accurate and useful information? Please explain and support with specific examples if possible.

Many carriers stated that tariffs provided or appeared to provide accurate information. However, several carriers reported that tariffs were of limited use because the meaningful rate details were in confidential service contracts. Maersk Sealand found accuracy to be a function of the user-friendliness of the tariff site's retrieval system. Some carriers deemed tariff information useful, particularly for trade accessorial charges, surcharges, and the terms and conditions of carriage. Hanjin noted that the time and effort required to retrieve the information from an individual tariff limited the usefulness of that information, and Maersk Sealand noted that the more specific a tariff site's retrieval system was to the particular requirements of a particular carrier, the less user-friendly and useful the tariff information would be. The WSC commented that tariffs remained an important pricing tool for niche trades, reefer and seasonal commodities, benchmark rates, and spot market rates.

NAAA found that tariff information was generally accurate and at times useful, but frequently found that changes/additions made to the rules section of a tariff became effective on less than the required 30 days statutory notice and believed such non-compliance was typical under OSRA. USSA, acknowledging limited experience to judge the accuracy and usefulness of the tariffs it had accessed, found it difficult to be sure that certain movements were covered under the searched items. USSA also believed that a commodity index providing a list of products shipped would be helpful, and added that it also would be helpful if the tariff data showed the "bottom-line" rate first in the summary tables without requiring calculations on each value.

Orion stated it had no occasion to access tariff information. Deringer found tariffs to be too cumbersome to provide accurate and useful information in a service contract-driven market. Several OTIs found carrier tariffs to be extremely useful for determining inland rates and incorporating those rates in their quotes. Several other OTIs believed that they had been able to obtain reasonably accurate tariff information even though they did not believe tariff information to be relevant in the current environment.

27. Are the service contracts that your company has signed, if any, linked to tariffs? If so, please describe the nature of such links and explain briefly their purpose.

Carriers indicated that they linked all or most of their service contracts to their tariffs to simplify the contracts and shorten the contracting process by applying rules of general applicability from a single, readily accessible location where the standard terms and conditions can be specified in full detail. Carriers also indicated that they have linked their service contracts to their tariffs for trade accessorial charges so that the charges for volatile cost items, such as bunker fuel, can float with the market.

ATOFINA Chemicals said that its contracts were linked to carrier tariffs by the contract provision that subjected the contract to the "rules, terms, conditions, charges and surcharges set forth in carriers' governing tariffs and in effect at time of shipment." Several shippers' associations said that their contracts were linked to carrier tariffs for the governing rules; LTD

Shippers indicated that this link resulted in more flexible contract delivery terms and a greater range of prices for the individual members of the association. DuPont noted that, as an exception to general practice, a few of its time-volume rate arrangements were linked to carrier tariffs. USSA advised that it tried to minimize any linkage from its service contracts to the carrier tariffs because it viewed such links as a unilateral opportunity for the carrier to increase rates. The desire for bottom-line service contract freight charges was a major issue of this association, citing its members' need for quick, accurate rates in advance to quote competitively for their export sales. This association believed that links to tariffs complicated service contracts, caused documentation errors, increased the difficulty of auditing and correcting invoices, and added to the time and administrative burden on short-staffed shipper distribution departments.

28. *For shippers, shippers' associations, and NVOCCs: If your service contracts are linked to VOCC tariffs, do you have adequate access to those tariffs? If not, please explain.*

Shippers had a variety of comments on this question. Several shippers reported that Internet access to tariffs varied from carrier to carrier; some tariffs were complicated and cumbersome for the casual user and rules were difficult to find. NCBFAA commented that its members had adequate access but noted that it was difficult to tell in advance what effect any tariff might have on a given contract. Additionally, several shippers commented that they did not have adequate access to linked carrier tariffs because each of their carriers employed a different tariff publisher, and none of their carriers provided information or guidance about how to use the particular tariff publisher's services. NAAA indicated that its members sometimes were unable to easily verify references to the tariff item that provided for a GRI or increase in accessorial, such as equipment imbalance, bunker, and other surcharges. On the other hand, LTD Shippers reported having ready and easy access to linked tariffs.

Several OTIs noted that access to carrier tariffs linked to service contracts varied from carrier to carrier, but generally was adequate. Orion saw little need to access the tariff unless a dispute had arisen. Many OTIs reasoned that their service contracts were linked to carrier tariffs because tariffs were the basis for a service contract; therefore, they must incorporate the pertinent tariff and governing rules provisions. OTIs added that generally this practice might be beneficial when service contracts are linked to non-rate provisions, but consider it unfair and inappropriate when they are linked to rate or rate increases without the consent of the shipper. The South Florida Association thought that carriers were abusing antitrust immunity because they would not negotiate the removal of boilerplate language linking service contracts to tariffs. Orion observed that carriers are free to include provisions in a contract that are unique to the contract. Several OTIs reported that VOCCs can use their knowledge of NVOCC tariff levels to raise their service contract rates. This enables VOCCs to squeeze the profit margins of NVOCCs and unfairly raise the costs of services to the NVOCCs' customers. Shapiro stated that the service contracts it signed as a member of a national shippers' association were often linked to the carrier tariffs for the determination of the inland freight rates, both in the US and overseas. Several NVOCCs said that their service contracts were not linked to tariffs.

29. In general, have you found it (a) easier, (b) about the same, or (c) more difficult to access carrier (NVOCC and VOCC) tariffs, and MTO schedules since OSRA, than prior to OSRA? Please explain.

APL, Crowley and Hanjin responded that it was easier to access carrier tariffs since OSRA, with APL stating that access through the Internet was far superior to the historical use and expense of tariff watching services. Crowley found it easier to access VOCC tariffs, but more difficult to access NVOCC tariffs. Hanjin found access to tariffs over the Internet easier, but retrieval of tariff information more difficult due to the inadequacy of the database search tools at the web-sites.

Evergreen and Maersk Sealand found the ease of access to carrier tariffs to be about the same as before OSRA, although there was more variation from carrier to carrier. Four other carriers indicated that it was more difficult to access carrier tariffs since OSRA. Reasons mentioned for this difficulty were the need to consult more than one web-site and database system, various site navigation rules, and access fees.

Several shippers found it more difficult to access carrier tariffs since OSRA due to access fees and the need to be familiar with the web-sites of several different tariff publishers. Dryvit said that Internet access to carrier tariffs was very complicated and cumbersome for the casual user, and that rules were difficult to find. Several other shippers, however, reported finding it easier to access carrier tariffs since OSRA; LTD Shippers attributed this to the combination of the Commission's regulations implementing OSRA and the dynamics of the Internet. NAAA claimed that in most cases carrier tariffs continued in the pre-OSRA format, thereby facilitating the search for information in the tariff. However, this shipper also found that the information in carrier tariffs was becoming more ambiguous in the post-OSRA environment and that service contracts were less precise when referencing the governing tariff. As an example, NAAA contended that service contracts frequently referred to rules in the tariff that had been deleted and to tariffs that had expired and been replaced; carriers often failed to change the base ports in the respective tariff scope even months after they had discontinued a vessel-sharing agreement for the particular trade lane; and service contracts used new names for certain charges that were in fact the same charges that already were included in the contract. As a remedy, NAAA "believes that the Commission should recognize the congressional intent of OSRA, which is to shift from a highly regulated environment to a more market-driven shipping environment. Thus, the Association requests that the Commission consider relaxing the current regulatory requirements for common carrier tariff publication, especially as it applies to the NVOCC community."

Several OTIs found access to carrier tariffs to be about the same as before OSRA. Shapiro said that it was easier since many carriers provided ready access through the Internet. On the other hand, NY/NJ Forwarder Group indicated that its membership reported access to carrier tariffs to be generally more difficult because of the failure of the FMC to set any standard for accessibility. The association believed that the present situation did not provide for meaningful use of tariffs by the NVOCC community or the shipping public.

30. What impact, if any, has the implementation of OSRA had on potentially unfair foreign shipping-related practices (for example, pricing practices, business restrictions, foreign laws)? Are there any identifiable areas of continuing concern?

A large majority of commenters reported that OSRA has had no impact on potentially unfair shipping-related practices. However, P&O Nedlloyd noted that the deregulatory aspects of OSRA provide arguments against efforts by foreign governments (*e.g.*, the Shanghai Shipping Exchange) to increase regulatory activity. Wallenius added that the Commission's authority under the 1984 Act and OSRA regarding unfair shipping-related practices may deter foreign governments from adopting laws or regulations that might be viewed as detrimental to US commerce. Zim believes that it is beneficial for the FMC to have the authority to intervene when certain foreign governments establish controls, taxes, or regulations that are applied in a discriminatory manner against non-national carriers.

Crowley feared "that OSRA may foster unfair pricing (dumping) by foreign carriers, which in some cases have involved quoting through rates below their inland costs to secure service contracts." Further, Crowley added that it is concerned with certain government restrictions relating to US trade with Central America and Caribbean countries.

31. Has the growth of e-commerce offerings (including, but not limited to, on-line space auctions) created any regulatory concerns for your company? If so, please explain.

Most commenters reported no regulatory concerns with the growth of e-commerce. Although there was concern in the initial start-up stages of the e-commerce offerings regarding spot shipment pricing and services advertised on ad-hoc auction forums, this concern apparently has faded as the on-line space auctions have dwindled over the last year. Maersk Sealand participates in a broad range of e-commerce activities and Hyundai Merchant Marine Co., Ltd. ("Hyundai") performs Internet-based Electronic Data Interchange and cargo tracing, but regulatory issues have not emerged. Commenters indicated that several neutral and multi-carrier portals have been developed. The LTD Shippers noted that e-commerce activities should be reviewed to identify whether the FMC has authority over these transactions before problems arise.

32. In your experience, has the burden of regulation faced by your company been reduced, increased, or been unaffected by the implementation of OSRA? Please explain and give relevant examples where possible.

Most carriers reported that their regulatory burden had been reduced because of the abolition of the formal requirements associated with the ATFI System, notwithstanding that publishing tariff rates, rules, terms, and essential terms electronically has costs associated with it. Some carriers commented that the conference system used to negotiate and handle the administrative costs of service contracting, and that individual carriers now have taken over these functions with a resultant increase in the costs of administering service contracts.

Shippers generally reported that the regulatory burden that they now face has been relatively unaffected. USSA added, however, that the disappearance of the old conferences has had a positive impact on it.

Several NVOCCs indicated that they were dissatisfied with the burden of regulation under OSRA, primarily citing the cumbersome burden of tariff filing. These NVOCCs contended that the increased use of service contracts has resulted in an increased burden for them since they must file a myriad of rates and amendments in their tariffs relating to various billing rates and other amendments that they have negotiated with the carriers. Moreover, they noted that OSRA requires NVOCCs to become licensed, subjecting them to increased scrutiny by the FMC's Bureau of Enforcement. Additionally, NVOCCs believe that they are less competitive with ocean carriers because VOCCs conduct virtually all of their business under confidential service contracts, an option not available to NVOCCs under OSRA. However, NVOCCs believe that being able to enter into confidential service contracts as shippers with carriers has increased their bargaining flexibility.

33. Are there any OSRA-related regulatory issues that you believe should be considered for future Commission review?

The Commission received a wide range of responses to this question, addressing a variety of subjects both OSRA-related and not. Shippers predominantly reported that the anti-competitive effects of discussion agreements should be examined, while a majority of carriers reported that monitoring report guidelines should be streamlined. NVOCCs recommended that the Commission eliminate their tariff publication requirement.

Carriers reported that several Commission requirements should be reviewed and changed, the most important of which are the reporting requirements for discussion agreements. Carriers believed that these reporting requirements are time-consuming and arduous and that the reports should be simplified. Several carriers agreed that the FMC should streamline its procedures for the filing of operational type agreements, as filing creates unnecessary burdens and delays service enhancements in the trade. NYK commented that it would be beneficial to eliminate the requirement to publish service contract essential terms because the FMC receives the entire contract, and because the public does not appear to make use of this information. Another carrier suggested discontinuing confidential service contract filing altogether.

Many shippers contend that discussion agreements are used to increase freight rates and limit capacity, and therefore should be reviewed. ATOFINA Chemicals commented that flexibility, efficiency, and reliance on market forces are difficult to attain when carriers are agreeing on rate levels and service. Several other shippers commented that the Commission should review voluntary service contract guidelines to examine whether they are in fact "voluntary." A number of shippers commented that the FMC should standardize the publishing of tariffs to make them more accessible, accurate, and understandable. Additionally, some shippers believe that accessorial and surcharges are used as revenue enhancers and that the FMC should limit their use.

OTIs stressed that no useful purpose exists for publishing tariffs and that the FMC should eliminate its tariff publishing requirement. NCBFAA commented that the FMC should

reconsider the issue of whether a forwarder can act as a shipper, contending that if a forwarder signs a service contract, it does so at the risk of prosecution. NCBFAA believes that this is unreasonable and inappropriate.

Several other miscellaneous OSRA regulatory issues were addressed in the NOI responses. In connection with these issues, commenters suggested that the FMC investigate the following:

- Foreign freight forwarders operating without licenses;
- Auction dot-coms and e-commerce to see how they fit within OSRA;
- Ocean freight forwarder compensation; and
- The compatibility of OSRA and other US shipping statutes with the laws of our trading partners.

34. Overall, has the *net* impact of OSRA on your company been positive or negative? (Circle the most accurate description.) Please explain briefly.

Although responses to this question vary widely, of the 38 responses received, the majority (22) believed that the effect of OSRA had so far been somewhat to very positive.

Nine companies reported that, overall, the net impact of OSRA has been very positive for their companies. Confidential service contracting was viewed favorably by carriers and shippers. As one shipper reported, it is much easier to work with an individual carrier as opposed to a group of carriers. Further, commenters noted that OSRA has improved the speed of the contract negotiation process, simplified the business process, allowed for tailor-made service contracts, increased flexibility in doing business, improved partnering between carriers and shippers, and allowed meaningful commitments to shippers.

Thirteen companies reported that the net impact of OSRA has been somewhat positive for them. These respondents generally listed the same reasons as those cited in the very positive category, *e.g.*, the ease in working with an individual carrier as opposed to a group of carriers, the ability to enter into long-term partnerships, and the ability to tailor contracts. Hanjin commented that OSRA has allowed unrelated shippers to get together and form an association that could potentially reap benefits similar to what large shippers enjoy. Evergreen reported the positive effects of the elimination of “me-too” clauses and the addition of confidentiality clauses in service contracts. NCBFAA agreed that OSRA has somewhat positive benefits for the industry, but added that the Commission needs to do more to help assure that small shippers and OTIs realize the benefits of the legislation.

Nine firms reported that the impact of OSRA on their firms has been neutral. Hyundai commented that it was just too soon to tell what, if any, impact OSRA has had on its firm. An NVOCC commented that OSRA does little to help NVOCCs. Hamburg Süd reported that the value of process streamlining has been offset by more elaborate contract “clausings,” and added that there is a lingering concern over OSRA’s negative impact on rates.

Three firms stated that the effects of OSRA are somewhat negative for them. Orion commented that OSRA does not serve the public interest, while another NVOCC reported that OSRA does not benefit NVOCCs. ATOFINA Chemicals stated that it had anticipated developing long-term relationships with carriers. It noted that carriers initially were receptive, but this willingness decreased as the conferences it dealt with regained their footing.

Three carriers and one shipper reported that the net impact of OSRA has been very negative for their firms. The carriers reported that freight rates have deteriorated between 30 to 35 percent over the last 2 years, with profound negative effects on revenue. Moreover, they contend that unreasonable market-rate erosion caused by excessive rate shopping and leveraging has had a significant impact on bottom-line results and the ability of carriers to invest in enhanced services. Toysa noted that the impact has been very negative for its operations because during the first year of OSRA, a \$900 GRI and new surcharges were implemented by TSA. Toysa added its belief that as long as carriers have antitrust immunity, OSRA will not foster competition.

35. Are there any other ways in which the implementation of OSRA has affected your business or industry that have not been addressed in the preceding questions? If so, please explain.

Several representative comments follow:

- If less emphasis were placed on tariff publishing in the US as is customary in Europe, the tendency of many OTIs and NVOCCs to circumvent frivolous regulation would come to an end. (Shapiro)
- OSRA has been a very positive success in moving toward the September 2000 mission statement of the Federal Maritime Commission. We are concerned, however, that discussion agreements may erode the stated goal of the mission statement. In the global export arena, a competitive, market-driven, customer-focused transportation system will ensure that exporter's needs are addressed fairly and responsibly. (USSA)
- OSRA allows carriers to negotiate inland agreements with railroads and truckers and the benefits have not been realized. (Hapag-Lloyd)
- We believe that in evaluating the effect and impact of OSRA, it is appropriate to evaluate the Commission's role in implementing OSRA and in regulating the industry in the post OSRA environment. This means that the Commission should be engaged in self evaluation and that it should seek and obtain candid and meaningful reviews of its performance from those whom it regulates. We also believe that the Commission has done an admirable job in its implementation of OSRA and its attempts to examine the impact of OSRA. (P&O Nedlloyd)
- Discussion agreements and conferences have been able to maintain price fixing practices. This is completely against the growth and development of US exports through competitive

and efficient ocean transportation by placing greater reliance on the marketplace. (ATOFINA Chemicals)

- OSRA has given our company increased flexibility in moving our ocean cargo. It has also enhanced the environment for shipper-carrier relationships, and in many cases, has strengthened those relationships. (DuPont)

APPENDIX II

SERVICE CONTRACT RANDOM SAMPLE AND SURVEY

With the new statute now in place for two years, the Commission sought to examine pricing and service behavior by conducting an independent survey of service contracts. Previously, the Commission surveyed a selected sample of service contracts on a preliminary basis for its Interim Status Report on OSRA in June 2000. For this study, the Commission conducted a more comprehensive examination from random samples of service contracts taken from its SERVCON electronic Service Contract Filing System.

Selection of Contracts

To conduct its survey, the Commission ran two computer-generated random samples of original service contracts on file in SERVCON from January through November 2000. Each sample was randomly selected and extracted from the overall sampling population. The Commission used only original service contracts for its sampling population in order to obtain complete contracts with all the necessary information. Each random sample contained 500 service contracts, so that 1,000 separate contracts were reviewed. The Commission surveyed unique or separate service contracts within each sample, *i.e.*, there was no duplication of service contracts between the two samples.

The raw survey data from the first sample were entered into a unique database for that sample and then analyzed. Survey data from the second sample were collected in an identical manner and entered into their own database for analysis. This approach allowed the Commission to compare the survey results of the two separate random samples. The comparison of survey results enables some inference as to how well the samples correspond to the overall sampling population of original service contracts.

Contract Information Evaluated

The questions or issues addressed in the survey focused on the topic areas of: general contract information; geographic scope; freight rates and surcharges; and special contract clauses. Under each topic area, contract data and information were collected in response to specific survey questions or issues. The data responses were analyzed for each question or issue to discern and assess any noticeable trends in service contracting since OSRA became effective.

General contract information included such data as the contract number, the identity of the carrier party (or parties), the contract duration, and the status of the shipper(s). The minimum quantity or volume commitment of each contract also was collected. All minimum commitments specified on a container basis were converted to TEUs as a standardized measure for analysis. Further, the survey addressed whether each contract was negotiated on an individual basis, or an agreement basis with multiple-carrier participants. The shipper signatory also was examined to determine whether the contract was entered into by a single-shipper entity, or by multiple non-

affiliated shipper parties outside of an association. The survey classified shippers' associations and multiple affiliated shipper parties under one signatory as a single-shipper entity.

The origin and destination port ranges and areas within the geographic scope of each contract also were reviewed. The survey sought to discern each contract's trade direction to and from the US. In this regard, a determination was made whether cargo shipments were exclusively in the inbound (import) direction to the US, exclusively in the outbound (export) direction from the US, or in both the inbound and outbound directions. Based on the trade scope of each contract, the survey also divided the contracts into categories of either: (1) a single US trade or geographic area; (2) multiple US trades or areas; or (3) global. Contracts in the single trade category had scopes limited to one US trade or geographic area, such as between the US and Germany, or the US and Asia. Contracts with multiple scopes spanned two or more US trades or areas, such as between the US and South America, North Europe, and Asia, or US worldwide. Contracts categorized as global contained foreign-to-foreign trades within their scopes in addition to one or more US foreign trades, such as from South America, Mexico, and the US to North Europe. Further, the foreign origins and/or destinations to and from the US were identified for each contract by general geographic region, *e.g.*, Asia, South America, North Europe, the Mediterranean, *etc.*

A number of issues were examined relating to the rate provisions and terms of each contract. The survey addressed whether the contract rates were completely all-inclusive, defined as freight rates that include the base freight rate and all other applicable accessorial charges and surcharges. A related issue focused on whether the contract rate provisions were linked or referenced to a separate carrier or conference tariff. The contracts also were examined for the inclusion of a specific clause incorporating any published GRI, or any other provision for the general increase of freight rates connected to tariff rate increases.

Review of the last topic area, special service contract clauses, focused on specific provisions of OSRA along with other issues identified as important by shippers and carriers. Of particular significance, the survey addressed the subject of confidentiality between contracting parties, as established by OSRA. Confidentiality allows shippers and carriers to restrict the disclosure of unpublished service contract terms to third parties. The main focus of non-disclosure to third parties usually relates to the freight rates stated in the contract.

In addressing confidentiality, the survey confined its examination to the actual text of the contract and did not endeavor to search cross-references to the governing tariffs of carriers or conferences. While many contracts included generic tariff references, researching the identity and purpose of these general tariff references was not conducted in this particular survey. The textual content of the contract was reviewed for any form of confidentiality between the parties as follows: (1) a specific confidentiality clause; (2) a tariff reference in the service contract specifically denoting confidentiality; or (3) a plainly discernable designation of confidentiality (stamped or marked) within the contract. If none of these were found, the survey concluded that the contract made no mention of, or direct reference to, a confidentiality clause or provision. On a related issue, the survey addressed whether the contract contained a penalty provision for breach of confidentiality between the parties.

Special carrier performance standards or service guarantees also were reviewed. The survey identified special provisions such as those that specifically set delivery or transit times, which

also may include quantitative measurements or ratings of the carrier's service along with penalties and/or rewards. Equipment guarantees also were noted in the survey.

Another subject of special interest concerned the carrier's liability for cargo loss or damage. Contracts were examined to see whether the carrier party was assuming a greater degree of liability for cargo loss or damage in addition to the standard bill-of-lading provisions. Other special survey issues focused on whether contracts included such provisions as an official rate rebate or volume incentive discount, and/or pledges by the carrier to match a lower tariff rate.

Results of Evaluations

Analysis of the data revealed a high degree of consistency between the two samples on most of the issues examined in the survey. The similarity between the two samples gives added confidence to the survey results. Both samples included service contracts from over 60 different individual carriers and 4 agreements.

The survey showed that since OSRA was implemented, individual service contracts negotiated on a one-on-one basis between carriers and shippers were clearly preferred over agreement contracts with multiple carrier participants. In both samples, individual service contracts between a single carrier and shipper entity accounted for the vast majority, nearly 100 percent. In addition, neither sample contained contracts signed by multiple, non-affiliated shippers outside of an association. On the issue of shipper status, the division of contracts between the various types of shippers was consistent between the two samples. Shippers identified as proprietary owners of the cargo entered into slightly over 70 percent of the contracts, while those identified as NVOCCs entered into roughly 25 percent. Shippers' associations were the smallest group with 2 percent of the contracts. These results generally are consistent with results previously reported in the Commission's June 2000 Interim Status Report on OSRA.

On other general issues, 90 percent of the contracts in both samples were for a duration of 11 months or less -- the overall range in both was from a few days to upwards of 2 years. In assessing cargo volume commitments, the survey showed that roughly 60 percent of the contracts in both samples had minimum commitments set at 100 TEUs or less. Between the two samples, the minimum commitments of contracts were set as low as 1 TEU, and as high as 68,000 TEUs.

The data collected on geographic scope were first analyzed in total, irrespective of geographic area. The survey revealed that in both samples, over 50 percent of the contracts were exclusively for the shipment of imports to the US, while upwards of 35 percent were exclusively for exports, and less than 10 percent included the shipment of imports and exports. In this regard, it should be noted that the survey only measured the number of contracts in each direction and not the amount of cargo shipped. Therefore, while the *number* of contracts favored a certain trade direction over the other by a certain proportion, no specific conclusions can be drawn regarding the *volume* of cargo moved in either trade direction. On the issue of trade scope, the survey indicated in both samples that the majority of total contracts was confined to a single US trade or geographic area, while roughly 10 percent spanned multiple US trades or areas, and about 8 percent were global.

Further analyses and observations were made with respect to the various geographic areas. Contracts which included Asian countries were the most common in both samples. Among these Asia contracts, the majority were exclusively for the shipment of imports in the US inbound direction. Additionally, the majority were strictly confined to the single geographic area of Asia.

The second most common geographic area in both samples was North Europe. Contracts with North European countries in the scopes were more evenly divided in terms of trade direction, and most were strictly confined to the single geographic area of North Europe.

Other geographic areas showed different results. Areas where the trade direction favored exclusive export contracts outbound from the US included Central America/Caribbean, Australia/New Zealand, South America, the Mediterranean, and the Middle East. Areas with a high proportion of global and multi-trade contracts included the Indian Subcontinent, the Middle East, and Australia/New Zealand.

With respect to freight rates and surcharges, both samples showed that less than 10 percent of the contract rates were completely all-inclusive, while over 90 percent of the contract rate provisions were linked to or referenced a separate carrier or conference tariff. In addition, upwards of 35 percent of contracts in both samples contained a GRI clause or other provisions for the general increase of freight rates connected to tariff rate increases.

On confidentiality, an examination of the text of each contract in both samples revealed that about 35 percent contained either a confidentiality clause, a tariff reference in the contract denoting confidentiality, or a designation of confidentiality (stamped or marked). This percentage may be understated in terms of the actual use of confidentiality between contracting parties, because the review did not expand into a check of cross-references to a specific carrier's or agreement's governing tariff rules that might contain such confidentiality provisions. Additionally, any informal agreements between the parties, or confidentiality agreed to outside the terms of the actual contract, were not counted. On a related issue, both samples showed that only an extremely small number of contracts, around 2 percent, included penalty provisions for breach of confidentiality. Further, the survey results indicated that, in all cases, less than 10 percent of the contracts contained any of the other special clauses examined (*e.g.*, special carrier performance standards, equipment guarantees, volume incentive discounts, *etc.*).

APPENDIX III

OCEAN TRANSPORTATION INTERMEDIARY STATISTICS

This Appendix presents more detailed information on the number of NVOCCs and ocean freight forwarders, their financial responsibility amounts, and the nature of bonding coverage.

Number of OTIs

Prior to the passage of OSRA there were 2,200 NVOCCs, both in and outside the US, 1,700 licensed ocean freight forwarders, and 400 firms that were both NVOCCs and ocean freight forwarders. Altogether, there were approximately 4,300 OTIs. A year after the effective date of OSRA, there were 4,175 OTIs: 1,900 NVOCCs (1,300 in the US and 600 outside the US); 1,750 licensed ocean freight forwarders; and 525 firms that were both NVOCCs and ocean freight forwarders. As of June 30, 2001, there were 4,043 OTIs: 1,878 NVOCCs (1,250 in the US and 628 outside the US); 1,347 ocean freight forwarders; and 818 firms that were both NVOCCs and ocean freight forwarders (see table below).

Ocean Transportation Intermediaries			
	Pre-OSRA	One Year After OSRA	Two Years After OSRA
NVOCCs	2,200	1,900	1,878
Ocean Freight Forwarders	1,700	1,750	1,347
NVOCC/Ocean Freight Forwarder	400	525	818
Total	4,300	4,175	4,043

Source: Internal FMC data as of June 30, 2001.

Amounts of Financial Responsibility on File with the Commission

Financial protection for the public for damages arising from the transportation-related activities of NVOCCs has increased since OSRA became effective. Before OSRA, each NVOCC was required to provide proof of financial responsibility in the amount of \$50,000, plus \$10,000 for each unincorporated branch office in the US. The total amount of financial responsibility in place was approximately \$130 million collectively for the 2,600 NVOCCs. Because of the increased amount of financial responsibility now required of NVOCCs (*i.e.*, \$75,000 for US-based NVOCCs and \$150,000 for non-licensed foreign NVOCCs), along with the requirement that \$10,000 be posted for each unincorporated NVOCC branch office in the US, proof of financial responsibility for NVOCCs now collectively totals approximately \$264 million.

Before OSRA went into effect, each ocean freight forwarder was required to provide proof of financial responsibility in the amount of \$30,000, plus \$10,000 for each unincorporated branch office. The total amount of surety bond financial responsibility for ocean freight forwarders at that time was approximately \$85 million. After OSRA became effective, freight forwarders were required to provide \$50,000, plus \$10,000 for each unincorporated branch office. The ocean freight forwarder proof of financial responsibility now collectively totals approximately \$129 million. In summary, total consumer protection against losses caused by NVOCCs and ocean freight forwarders is currently at \$393 million.

Surety Companies

Although Commission regulations permit OTIs to use guaranties and insurance policies as proof of financial responsibility, all coverage currently is provided by surety bonds. At this time, approximately 67 surety companies underwrite OTI surety bonds. The top two companies underwrite approximately 49 percent of the total number of bonds; the top five approximately 72 percent; and the top 10 approximately 87 percent.

Currently, only one group surety bond is on file with the Commission. The Federation Internationale des Associations de Transitaires et Assimiles NVOCC bond covers approximately 160 members.

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